

KPIT Technologi. (KPITTECH)

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Call: Feb 2023

KPIT Technologies Limited

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February 07, 2023

BSE Limited

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Mumbai- 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.,
Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.
Symbol: KPITTECH
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of the earnings conference call for the quarter and nine-
months ended December 31, 2022.

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the earnings conference call for the quarter
and nine-months ended December 31, 2022 conducted on February 01, 2023 after the meeting of the Board of Directors for
your information and records.

The transcript of earnings conference call is also made available on the website of
the Company. The link to access the same is as below:

<https://www.kpit.com/investors/policies-reports-filings/>

Thanking you, Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande Company Secretary & Compliance Officer

Encl: as above

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"KPIT Technologies Limited
Q3 FY2023 Earnings Conference Call "

February 01 , 2023

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ANALYST : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS
PRIVATE LIMITED

MANAGEMENT :
MR. KISHOR PATIL – CO-FOUNDER , CHIEF
EXECUTIVE OFFICER & MANAGING DIRECTOR –
KPIT TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – PRESIDENT & JOINT
MANAGING DIRECTOR – KPIT TECHNOLOGIES
LIMITED
MR. ANUP SABLE – WHOLE TIME DIRECTOR &
CHIEF TECHNOLOGY OFFICER – KPIT
TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL
OFFICER – KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR – HEAD – INVESTOR
RELATIONS – KPIT TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the KPIT Technologies Limited Q3 FY2023 earnings conference call hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you and over to you Sir!

Rahul Jain : Thank you Darwin. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies for giving us the opportunity to host this earnings call. Now I would like to hand the conference over to Sunil Phansalkar who is head of IR at KPIT to do the management introductions. Over to you Sunil!

Sunil Phansalkar: Thank you Rahul. A very warm welcome to everybody on the Q3 FY2023 earnings conference call of KPIT. Today on the call, we have Mr. Kishor Patil, Co-founder, CEO & MD, Mr. Sachin Tikekar, President & Joint MD, Mr. Anup Sable Whole Time Director & CTO, Ms. Priya Hardikar, CFO. So as we do always we will have the opening comments on the performance of the quarter and the way we look ahead by Mr. Kishor Patil and then we can have the floor open for questions. So once again a very warm welcome to all of you and I will hand it over to Mr. Patil!

Kishor Patil: So good evening everyone. I am very happy to take you through Q3 results. This year we started as you know a little cautiously and we gave an outlook a bit conservatively between 18% and 21% growth, which was based on the visibility we had, but as the year progressed, I think we got better engagements, deeper engagements and many deals with our key clients. During the year we also acquired Somit Solutions and Technica and specifically on Technica I think this really accelerated our engagement with our clients. In the CES recently that is Consumer Electronics Show where we had given the full story of KPIT plus Technica, it was very highly appreciated by the clients and I think so during the year we have seen stronger engagements with clients, stronger proposition from the KPIT side and that has really started resulting in to larger and deeper engagements with our clients.

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So coming back to the Q3 results, in Q3 FY2023 we had a year-on-year constant currency growth of 44.7% and 19.3% quarter-on-quarter.

Organically that is excluding Technica it is 24.6% Y-o-Y and 4.9% quarter-on-quarter. In terms of profits, it is a 43.5% year-on-year and 20.4% quarter-on-quarter growth. So our profits first time crossed Rs.100 Crores mark for the quarter and our EBITDA remained at 18.5%. Now during this part overall there has been a volatility in the currency. During the quarter, the other income increased by Rs.9 Crores basically because of the rates Euro as well as the Pound being st

ronger. The tax rate is 25% during the quarter, but on annual basis we will remain at 23% and during the quarter we have deal expenses of roughly about Rs.14 Crores relating to Technica deal. So first thing I also would like to mention is the cross currency has also impacted in terms of reported versus constant currency growth numbers and we hope that the picture hopefully will change if the currency will stabilize henceforth. During the quarter specifically there has been a big change in the currency Euro Rupee rate and that has impacted really more in terms of the difference between the Dollar and CC growth. We have a very consistent policy of how we do this but because the variations are higher we have put on the exchanges and also on the website of KPIT what is our policy for cross currency calculation. I think that we have uploaded for people to know the calculations better. In terms of growth the feature development and integration revenues grew 20.6% year-on-year and 10% quarter-on-quarter. Architecture and middleware practice grew by 73% year-on-year and 50% quarter-on-quarter, also quarter-on-quarter numbers include Technica numbers as well. Cloud based connected services grew 49% year-on-year and 20% quarter-on-quarter. If you look at the geography and I would like to again mention that these are not numbers that we look into but this is how it gets reported because most of our clients are global. However USA has grown 16.3% year-on-year and 1.7% quarter-on-quarter. Europe has grown 62% year-on-year and 38.6% quarter-on-quarter. Asia has been flat. However, if you take the year as a period and you will see it going forward you will see a growth across all the three geographies and all our pipeline is strong across all the three geographies. Looking at the people side there is a significant drop in the attrition which we have experienced for last two quarters consistently. The drop while we do not publish the number, I may say that the drop is about 3% quarter-on-quarter and we expect that to at least have that kind of lower attrition to continue over the next quarter if not drop further. We
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have added during the quarter 291 people from Technica. Our hiring continues to be pretty strong. Our focus is really to take the benefit of the current environment and really improve the quality of hiring and get the best talent possible.

If you look at the strategic engagements with our client during the quarter, we closed USD 272 million worth engagements with our clients out of which one is USD 100 million with Renault. The Renault engagement is bigger but some part of it was reported last quarter which we had closed last quarter so the remaining we are accounting for here. The pipeline is pretty strong. It includes one large engagement as well that I had mentioned last time. I would like to mention that our growth is not really necessarily depending upon only the large engagements. Basically because our focus is on all OEMs and these are very significant client engagements and wherever there is though not one single engagement we are growing quarter-on-quarter very strongly in all the accounts. We have some as I had mentioned last time mega deals but otherwise also our growth is higher irrespective of such engagements because this is not how the client engages and then as you know many times they are not used to announcing such kind of engagements. Overall, we see our strategic clients have a very large spend and thus the opportunity in front of us is also larger and we would like to bring the sharper focus on the clients which we have and we believe the opportunity is much higher for us to grow going forward without making any change and actually having a

sharper focus on our clients. We can certainly grow at least double digits in most of our clients from where we are. So we continue to focus on the execution of good quality deliverables with our clients. Technica has been a major development during the quarter, the integration has started. During the quarter we have about USD 14 million revenue from Technica with 20% plus operating profitability. This is the best quarter during a calendar year for them. They have a bit of a seasonality where the last quarter there is a higher growth and Q1 is a weaker one where revenues come down by about 20% sequentially. Overall Technica will deliver 15% to 20% growth in the year. In FY2022-FY2023 overall as a year in spite of uncertain environment microeconomic conditions we started with an outlook of 18% to 21% growth, we increased it to 31% to 32% last quarter, with our organic growth of 23%. We believe we will beat this and our overall growth will be certainly in excess of 33% and more than 24% on an organic level. EBITDA will be between 18.5% and 19% and will remain in that range.

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Q4 has some specific things I would like to bring out. Technica revenue will drop as I mentioned and hence the margins; however, our organic growth will remain strong and the profitability which will more than make up for that to have our normal quarterly growth and profitability. That will be after also taking into consideration certain customer intangibles which we may start writing off. Overall we are very happy with the quarter and overall we are very happy with where we are specifically the positioning which we have with our clients and the confidence we have in our client engagements in spite of the economic environment. We believe that the next year also while we will give outlook, etc., at the end of the Q4 we see that this trend continuing into next year and we feel very confident about growth continuing into next year. Thank you.

Moderator: Thank you. We will now begin with the question-and-answer session.

Ladies and gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Good evening and thank you for taking my questions.

First question is on one of the comments on the outlook in your presentation you have called out that there is some degree of confidence that you can beat your organic revenue growth guidance now you I think have upgraded that to 24% plus in constant currency terms so could you clarify what is the 9M organic constant currency growth so far and any drivers that give us comfort around why we see upside to these targets?

Kishor Pati: When we come back to the numbers overall I think the deal closures during the quarter which I mentioned earlier as well as our existing engagements and pipeline, I think that gives us the confidence.

Sunil Phansalkar: The YTD growth in CC terms is 24% over the nine months of last year.

Chandramouli Muthiah: Got it. That is helpful. Second question is around the integration cost for Technica I think you called out it is about Rs.14 Crores this quarter and you also mentioned that this is a 20% plus margin business long term so while we see that across KPIT's accounts this quarter percentage of revenue have declined meaningfully Q-o-Q we do not necessarily see the margin benefits of the acquisition yet because of the integration costs involved so could you quantify sort of what the other KPIT Technologies Limited

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costs are I think Rs.14 Crores you have quantified as deal cost but even over and above that

at there seems to be a pretty big spike in other expenses quarter-on-quarter so just trying to understand what should be an appropriate run rate for other expenses going forward because I think you have mentioned that even the next couple of quarters you might have some amount of integration costs so just any color here would be very helpful?

Sunil Phansalkar: So if you look sequentially, the other expenses this quarter also include the costs in Technica. So apart from the deal expenses I think the consolidation

of Technica is the reason . There is no other specific cost that has gone up disproportionately or that has a one time element in the other expenses .

Kishor Patil: The expenses which may to some extent will be there nothing too significant as compared to this quarter but some expenses will be there.

Mainly we are taking some services from a consulting organization to ensure that the integration plan goes on well and the review of our integration plan is proper , because this is very critical for us .

Chandramouli Muthiah: Got it. This is a followup. I was just trying to understand I think the previous quarter we had about Rs.110 Crores of other expenses and if I add maybe Rs.14 Crores to that for the deal expenses that takes us to maybe Rs.124 Crores but this quarter I think we have been close to Rs.166 Crores so just trying to understand what that delta is and any color that would be very helpful ?

Sunil Phansalkar : What I said is that delta is we have consolidated Technica during the quarter and if Technica margins are at around 20% delta between the revenue and margins goes to other expenses as well as the personnel expenses, so the change in other expenses is only because of the expenses of Technica, which have also got added because we have consolidated . So when we are looking at an absolute increase the absolute increase will have the increase because of Technica , it will have the increase because of the growth that we had during the quarter and the increase because of the deal expenses that we had in the quarter.

Chandramouli Muthiah: Got it that is very clear thanks for that and just lastly we have been talking about the 10 large middleware mega deals that are under discussion globally and how KPIT as of last quarter was active in seven of them you had guided to one more potential 100 million plus deal
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opportunity in the first half of this calendar year so any updates on the broader middleware deal pipeline and how we should think about timing for the second opportunity ?

Kishor Patil: I would like to clarify it . I think maybe there is some miscommunication in this area. What we have said is this is our engagement with the client it does not mean that there will be seven mega deals . What we said is these are the programs in which we are engaged and I again explained just now , our basic business model is to grow with the clients and engage with them and grow quarter -on-quarter and we have very strong growth where we do not have one single large big deal with the client but what I had mentioned last time is there are two deals which I had mentioned about one of which we announced for Renault and there will be one more which we will come in sometime . That is what I had mentioned in the last quarter . Sachin do you want to add anything.

Sachin Tikekar: No there is nothing more to add. That is exactly what we said last time and the first half of the year we still have five months so hopefully you know we will have the announcement of the second one in times to come.
Nothing additional.

Kishor Patil: Does this answer your question ?

Chandramouli Muthiah: Yes that is very helpful. Thank you very much and all the best.

Moderator : Thank you . The next question is from t

he line of Vimal Gohil from Alchemy

Capital Management Private Limited . Please go ahead.

Vimal Gohil: Yes Sir thank you very much for the opportunity. Sir my question is firstly on the calculation that you gave about you said that \$14 million is what you have recorded this quarter from Technica now if I were to sort of adjust that with the current revenue you would come to around \$96.5 million which is close to 2.5% kind of reported USD growth and if you are going to surpass that at 24% of growth for the full year that implies a very sharp improvement in the next quarter even after 20 % sort of reduction from Technica so just wanted to get a sense on where is this confidence sort of coming from , I understand the deal wins have been very strong but the

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growth rate is materially higher than what we have delivered in the very, very recent past ?

Sunil Phansalkar : One correction the comparison of 2.5% reported growth and the 24% growth is not correct because if we look at the organic CC growth this quarter that has been 4.9% so I think that is what needs to be compared because 24 % plus is the CC organic growth.

Vimal Gohil: Okay understood and Sir I just wanted to understand the seasonality difference in Technica typically companies based out of Europe or US typically have a weakish kind of a quarter in December whereas Technica is completely opposite so what drives this unusual seasonality ?

Kishor Patil: Frankly, I think it is more to do with a lot of European clients . They have certain products and infrastructure which actually they provide to the clients and I think that is what mostly has resulted into this additional revenues during the last quarter. Anup you have anything to add.

Vimal Gohil: Sir another point was on attrition, you mentioned that attrition has dropped off by almost 3% points in that backdrop would it be fair to say that this year you will probably be ending at about 10700 to 10800 employees adding about 2500 odd employees will the hiring intensity continue to remain the same or do you think that in the backdrop of reducing attrition you might not require strong hiring addition as you did in the last two years ?

Kishor Patil: We are planning for a strong hiring but naturally we have a clear process by which every running two quarters we plan based on the revenue visibility and attrition because you get to know about attrition three months in advance roughly . In spite of that we believe that we will have to continue on strong hiring for the next year .

Vimal Gohil: Understood Sir. I will join back in the queue but thank you very much for taking my questions. All the best .

Moderator : Thank you. The next question is from the line of Karan Uppal from PhillipCapital India . Please go ahead.

Karan Uppal: Thanks for the opportunity and congratulations on a very strong set of numbers yet again so first question is on the deal wins which we have

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announced so that TCVprint continues to be very strong for last three quarters so just wanted to understand what are the major components of it be it in terms of (inaudible) 23:13 or SDV opportunity and also if you can quantify what is our share in the overall SDV related deals ?

Sunil Phansalkar : The question is TCV has been stronger in the last three quarters so any sense that we can give on the type of work engagement practice .

Kishor Patil: There are three parts that we typically report one is the feature development and integration part, then the architecture and middleware and third cloud based. We are seeing growth which is fairly balanced across the three and with more and more middleware engagements th

at we start ,

at the beginning , it also sort of creates opportunities for the other two practices to grow . So something takes a lead and then it also benefits the other two practices that is the trend that we have seen over the last three or four quarters and we believe that is the trend that will continue in the immediate future which is the early part of next year. We have had a fairly balanced growth across if you take the year-on-year numbers. Quarter -on-quarter things may change but the growth looks fairly balanced going forward. Was there anything else that you wanted me to address or you just wanted me to specifically talk about whether it was balanced growth or not ?

Karan Uppal: Yes Sir just wanted to ask on the software defined vehicles related opportunity can you quantify in terms of the overall deal wins which you have won how much was related to that and what is the pipeline ?

Sachin Tikekar : As we mentioned last time there are six engagements we are already engaged in six of them and those are as you would imagine everybody is trying to do these kinds of engagements for the first time so we have our hands full with software defined vehicle kind of programs they are very critical to the clients . The focus is to now make sure that we are on track and we are able to deliver them successfully that will be the number one

focus and as we create more bandwidth we will look at more SDV kind of engagements. Some of our other clients would also want us to engage for instance commercial vehicles they make take up some of these in a year or two so it is good for all of us that we sort of stagger them out over a period of time rather than trying to do too many things all at the same time and the earlier point when we talk about every SDV kind of engagement it

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touches all three buckets that we talked about. Initially it starts with consulting then it leads to bulk of the work on the middleware and then it leads to feature development and also going into the cloud piece right so that cycle will continue in the foreseeable future.

Kishor Patil: Just to add to that I think most of our new wins a large part of it I would say I do not have exact number but maybe around 60 % to 70% are related to SDV.

Sachin Tikekar : Yes the six engagements that we already started.

Karan Uppal: Okay that is really great. Thanks for that clarity. The next question was on margins so how should we think about the margin trajectory from here given that Technica operates at a higher margin but also has a seasonality to it and organically also we are growing very well so there will be some support from the organic growth so from here on for the next four quarters how should we think about the margin trajectory for KPIT?

Kishor Patil: I think the way I would put it is we have given a guidance or outlook which has been pretty consistent. Initially we gave 18% to 19% then we have given 18.5% to 19% and we will be in that range. We will give our outlook for the next year at the end of the next quarter. Overall our strategy has been to really have EBITDA margin within this range and invest for any future growth; however, if we see that there is additional opportunity to improve the margins, we will let you know when we give outlook for the next year.

Karan Uppal: Thanks for that answer and all the best for FY2024.

Moderator : Thank you. We have the next question from Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Sir first was you spoke in the opening remark about intangible write off that you are anticipating I could not get the context of that but is there any such thing which you are planning for 4Q or for FY2023?

Sunil Phansalkar : The context there is the Technica acquisition. When we do the

acquisition

we actually have a period of one year to recognize the intangible assets that we can have which will reduce the goodwill on the books. So that exercise we are currently doing and there is a possibility that we might be

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able to account for those assets for Technica that we have acquired and then start the amortization of those assets. It could happen in Q4 this year or it could start from Q1 next year but that is something that will happen when we do the purchase price allocation of Technica. So that is what we were talking about.

Mohit Jain: Understood and second if you could comment little bit on the deal pipeline like because we have very strong bookings this quarter has it moved up, how much has it moved up anything that will help us understand?

Sachin Tikekar : Overall if you look at the trend for the last seven to eight quarters now it has grown substantially quarter-on-quarter and the last quarter was not an exception it improved substantially from the previous quarter to that almost a 70 % to 80% growth in that and we do see strong demand coming our way and we believe that as we enter the next year we should start the next year on a strong pipeline and again as Mr. Patil mentioned earlier on the bulk of it is actually coming from our existing strategic accounts and it is not going to be something that is going to be separately carved out or called as a large engagement. It is just that because the way in which we engage with them there is just so much more that we can do with the client.

Mohit Jain: But that will pass through your TC V numbers that you report right

irrespective of the size?

Sunil Phansalkar : That is correct .

Mohit Jain: Okay and a follow -up was you said 70 % to 80% 3Q FY 2023 versus 3Q FY2022 is that the right number ?

Sachin Tikekar : Yes.

Mohit Jain: Coming to margins we had this Rs.14 Crores integration cost which practically takes margins above 20% for Q3 itself assuming there are cross currency tailwinds for the next quarter and supply side is inching up should not we expect that margins eventually head towards or in that direction for 2024?

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Kisho Patil : I think I explained that. Right now the way we are focusing on I think the biggest focus for the company is the best execution for our clients and that is why we have given certain range and we will remain range bound. Every quarter is different that something else comes like during this quarter we got other income which we may or may not get next quarter it really depends on but as a company what we are doing is keeping it into that range and the rest we can allocate for better execution or growth we do that and naturally that allows us to continue with the strong growth and better execution with the client which is very critical to our success. For the next year as a whole how it will pan out we will give you some indication at the end of the Q4.

Mohit Jain: Correct Sir. That is all from my side. Thank you very much .

Moderator : Thank you. The next question is from the line of Akshay Ramnani from Axis Capital . Please go ahead.

Akshay Ramnani : Congrats on a good set of numbers so the first question was on client matrix so when I look at the client matrix active clients are flat Q -o-Q while client concentration has reduced after acquiring Technica so is it fair to assume that we were already working with all of the Technica's clients and also does Technica integration change our thought on the strategic T25 customers bucket which we have ?

Sachin Tikekar: So let me address the first part. The strategic intent does not change. In fact Technica fits in really

well with what we are trying to do with our T25

clients and there was a really good validation as Mr. Patil mentioned during CES that many such clients were excited about having Technica being part of KPIT. Technica allows us to go deeper and wider within the existing clients and that is something that we will continue going forward as well .

Now on to your second question yes of course the point is not here to add clients quarter -on-quarter we are very selective about adding clients and that is something that we decide at the beginning of the year so when we plan for next year we will have clarity in terms of which clients we will really focus on adding for the next year but your question about the concentration, I think there are certain revenues in Technica that are not related to our T25 clients that came in and so organically we have had growth which has been very sound . With Technica coming in there are certain clients that are not in line with our T25 as of now that is why you

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see a little bit of fluctuation, but you will see that over the next few quarters it will come back to the same. . We are also disengaging with certain clients which are not in line with our focus so it worked out the same number , but it may not be exactly the same.

Akshay Ramnani: Got that and another question was to understand the cost structure of Technica better so we added about 290 employees from Technica about \$14 million of revenue which translates to a fairly high revenue per employee is it fair to assume that Technica would also have high subcontracting cost in their cost structure which might be sitting in the other expenses and if that is the case how do we plan and do we expect to continue with the similar cost structure or is there a change we think about that ?

Sunil Phansalkar : If you remember when we announced the deal, there is an entity in Tunisia which works exclusively for Technica so those employees are not a part of KPIT today. We will acquire that entity going forward but right now those employees are not a part of the total employees of Technica but they provide services for Technica and hence you will see that it is appearing to be a little bit higher right now which is essentially the subcontracting cost.
Akshay Ramnani: Okay thank you.

Moderator : Thank you. The next question is from the line of Nitin Padmanabhan from Investec Capital Services India . Please go ahead.

Nitin Padmanabhan: Good evening. Congrats on the strong quarter. My question was on margins so this quarter excluding the integration cost obviously margins would have been higher by maybe 140 bps or 150 now what has sort of driven this delta on margins during the quarter is it anything related to realizations or is it the positive seasonality or what of Technica or do you think in some way the gains that were made in these margins are somewhat defensible so I just wanted to understand the drivers of this margin improvement for the quarter so that is the first one and the second one is if I have missed during the call was about I think in the last quarter you spoke about two mega deals and I think one has come through and just wanted your thoughts on the second and also if there are any more in the pipeline of this size and structure and lastly just wanted to understand these deals are basically for model launches in 2025 and 2026 and I presume companies OEMs who are KPIT Technologies Limited
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looking to launch these models would be in a hurry to sort for the deals to really come out so is this the right way to think that a lot of these deals will be upfronted in terms of the way they accrue to you or do you think the deal structures

for the other clients are a little more broken down and not as integrated so these were the three questions ?

Kishor Patil : Let me address the second question first. Yes , we did talk about two very long-term large engagements one which we announced during the last quarter and second one as I mentioned earlier on is in the first half of this calendar year four or five months to go and our hope is that we will conclude that in the next few months to come that is the first part of your question. Second part is about you are right some of the engagements that we have signed up for some in nature of what you will call mega sort of engagements other are just projects and programs being carved out and coming our way but all heading towards 25 -26 model year. Yes that will continue. As we mentioned that we hope that there is one more that we will announce in the near future and then maybe one or two going forward not all of them are going to come in that kind of front end. To your point many of them will also come as part of an extension of the work that we are doing or just programs coming our way but not quite structured in a mega engagement kind of so it is going to be a mixed bag across. On the margin part, so if you look at it the major contribution obviously is the revenue growth and when we have revenue growth also the freshers that we have added earlier and they have got one or two projects so that process is continuing and there is a net realization improvement which we focus every quarter which is a combination of rate increases plus productivity improvement that we focus on so I think all of these things has played their part in the margins that we have shown after the deal expenses.

Nitin Padmanabhan: So these margins are defensible, it is just a choice that you would make on a going forward basis as to how much you would want to retain and what you want..

Kishor Patil: Absolutely and it is a consistent basis that the margin and this has been the case for more than a year.

Nitin Padmanabhan: Is this one thing I think what we have demonstrated over the past years is that margins have been on a consistent upward trajectory and we have KPIT Technologies Limited
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never maximized on margins in any particular year you always use some of that for a growth so when we think out as investors is it fair to assume that directionally because of the kind of structures you are in there will always be room to improve margin at the same time it will be very calibrated over longer periods of time ?

Kishor Patil: That is true.

Nitin Padmanabhan: Perfect. Thank you so much. All the very best.

Moderator : Thank you. The next question is from Dipesh Mehta from Emkay Global . Please go ahead.

Dipesh Mehta: Thanks for the opportunity. Couple of questions. Entering into next year what do you find more challenging in terms of demand side situation or supply side because we are growing at half yearly rapid growth trajectory so do you think which one would be more challenging for one look at calendar 2023 , second question is about TCV number what we report can you help us understand it includes only new portion or it includes new plus renewal what happened during the quarter ?

Sunil Phansalkar : Sorry I will just answer that question. The TCV number includes both renewal as well as new.

Anup Sable : So going forward I think definitely it is an issue of supply side and if you look at the SDV programs which Mr. Patil talked about in terms of being the largest contributor to current as well as the future growth. There are certain elements in the SDV which requires reasonably good understanding of what competencies are required so there is a shift in the competency so from a supply perspective getting the right people, making sure that

they

have the right competencies and of course then delivering and focusing on the execution on that is the biggest challenge.

Kishor Patil: Basically, we are in a position to hire a number of people I think the quality is something which we are looking to improve.

Sachin Tikekar : If I may just add a further nuance to what Mr. Sable and Mr. Patil said in our opinion the supply side in terms of quantity it will get easier it is already getting easier it is going to be quality but more importantly , I think this

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execution is very complex program that is going to be the number one challenge. The programs that nobody else has done before right so that will be our number one challenge.

Dipesh Mehta : Understand and if I can ask two more questions first about the commercial vehicle, if I look it is showing some kind of moderation for the last three to four quarters, see if you can provide some outlook on the demand trend what we are seeing and last is about the Technica you indicated some kind of subcontracting arrangement with some company and we may potentially acquire if you can give some detail what is that what we are looking at here, thanks ?

Sachin Tikekar : So let me address the commercial vehicle part. Commercial vehicle I think looking at anything for just one quarter is not a fair way of looking at it. It is like looking at our growth across geographies where we believe that the growth will be balanced across geographies it may change from quarter - to-quarter and it is the same thing with commercial vehicle. Our business over the last two years has grown consistently in commercial vehicle and we believe that it will continue to grow in the coming years . It is just that passenger car business growth has been significant , driven by software defined vehicle but we are still quite bullish on commercial vehicles and if you look at the numbers I think Y-o-Y growth is about 15% in CV and even if you look at last quarter the sequential growth was very strong at 6% , so the growth has been stronger it is just this quarter that it is flattish but if you look at the Y-o-Y trend or even the YTD trend you will see that growth is there.

Kishor Patil : So on the last part let me explain you, there need not be any confusion.

When we acquired Technica they had multiple centers and one of the centers is Tunisia which is their own company but little differently structured and we decided to acquire it after fulfilling some changes in their structure, etc., We do not have to pay anything additional for it, it is just our choice to get few things done before we acquire it and that is why

it is appearing as a subcontracting. Otherwise, there is no difference. Did I answer your question?

Dipesh Mehta : Understand. Thank you.

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Moderator : Thank you. We have the next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Yes thanks for the opportunity and congrats for a very strong execution.

Just a first question after Technica coming into your bag or umbrella is it fair to say now we have addressed all the gaps to be addressed in terms of the software defined vehicle or is this trend or do we still have gaps and if not then in that scenario getting position in terms of a larger sized deals would be much stronger going forward versus what it used to be around one quarter back?

Sachin Tikekar : We have addressed some of the gaps especially on the upper left-hand side of the software development and upper right-hand side of the software development, so system networking, system proof of concept and system validation part and it is a very strong fit in term

s of what we have. The

pursuit of what the customer wants and what are the white spaces that are available is an ongoing thing and as we speak we are continuously finding out new white spaces in the SDV space as the customer is also finding out some of the new white spaces in the SDV space. We will keep on discovering them and focusing on them. So far so good but I think going forward you will see many more white spaces coming up which we will capture and if you look at last two years some of these gaps have been bridged. We used the strategy of build vs buy and partnerships, some of these we have actually built internally and some through the acquisition of Technica. In the entire ecosystem one company cannot do it all so we also have to partner with some other key players to provide a more comprehensive solution to the clients.

Sandeep Shah : Helpful and just looking at the macro scenario in the Europe is there any instance despite the projects which we work are critical for the models to be launched in the future, clients are slightly behaving conservative in terms of their decision making or in terms of awarding deals or after awarding start of the projects or after start ramping up the projects any instances are you witnessing?

Sachin Tikekar : I think there are two answers so overall given the macro scenario all clients are going to be very cautious. Some clients have taken some proactive steps to cut costs. Fortunately for us they are cutting costs in other areas and they are prioritizing things like software defined vehicles and so forth.

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So overall yes, clients are becoming more and more cautious about the spend but as far as KPIT and our pipeline and our programmes are concerned we have not seen anything that is likely to impact us in the immediate future.

Sandeep Shah : Just last few bookkeeping questions so I think this quarter in the P&L we had a cost of goods sold related to material consumption and the finished good inventory so is it largely related to Technica and will it continue in future quarters or it is more specific to third quarter being seasonally a strong quarter as a whole?

Sunil Phansalkar : It is completely related to Technica and it will go up and down but it will be there going further also.

Sandeep Shah : In the initial remarks we said the effective tax rate on a going forward basis would be 23% right?

Priya Hardikar : On annual basis it would be 23%.

Priya Hardikar : Yes so on annual basis will be around 23 plus.

Sandeep Shah : With amortization of intangibles for the Technica do you believe the depreciation amortization as a percentage to revenue may go up or may actually come down with some of the other assets which are organic becoming older and their depreciation may come down?

Sunil Phansalkar : I think we will have to really decide on the quantum that we will arrive at for doing this and obviously then we do it initially it will have some marginal impact but of course as the revenue grows that percentage will come down but obviously we have not yet decided what is the quantum we will have to work on it and then come up with a number which we will share with you once it has been done.

Sandeep Shah : In the presentation you said M & A related cost is still pending so will it come largely in Q4 or it may come still 1Q of next financial year and what could be the quantum ?

Sunil Phansalkar : As Mr. Patil said in initial remarks some costs that we will do for integration will come in the next two quarters.

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Sandeep Shah : The quantum may decline in Q4 and Q1 related to some of the consultant cost?

Sunil Phansalkar : Yes.

Mo

derator : Thank you. The next question is from Saurabh Sadhwani from Sahasrar Capital . Please go ahead.

Saurabh Sadhwani : Hi thanks for the opportunity. So in this quarter as employee expenses have not grown as much as our revenue and they have also decreased as percentage of our revenue so how did this happen and is it sustainable ?

Sunil Phansalkar : I think if you look at it as we have said with growth and with improved productivity , we intend to have that number to be in this range or slightly lower as we move ahead so that is what this number is. It is also a fraction of the freshers that we have recruited over the last three, four quarters and that has improved the overall cost structure.

Saurabh Sadhwani : So we have better utilization now, yes ?

Sunil Phansalkar : Yes we will have it as we move forward.

Saurabh Sadhwani : Also we commented that we could grow double from our current position with most of our clients so is it an aspiration or are you aiming for that and what would be the timeline for that ?

Sachin Tikekar : I think it is a great question. When we say that we will focus on handful of clients actually we have no choice but to double the revenue in there, Jokes apart what we have realized is as we engage with them deeper we are also getting broader insights into the areas in which they need help and as Mr. Sable pointed out earlier we are also responding to their needs and creating offerings that are relevant to them and this goes back to becoming a truly trusted partner to them and given that model we think that over the next three to four years we will be able to double our growth within the same clients.

Saurabh Sadhwani : Thank you. That answers my question.

Moderator : Thank you. We have the next question from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please go ahead.

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Vimal Gohil : Yes Sir thank you for the opportunity again. My question on some of the hardware cost has been answered. If you can help us revise you had done this acquisition sometime back of FMS which was into ADAS, etc., if your current quarterly numbers on the share of associates is anything to go by there has been some slowdown there if you can just highlight what is update there, how is the company performing, is it in line with our estimate or is it in line with our expectations or not, what is the current revenue run rate that it is clocking ?

Kishor Patil : I think it is in line with what we discussed I think the company is doing well but we are still a minority shareholder in that I think the trigger for acquisitions will come in next quarter or so, so we will give the details once we conclude that. Right now it may not be appropriate to share the details but the company is doing well and on the profitability front we are in line with the company profitability.

Vimal Gohil : While the number is not significant as of now but the sharp decline is not related to FMS or do we have any other entity there or how is it?

Priya Hardikar : No there is no correlation there.

Vimal Gohil : Okay the share of associates Madam is regarding which entity right now ?

Priya Hardikar : It is for FMS.

Sunil Phansalkar : The answer is that it is just a quarterly phenomenon and we should not take that as a trend in FMS but we are saying if we take the year as a whole we are on track to do the targets that we had in mind in terms of revenue and profits, so though quarter-on-quarter it has gone down we will see that going up and there is no issue as such in terms of the targeted revenue or the targeted profits that we had in mind.

Vimal Gohil : Understood Sir. Thank you so much Sir. Thank you once again.

Moderator : Thank you. The next question is from Karan Janthi from Jetha Global .

Please

go ahead.

Karan Janthi : I had a few questions. The first has been on whether there is any integration risk with this Technica acquisition I know it is a different country and really

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kind of combining workforces in anyway so is it fair to say there is very limited integration risk ?

Sachin Tikekar : Every company that is acquired carries some kind of a risk so we have done a very detailed risk assessment and we have a regular fortnightly meetings to mitigate and plan in terms of what needs to be done . So far so good we do not see any major risk right now.

Kishor Patil : Actually they are very excited looking at the opportunity they see with our strategic plan. From their point of view they would have never got that kind of exposure to these clients globally.

Kishor Patil: We have overall excitement at the moment in terms of the opportunities that we see and what real value add we could do to the clients together.

Karan Janthi : Got it and then I guess one other question relating to how you think about this Renault deal I am curious about the offshore and onshore ratio for that deal is and even if you look at kind of revenue EBIT per share is that accretive for the current business it is a sort of a new deal you might have a better view on it ?

Kishor Patil: We do not provide the breakup in terms of onsite and offshore revenue. Our engagements swing basically depending upon their stage, location where we are engaged so we keep away from the split, but as we mentioned that if you look at a year back the onsite has gone up overall our people on site have gone up and that is for multiple reasons but looking at our engagements we need to execute, , but most of this work will be largely delivered out of offshore locations not necessarily India over a period of time .

Karan Janthi : Got it and then just a last one. I think your TCV based on the last four quarters I think started reporting four quarters ago is about \$700 million US dollars maybe the overall TCVs we had in that how do we think about conversion and visibility does that mean if you have a three -year average deal life you are looking at 40% revenues being visible in the coming fiscal or what is the right way to think about that ?

Kishor Patil : Many of these deals are anywhere between three to five years kind of duration so it changes .

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Sachin Tikekar : Hard to sort of put a formula and tell you. I think there are different flavors to it and as Mr. Patil said earlier on we are in a good position at this point in time. We have revised the guidance and by end of next quarter we will give you the guidance for the next year but it is kind of hard to translate .

Karan Janthi : Got it. Thank you.

Moderator : Thank you. The next question is from Dhanshree Jadhav from Anvil Share & Stock Broking . Please go ahead. As there is no response from the current participant in the queue we will move to the next question. The next question is from the line of Deval Shah from RBSA Investment Managers . Please go ahead.

Deval Shah : My question is related with the business unit so I just wanted to understand

our three business units so how are they different in terms of our client engagement as well as on the margin profile and what as KPIT we are strategizing so is it we are going to be more focused on the middleware or we are going to focus on the cloud base so I am talking about more on the 5 to 10 years ?

Kishor Patil: I think as we mentioned these are the three important parts for the OEMs and even in SD V programmes all the three parts are relevant. The reason we have made it because this is how the buying centers

at the client side

run, so we have mapped our organization to the client side and the second thing is earlier we used to give it practice wise but that is not how the organization works at the client side that is why we changed the structure to map with the client organization so to your point our focus is across but some of the areas like architecture, middleware, and cloud based connected services these are in some way recent in last couple of years and size is relatively modest as compared to the one where it is electrification, autonomous etc. which we have built over last five to six years so that is why they are growing faster but at the same time as Mr. Tikekar mentioned I think one leads to another so it is a kind of combined story and that is why actually with Technica and other acquisitions we are in a position to give a blue print to the execution full story from KPIT.

Deval Shah: Just on the margin profile also so are these three have a similar kind of margin profile and term of contract ?

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Kishor Patil: At a gross contribution on this level there are some changes I think there are little more profitable than the others but volume is higher in some cases versus some scale is different so it changes but the mix is not going to impact significantly anything what we have mentioned.

Deval Shah: Got it and my another question is more on margins so I understand that we have given the guidance of 18.5% to 19% as of now but looking at the kind of services we aspire to provide so what is our long-term aspirational margins even after 3 to 5 years so if we are providing more value-added services and more integrated services to our clients then what would be our aspirational EBITDA margin we are looking at ?

Kishor Patil: Basically what we have mentioned always is we will show a consistent growth in the margins and we will invest anything over and above if we can meaningfully invest into growth or delivery so we have said that we will cross 20% in next couple of years that is what we mentioned. As I always said there is always a lever to grow margins. It is our choice to invest into growth and new technology investment which we will continue to do because I think that is important for us and that is how we are managing.

Deval Shah: Understood. That is it from my side. All the best.

Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: Congratulations on good set of numbers. Broadly questions with regards to the rest of world geography so which are the countries where we are present other than US and Europe and what current environment there which is supportive to us and what possibility we look in these geographies other than US and Europe ?

Sachin Tikekar: In Asia bulk of our revenues actually come from Japan and there are some revenues from Korea and China and we have one client in Vietnam and of course there is some business that is in India where we service some of our global clients. So those are the ones, bulk of the revenues come from Japan and we think that we will continue to grow in Japan, also in Korea, the situation in China has been very difficult over the last three years now the things are opening up finally we will have to see how to sort of trigger

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into China over mid to long term. Japan will continue to be the key growth driver for Asia in the immediate future.

Chirag Kachhadiya: One more clarification there was news a year back that some shortage of

chip in automobile sector is there due to disturbances in China so does any of our clients facing such disturbances?

ch disturbances?

Sachin Tikekar : Yes it has been a huge challenge for the last couple of years for most of the OEMs. Not just in the automotive industry but in other industries as well. But it is getting easier by the day it is still not behind us but I think the supply has increased a little bit and as things have opened up globally things are actually getting better by the day.

Chirag Kachhadiya: Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Abhimanyu Kasliwal from Choice India Limited. Please go ahead.

Abhimanyu Kasliwal : Firstly congratulations on good set of numbers and good organic growth, now my point Sir is that you see we are working on a revenue per employee trying to expand as much as we can and trying to decrease the cost per employee as much as we can so that we can get a good employee yield I wanted to ask what is your trajectory what is your outlook on that in the employee yields so to speak, we are increasing employees on a slightly lower rate than what could have been expected so does that mean that now we are on a sustainable improvement in employee yield that we are hoping to have more revenue per employee as opposed to cost per employee so that will lead to a better yield so if you could throw any guidance that would be very grateful?

Sunil Phansalkar: We have talked about the margins all of these metrics that you talked about viz revenue per employee, profit per employee or utilization all of that will materialize into the operating margins that we have talked about and that is the increase that we have seen. I do not think we will be able to say what will be the trajectory there. If you look at the last four quarters actually our hiring has been higher for the future than our revenue growth but if you see as a trend in the medium term obviously the aim is to improve that number as revenue per employee and also the profit per employee to go up which will result into the steady improvement in operating margins.

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Abhimanyu Kasliwal : Are we seeing any trajectory like that in terms of the contracts that we are seeing for that is higher value contracts which are more technical in nature and hence we are able to generate more revenue per employee as such or is it the same kind of contracts right now, what is happening Sir?

Kishor Patil: At a high level I can say that our realizations are improving with the new contracts.

Abhimanyu Kasliwal : Wonderful. Thank you so much Sir. That was very helpful.

Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Thanks for the opportunity. Just last two things in terms of the practice revenues it looks like the Technica has been added across service lines because the incremental revenue across service lines does not?

Sunil Phansalkar : That is true.

Sandeep Shah : The 20% Technica margins are at EBITDA or EBIT level?

Sunil Phansalkar : The 20% margins are at EBIT levels.

Sandeep Shah : Thanks and all the best and congrats once again.

Moderator : We have Ms. Dhanshree Jadhav from Anvil Share & Stock Broking with the next question. Please go ahead.

Dhanshree Jadhav : Congrats on great set of numbers. My question was on the growth that we have witnessed in architecture and middleware consulting the growth is quite strong at 50% quarter-on-quarter and as you said it includes Technica so I just want to know excluding Technica what would be the growth there and what is driving this growth and what will drive this growth in near term and in long run is what I want to gauge from the management?

Kishor Patil : I do not have a big number but roughly I can say that it will be about double-digit growth

quarter-on-quarter for this practice organically.

Sachin Tikekar : If you look at what middleware is it is the most critical part of the software defined vehicle, so when software needs to basically define the vehicle

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middleware becomes a very important component on that and it is the first and earliest change that will happen and I think when you see all the SDV programmes being kicked in this is the first time for most developments that starts kicking in that is why there is a growth.

Dhanshree Jadhav : If I just want to add on to it like any particular client or deal has led this growth if you can call out something there and also in context with Europe you know Europe for KPIT has been witnessing very strong growth last couple of quarters this quarter it was obviously including Technica but somewhere in that context or whatever separately if you can call out for the growth organic basis is what I would like to know?

Sachin Tikekar : I am sorry can you repeat the first question I remember the second part what was the first part?

Dhanshree Jadhav : The growth in the middleware on organic any particular client, deal that is driving that organically and if that can be in context with the kind of growth we are seeing in Europe because that was quite strong for KPIT and this year obviously it was including Technica but something if you can call out in terms of any particular trend you are looking that would be helpful?

Sachin Tikekar : Okay understood. Thank you. As we mentioned earlier in the call there are about 6 SDV programmes that we are working on and as one would expect bulk of them are in Europe that is why the growth is driven by the 6 SDV programmes in the middleware and overall SDV and some of the key clients have been in Europe that has also driven the growth organically in Europe and now the Technica acquisition has even made it stronger. Does that answer your question?

Dhanshree Jadhav : Yes that is helpful and one last question management has conveyed that we would seek on sustainable basis the growth to be at 20% like annual so is that maintained or there could be some challenges to it I am asking for the long term?

Kishor Patil : I think we have given overview overall last year when we gave and we feel reasonably confident. You are seeing what we have performed this year and there is nothing which warrants any change in our view.

Dhanshree Jadhav : Yes great thanks. I think that answers most of my question.

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Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to the management for closing comments. Over to you Sir!

Sunil Phansalkar : Thank you very much for your interest and participation. If you still have any more queries please feel free to write to me and I will be happy to address those. Thank you and have a good evening.

Moderator: Thank you. On behalf of Dolat Capital that concludes the conference call. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

KPIT Technologies Limited

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May 02, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.,
Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.
Symbol: KPITTECH
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of the Post Earnings Conference Call for the quarter and
year ended March 31, 2023.

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Conference Call for the
quarter and year ended March 31, 2023 conducted on April 27, 2023 after the meeting of the Board of Directors for your
information and records.

The transcript of Post Earnings Conference Call is also made available on the
website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor s/policies-reports-filings/>

Thanking you, Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande Company Secretary & Compliance Officer

Encl: as above

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"KPIT Technologies Limited
Q4 FY '23 Earnings Conference Call "
April 27, 2023

MANAGEMENT : MR. RAVI PANDIT – CO-FOUNDER AND CHAIRMAN – KPIT TECHNOLOGIES LIMITED
MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – PRESIDENT AND JOINT MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. ANUP SABLE – FULL-TIME DIRECTOR AND CHIEF TECHNOLOGY OFFICER – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER – KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR – HEAD, INVESTOR RELATIONS – KPIT TECHNOLOGIES LIMITED

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKET PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and we lcome to the KPIT Technologies Q4 FY '23 Earnings Conference Call hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the pre sentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -down phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Jain from Dolat Capital Markets Private Limited. Thank you and over to you, sir.

Rahul Jain: Thank you, Lizann. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us this opportunity to host this earn ing call. And now at this point, I would like to hand the conference over to Mr. Sunil Phansalkar, who is head of IR at KPIT, to do the management introduction. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. Good evening and a warm welcome to everyone for the Q4 FY '23 post earnings conference call of KPIT Technologies Limited. On the call today, we have Mr. Ravi Pandit, Co-founder and Chairman , Mr. Kishor Patil, Co-founder, CEO and MD, Mr. Sachin Tikekar, President and Joint MD, Mr. Anup Sable, Full-time Director and CTO, and Priya Hardikar, our CFO. As we do always, we'll have the opening remarks by Mr. Ravi Pandit, on the year and the quarter gone by and the way we look at the immediate future. And then we'll have it open for questions. So once again, a very warm welcome to all of you and I hand it over to Mr. Pandit.

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Ravi Pandit: Good evening and welcome and thank you for being present at our investor call. What I would like to do in my initial remark is to give you a quick overview of the results and maybe address a couple of questions, which are normally raised, or which have bee n raised in this context. And after that, we can start looking at the question answers. I trust, you have all received our investor release. As you would agree, it gives plenty of information. So, I believe that, between the note that you have got and the initial comments, many of your questions, would be addressed. And I would invite you to ask any further

questions that you may possibly have.

So, as you will see, it has been a good quarter and a good year. The quarterly results show a year-on-year growth of 50%, in constant currency, and the quarter -on-quarter growth of 8.5%, in the constant currency. So, the revenue has picked up well. EBITDA, we have EBITDA of 19.1%, which is a 60% year -on-year growth and net profit, which has grown 42% year -on-year. This is about our quarterly results.

When you turn to the yearly results, the year -on-year growth in constant currency has been 37%. The EBITDA for the year has been 18.9%, which shows a 45% growth from last year. Net profit at INR 3.8 billion, shows a 39% growth over the last year. So, I trust you will agree that the top line as well as the bottom -line growth has been healthy and we have been able to meet the expectations that, we set through the outlook that we gave throughout the year. We have also given the outlook for the next year, where we believe that we could have a constant currency growth of between 27% to 30% and our EBITDA margins would be

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between 19% to 21% , I'm sorry 19% to 20%., I stand - corrected.

Questions have been asked about the genesis of this growth . So, it is important for us to dwell a bit on the growth that we had in the last year and the outlook that we are giving. And it is imperative to look at the underlying factors, which I would look at as an i

ntersection of two,

which is the industry change that is happening and secondly, our readiness to meet the needs of our clients, in this period of change. As we have said time again, there is a basic transformation which is happening in the mobility industry, especially in the automotive sector.

There is a change in the business model that our clients, namely the OEMs are going through. The change is driven by multiple factors. There is a change in technology because of a significant push towards electrification. And that is really in response to the climate change requirements. That is a key initiative for our clients and that's a matter of passion for us, to really come up with solutions which are clean.

The second factor which is affecting is that there is a business model change our clients are looking at. Till now, the source of income for the OEMs was the one -time sale. And now our clients are looking at potentially, a stream of revenues coming from the sale that is being made. And so, they would like to give additional functionality, over a period of time. They would like to stay in touch with the client throughout the life of the vehicle and therefore the requirement of being continuously in touch and therefore the need for making a change in the basic architecture.

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The third driver is also of course cost. Over the period, as the degree of electrification has increased, the number of ECUs in the vehicles have increased and now the OEMs are looking at consolidation of them. They are looking at domain controllers or centralized architecture, which will

reduce the number of ECUs and make the overall software management far easier. There have been multiple reports of industry analysts, which have talked about significant demand for software R&D work that the OEMs will do. And the anticipation is that the OEMs will spend almost \$40 billion every year, over the next five to seven years to make this transformation. So that is really the condition of the industry that we face today.

We have been trying for the last few years to get ourselves ready, to meet this industry challenge. We look at ourselves as partners to this industry, and we want to be responsible and trusted partners, to our clients. And with that in mind, we have been working on three or four major initiatives. We believe, it is this thinking that we have put in, over the last few years, that is beginning to show some results. Our thinking is based on four broad areas, where we need to really excel in our performance year after year. The first is relating to our clients and our client relationships. As you all know, we have been wanting to focus not just on a single industry, but also to focus, on certain select clients, within that industry. These are the clients, which we call Strategic Clients. To these clients, not only they are strategic to us, but we are also strategic to them. So, we are a part of their thinking process, we are a part of their architectural development, we are a part of their problem solving. And we treat it, as our

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responsibility to ensure that the trust, they repose on us, is well guarded and is well responded to. So, our focus on a few clients and going deep into the requirements has been a main driver of our work, for the past few years. The second area is, of course, around technology. This is an industry in which technology is changing rapidly. Our clients need our help to get a good handle on the technology. Our motto is to be a software company, which understands automotive better than any other company and to be a company, which understands software better than any OEM. And with that in mind, we have been investing and understanding these technologies, developing skills in the

the, developing tools, platforms, accelerators, which can help our clients do their work with speed, with low cost, and with absolute strong systems, faultlessly. So, our second area of focus has been technology.

The third area of focus has been talent. And we have been investing a lot in building talent at all levels. Not only at the technical talent at the bottom level, but also the managerial talent at the middle and the senior levels. And that's an area of focus we believe, should help us over time to come. The last and not the least important, is our delivery excellence, because the work that we deliver, because of the engine that our clients deliver to their customers, is so complex and the reliance on them is so high, it is important for us to deliver a software, which is completely error-free. And therefore, how do we develop a system or a process which can develop error-free software, in the right committed timeframe, has been a key issue for us. And we have been working on that. We

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have been talking about these four key initiatives with you for the last few quarters.

And we think that this is something that can put us in a good state. That is what we believe has helped our growth in the last year. And that is what we hope should help us in our current year, in the coming years. We also think that our midterm prospects in this context should be good. We believe that in the current year, the growth may be a little front ended. And so, we think that our first two quarters may do better as a part of this total overall growth.

In the investor note we have presented, we have also talked about a collaboration, the formation of a new company called Qorix. And I want to talk a bit about that in terms of the technology and the rationale of that. As I mentioned, in this new world of software-defined vehicles, the middleware, the core software is becoming a very important thing. And we believe there is room for a very good sturdy core software that can be delivered to our clients. For this, we have found a partnership with a global, well-known Tier 1 called ZF. We believe that together we can develop a good solution and deliver it to our clients. The company, Qorix, will be focused exclusively on the development of the software product. We will continue to render services around it.

To this company, we will be making an initial contribution of Euro 5 million. And over the next 12 to 18 months, we will make an extra contribution of Euro 5 million. We have currently done an MOU, and we are awaiting the final clearance from the regulatory authorities in Germany. Once that is done, we will be able to speak more about what will be the contribution that will come from ZF over KPIT Technologies Limited

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a period of time. We also think that it will be useful for us to add yet another partner to that. And we are in the process of conversation regarding it. And whenever that happens, we will certainly come back to you.

So, these are really some of the broad observations that I wanted to make. The normal observations regarding the staff and the attrition, etcetera, have been covered in the note that we have given. So, with that initial comment, I would like to now open this session to your questions.

Thank you very much again for being with us this evening.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. Anyone wishing to ask a question, may please press star and one on your touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line a

t Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good evening and thank you for taking my questions. My first question is on the longer-term drivers around electric mobility. It appears that the European Union will implement Euro 7 norms in mid-2025 for cars, raising the CO2 non-compliance burden for some of your customers, they are unable to comply. And the European Union also last month has reiterated its

commitment to ban ICE vehicle sales starting in 2035. So, in your experience working with the OEMs, how many years do you think it could take to develop an affordable
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mass market EV, in these developed markets? So just trying to understand the length of the ongoing electric vehicle R&D cycle. Is this a short-term investment cycle that could fizzle away? Or is there a longer strategic focus at the OEMs at this point?

Kishor Patil : So, thank you for the question. I think if you really look at, I'll give you first, the broad answer. First is the European Union was the first one to really go for the proper regulations and compliance on this. Some of the companies in the US have also adopted it and many of them will be adopting it over a period of time. Then Japanese companies first have gone for more hybrid and then also electric as a combined focus. So there have been stages. So overall the different markets will come up, mature and will invest differently.

You also have to look at the commercial vehicle market, which is still in the early stages of electrification. And there are many technologies, which are coming up, maturing, which are fuel cell, hydrogen, of course and alternate battery technologies. So, there will be continuously an investment into this area.

Coming back to passenger vehicle cycle, what we see with our clients is typically these are, if you just look at the basic engine technology and engines, they have been there for more than 100 years and there is still new innovation happening every time. So actually in electrification also, there are many things which will happen, it will be on different components and also in terms of charging and other infrastructure. So, we believe that it will be a much longer cycle and at least, I would say the technologies will evolve at least for a decade, if not more.

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Chandramouli Muthiah: Got it. That's helpful. My second question is on the cyclicity of R&D spending at the OEMs. Historically, automakers have invested in R&D projects throughout macro cycles, as is visible from their annual filings over the past sort of 10 year to 15 years. There is also a school of thought that R&D spending could be a discretionary spending item for these companies, if they want to preserve margins in a down cycle. So, could you share your thoughts on this as well, please?

Kishor Patil : Yes. So, there are basically two specific things in this area. First is, while it is called R&D, largely what we are focusing on is development and engineering. And this is a real production program, right? It is all about new technology and this is all about new architecture, many new technologies being introduced and more importantly, integration of many of these domains. So, while it is classified as R&D, it is largely a development engineering for a specific production program or development program.

As you know, one of the most important parts for the OEM is their brand and their market share in their respective key areas of focus. And if the OEMs, basically the current

concern is, if they do not come up with these architectures, as there are already some companies, who are quiet, have already introduced that, they will lose the market share. So, this is not as discretionary as people think.

ink. It is actually more of a committed expenditure. There are different budgets, which have been taken out. And all the clients would like to introduce the product at the earliest to gain early mover advantage or get more market share.

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Chandramouli Muthiah: That's helpful. Thank you very much and all the best.

Kishor Patil : Thank you

Moderator: The next question is for the line of Pratap Maliwal from Mount Infra Finance Private Limited.

Pratap Maliwal: And congratulations on a good set of numbers and thank you for taking my question. I just wanted to ask around our margin guidance of 20%. So, what margin levels do we have going ahead? Because with the mega deals that we've announced, they may initially have some kind of onsite presence that may be needed. So, could you just help me understand some of the margin levels to get to that 20% mark? Going ahead now?

Kishor Patil : So that I would first say that we have given a range between 19% to 20%. And if you look at last many years, we have improved our margins, generally on quarter-on-quarter, but certainly year-on-year. And it has been a very sustainable growth in the margins. What we have been saying specifically is, we would of course like to keep on improving the margins and we had given about a three-year window, few years back that, when we will exceed a 20% goal.

So, in next couple of years, we should be over 20%. The main thing what we are saying is, the way we operate is we have a certain margin, like once we get to 19% now or 20%, the additional margins we reinvest into growth areas, whether it is into new technologies, there are so many technologies coming up proactively to focus on that, so that we continue to grow and remain at the forefront of the technology roadmap of our clients, or whether we invest into people or we invest into infrastructure.

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So that is how we make the decision. And as we get more comfortable around that, looking at our investments, the margins will hopefully expand. So, it is a cycle, which is a combination of what we look at is the margin plus the investments we make. As you may know, probably as a technology services company, we spend a fair amount of money into research and development, which we do report to. So that is how we look at our margin and investments.

Pratap Maliwal: Okay. Thank you for that. Now, just another question, if I heard correctly, that we believe that our growth in FY '24 may be front ended for the first two quarters. So, could I just understand what would be driving this, our technical acquisition, Technical seems to have positive seasonality in Q3 and Q4, the second half. So, why would our growth be front ended now for FY '24? And if you could maybe help

me with the technical growth numbers because I believe that over-performed some of our expectations, if you could just call that out, please?

Kishor Patil : So, there are two points I would like to consider. I would like to mention the first about Technica is, we would not give a separate number , because it is a fully integrated entity . The way it has performed , what we mean by better is it's seasonality , and we thought we were expecting the revenues to go down, but they did not go down, which was expected. So, it is not that they have exceeded the performance from that further, they exceeded the performance from the expectation perspective. So, they maintain ed the revenues that were there last quarter . From the seasonality perspective, what we mentioned is our H1 will be stronger . And it is on the back of the couple
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of large engagements we have won. And what we would like to do as a company is , we would like to ramp up as qui

ckly as possible. And that's what, we would like to maximize in the first half. That is what we meant. And that doesn't mean we will not have growth in H2 . It is not the point. We will hav e normal growth. But I think if you look at the significant growth we had for few quarters, I think what we are mentioning is that H1 will be stronger from that purpose.

Pratap Maliwal: Okay. Sure sir, thank you for taking my question. I will get back in the queue.

Sunil Phansalkar: Thank you.

Moderator: Thank you. The next question from the line of Vimal Gohil from Alchemy Capital Management Private Limited.

Vimal Gohil: Yes. So, my one of the questions on EV has been answered. I just wanted one bookke eping question to be answered, which is the contribution that you've had from FMS this quarter. I believe that we started integrating the same. Just wanted to get a sense on how has it performed? Because it's been quite some time since we acquired it. So, vis-a-vis our expectations, how has that performed? How have their top clients performed if you can give us some details there. Thank you.

Sunil Phansalkar: So, there is no addition of FMS revenues to this quarter's numbers. That will happen in Q1. So, there is no change in the ownership of FMS as of this quarter, nothing has been added. The performance of that entity per se is in line with what we had expected when we did the initial stake acquisition, but there is no revenue that is added this quarter from FMS, it will happen from next quarter.

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Vimal Gohil: So, in this quarter, so on a Q -on-Q basis, the entire 12% is completely organic?

Sunil Phansalkar: That is correct. It is 100% organic.

Vimal Gohil: All right. Thank you so much, all the be st.

Sunil Phansalkar: Thank you.

Moderator: Thank you. We'll move on to the next question that is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi, good evening, a great quarter. I had a couple of questions. So one is, a few years ago, you mentioned that

\$500 million is a target over the next couple of years, you seem to have already on that number. And you have possibly added capability through those years, through acquisitions or partnerships. I just wanted your thoughts on, in terms of capability set, when you look at the broad set of competition that is out there, how would you compare in terms of the breadth of capabilities that you have with the competition? And how many companies would have that kind of breadth.

The second question was that when you look forward in terms of the next leg of the journey, what is it that you really need to add in terms of capability? And how do you think a significant part of that capability build-out is already in there right? So those are the two questions. And lastly, from, you mentioned that the initial half of the year will be stronger. As these deals ramp up, do you think that there will be initially margin dilutive to start with or it wouldn't be? So those are the three questions. Thank you.

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Kishor Patil : I will, most of the questions I remember, I'll start. First, I will answer your third question which, let me put it that it will not be margin dilutive. The growth will not be margin dilutive. Then the first question was about the competition. We look at competition in multiple ways. And I have said it before .

But more importantly, what we see resonating with our clients is we are in a very unique position currently, , because of three things. One is a very strong focus on automotive and mobility. The second is a real focus on integration and software integration and the systems integration. And the third part is the breadth of the domains across technologies . In all these three things, I may say, we are r

easonably uniquely positioned on that.

While we do expect that the competition will always be there , we believe we are, if I would say, ahead in the curve, and we'll continue to invest and make that differentiation go further. That's how I see it.

And the other part, what we are trying to do, as you would say, that every three months, six months, you will see that we are making some moves and which are again, unique in the industry . Maybe you can look at what we are doing right now, creating an independent company for productizing, which will create a lot of opportunity for KPIT by itself in terms of integration, but more in terms of standardization in the industry. So, we feel very good about it. And the focus and the trusted partnerships we have with the client, along with the capabilities which we have built , puts us in a unique spot. What was your third question? So, capabilities, it is a very interesting question because the markets are moving very fast in terms of

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technology adoption, we have to be on our feet and every month, two months, we see a few things which are coming up.

So, the way we look at it is in two buckets. One is we keep on looking at technologies, which are here and now, which

will get adopted into the vehicles. The second, what we do as a part of the CTO organization and otherwise is work on technologies which will get adopted three years down the line. In both the parts, we do sometimes see new opportunities for new technologies coming up. These are areas where we work on.

Of course, while we have capabilities, as you know, autonomous or other areas are very important part and various areas of strength for us, but we do believe some of the areas in terms of cloud, AI analytics for this specific domain, not generic skills, but for this specific domain will be an area which we are investing internally very significantly and may be scaled up more in the future.

Nitin Padmanabhan: Sure. That's helpful. Thank you so much and all the best.

Sunil Phansalkar: Thank you.

Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Sir, two questions. One was on the deal pipeline, like we obviously have won few large deals last year, but how are things here at the end of fourth quarter versus, say, last year or last quarter. And the second one is related to the sharp increase on the T&M side. So is it fair to say that some of these large deals and the ramp-ups that we have

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witnessed, they are more on time and material side. And incrementally, we should see less of fixed price. And therefore, despite having more T&M, we should still expect significant margin expansion ahead?

Sachin Tikekar : Hi, Mohit. This is Sachin Tikekar. In terms of the engagements and the pipeline, you may have noticed that over the last many quarters, we have consistently shown growth. And we believe that the trend will continue in the new year. Specifically, there are two types. So, you heard of two specific announcements about Renault as well as Honda, similar kinds of things have been happening with many of our other OEM T25 clients over the years.

It's just that some of them have been happening incrementally and some of them have happened, and we didn't announce them or the client didn't want us to announce them. So, from that perspective, I think there were unique situations that we specifically came out and talked specifically about Honda and Renault. The point that I'm trying to make is our focus continues to be on these T25 clients. And as Mr. Patil explained earlier on, the focus is to go deep and wide as they go through the transformation as we engage with them deeper and wider, we are seeing more and more areas where

they need help, and we are building capabilities to sort of provide help in different areas.

So, one point is, earlier it was about one practice getting into it. Now there are collective practices going into it and so forth. And the third part is in order to solve some of their larger problems, we are also counting on some of our ecosystem alliances to provide larger solutions. I know it's

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kind of a long answer to your short question, but I do hope

that it throws some light on it.

Mohit Jain : And if you could please add something on US side, like we have been doing large deals across Europe or Japan in this case, but what is happening with the US OEM side?

Pipeline , maybe something expected in '24 anything will help?

Sachin Tikekar: Absolutely. And then we'll come back to your T&M question. Specifically, US, we had a reasonable growth in US during last year. This year also, we expect robust growth from our existing clients, especially the OEMs, and they continue to go through transformation. As you know, electrification goals, US companies or OEMs have also set up electrification goals . They also have their road map in terms of level of autonomy that they want to build.

And most importantly, to sort of change their model and engagement with their consumers, they're also trying to build some models. So, along these lines, we see more and more engagements with the existing clients that we have in the US . And on the West Coast, as you know, there are certain new OEMs that are coming up we are working with two or three of them. These are early days, and we'll see how things unfold with them. But that's the additional part in the US that we thought we should sort of bring to your notice.

But overall net -net, we're going to see fairly balanced growth across the three geographies. Some geographies will do slightly better than the others, but we see a fairly robust growth across the key geographies. Now about your specific questions on the T&M side, you're right that it has

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actually gone up. And the reason is there are three or four transformation programs that we have started and especially what you may call software -defined vehicles or software -defined mobility program. As you know, these are the programs that everybody is doing for the first time. So, there is no precedence to it.

And to define what needs to be done, we have to work very closely with the client in terms of what needs to get done. And this process can take up to a year. And during the course, so to us, T&M or fixed price is just a commercial understanding. Please know that the type of engagement remains the same, which is we are taking accountability for the work that we are doing. So, we are accountable for the work that we are doing for them in the software -defined vehicle. It's just that things are not defined. It's more on T&M. As they get more defined, we can move some of that into fixed price. But the nature of the engagement doesn't change, Mohit.

Mohit Jain: Understood. And sir, T&M also goes in things with higher on-site or it could be like T&M goes up, but my offshore also remain same?

Sachin Tikekar: Not necessarily, it's fairly balanced. And even if isn't, it's not very noticeable. As I mentioned, it takes about a year. So, during the year, it's about the same at the end of the day.

Mohit Jain: Understood sir Thank you very much, that's all.

Sachin Tikekar: Thank you, Mohit.

Moderator: Thank you. The next question is from the line of Deepak Rao from Qber asset Advisors. Please go ahead.

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Deepak Rao: Hi, congratulations Ravi, Kishor, Sachin, Anup and the family on awe some result. So, my first question is, I

think

you dwelled on the CTO organizations fall, but the specific question is, in the areas of semiconductor, the area of hydrogen fuel vehicles, in the area of transportation domains adjacent to your present sub verticals. What's been the competency development? What is the business development actions? And essentially, what is the market saying what are you doing to address those things?

Anup Sable: So, I will take one by one. I think from a semicon perspective, we believe that our relationship with the semiconductor companies and our ability to interact with them, discuss with them and create solutions with them are very critical for our strategic customers, which are largely OEMs. So, we are basically making sure that we are aware of the road map, we are aware of all the new developments that are happening in this space relevant to our industry and especially our strategic customers. So that is from a semiconductor perspective. From a hydrogen fuel perspective, I think there are two elements of hydrogen fuel. Hydrogen fuel being used in combustion engines and hydrogen fuel being used as fuel cells. In both these areas, we are very much in the technology. We understand the elements of what goes inside and we have experimented a lot with that. And as this activities shape up with our customers, we are in a very good position to handle them. As far as transformation into adjacent fields, I presume you are talking more about other relevant areas like electric vertical, off road, railways, aero vertical take-off.

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We believe that in the current industry that we are operating and the current circumstances that we have, that means huge amount of changes happening, multiple dimensions of changes happening in the automotive space, the passenger car, and the commercial vehicle space that there is enough on the plate for next couple of years. So, we will focus on, what our strategic customer requirements are, what are the technology gaps that they have and what are the problems that they have? And focus on the solutions for that.

Kishor Patil : So, I'll just add to what Anup mentioned is that, so in all these three areas, we have already seen, even though initial technologies like even in case of hydrogen , we are seeing early signs of integration business coming up at a vehicle level, etcetera. So even in semicon, basically, it is about the integration of the middleware and at a lower level, integration of the software in semicon.

So, we see those opportunities. But coming back to your question on adjacencies, as we see a longer-term demand with our clients and our area of focus , we will initiate something at the end of the year or early next year, where we will start exploring adjacencies. But that we may not take it up as soon, but we'll start maybe seeding certain technologies or make some efforts next year or in the next couple of years.

Deepak Rao: Yes. Got it. Focus is good. The second question I have is the KPIT ZF product and the KPIT does the services part, obviously, you thought of it, but what is the thought

behind if it's a standardized product, how is your client, European client of Honda be able to differentiate between KPIT Technologies Limited
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other car manufacturers, if they're using a standardized product.

Anup Sable: Yes. So, let me define, what a Middleware is from a definition perspective, right? So, the Middleware is the essential component of software that fits between the application and the hardware to a very simple definition for it. This part of software, we are talking about the Middleware has to make the life of the application development easier. But that means the Middleware is the most complex piece of software. And it is like a fundamental infrastructure for the application software to

run in.

Now, when we basically talk about standardization in this piece of software, it does not mean that it deprives the OEM to create a differentiation through the application software. So, if you look at how each OEM will derive their strategy or drive their strategy, in terms of differentiation, it will be through application software and the calibration of application software and that has really nothing to do with, how the middleware is standardized. In fact, the standardization of middleware would make their life easier in terms of launching their application software faster into the vehicle.

Deepak Rao: Thanks very much. It's been a pleasure following your story and your journey and congratulations once again.

Anup Sable: Thank you.

Moderator: Thank you. The next question is from the line of Nitin Sharma from M C Pro Research. Please go ahead.

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Nitin Sharma: Thanks for taking my question. Congratulations on good set of numbers. I got two questions. What kind of employee addition you're looking for, given the guidance of 27% to 30% in FY '24. And how do you see utilization levels to this year?

Kishor Patil : So, the first thing is that, at a high level, we do not really report on these parameters, basically because we gave a very clear outlook for the revenue. We talked about the programs. We talked about the flexibility in that. As long as we manage the revenues and the margins, that's how we would like you to look at it.

But overall, at a company level, just to give you a historical reference, last year, we were about 8,200, this year, we are 11,000 plus so, addition of about 35% or so. And what we do is running two quarters we have our revenue visibility, and we do detailed planning based on that. And that's how we're planning. But coming back to your question, we see a very strong requirement for talent. And we basically address it in a couple of ways. One is the fresher's we take and we have to improve, we keep on improving the quality, in terms of different places in India and outside India. And that, of course, is something which we try to increase, but looking at the complexity of our programs, we are in a business where we cannot absorb as much as some of the IT companies can do. So that is one point.

The second point is attrition, which has come down significantly for the last couple of quarters. We are at mid-teens and we expect that to continue, if not go down. So, that also is a very important factor when we look at how KPIT Technologies Limited
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many people we will hire and how. So based on these two, we plan things. And we feel the environment is much better than last year to hire and have enough talent to deliver to our commitments.

Nitin Sharma: Understood. And one bookkeeping question. So, your employee cost went up significantly in this quarter. So, is there a one-time item or there is some shift towards higher wage costs going right?

Priya Hardikar: It is purely based on headcount additions pertaining to the group, the employee cost. Your quarter-on-quarter cost is what you referred to, right?

Nitin Sharma: Yes. So even if I look at per employee basis costs as well, it seems to have gone up around 8% Q & Q. So, we are trying to understand with the something abnormal onetime item is there, or new additions are at higher, some color would be helpful?

Sunil Phansalkar: So, of course, there is a growth in the employee number. And per employee, I understand your question is more about per employee cost. So, we have promotions, which are there every quarter. And it more or less depends on that and also on the mix of hiring. So, there is nothing which is onetime or abnormal in this quarter. It is just a part of the regular promotion cycles and the natural hiring

that we have done during the quarter.

Nitin Sharma: Understood. Thanks sir.

Sunil Phansalkar: Thank you.

Moderator: Thank you. The next question is from the line of Deval Shah from RBSA Investment Managers. Please go ahead.

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Deval Shah: Good evening, everyone. So, my question pertains to more on the competition. So, I was just trying to understand, where this industry competitive landscape is going. So, while I completely understand that six years, seven years we have debt, which probably reeling to the industries. That could be a chance that the OEM might developing their own in-house capability, like I read somewhere that, Fox Governance created a company for Vehicle OS by the name of Carrier or so. And they already have 6,000 employees working in that. So is there a chance that, the technology company would emerge from the OEM circle only. And at the same time, the follow-on question, on that is that, probably like what Microsoft OS is very prominent in the PCs, would there be a chance in the future, where there will be a one vehicle OS product, which will be used by many of the OEMs in order to have a standardization and on top of that, which software we will built. So, just wanted to understand your thought on this.

Sachin Tikekar : Deval, your observation is on the money, the competition landscape is changing. If you look at the ecosystem of the industry from chip to cloud and everybody in between, everybody is trying to figure out, what their role is, given

the disruption brought in by software. And now everybody is trying to get that little piece of software in there. So, it's an evolving trend and everybody is trying to figure out where they can create value and how they can make money.

Having said that, we are a software company. And as you said, we do have a head start. And you're saying five years to seven years, we appreciate that. But we do believe that

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there is a head start, and we need to continue to hone our skills and get close to the OEMs as much as possible. And that's exactly what we've been doing. If you look at how OEMs perceive us, they see us as their software integrator. So, we are closer to them. So that, we can help them define their road map towards SDV and beyond and sort of help them, not only define it but also execute. This is where the bulk of the business actually comes. So, it's an evolving landscape.

And to your point, in some ways, to us, other than the OEMs, everybody is a competitor or an alliance, correct? So, it will keep on evolving over a period of time. And that's why we made a very conscious decision to really focus more and more on the OEMs and work with them in a trusted partnership manner.

Your second question was on the OEMs building their own software capabilities. And if you look at OEMs till about a few years ago, did not have software capabilities. They actually got hardware and software bundled together from some of the large tier 1s. So, they didn't keep as much software with them. And if some of it is going to be the differentiator as they desegregate software from hardware, it's important that they build core capabilities of their own in future.

And you are seeing that, Carriad is one example. But if you look at most of the large OEMs, that's the case with some of them. And some of the new age OEMs were actually software companies that became automotive companies. And this is like any other business if that's going to be a differentiator you need to build core capabilities. It's just that the work of software is going to be so much that they

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may not be able to do everything on their own, not now, not in future because it may not make sense.

What they

will do is what's going to be core to them and everything else our guess is they're going to trust their key partners to do for them. So that's not just the trend for today but that will continue to be the trend in future. So that's about your question on the OEMs. And the last part was about whether there is going to be, you gave an example of Microsoft operating system which is so essentially, whether anything is going to get commoditized right in some ways that's what you're referring to and then...

Deval Shah: Not commoditized sorry not exactly commoditized it's more about having the central operating system which will have you know cornered the entire market and upon which the entire PC industry was evolved so in that sense I was coming.

Sachin Tikekar : Yes, so it's an interesting question. The automotive OEMs is a small world and in some areas that can happen and Mr. Sable, our CTO who talked about Qorix in that regard, you know when we talk about the middleware and architecture and some of the OEMs will go in that way and having said that it may happen. However the application feature which continues to be a differentiator, that's going to be the core work that OEMs will have to continue to do in future and they may have to depend on partners like us to get that done.

Deval Shah: Okay and that is the reason even I am excited to know more about your Qorix. So, quarters probably, after two quarters, three quarters you may want to give us some more insight on your Qorix. And just one thing on the employees so just a very basic question so when I look at KPIT Technologies Limited
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your employee cost I understand it's a quite higher than the whatever the other industry player may not be your exact competitors so is it because of the we are paying a higher amount for a niche tech talent or it's more of a sun-blowing kind of we are building up the capability and probably in future we had that operating leverage kicking in, so what is the scenario?

Kishor Patil : Yes, I think there are two -three points in that, one is naturally we have to be a net talent creator because of the size and the scale we have in this domain and the growth we are having. So from that perspective really for talent acquisition we look at tier 1s and some of the OEMs and some technology companies. So, to some extent we have to provide a very quick growth for the deserving candidates so that is a point number one. But the important point is as I mentioned the fresher's which we can induct into the overall ecosystem is probably lesser than many companies which go like 75%, 80% while we are more towards 35%, 40% and maybe we have to do a better job on that over the period we will do that but that also increases our cost but our realization our contribution per person and those ratios are better in that.

Deval Shah: Okay. And all the best. Thank you.

Moderator: The next question is from the line of Saurabh Sadhwani from Sahasrar Capital.

Saurabh Sadhwani: Hello good evening. So, our revenue per development employee for this quarter has jumped significantly and if I look at it historically, we have been at \$50,000 and now it went down to around \$41,000 and now we are at \$48,000 so I wanted to understand what KPIT Technologies Limited
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happened in this quarter was it high volumes or was it a better pricing and what other factors do affect this number?

Sunil Phansalkar: So, if you look at the movement of the per employee revenue yes it has moved in the range that you mentioned so we had said last year if you look at it there was a shift from on site to offshore for some of the large engagements we had earlier started and that was the reason why the revenue per employee went down. If you look at it now, this quarter and of course last quarter also I t

think it was up from the earlier quarter. See the hirings, if you look at the last year at least in the first two quarters, three quarters the hiring was very strong as compared to the growth and now we are looking at improving what you may call as utilization but really the net realization that we have per person which is a mix of our rates, our utilization ratios and also the amount of used assets that we can use in delivery and all of those things. So, I think it is a combination of these factors that has resulted in the increase in per person revenue.

Saurabh Sadhwani: Okay. And just a clarification when you talked about the middleware so the middleware is like a Linux, Kernel on which people build Ubuntu and Fedora desktop so that way OEMs will build their Fedora and Ubuntu on that right? Is that what you are trying to build?

Anup Sable: Slightly maybe a little bit of technically different comparison Ubuntu and Fedora are somewhat like a distribution of Linux that means they are very specifically supported as Linux versions, whereas you could think about this as a Microsoft Word or a PowerPoint on top of KPIT Technologies Limited

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Windows. So, Windows is actually like a middleware and the office that you see on top or any application additional application on the top is what we call as application, the OEM application. Did I answer your question?

Saurabh Sadhwani: Yes, thank you. Sir just one more question. So, I wanted to understand right now what is the situation on middleware? Is it not standardized much or how are OEMs doing that right now?

Anup Sable: In the past there was no concept of middleware since the architecture was a distributed architecture and the way that the OEM sourced electronics or software was primarily through sourcing an electronic control unit or a hardware including software from a tier 1. In the future what is going to happen is OEM, because it wants an integrated software or an integrated user experience inside the vehicle and I can give you an example. For example, if you use a voice assist feature and you want to open your boot based on a voice command.

So, in the previous case it was difficult because the boot controller used to come from a different tier 1 and the voice recognition device used to come from a different tier 1. So, there was a lot of money, the money and pain that was being spent on integrating these two together. Now in the new scheme of things most of these application software that will open the boot as well as which will recognize the voice will be an application developed by the OEM themselves so it will be easier for them to integrate this together to create a great experience for the user and that is where the new architectures are moving and that is the main change that is happening in the industry.

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Saurabh Sadhwani: Okay. Thank you. That's very helpful.

Management: Thank you. And since Anup's time is very valuable and he's given a very valuable comment, we'll be sending a bill to you. Sorry, on a lighter note.

Moderator: Thank you. The next question is from the line of Akshay Ramnani from Axis Capital.

Akshay Ramnani: Hi, congratulations on a good quarter. My first question is on the guidance. So if I look at your guidance and try to tie it up with your commentary of a stronger front-ended growth led by the mega deal ramp up, it looks like even at the top end of the guidance there is a significant slowdown which the guidance is building in H2. So I wanted to understand that is the guidance conservative or is there an offshore shift which is anticipated in H2 which is keeping that low or is there anything else to understand here?

Kishor Patil : So, the first thing is if you think 27% to 30% is a conservative guidance, I will be surprised. Hopefu

lly you

appreciate what we have been always giving as an outlook .

So, our philosophy is w e are giving the guidance, which certainly, we can live by. And it is based on the current pipeline, which is pretty visible and of course, the current engagements we have. We do also factor any risk if at all, if it might come in, during the year.

More importantly, in last couple of calls, we also mentioned that we are also leaving some of the long -tail accounts on the table, we are just ensuring that, our focus is sharper and of course, to your valid point, we will make some more shift towards offshore f or sure. So, with all the combination s, this is what we get, which is, we believe,

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something pretty reasonable. I would not say, it's a very conservative versus, it's very aggressive. So, it's something a middle path, I would put.

Akshay Ramnani: Got that. And second one was on the acquisitions. Over the past 18 months you have done multiple acquisitions, which are supposed to be acquired in tranches. So, it would be good, if you can share an update on that, how much of stake for these acquisitions, we have acquired till now and what is the type of pay -outs, which we are expecting in FY '24?

Sunil Phamsalkar : So, if you look at the acquisitions that, we have done, it is Technica, PathPartner, Somit, and FMS . As we have s aid, when we have done these, there would be payments that will happen basis performance. For Technica, for example, the total maximum pay -out can go to about EUR 110 million. We have a fixed payment that will come up in this quarter, which will be roughly a bout EUR 20 million.

And then earn -outs over the next two years, which can go up to EUR 30 million at the max. So that's the pay -outs that, will happen for Technica. For FMS, the pay -outs for all 100% acquisition, will happen this year, and they would be in the range of about EUR 15 million. And for PathPartner, it could be in the range of about INR 50 crores to INR 60 crores, for the balance stake that, we need to acquire, which will also happen in this year.

Akshay Ramnani: Got that. That's helpful. Those were my two questions.

Thank you, understood. Thanks.

Sunil Phansalkar : Thank you, Akshay

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Moderator: Thank you. The next question is from the line of Anika Mittal from Nvest Research. Please go ahead. Anika, your

line is in muted. Please go ahead

Anika Mittal: Hello, am I audible now.

Moderator: Yes, ma'am. Please go ahead

Anika Mittal: My first question is on the new company, which will be incorporated with ZF Group or how the structuring plan is and how the revenue will be shared. Is it based on the [expertise structure 01:03:22]?

Kishor Patil : Structuring . It will be a basically, currently it's a 100% subsidiary of KPIT. May be Priya, you can compare.

Priya Hardikar: Yes. So Qorix , right now, is set up as a 100% subsidiary of KPIT. As Mr. Patil and Pandit explained that the regulatory approval process in Germany will take a few months. And after that, additional share capital will be issued to ZF and an independent company will be formed, few more partners are also expected to join in later. But at present, it is our subsidiary.

Anika Mittal: Okay. Sir, my next question is, can about you provide some guidance . Reasons by the CFO say, divided by EBITDA ratio, which may consistently 100% in earlier year has decreased to 73% in financial '23?

Sunil Phansalkar : If I understood your question correctly, you're asking for some guidance on the conversion, cash conversion and CFO as a percentage of EBITDA. As you rightly said, that has been on the higher side, but we would not like to give, put any number. All we can say is that we'll continue to have focus on cash conversion, and that would be on

e of

our important parameters to look at.

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Anika Mittal: Sir, can you provide the reasons why it has decreased in this, yes?

Sunil Phansalkar : So, if you look at this year, we have said there were some pay-outs that, we have done already for the acquisitions that we have made, and there are dividend pay-outs and the capex. So, these are some reasons. There is one thing apart from these reasons that, we mention every quarter in the Investor Update , we mention the capex numbers and the pay -outs that we have done, per acquisition.

Kishor Patil: So, there were some long -term employee incentives, which we have paid, during this quarter.

Moderator: Thank you. The next question is from the line of Niket Shah from Motilal Oswal AMC. Please go ahead.

Niket Shah: Thank for the opportunity. And congrats on a very good set of numbers. I just have one question on the KPIT ZF thing. I just wanted to understand, what is the scope of work that KPIT and ZF, so what are each of these companies is to going bring on table? And the second question was, if you can just highlight us the size of opportunity, which can get created from year over the longer term. I do understand, you don't want to give near - term numbers or guidance's, but maybe a little more medium -term view, would be really helpful?

Kishor Patil : Basically, both KPIT, basically, first, it is a KPIT subsidiary.

So, we will have some of the IPs, which we have in this domain, we'll move it to the subsidiary ., We signed an agreement with ZF, for a common development last year, 18 months back or so. So, we have been developing certain software with a common road map. That will also get into the subsidiary. And in addition to that, as Mr. Pandit

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mentioned, we will invest about 5 million in cash, during the next three months to six months, and another 5 million in 12-18 months. That's what, we will do. So how much the others will do, we will announce once, once we have the announcement made by the ZF and agreement is signed . Management: The second part of the question on the size of opportunity.

Kishor Patil : Yes, so as I mentioned, it's a new start -up kind of condition, we are very, very excited about it because we have seen this opportunity from working with many clients and be along wi th, ZF along with some potential partners. We do believe this is an opportunity as the earlier discussion in terms of creating another industry leader, in this domain. That's what we think. The opportunity, it's very important because, as KPIT has been a software integration partner , though we continue to have IPs as well as accelerators .

So that we do continue to have. But it's very hard to have a product company and a services company, both in terms of culture and it's also, to some extent, it's also a potential conflict in certain cases. So, we believe that the way, we have set this up will be to capture the maximum share from the market and could be a potential leader. That's what, we believe.

KPIT will remain a system software integrator . And for these areas, we would have a natural advantage apart from the fact that, it also gives us opportunity to work, which we continue to work in any alternative products, if at all they come or if OEM chooses to develop their own. So that becomes a very clearer model to KPIT. So , it really KPIT Technologies Limited
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makes it a clearer separation between the product and the services business. It protects and potentially increases our opportun ity in services significantly. And second, it puts us in a very significantly good phase, where the integrations could be easily between 3x to 4x of revenue of the independent company.

Niket Shah: Got the point, sir. Perfe

ct. Thank you so much, I will come back again. Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll be taking the last question. That is from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta: Thank you and congratulations for a very strong quarter. Just on e question. On the large deal, I understand that maybe over the life of the deal the margins remain the same but how does it evolve over the course of the deal of the day, when it's ramping up? Because my understanding is that, you might have some initial investment, which should be concluded when the deal starts to ramp -up, which might hurt margins in the short term, maybe for a couple of quarters before the deal fully ramps -up.

So, can you just throw some light on that, how should we look about margins, so in large deals over the course of the deal, when it ramps -up?

Sachin Tikekar : Bhavik, good to have you on the call and thanks for the question. Typically, these are all longer -term engagements, and they're different in nature. So, there is no specific model, where investments are all upfront or so

forth. But in certain cases, we do have to invest, make some investment.

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Usually that happens for the first one quarters or two quarters. After that, it pretty much evens out. That's how it works. And that's been the case with some of the larger engagements that we have announced in the recent past and some of the ones that we've been doing, for the last few years.

Kishor Patil: But just to add on this, what Mr. Tikekar mentioned, these are not very significant investments. These are relatively smaller investments, mainly to initially set it up and some related infrastructure relatively not so significant.

Bhavik Mehta: OK, got it. And just to follow up on that, in the large deal, you typically start initially with higher on-site billing and then gradually move it offshore over the course of the day, or you can start it directly from the offshore location right from the beginning?

Sachin Tikekar : See some of these clients, the OEMs, many of them, we've been working with them for quite some time and we've been engaged with them and we have had some business with them for a long period of time. And given all of that, in most cases, there is no real difference that we see. And it can happen during the course of the different cycles of the project. So, it's nothing, as I had mentioned earlier on, it's negligible, if any, during the course of the entire program.

Bhavik Mehta: Okay, okay, got it. This is very helpful. Thanks.

Anup Sable: Yes, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

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Sunil Phansalkar : So, thank you all for your participation in the call, and you have a great evening. Thank you and take care, bye. Thank you.

Management: Thank you.

Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of Dolat Capital Markets Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

KPIT Technologies Limited

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August 01, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.,
Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.
Symbol: KPITTECH
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of the Post Earnings Conference Call for the quarter ended
June 30, 2023.

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Conference Call for the
quarter ended June 30, 2023 conducted on July 26, 2023 after the meeting of the
Board of Directors for your information and records.

The transcript of Post Earnings Conference Call is also made available on the
website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor s/policies-reports-filings/>

Thanking you, Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande Company Secretary & Compliance Officer

Encl: as above

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"KPIT Technologies Limited
Q1 FY 24 Earnings Conference Call "
July 26, 2023

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – PRESIDENT AND JOINT MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER – KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR –HEAD INVESTOR RELATIONS – KPIT TECHNOLOGIES LIMITED .

MODERATOR : MR. RAHUL – DOLAT CAPITAL MARKETS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KPIT Technologies Q1 FY '24 Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Rahul from Dolat Capital. Thank you, and over to you, sir.

Rahul: Thank you, Sir. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technology Limited for giving us the opportunity to host this call. And now I would like to hand the conference over to Sunil Phansalkar, with Head IR at KPIT to do the management introductions. Thank you. Over to you.

Sunil Phansalkar: Thank you, Rahul. A warm welcome to everybody for the Q1 FY '24 Post Earnings Conference Call of KPIT Technologies Limited. On the call today, we have Mr. Kishor Patil, Co -Founder, CEO and MD; Mr. Sachin Tikekar, President and Joint MD; Ms. Priya Hardikar, CFO; and Sunil from Investor Relations. As we always do, we'll start the call with opening remarks by Mr. Patil on the performance and the way forward, and then we'll have it open for your questions. So once again, a very warm welcome to all of you, and I hand this over to Mr. Patil.

Kishor Patil: Good afternoon, and I'm very happy to take you through our quarterly results. We started the year on a very positive note in the quarter 1. The revenue growth has been 51.7% in constant currency year -on-year. On the constant currency quarterly growth is 7.1% and a 8.2% in reported USD terms .In case of profit, the profit grew 56.9% year -on-year. The net profit for the quarter grew by 20.1% , but it has something onetime.

If you take out the onetime adjustment, then the net profit grew quarter -on-quarter by 8%. EBITDA is at 20%, for the first time it has exceeded 20%. EBITDA has grown 65.2% year -on-year and 13.3% quarter -on-quarter. So overall the performance has been a little ahead of our expectations. The pipeline during the year, we had USD 190 million wins. Generally, it is again across the geographies. DSO is at 50 days. So last 12 consecutive quarters, we continue to grow both in revenues as well as in operating profits. On the people side, we have 550 + people net addition during the quarter. We are doing our business and recruitment in the normal course of business. While we do not give exact numbers, the campus recruitment is going full -fledged and will be one of the higher numbers in the recent years . Also the increments, we are going ahead with the increments also in the normal course
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of business. They are across the organization, and they will be effective as always from the 1st of July. So otherwise, the business is normal on the people side.

On the attrition side, the attrition is in low teens. On the key parameters like what we call key staff and basically top blockers, the attrition has come in single digit. Overall, we believe that this is a great opportunity for us to improve the quality of talent we are having. On the technology side, the one update is on QORIX the entity was spun off from KPIT to establish the joint venture with ZF. There is a good development. The team is in place. We have hired a CEO. We have hired a CTO from outside. We have identified the teams from KPIT. We'll be moving it in due course.

Currently, we are going through the compliance of merger control in different countries as required legally. So that's on the QORIX side. And not only that, but we have got a very positive response from the market. We are very close to one O

EM sourcing this -- the first product for the platform for QORIX and very good discussions otherwise. Overall, otherwise, on the KPIT side, we have increased our investments into R&D. We believe there are multiple areas in which we need to invest. So naturally, all these results into cost increases in R&D.

The areas in which we are investing includes generative AI, where we have put a team together to understand the productivity angle inside KPIT as well as what we can do for the clients. Otherwise, other key areas we have identified, which are beyond what we are developing, which will create many more opportunities for us in future with our existing clients. On the T25 side, we continue to go deep and wide. All our engagements are going as we had planned. Actually, in a couple of major engagements we talked about in the past, Honda and Renault. We are actually accelerating at a faster rate. The pipeline is pretty strong. As in most of our clients, we are seeing new horizons of opportunity, which hopefully once we form the new offerings, we will get a better opportunity to actually go into these areas.

In terms of next year, we continue with our guidance of constant currency growth of 27% to 30%, EBITDA in the range of 19% to 20%. As you know, we give the guidance, which very few companies give for the year. We don't give quarterly guidance. So, it is our policy that once we give at the beginning of the year, we make any changes to the guidance at all at the end of quarter 3. Then the overall in case of next quarter, as I mentioned, there will be increments.

And it would have an gross impact of 2.5 %. But with the growth coming in, we will offset a large part of this impact on the profitability. In terms of KPIT Technologies Limited
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sustainability, we have created, and this is an area of focus for us. As you know, we look at cleaner smarter, safer world for reimagining mobility. So sustainability is something which we have taken up very strongly in the organization.

We continue to engage with our clients on the initiative. We continue to engage with our employees on this, how sustainability can become a key part of our lives and also on the infrastructure. We are very excited with the -- we are excited where we are. As I said, the key trends in the mobility industry continue to grow, key clients continue to invest in those. We are in a pole position we feel very positive, and we are excited about the different opportunity in front of us. Thank you.

Management: We can now have it open for questions, please.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question comes from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good evening and thank you for my taking questions. My first question is on the margin that you've delivered this quarter, 20%. It seems to be 90 basis points higher Q-o-Q. So just trying to understand some of the key factors that contributed here. Any color maybe on how much employee utilization rate improvement might have helped here. I think the mix of business that you've done more middleware revenue this quarter than the previous quarter, that's

the monitorable factor as well.

And also, if you could share just to what extent the Technica integration costs have that sort of fallen away? I think there was commentary on that over the past couple of quarters so just the factors that have helped in the 90 basis points Q-on-Q margin expansion? Any color there would be helpful.

Kishor Patil: I think 2 things post naturally, our growth has been a little ahead of our estimate. That is one point, which allowed us to really leverage for it. The second thing is we could deliver a bit better utilization. So that is the second part in terms of overall utilization has gone up. So that is the

second part.

And the third part, if I may say, there are certain platforms and accelerators kind of a deal, we have products. So I think a little bit of a change in the mix of that.

So with all these 3 things, we have been in a position to improve our margin.

The cost of integrations have largely been taken care of. There will be, of course, some part because we have external consultants for about a year, which we are doing that. But most of the major part of the integration costs have already been done.

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Chandramouli Muthiah: Got it. That's helpful. The second question is on the demand side, specific to the middleware deals. I think late last year, we had announced that there were 10 large global OEMs looking at doing more work on the architecture consulting middleware side and we were on 7 of those RFPs. So we've announced on Renault and Honda. So just trying to understand on the remaining sort of 5 RFP opportunities. Could you share with us any key monitorables for you, maybe how client appetite is shaping up on these opportunities?

Kishor Patil: Very positive. I think when we started, I think our experience is naturally, we have matured into that. The second important part is we have now created an integrated offering, not only what KPIT has but also what Technica has and what other entities have. So, we have integrated that well. Of course, in addition to that, I think we have created certain upfront offerings, I mean, front-end offerings in architecture validations and before that, blueprinting and consulting.

So I guess -- I mean, overall putting all together what it allows clients to do is substantially reduce their risk or at least get an idea about risk in that program upfront. So that is very well received. The engagements are continuing to grow as in most of the places, what we talked about all the continue to grow in this area, actually, in all the areas, wherever we have engaged all these areas, it continues to grow. And as I always said, middleware that's one area which is important. But as soon as we get into that area, it creates opportunities for us in the other areas also.

Chandramouli Muthiah: Got it. That's helpful. And just my last question, just looking at news flow over the past 2 to 3 months, there's been a lot of action on the Asian OEM side, companies like Toyota now we have a new CEO who is accelerating the shift towards EVs there. I think the Korean names also because of the IRA, the East Asian companies, Japan and Korea-based companies seem to have an advantage in terms of some of the capex that's going into electrification in Europe and in the U.S. as well. So just trying to understand what sort of commentary you are hearing from some of your Asian clients? And if you could give any color around that would be very helpful.

Kishor Patil: Actually, I agree with you, I think Asia is a good market. And as a company, that's a market which we are very bullish about -- in the future, whether it is India, whether it is China, it is Asia, all these markets, we believe will be good markets for us in years to come. And we do see -- they are a bit behind, and that's exactly where we think we can bring value to them through our experience of working with other OEM's.

Chandramouli Muthiah: Got it. Thank you very much and all the best.

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Kishor Patil: Thank you.

Moderator: The next question comes from the line of Karan Uppal from Phillip Capital India, please go ahead.

Karan Uppal: Thanks for the opportunity and congrats on a very strong set of numbers. The first question is on the guidance. So with a very strong start, the guidance now requires a very soft path rate for the next 3 quarters. So are you looking at moderation in growth going ahead? Or are you baking in some conservative in looking at

the macro environment?

Kishor Patil: I think I mentioned in my earlier comments, is we don't give quarterly guidance. We don't revise the guidance quarterly. We gave it at the beginning of the year. And if at all, it really demands if there is a bigger acquisition or then only we revise. Otherwise, we relook it at it only at the quarter 3. So that's what we have been following for last many years, and we feel very comfortable with this.

Karan Uppal: Okay. But from a demand perspective, nothing to worry at this point of time, all your deal wins and the pipeline looks strong, right?

Sachin Tikekar: The demand part continues to be robust for us. And all our client engagements, we continue to go deep and wide with the existing clients. So it's -- for us, the foreseeable future is solid. And we just have to keep at it.

Karan Uppal: Okay, then. Thanks for that clarification. Second question is on the other expenses. If you look at the other expenses line item, that is now at 15% of revenue, which used to be around 17% 1 year back. And if you look at FY 2021, at that time, it used to be 19%, 20%. So have you optimized it to the maximum level? Or do you think that still there is some bit of optimization, which is still left? And what is the nature of spend being optimized? Is it more on the G&A side or also on the S&M side as well?

Sunil Phansalkar: So if you look at it, it is -- I mean, this is a clear reflection of leveraging of some of the fixed costs that we have with the good revenue growth that we have had, it is Leveraging these costs which are there. Most of these costs would be the G&A part. On the sales side, we are investing in some areas. But as you know, our strategy is to focus on select set of clients and go deeper into these clients, which means that as we grow more and more in individual clients, as a percentage of the revenue generated, the sales % part will also keep reducing.

Karan Uppal: Okay. Thank -- thank you and all the best for FY'24.

Kishor Patil: Thank you.

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Moderator: Thank you. The next question comes from the line of Nitin Padmanabhan from Investec, please go ahead.

Nitin Padmanabhan: Hi, good evening, and congrats on the solid numbers. Just wanted your thoughts on how should one think about the flow-through revenue that comes through once you sell middleware. So you mentioned an OEM is looking to source products. So how does that typically flow through in terms of incremental opportunity on the services side? And the second is, typically, when we think of these products, what is the kind of margins that typically accrue for these? Just 2 things overall?

Sachin Tikekar: Hi, Nitin, this is Sachin Tikekar. Just a clarification. The middle-ware product is going to be part of QORIX, just so you know and KPIT will continue to be the software integrator. Just off the hat, clarification. Secondly, the way it works is when we get involved in middleware which is somewhat of a heart of the new architecture, it gives us larger visibility into the left side of the V as well as the right side of the V.

That is, we can actually work on the core architecture we can work on the blueprint prior to the requirement side, it gives us a better handle on that. And on the other side, we can also do more of verification and validation. And there is everything in between. So in between, there are applications and features to be added which are typically in the areas of infotainment or e-cockpit or autonomous driving body, and so forth.

So what happens is when you get involved in the middleware, you see other areas where we can continue to provide software integration services to the

same OEMs. So it's a beachhead of sorts for us to get in there, that we really understand what is it that the client is trying to do. And what could be the possibilities in terms of

providing solutions to sort of meet their objectives

Nitin Padmanabhan: And the OEMs that you spoke about where you are seeing possibly initial sort of interest, are these OEMs where currently you have a lower share and can possibly sort of help you sort of accelerate your share gains within that or are they large ones where you already have very good sort of relationships and scale?

Sachin Tikekar : It's first of all, all of them are existing OEMs. With some, you're right, there is a very deep engagement to start with, and some of the announcements that you've heard over the last few quarters. And then there are other existing OEMs, where they worked on middleware to some extent. And now they want to learn from our experience to take the journey forward. So it's both ways,

Nitin. It's with the existing clients with whom we have announced sort of larger engagements in middleware and related areas, leading to SDV and then

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exists, some of the other existing ones who want our involvement going forward.

Nitin Padmanabhan: Sure, Perfect . This is very helpful. Thank you so much, Sachin. All the very best.

Sachin Tikekar: Thank you, Nitin.

Moderator: Thank you. The next question comes from the line of Mohit Jain from Anand Rathi, please go ahead.

Mohit Jain: Yes. Sir, first of all, super quarter, so not much to ask where everything is like perfect revenue margin . My question I had was more from a medium -term standpoint, any assessment that you can share on your wallet share in key accounts, meaning strategic 40? And at what stage do you think you may need to expand on the client base to sustain your growth rate on the time base? That was my...

Sachin Tikekar: Okay. Understood. So let's take one question. The first question was a medium -term view. So our medium -term view continues to be fairly robust. Our conversations with existing clients are getting richer and more engaging as we get involved deeper into their core architecture towards SDV. So we really think that based on that, we really think that there is quite a bit of headroom to cover within the existing clients in the short to midterm. Having said that, it's a very interesting question that you ask is when do we need to go beyond our T25 OEM. It's a continuous process for us because it's a dynamic environment.

And there are new players that are coming in, then there are some old players who get their strategy revamped . So we have to keep a close eye on that. And every year, we make sure that there are at least a couple of OEMs that get added to our kitty, so that we don't put all our eggs in a few baskets. We like the focus and it's paid rich dividends to us. At the same time, we want to make sure that we are not, there is no serious concentration with just a handful.

Mohit Jain: And first around wallet share, like where in your sense, like when we see their R&D budgets , how much should be ballpark addressable for us? And where are we in that journey in terms of space penetration instead of where you measure it?

Sachin Tikekar: So as I mentioned, there is tremendous headroom to grow across all the clients with whom, we have long -term engagement, obviously, they have given us the visibility. As we get deeper, we see a lot more. In some of the others, there is a lot more to do. We have to understand that, this work towards

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software -defined vehicle that will enable the CASE is a tremendous amount of work, and it requires many shifts in iterations along the way.

So to get there, most OEMs are taking at least 2 or a 3 -step approach. So first

is step -on towards the 2026, '27 program, Step 2 is towards 2029, '30 programs, and so forth. So it's hard to define wallet share because they have to continue to save money on one hand. And sort of spend more money

on

towards software -defined vehicle, correct? So in some areas, with some of our clients, in some specific areas, we have very large wallet share and some of the others will continue to increase our wallet share.

Kishor Patil: So let me take this opportunity to address some current and future discussions, we may have on this call. See, initially, when we started, we thought the OEM opportunity is about USD 50 million annually for us. I'm sure you remember that. We thought our project size will be USD 10 million, USD 20 million. Now it has gone to USD50 million, USD200 million. Similarly, we believe has our client engagement increased .

There are a few clients who are coming to USD100 million this year, right? And going forward, we believe that's where many of our Diamond clients would be there. We believe now the opportunity is actually USD150 million , USD200 million annually . So fundamentally, as we have gone ahead, we have built our expertise.

We understand what is the spend. We know which areas we are very differentiated, where we can add value. And we continue to do that. And they are very well entrenched, not only from just an engagement perspective. But actually, how do we get more into architecture, some of our platforms, some of our deeper knowledge, different type of engagement. So that's how we are engaged with that.

Now the spend of the client is pretty big actually. So it's not this. So during this quarter, I don't want to go into it, I guess you all know because we did not get that question. But naturally, there is a lot of spend, if we had to break the spend of OEM, OEM will spend certain money, which will be in -sourced. So if you take an example, suppose they have to spend out of USD500 million, depending upon the client, some of them in -source 30% or 50%, that's what they want to do. Then they will outsource. And then there are different business models which are coming, which will be on the part of the revenue equation, they will not be part of the engineering spend. And these are all areas as what we are tapping into.

Now going back to the first part. When the client is trying to do their in-source, that again is an opportunity for him many times because they cannot KPIT Technologies Limited

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really find a talent or this, again, to engage with the company, such as KPIT, but they can also work with some other clients because basically, they are trying to get services from different players.

Now the other part of that is many of them also, I want to address it upfront because there are the captive centers, etcetera, they will certainly set up the captive centers because this part, 30%, 40% is big. And they cannot find this 3,000, 4,000, 5,000 people of this expertise outside. Not only that, they have to do it also largely also on the IT side because that's where they can also reduce their costs.

So in future, we have had the discussions also in many cases, where they want to set up their centers, they want to do this part where we may participate or we may not participate, depending upon how we feel. Now many of them are also looking for a partner in India for doing IT plus engineering or as a center or doing even a joint venture with them, which ultimately, of course, they will acquire in a certain time of frame.

We want to remain focused on what we do. We want to focus at the higher end of the business, where we can take the full ownership of the business. We want to be ahead of the thought leadership. That's how we want to drive. We want to be on a place, where we can add value into their monetization part.

So from that perspective, this is what is happening. Now any news coming in, it doesn't mean that is at the cost of KPIT. We are very, very confident. We are in a very confident zone. We are very comfortable zone. But I just thought I will address this point because this small

things could keep on coming. So

that's why I wanted to address.

Mohit Jain: Thank you very much, sir. And just to be sure, you're saying are you can get USD200 million also from one client from them?

Kishor Patil: Absolutely.

Mohit Jain: That's good. Perfect. That clears a lot, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Dipesh Mehta from Emkay Global, please go ahead.

Dipesh Mehta: Thanks for the opportunity. Just continuing on the prior question answer. I just want to understand how global auto majors are choosing their partner.

And what kind of the constraint they are facing because the overall demand remained very strong, whether the talent sourcing is the big challenge for them, and that's why they prefer to work with multiple partners or capability -

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wise, they are finding differences and that's why there are multiple partner kind of strategy?

And do you think, let's say, two years, three years down the line, there would be some consolidation may happen? So if you can provide some understanding about how overall ecosystem is currently evolving? And how KPIT is trying to benefit from the emerging trend? Second question is about the data-related question. If I look...

Kishor Patil: Can we do one by one I think it just makes it simple -- so in this case, this is what actually I answered to a large extent. But just to tell you, right now, for the next seven years, eight years, as we see, OEM is in an area, where they are trying to do what they don't know necessarily. They are trying to catch up with some of the other technology areas, but in some areas, they are very advanced in some areas, they are not, and they have to catch up with multiple things. There are a lot of unknowns for them and for everyone else in the industry.

That's where they are trying to engage with somebody, who has experience of working with multiple companies. They understand their problems, they have ability to solve it and they have solved it in some way. So that's where actually KPIT is playing. The reality is people use this SDV phrase very loosely. But we are talking about the platform, which they build for the future and the new architecture.

That's where they need a very, very solid partner. And when we explained some of our deals in the past, including Renault, right, that point of time, we were not even engaged with the clients. But we got engaged with the clients because they thought they need a different kind of engagement. So KPIT is engaging on these areas and the new areas based on a different level of expertise, end-to-end expertise. And if you ask me, KPIT is actually partner with the highest scale with very solid competence.

And in terms of range of expertise, the depth of expertise and problems resolving kind of expertise, that's where KPIT stands out. And that's what KPIT is basically dealing with. So the other part where they are trying to build their own centers and that they can engage with the people because they're looking at certain specific skills or specific projects. As I said, we work on more platform side here, they're working projects or programs. That's where they engage with multiple clients on project basis or a specific engagement basis. That's what they are trying to do.

Dipesh Mehta: Understood. And other question, which was about, if I data-related thing about if I look revenue by vertical, which we report, the other segment, which we stop sometime back sharing, it seems to have increased substantially

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after, let's say, if I adjust for the two segments, which we report, passenger and commercial vehicle, others seem to almost 3 and half million to 4 million addition quarter-on-quarter.

So if you can provide, what led to that sharp increase, almost 35%

of

incremental revenue came in others, this quarter? And second question is about margin. Now we are at closer to 20%. How one should look margin trajectory? Have we given guidance for current year, but from a medium-term perspective, whether this is the optimal range or do you think there is an upside to margin? Thanks.

Sunil Phansalkar : Now on the first question, if you look at others, this is the first quarter where we have consolidated FMS revenues, the majority of that portion has gone there. So you'll see some split happening from the next quarter onwards. So there is nothing which is substantially changed in that segment apart from this. Otherwise, there would be a set normal growth that has happened in that segment.

On the second part, on the margins, so we are at 20%, as Kishor said in his opening comments, we'll have wage hikes next quarter, and there would be some impact on the operating margins next quarter. And obviously, we have guided for a 19% to 20% margin for the whole year, and we are confident of being in that range. If we take a medium-term view, obviously, as we have said earlier, there are opportunities where the margins can go up.

But of course, we will also look at whether we need to accelerate some of our investments in order to look at growth going forward and balance out that to the margin. So that is how we look at it. From an operations point of view, there is definitely scope for improvement in margins even beyond 20%.

Dipesh Mehta: Understand. Thank you.

Sachin Tikekar: Thank you.

Moderator: Thank you. The next question comes from the line of Ankit Agrawal from Yellowstone Equity, please go ahead.

Ankit Agrawal: Yes. Hello, thank you for taking the questions. My first question is on QORIX.

It seems like a high potential like our product company, which tend to have large on investments and long gestation periods. So I just want to a sense of like what kind of investments would be required and before the company entered revenues and what kind of gestation, we are going to be looking here?

Sunil Phansalkar : So as we have said earlier, when we announced QORIX, this is a company which will work on the product side for the middleware platform. From the KPIT Technologies Limited
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KPIT point of view, we will invest about EUR 5 million upfront and then in another EUR 5 million over -- after about 18 months. That's what the investment from KPIT side would be. And of course, the other partners ZF would also invest into the joint venture post receiving all the regulatory approvals from merger control processes. That's what it is.

Kishor Patil: So just to remind you, KPIT has invested has moved a lot of IPs it had built in this area. So that is valued differently. And of course, just to corollary of that, ZF will invest more cash in the transact.

Sachin Tikekar: And the third aspect is about the gestation period. Since we are actually putting our own IPs in it, our time to market will be much faster than, let's say, a startup.

Ankit Agrawal: Okay. Understood. And so -- but still like some idea like two years, three years, five years?

Kishor Patil: What gestation part?

Sachin Tikekar: Two years, three years is the right.

Kishor Patil: I think, that's what we have planned actually for three years, four years, but looking at traction we see, it may be ahead of time.

Ankit Agrawal: Okay. That's very helpful. Thank you. And then more of a bookkeeping question, what kind of effective tax rate we should bake in on a steady-state basis?

Priya Hardikar : About 25% for the year.

Ankit Agrawal: Okay, 25%. Okay. Great. That's all I had. Thank you.

Moderator: Thank you. The next question comes from the line of Sandeep from Equities Securities, please go ahead.

Sandeep Shah: Yes. And thanks for the opportunity and congrats on being a great set of numbers. Most of the ques

tions being answered. Just looking at FY '23 being a solid year in terms of closure of large deals as well as megadeals. And that clearly shows that our win ratios are going up, and we are becoming a

preferred vendor in eyes of the OEM. So is it fair to say, these opportunities increasing our offering gap is also reducing a book -to-bill ratio between 1.5x to 2x can be maintainable beyond FY '23 in which year we have shown a book -to-bill of 2.4x as a whole.

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Sachin Tikekar: Sandeep, we are not sure whether we are able to hear, we didn't hear you properly. Can you break -- can you repeat your question maybe in smaller pieces?

Sandeep Shah: Yes. What I'm trying to say is FY '23 being a great year in terms of closure of mega deals and the large deals and which has resulted in a book -to-bill of 2.4x. It clearly indicates that our wallet share is increasing. We are becoming a preferred vendor in the space. So looking at the opportunity and the offerings which we have versus peers, is it fair to believe that, 1.5x to 2 x book -to-bill is quite maintainable?

Sunil Phansalkar : So, it is difficult to look at and say about the guidance for the book -to-bill ratio. But what we believe is if you look at the closures that we have done, of course, last year, there were some mega engagements, which we have closed, which has improved that. But definitely, I think going forward also, looking at the current pipeline and our positioning, it is fair to assume that it will be quite steady.

Sachin Tikekar : And Sandeep, what I would like to add is just to -- just for clarification is, yes, we announced two sort of long -term engagement. We continue to have meaningful engagement with all the other clients that we don't necessarily announce for various reasons. So of course, there are two big ones where the business is growing. But if you look at the closures that we have announced for this -- for the last quarter, it was on the back of our existing clients, which are not these two clients. I just want to say that is sort a little more broad -based amongst our top 25 OEMs and not just dependent on two.

Sandeep Shah: Okay. Helpful. And just a follow -up. Is there a mega deals pipeline continuation in robust and anything in the advanced stage versus what we have done with Renault, Honda similar size of deals are in the pipeline? And anything in the near term can be closer?

Sachin Tikekar: Sandeep, I think as Mr. Patil mentioned, as we go deep and wide with these clients, we just see much more than meets the eye . And not all of them will be sort of packaged together as what you will call mega engagement. However, over a period of time, looking back, they'll all seem like mega engagement. You know what I mean? So essentially, the point is going deep and wide, and some we possibly announce, but mostly there'll just be work that we'll continue to do and add to our existing T25 OEM clients.

Moderator: Thank you. The next question comes from the line of Akshay Ramnani from Axis Capital, please go ahead.

Akshay Ramnani: Hey, thanks for taking my questions and congratulations on a great quarter.

So I have a few questions and go one by one. First one is on the -- your

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comment on OEM revenues becoming \$100 million or \$150 million plus. So does that in any way affect your or limit your ability to scale up another OEM to a similar size since you're already working with their competitors. So just trying to understand that does this type of scale with a particular OEM means that your business remains structurally remains a high concentration of business and client selection, thereby becomes very key?

Sachin Tikekar: Actually, that's a fair question. And for us, I think as we go deep and wide, I think these will -- some of them will move into that 100 m

illion, 150 million

to 200 million category. However, one has to understand that OEMs used to work with Tier 1 that used to serve their competitors. So they are used to working with key partners that work with their direct or indirect competitors across the globe.

And to that has been the case with KPIT -- that will continue to be the case

in case of KPIT as we become the software integrator or to many of them. We don't see that as a hurdle for us to continue to go deep and wide. As long as we are there to solve their meaningful problems. They are more than happy to engage with us, knowing really well that what we do with them remains only with KPIT, right? That's something that we have to do very judiciously and we'll continue to do so.

Kishor Patil: And they're not looking at it as a concentration because we are looking to scale this for multiple clients. So overall, I don't think any big change than what we have or probably it will be more balanced in the future.

Akshay Ramnani: You got that. Second one was in the presentation, there is a mention of focus on improving the rate realization. So if you can please elaborate on that, how is the pricing environment? What kind of price increases are we talking about? And when do they kick in?

Kishor Patil: No, I think we continue to do this as and when our contracts allow us to do.

We haven't faced any issues right now. I mean in increasing the rates. And then maybe we have to be also mindful about what we ask for. But we have been in a position to slowly steadily increase our realization. One is the rate, but the second is also when we are moving towards the fixed price projects, how we engage and get a premium at how we can improve the productivity. These are the areas we are continuing to do, but that will also help us in improving the realization.

Akshay Ramnani: Got it. Another one was similar to the pricing model. So since we are now heavily investing in IP up, would you look to price them towards more outcome-based or license-based services or would we just continue to be tools and accelerators and enabling you to become a larger software integrator? So how should we look at that strategy?

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Kishor Patil: We would like to be a software integrator and actually, we have accelerators, platforms which we have some licensing, etcetera. But it's a small part of the business currently. We believe, overall, if you look at it, there are different models which are evolving. And we are not in a hurry to change -- make any change to our business model. This is what clients are comfortable with, we are comfortable with. But in certain specific areas, we naturally are experimenting different models. As this is more comfortable and the clients still more comfortable and they see better value, we will do that. But for some time, at least, we will continue to go with our current one.

Akshay Ramnani: Great. Last question from my side was, if you can also touch upon the offshoring trend, are we going to see any increased offshoring in second half of this year as some of the large things mature? Or there is really no shift at H1 versus H2?

Kishor Patil: I mean that depends upon the stage of the project, as we have said. We can -- we are also creating nearshore facilities. We have been doing offshore facilities. For sure, there are two parts. One is whether we have that kind of a competence and where we have that competence and how we can leverage that. And of course, it should be economically viable and cost-efficient for the client. We don't have to be lowest, but we had to be moderate on the cost side. So that's a balance. There is, of course, opportunity to increase more as these projects stabilize in the next couple of years.

Moderator: Thank you. The next question comes from the line of Anika Mittal from Nvest Advisory LLP.

Anika Mittal: Good evening,

Sir, my first question is in the last quarter, what was there a value share of Technica? Are we seeing the same growing say 20% in Technica going ahead?

Sunil Phansalkar: I'm sorry, we don't hear you clearly. Could you just repeat the question, please?

Anika Mittal: Okay. Sir, my question is in the last quarter, what was the revenue share of Technica? Are we seeing the same growth, say, 20% in Technica going ahead?

Sunil Phansalkar: See, now, I mean, we have already said that we are completely integrated now, and it is really difficult even for us to know what is the Technica growth, what is KPIT growth. It is all integrated together and it is KPIT plus Technica together growth. So it's difficult to segregate that out.

Anika Mittal: Okay. Sir, my next question is, how Honda recently done an agreement with SCSK regarding the software development? Are you seeing any downside in the venues due to the diversification in vendors via client?
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Sunil Phansalkar : I think that is probably a couple of times addressed already in the call where we have said that, that has no impact on us, and we are actually ahead of our engagements with our clients, as compared to our plan, and we believe that we can add to a little better or more than what we had earlier anticipated. So that has got no impact.

Anika Mittal: Sir, my last question is any update on the hydrogen technology on which we were working on the progress which you can share?

Sachin Tikekar: As a strategy, we'll continue to invest in future technologies and hydrogen being one, we've been working on it for several years now. Now the only change is some of the production programs have actually started to take place, and we are very happy to hear that there is a large hydrogen truck integration program on which we are going to be a key partner. So the good news is what we have been talking about as the future is becoming reality in some pockets.

Moderator: Thank you. The next question comes from the line of Karan Uppal from Phillip Capital India, please go ahead.

Karan Uppal: Yes. Thanks for the follow up. Just one slightly long-term question. In terms of the overall SDV development where the entire software architecture is changing. So where are OEMs in that journey, when can they derive the meaningful revenue from after-sales services, which are the areas which are looking promising in terms of monetization? Happy to hear your thoughts are.

Kishor Patil: I think most of the programs are late by about a year in the first year. So -- and we believe that many of them have compromised in some way for multiple reasons in the best possible architecture. Of course, they will also learn from this experience. So really in new sense, I guess they will be ready by about 2030 in some, let's say 2032 by something which is very solid. But on the services side, I guess, in some specific area, the monetization will start and will start maybe in the next couple of years, and it will keep on increasing. But the real opportunity is when the SDV structure is fully integrated.

Karan Uppal: And any areas where monetization you think is looking promising where customer adoption will be quicker?

Sunil Phansalkar : Any areas where the monetization will start early in...

Kishor Patil: Yes. I mean, one simple thing is the maintenance or whatever the dealers are doing, right, at what basically Tesla did, right? So they basically eliminated Dealers to a large extent and kept them only for set services. So for the new generation of cars, that's what people are trying to do. So that will be one
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area upscale of certain new features of software that will be the other monetization part.

I think certain areas in terms of entertainment and gaming will be a third area where it could happen.

pen. Payments, maybe the core areas it could happen. So these are some of the areas which may happen. I can't predict exactly when and how.

Sachin Tikekar: Also, what some of the OEMs that are -- what they are doing is some of the things that were available as part of the vehicle, as soon as it gets moved through a software, they're actually offering that as on demand. So some of it that came bundled up as a vehicle has been separated out and also offered as a service. So again, that's one area which will continue to grow, which has started to happen in some bits and pieces will continue to grow.

Moderator: Thank you. The next question comes from the line of Rahul Jain from Dolat Capital. Please go ahead, Sir.

Rahul Jain: Thanks for the opportunity. In the Microsoft call earlier in the day, they mentioned that Mercedes is bringing ChatGPT via as we are to more than 9

lakh vehicles in the United States. So making for this car voice as a sistant more intuitive. So are we going to see that as a good incremental opportunity or this is just a small extension would not be much significant?

Sachin Tikekar: This is in line with what Mr. Patil just said. Some of these things now you can call it ChatGPT or Generative AI. Essentially, these are some of the services that are getting extended through the vehicle. And that's their way of creating the service model. So it's an interesting one that they have announced, and we'll see variations of it going forward.

Rahul Jain: Right, right. And also with many this global OEM planning, increased production exposure in India, does that make your proposition any better or do not make much difference as these may be already deeply engaged with us?

Kishor Patil: Yes. I mean there are always some local projects specific to geographies. And I'm sure we can play a more meaningful role there. Right now, most of the people are doing largely what they are doing globally, but I can see now that things standing and there are specific to India, some features being added, some programs being taken on. I'm sure we can add value.

Moderator: Thank you. The next question comes from the line of Pankaj Kumar and Individual Investor, please go ahead.

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Pankaj Kumar: Yes. First of all, congratulations for an excellent result. In the last conference call, you said that Q3 and Q4, the second half is not going to be as good as the first half, but still you believe it will be like that only?

Kishor Patil: Yes, I think we have said that the acceleration will happen in H1 better than H2. , Q3 traditionally a softer quarter. And we wanted to accelerate in H1 looking at it to be safer, we wanted to accelerate in the first part of the year. And that's what we are trying to do on the existing programs and projects we have. In that context, we have said, market and the opportunities look right. Otherwise, the environment looks good. So if at all, they have to revise it, we'll regain quickly.

Pankaj Kumar: Right. And the second thing is you said that there will be 250 bps of gross margin impact due to wage hike, but you would be able to manage that. And finally, there will not be any impact in the next quarter. Is that understanding, correct?

Sunil Phansalkar : We have said that the gross impact is about 250 bps on the margins, and we will be substantially able to absorb that with operational efficiencies and revenue growth, but there would be some impact on the margin.

Moderator: Thank you. As this was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Sunil Phansalkar: So thank you, everyone, for being a part of this call. And if you have any further questions, please write to me. My e-mail address is mentioned in our investor update. Thank you so much, and have a great evening.

Kishor Patil: Thank you,

everyone.

Rahul: Thanks.

Moderator: On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

KPIT Technologies Limited

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November 03, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.,
Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.
Symbol: KPITTECH
Series: EQ

Kind Attn: The Manager,
Listing Department

Sub: Disclosure of events & information pursuant to Regulation 30 and 46 of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. -
Transcript of Q2 FY 24 Earnings Conference Call
Ref: Intimation of Q2 FY 24 Earnings Conference Call dated October 23, 2023

Dear Sir/Madam,

Please find enclosed the transcript of the Q2 FY 24 Earnings Conference Call, held on October 31, 2023, after the meeting of the Board of Directors for approving unaudited financial results for the quarter and half-year ended September 30, 2023.

The transcript of said Earnings Conference Call is also available on the website of the Company. The link to access the same is as below:

<https://www.kpit.com/investors/policies-reports-filings/>

Kindly take the same on your records.

Thanking you,
Yours faithfully,
For KPIT Technologies Limited

Nida Deshpande Company Secretary & Compliance Officer

Encl: as above

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“KPIT Technologies Limited Q2 FY24 Earnings
Conference Call”

October 31, 2023

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CEO & MD
MR. SACHIN TIKEKAR – PRESIDENT AND JOINT MD
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER
MR. SUNIL PHANSALKAR – HEAD (INVESTOR RELATIONS)
MODERATOR : MR. RAHUL JAIN, DOLAT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to KPIT Q2 FY24 Earnings Conference Call hosted by Dolat Capital.

As a reminder, all participants ' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Rahul Jain from Dolat Capital.
Over to you, sir.

Rahul Jain: Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us the opportunity to host this Earnings Call. And now I would like to hand the conference over to Mr. Sunil Phansalkar who is the Head, IR, at KPIT to do the management introductions. Over to you, Sunil.

Sunil Phansalkar: A very warm welcome to everybody on the KPIT Q2 FY24 Earnings Call. I also take this opportunity to wish all of you and your families a very happy, healthy, and prosperous Diwali. On the call today, we have Mr. Kishor Patil – Co-Founder, CEO, and MD; Mr. Sachin Tikekar – President and Joint MD; Ms. Priya Hardikar – CFO; and I am Sunil from Investor Relations.

As we always do, we will have the opening remarks by Mr. Kishor Patil on the performance and the way ahead, and then we will have it open for questions. Thank you once again for participating in this call. I will now hand this over to Mr. Patil.

Kishor Patil: Good afternoon, everyone. I am very happy to take you through the second quarter of 2024, this year. Let me just first take you through where the industry is. The industry continues to do well financially. If you look at all the results, they continue to look well. However, of course, there are certain issues on their mind. If you look at the commentaries, KPIT Technologies Limited
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they are a bit worried about a few things, specifically about the electrification calls which are happening , and UAW strike which is there. However, all of them are committed to software -defined vehicle 's new architecture investment which is going to be very key for their future. While they are doing that, as the companies are getting closer to the timelines, I think they are realizing a lot of problems they can see into their solutioning and the areas in which they need to fix. KPIT being a company which has worked with multiple OEMs, having that experience and having a proactive solution in many of these areas, is in a best position to really help the clients realize their SDV programs. In that context, I think KPIT continues to do well and benefit from their spending into their SDV spends.

This quarter KPIT 's revenue grew 51.7% in terms of constant currency and 54.2% in reported US dollar as well as the growth quarter on quarter

is 9% in constant currency and 8.4% in terms of reported US dollar . If you really look at it, we continue to focus on our T25 strategy. 84% of revenue comes from these strategic clients. Pass -cars, of course, has grown higher. The revenues from commercial vehicles have also grown, where we see a larger potential going forward. We also see our EBITDA margins to be 20%. The most important part is this is after absorbing the increments which have been in higher single digits across the organization. Year on year, the profits have grown by 68.7% and quarter on quarter 5.1%. But actually, last quarter there was a special one-time other income . If we do like for like, it is about 16%+ increase in the net profit quarter on quarter. The cash realizations look strong. DSO is at 47 days. The overall headcount is 11,971, more than a 4% increase. The attrition is all -time low. It is really into the lower double digits. In terms of our critical staff

which we capture, it is lower single digit, the attrition.

KPIT has increased focus on the KPIT Academy. We continue to invest heavily into training and people development. We must be probably the only company, as I know, which has done the 360 -degree feedback across the organization and created an individual development plan across the organization. We continue to focus on sustainability and culture of excellence which really allows us to engage with our employees meaningfully.

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Based on all this, looking at the macro environment, we do believe that our medium -term fundamentals are unchanged. KPIT 's position has improved if not unchanged. And while we see certain short -term uncertainties here and there, based on what we can see, we have increased our revenue guidance to 37% plus in CC terms and EBITDA at 20% plus. We do believe that there are many things which are happening in the industry. One is the technology spend. Second is the competition like China, etc., which is really challenging, companies in Europe and the US, and they must really reduce costs substantially. I am not talking about software costs. I am talking about the overall cost of the vehicle. They need to bring in efficiency and the time to market they have to improve, I think. We believe we are in one of the best positions. We are building our offerings to address these issues. In this context, as I said, we feel good about the medium -term prospects of our company, and the commentary we gave about the future is not changed at this point.

Sunil Phansalkar: We can now open it for questions, please.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead, sir.

Chandramouli Muthiah: My first question is on the Honda contract that was won earlier this year. It appears that there has been some amount of ramp up from the QoQ growth numbers on that contract. I think Honda has been presenting to investors on the sidelines of the Tokyo Mot or Show, and the Honda senior leadership did call out KPIT and CSK partners. And I think from his public comments, it appears that he is talking about closer to 3,000 employees to be engaged with KPIT. So, I just wanted to understand i f you see any updates and an upside to your relationship with Honda. As I understand, I think earlier this year, KPIT had mentioned that the medium -term scope of that contract could be 2,000 employees. So, I just wanted to understand your thoughts on speci fically how the Honda contract might ramp up for KPIT over the medium term.

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Sachin Tikekar: It's a 7-year partnership agreement that we signed last year, and we just completed year 1 of that, and we are on track for year 1. Year 2 also, we are on track as projected. Typically , what happens, Chandru, is when we get into a partnership, we take a long -term view, and we start with

something that is visible. And when we get going with the engagement, there are other things that we uncover, and our hope is that, that could also happen in the case of Honda. The partnership continues to go very well. Our hope is that we will go beyond 2000. But the agreement between the two organizations is that of 2000 as of now.

Chandramouli Muthiah: Just one more clarification on the Honda ramp -up. As I understand, I think that there were a few employees that were working from KPIT for the Honda business even before this SPV contract was signed. So, is there any rough estimate as to at this point at the end of 2Q what percentage of KPIT employees is being deployed on Honda related projects?

Sachin Tikekar: The way it works, Chandru, is that we started the work 5 or 6 years ago,

and we have been working in bits and pieces, and that work has made progress over the last 5 years. However, last year both parties wanted to make a long -term partnership. That 's why we came up with the partnership for the next 7 years. Because new projects get started and some of the old ones get over, it 's hard to keep track of the changes that happen periodically. So, what we feel comfortable sharing with you is whatever target that we had, by the end of the year, we have achieved that target, and there is a clear target that we have set up for the calendar year 2024. And we are going to do everything possible to make or beat that target.

Chandramouli Muthiah: My second question is on the revenue -per-employee metric. I think we had a phase of offshoring through COVID, which supported margins, but maybe on a revenue -per-employee basis, that wasn 't so accretive. But I think post the Technica acquisition – also Renault ramp -up and Honda ramp -up – we have seen revenue per employee now this quarter was close to 5%, better than the previous quarter. So I just wanted to understand if there are any other factors at play there, and
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over the medium term, how we should think about your revenue -per-employee metrics going forward.

Kishor Patil: We are happy we could do that. If you look at the overall utilization, the number of people headcount which we have added, and our revenue, we have added about 4% of headcount and our revenue has gone up by 9%. We have been in a position to really improve the utilization. We have been adding freshers for a long time, as you know. Because we are into specialized areas, it takes us more time for people to get productive. And we have been in a position to achieve that during this quarter. Barring some of these changes or barring some of the ramp -ups, I think it is constant, but some of these things will change quarter to quarter.

Moderator: The next question is from the line of Mr. Bhavik Mehta from JPMorgan. Please go ahead, sir.

Bhavik Mehta: Two questions. Firstly, on the deal TCV, if you can just throw some color on what is the average duration of the deals you are signing. Is it more skewed towards shorter -duration deals which give you faster revenue conversion or is it more skewed towards medium - to longer -term deals? And secondly, on the margins, obviously it 's been a good execution over the past few quarters and you have achieved a 20% target. Where do we go from here over the next 2 -3 years, let 's say, over the medium term? Should we assume margins keep on expanding or do you intend to keep margins at 20% and reinvest all the gains back into the business?

Kishor Patil: First I will answer on the margin part. If you look at the last 3 years, we talked about our margin between 18% to 20% and we did say that we will protect 18% and we will keep on investing into growth anything beyond that. Slowly as we become comfortable, we will increase the margins. That 's how we have come to 20%. We would like to follow the same principle. We would like to invest anything beyond 20% for some time. As we become more comfortable, we will continue to increase. We believe right now the way the industry is in a flux; we need to be proactive in investing in certain solutions and new technology areas. But as we feel comfortable, I think the margins will improve from here in the

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next 2 -3 years. But at what speed and at what stage, we will keep on giving you visibility .

The second part is about the length of the engagements. Our basic business is focusing on T25 clients. Frankly, I would request you – it is important, but – beyond a point to not look at specific numbers in a quarter. It gives an indication, but as Sachin mentioned earlier, some of these are very long-term contracts and some of

them are few years'

contracts. It 's a mix of both. It cannot be as straight as one can make it.

Moderator: The next question is from the line of Ms. Anika Mittal from Nvest Analytics Advisory LLP. Please go ahead.

Anika Mittal: My first question is we have several programs or deals in our pipeline.

Can you put some light on our programs to our deal, how are we moving as per their timelines and are we going to execute their programs well before their expected timelines?

Sunil Phansalkar : If I try to get your question, what you are asking is, are we on track to execute the new engagements as per the decided timelines. Is that the question?

Anika Mittal: Yes.

Sachin Tikekar : The way I understood the question , there are about a few hundred programs that we are running or projects that we are running at any point in time. The general trend is the vast majority of them are being executed on time. Some of them sometimes are slightly ahead of time and sometimes they are slightly delayed, but on an average, the big trend is they are all being delivered on time. That 's one of the key ways for us to build trust and long -term relationships with our partners. And that 's something that we have done historically fairly well. That 's why the focus continues on T25, and we continue to go deeper and wider with them.

Does that answer your question?

Anika Mittal: Yes, sir. My next question is currently we are having around 20% revenue from commercial vehicles. What is our strategy to penetrate this

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segment going ahead? Do we have any potential customers? For existing customers with whom negotiations are going on, can we expect any deals in the coming quarters?

Sachin Tikekar: As Mr. Patil mentioned earlier on, a vast majority of our business, 70% plus, comes from passenger cars and the business in commercial vehicles, there are 2 buckets. One is the trucks part, and from our perspective, second is the off -highway part that has mining and agriculture. As far as trucks are concerned, the 20% plus business that comes to us, a vast majority of that comes from trucks. And there are existing relationships on the trucks ' side. And we believe that the existing relationships can go further. Plus, there is headroom to add a few more global clients to the truck part of the commercial vehicles. The area that we have started to invest in is in the off -highway part. And we are trying to understand the industry in a much better manner so that we can provide technological solutions to solve their problems. And we believe that many of the technologies that KPIT has can be extended to solve those problems. The growth from that segment you will probably see over the next 2 - or 3-year horizon that will complement the overall growth.

Anika Mittal: My last question is, any update on QORIX? Have we got regulatory approvals or any business we got in this bucket?

Kishor Patil : We are making very good progress. I think soon we should get all the regulatory approvals.

Moderator: The next question is from the line of Mr. Nitin Padmanabhan from Investec Capital Services India Private Limited. Please go ahead sir.

Nitin Padmanabhan: My first question is on what we are hearing broadly. There are a lot of these news reports around VW, GM, and Ford halting production of EVs

citing low demand, Ford losing over \$36,000 per car, and GM & Honda having scrapped a \$5 billion joint initiative to develop affordable EVs, and so on and so forth. And there are some reports on shifting focus to hydrogen. In this context, it will be great to have a sense of how you are reading what is actually happening on the ground. And basically you did

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allude to this in some form, but is there any risk of any interim slowdown? I am well aware that you are pretty spread across thi

S
technology stack; so either way it goes, you should be fine but still good to get your thoughts on the same. And finally, some color on the order pipeline as well.

Kishor Patil: Overall, we think the trend towards electrification will be there in some way or the other. If not pure electric, it may be hybrid, it could be fuel cells, or multiple technologies, but of course, EV will remain dominant. Timelines can shift a bit here and there, but as we always mention, our spend is more for the future programs. So, largely it should be intact. Of course, there could be some minor changes here and there. But to just tell you, there are many companies we have already started working with on fuel cells and we are working on hybrid technology. We are otherwise ready for any alternate changes for power train from that perspective. But the bigger opportunity we see in this – because any problem for our client is always an opportunity here – is to bring efficiency in terms of technology and cost efficiency for them to favorably compete with the Chinese and other players. And that is something we will double down on and we are engaged, of course, with some OEMs on that. Those will be our opportunities. Now, you gain somewhere, you have to figure it out in some other parts. That is there, but this is overall we see good about it because of our understanding of the overall space and our different skills which we have. Also, on the charging and other infrastructure, we have seen very significant traction. So, all in all, I think from that perspective, we feel comfortable about space.

Sachin Tikekar: About the pipeline, as Mr. Patil mentioned earlier on, the pipeline from our perspective remains robust and it has been robust for quite some time. We have not seen any kind of noticeable change in terms of creation of the pipeline or the closure of actual engagement. So, the trend continues, Nitin, in our case.

Moderator: The next question is from the line of Mr. Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead, sir.

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Vimal Jamnadas Gohil: My question was on vehicular architecture and its evolution. We have seen vehicles going from dispersed architecture going to domain - specific architecture. And now probably we are moving towards centralized architecture. And you highlighted efficiencies as well and that this could be a part of a centralized architecture that OEMs want to adopt. I just wanted to get a sense as to what how will the software intensity increase over here and the role of third -party service providers like us? What role can we play here?

Kishor Patil : I think the complexity goes multiple fold times. It is not only about the software content going up , but complexity goes up multiple times. And I think that is where exactly we are bringing out the solution, both for integration perspective as well as architectural blueprinting, etc. I think it's becoming very complex. Just to give you some idea, the overall testing and validation is going to go by 3x plus than what it was being done earlier. I think there are multiple opportunities in this area. At the same time, I must bring out that it is not a simple, straightforward software including testing or this. It is all performance based and the complexity of architecture is very high. That really requires you to understand the architecture even to do any kind of activity downstream.

Vimal Jamnadas Gohil: You alluded to some short -term uncertainties that you are facing

although may not be very serious, but if you can just highlight something more on the short-term uncertainties you alluded to?

Kishor Patil: We are not facing it. The industry is facing it. That's why I mentioned that. For example, UAW strikes. We just wanted to call it out that there are these uncertainties industries are facing right now.

Moderator: The next question is from the line of Mr. Mohit Jain from Anand Rath Financial Services Limited. Please go ahead.

Mohit Jain: Sir, congrats first of all; a good quarter on all fronts. Was this related to the deal pipeline? It is a follow-up to the previous one also. From a large-deal standpoint, like we had very good FY 23 last 4 quarters. How is your large-deal pipeline looking like after the Honda deal? And should we
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expect the deal momentum of TCV that we announced to be maintained broadly at a similar level?

Sachin Tikekar: Mohit, what is happening is there are certain companies who like to go out and make an announcement of a large engagement, and then there are certain that just happen where there is no announcement. Having said that, as we work more closely, as I mentioned earlier on, with these T25, we have had long-standing relationships with many of them. The business continues to grow. There is not necessarily one large engagement per se all the time, but there are several projects and programs that we start as we go deep and wide with them, and we are seeing more and more of that with our existing clients across passenger and commercial vehicles. That's what I would say in response to your question.

Mohit Jain: Let me try it once more. We had almost \$990 million TCV in FY23. And FY24, do you think given whatever we have done so far or whatever is the pipeline, you need to deliver growth on that, or do you think in multiple years you get one such year where you touch almost \$1 billion TCV?

Sunil Phansalkar : Mohit, as Sachin was trying to explain, what we have been saying is that not every large engagement we would be able to announce or talk about it upfront when we work on it. There would be some such engagements where we will work on them, execute them, and over a period, they will actually turn out to be mega engagements. It might not reflect, as we were able to do it for the large deals that we announce. But if you ask about the conversion rates and about the win rates, there is no reason why it should be different going forward.

Mohit Jain: And the second follow-up was, you guys are doing so well in Europe, but the US seems to be more or less flatish over the last 2-3 quarters. How is your outlook changing in the US? Plus, or minus? And when should we see the US maybe getting back to growth or do you expect it to remain steady?

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Sachin Tikekar: If you look at the year-on-year growth, it's still quite robust. What happens is more and more programs are actually becoming global. So, the recognition of revenue can actually shift from one geography to the other. That is true. And we are seeing more and more of that. Again, that's one of the outcomes of having a T25 strategy. Essentially, we are growing with the clients where their footprint exists, and it exists across the globe. So, just looking at geography may not be the most accurate measure of broad-based growth. Having said that, if you look purely from the US OEM perspective, there has been a reasonable amount of growth, and we believe that the geography will continue to grow on its own.

Moderator: The next question is from the line of Mr. Sandeep Shah from Equir Securities. Please go ahead, sir.

Sandeep Shah: Again a question related to the previous participant's. I think we have done extremely well and congratulations for the same. Even in this year, if I skip out the inorganic growth, the organic growth would be in the high

20s. But it looks like it has been supported through some mega deal wins as well. So your growth outlook on organic basis with a target and the vision to grow at 20% CAGR on organic basis still continues with whatever macro uncertainty remains? And will that be dependent in terms of 1 or 2 large deals?

to be signed each year or that is independent of that because the kind of programs we are getting involved in, even the current TCV quarterly basis would be enough for us to post 20% kind of organic growth?

Kishor Patil: I think, Sandeep, we have answered this question multiple times. But at a high level first, even this year, our organic growth has been more than 30%, not 20%. That is one point. Second, I did mention in the beginning that our medium term whatever we mentioned about the outlook remains the same. We are not changing any commentary for the long term. Whatever we have been talking about, it is there. Naturally, for a specific year, we will come back and talk about it in the month of April what we feel about the next year, but overall, in the medium term, all the fundamentals are unchanged. KPIT's position is unchanged. And actually, as we said, there are multiple areas in which we can go out and KPIT Technologies Limited
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help our clients. And there are areas such as commercial and other areas which have still a lot of potential which we have not captured yet. So, overall, we believe in the medium term, the market potential is unchanged.

Sandeep Shah: This is the last question. Earlier, we saw KPIT is involved in many strategic engagements related to SDV with 7 out of 10 OEMs. Any update on that? Whether that number from 7 has gone up and the potential for the same to go up?

Sachin Tikekar: First of all, I think there is, of course, potential to go up. There will be more and more OEMs in the future who will embark on the SDV journey. And there are different parts of the journey and we will be part of more and more such journeys going forward. Not all of our T25 clients have fully embarked on the journey, so we see headroom over the next year or two to have more SDV programs.

Moderator: The next question is from the line of Mr. Abhishek Pathak from HSBC. Please go ahead, sir.

Abhishek Pathak: My question was, despite a strong H1, the implied CAGR seems to be meaningfully lower, maybe at around 2% to 2.5%. Just to get some clarity, has there been some ramp-up which has been front-loaded, which won't happen in the second half? Or are there some short-term factors at play in the second half? I do see the irony in saying 37% guidance as cautious, but for want of a better word, what's driving the outlook? And is there any upside to this guidance?

Kishor Patil: First thing is, I think at the beginning of the year we had said that as the environment was a little, if I have to say, soft during that time. We said that we will maximize our opportunity in the first half year. We had said that earlier so that we could maximize it and ramp it up ahead of time. And we are very happy we could do that. That is number two. Third thing is, I don't know how you did the calculations, but I think the calculations are a little better than what you mentioned. I think it is still a reasonable number even to get to 37%, and we have said 37% plus because frankly, as I said, there are some smaller nuances here and there. I guess some KPIT Technologies Limited
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of these strikes can get closed tomorrow, but you have to be cautious in saying what you say. With all that, I think 37% is not a bad number and the profit number in our opinion is pretty good what we have mentioned. This is what we see today. As I said, the fundamentals are unchanged and KPIT's position remains unchanged.

Moderator: The next question is from the line of Mr. Rajit, an individual investor. Please go ahead, sir.

Rajit: The question is related to the JV. I missed the initial update, but my question is more related to how the JV will pan out in terms of client ownership, client serviceability, and revenue distribution. And the reason I am asking you is I am assuming that a certain IP is moving to the JV from

our side. There will be certain revenue which might move to the JV as well. And going forward, do you see KPIT as it stands now foregoing some revenue to the JV? And in turn, will there be something accruing to the KPIT as of today? Basically, how would it pan out 6 months down the line and maybe 5 years down the line in terms of our own turnover?

Kishor Patil: The first thing the reason we did the JV, as we mentioned in the genesis of the JV, was from classic AUTOSAR, the whole thing moved towards a middleware which includes adaptive AUTOSAR plus safety, plus, plus, OTA and other things. So, it is much more than that. So, the investments required were very significant, in excess of about 100 million were the investments required to realize the product. That was point number one. Point number 2, if it has to become an industry standard, we wanted to catch up and leverage partners. And we did say that we have 1 partner today, but we may look at additional partners. That was the idea. So, the first idea was to really reduce the investment. The second was to get a better market share and KPIT the way it will really benefit from is all the integration will come to KPIT so revenues will come to KPIT. From that perspective, it's a win-win because that's how KPIT will benefit from this plus it will, of course, get the share of profits in due course from the JV as well. That is the genesis of the JV.

Rajit: My second question is related to the finance cost. This is an item which has been there for the last couple of quarters at least which is unwinding KPIT Technologies Limited
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of certain contracts. And that number is although small, but over a period of time, I think it's more than 10 crores. I just wanted to understand a little bit more in detail what are those contracts and how are we accounting for the unwinding costs and are these actually cash costs. Priya Hardikar: If you look at finance cost per se in a particular quarter, that does not include the unwinding cost of hedges that you mentioned. If you look at the published results, we will give a table of what is the actual working capital borrowing cost and what is the IndAS accounting treatment on various leases or other items. So, the finance cost is not the one that you are referring to. If you look at the note in the published results, you will get the answer.

Rajit: I am sorry. I might be referring to the other income or the other costs, but anyhow, I will come back to you on that.

Priya Hardikar: If you look at the other income, then yes. Other income we have had a profit this time because of some of the hedges that have turned profitable to us.

Rajit: And these are actual cash....?

Priya Hardikar: Yes.

Rajit: Are these derivatives or are these plain simple forward contracts?

Sunil Phansalkar : Our hedging policy, we have said, is plain forward contracts. And in our investor update, you will find the details of the hedge quantity and the average hedge rate that we have at the end of every quarter.

Rajit: If I may, just last follow-up. We cancel those forward contracts in an event when we don't have an incoming receipt against those forward contracts and then book the profit. Is my understanding correct?

Priya Hardikar: There is a particular treatment in accounting under IndAS 30. You may connect subsequently with Sunil, and he will explain to you. But the accounting standards mandate the accounting treatment.

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Sunil Phansalkar : And there is a one-for-one underlying for our forward contracts. If you look at the quantum of hedges that we have made and the inflow of the foreign exchange, we typically are in the range of about 75% to 90% of

our net exposure – not the gross exposure but the net exposure – in foreign currency. All forward contracts have a strong underlying associated with

h them.

Kishor Patil : We don't cancel any forward contracts as they are plain simple contracts.

Moderator: The next question is from Mr. Akshay from Axis Capital Limited. Please go ahead, sir.

Akshay Ramnani: You talked about Chinese OEMs becoming aggressive in the market and your role to help the developed market OEMs for cost efficiency. If you can please elaborate on that point what did you exactly gain by those cost efficiencies? Were you talking about offshoring or was there something else as well which you were trying to convince?

Sachin Tikekar : Akshay, if you look at it, typically in a normal vehicle, there is a cost difference of 20% between the like-to-like Chinese electric vehicle versus the ones that are available in the western part of the world. The key here is how to reduce the overall vehicle cost. And from KPIT's perspective, what we are doing is we are actually looking at their entire architecture. The new architecture along with the blueprint and execution of it will provide substantial cost benefit to the OEMs per vehicle. That's one area where we are creating efficiency for the OEMs from the architecture and software perspectives. And that's our way of helping them. Of course, there are multiple other ways that they can actually reduce the cost, but this will really going to be our role in helping them. That is one part; one is cost competitiveness. And secondly, just making the overall vehicle more attractive. And there are other aspects to it. Some of the Chinese OEMs, if you look at their off-board experience, they are taking the lead. It also creates an opportunity for KPIT to create whether it's the in-cabin experience or off-board data and services, there are certain learnings that we have from some of the Chinese OEMs that we can take to the global OEMs outside of China. So, it's both ways. The KPIT Technologies Limited

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first part is to actually reduce the cost of their vehicles and the second part is to make the vehicles more attractive and competitive.

Akshay Ramnani: But just thinking out loud, these things typically have been done in-house historically. What drives your confidence for a company like KPIT being chosen for these kinds of engagements?

Sachin Tikekar : One is the evidence. We are already engaged with some of the OEMs and there are ongoing conversations with some of the others. That gives us the confidence that, a) We can actually do it and we are doing it. b) If you look at the expertise, the deep expertise that is needed, very few OEMs actually have that at scale, if any. And that's why they need a proven scalable partner with the deep expertise to help them make that journey. So, it's a two-way street.

Akshay Ramnani: Sir, another question was on the revenue per development employee which you report. That has been steadily increasing every quarter for the past 4 quarters. I wanted to get some color around that. I know you touched upon utilization, but it would be good if you could break that more to what other factors would have contributed like utilization, on-site mix, or price hikes if you would have seen anything of that sort. Nothing quantitative but qualitatively, which are the factors which are more predominant in helping that number go up?

Sunil Phansalkar : Akshay, what we have said and we have been focusing upon is improving the net rate realization and that has got multiple components. It includes the actual rate that you bill to a client and we have been focusing on taking that up steadily in every new engagement that we do. The second part of it is related to your efficiency which is utilization. When we were in the ramp-up stage for the large engagements, we had hired ahead of time, and of course, there were also freshers hired who were getting utilized and hence the utilization has gone up. And the third factor is the productivity. Prod

activity is, one is we talked about our platforms, tools, and accelerators that we can use. The more fixed projects we do, the

better it helps for net rate realization and also personal productivity. These are some of the components of rate realizations which have been improving across quarters. If you look at the last 4 or 5 quarters, they

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have been continuously improving. And I think that has resulted in an improvement in the net revenue per employee.

Akshay Ramnani: The last one from my side would be, you talked about the JV with ZF. I wanted to understand who the competitors would be who would be developing a similar middleware platform similar to what this JV tries to achieve. And any color around that?

Sachin Tikekar : There are the traditional tier 1s who are trying to build a platform. Some of the large traditional tier 1s are in the play. And then, some of the OEMs may also want to take the platform that a company like KPIT is building for them to their siblings or cousins, so to speak. That's another option that they have. And there are other system integrators who are also thinking about getting into this. So, it's an evolving field at this point in time. It's new in some way and that's why it will continue to evolve. And we are certain that it will face new competition as the years go by.

Moderator: The next question is from the line of Mr. Puranik from ENAM Holdings Private Limited. Please go ahead, sir.

N. G. N. Puranik: Fantastic quarter. Nice to see you in the 20% margin bracket and 30% plus growth bracket. I have a question on the vehicle architecture you're developing. It's amongst the highest in the value chain. How design and architecture intensive it is in terms of people, process and all. You also mentioned the testing and validation intensity of this. How intensive is this in terms of people, process, and opportunity and this in turn gives you a lot more fixed price contracts and better margin?

Kishor Patil: Absolutely. What actually we have realized is, specifically the way the vehicle changes to the central architecture, the most critical part is the architecture. It really defines the cost, quality, and time one will take to deliver on the contract. So, we have really doubled down on that. As you know, we did some very good acquisitions like Technica. We, of course, had a lot of expertise earlier. We actually put all this together and now we are developing future areas where we can really create what we call as shifting of the quality, where the quality is driven by architecture. And basically, subsequently the validation and virtualization is also done as

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early in the stage as possible and through software rather than the hardware. That is where our focus is and I think that's where we see tremendous opportunity.

N. G. N. Puranik: And the intensity in terms of effort spent on both architecture and testing & validation?

Kishor Patil: Yes, the complexity is very high. So, we would like to automate as much as we can and make it into what we call blueprinting and basically bring all the knowledge into either the architecture or the platform we are building for this and de-skill the efforts which we will have to do on a project.

N. G. N. Puranik: When you say a vehicle architecture platform, can you explain what the elements that this platform has both in terms of domain technology, process, and regulation?

Kishor Patil: There are 2 points I mentioned about. One is that I talked about architecture. When you talk about architecture, it talks about vehicle architecture, it talks about software architecture, and basically it talks about network architecture. All these need to be, if I have to say, in harmony. And last but not the least is the data architecture which is also there. Th

is has to be in harmony and that is the most critical part, and that's where most of the clients which have made mistakes have made in that part. The other part of this is when you do this along with the semicon and the hardware part, then the performance can be very

different. And you can see that what you have envisaged in software or network architecture cannot be realized in a physical form. So, we have created certain tools so this can be virtualized ahead of time. And the performance as well as the issues which can come can be picked up earlier. That is what really brings our uniqueness.

N. G. N. Puranik: These tools, components, and subsystems, how do they get used up in a project development?

Kishor Patil: In the specific projects, we use it as a part of our components.

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N. G. N. Puranik: When you say vehicle architecture, let's say you are doing it for another client, how do you leverage these tools?

Kishor Patil: These are basically blueprints kind of a thing if I have to say in some way that we give. And in the case of network architecture, these are tools which are sold to them.

N. G. N. Puranik: And you also have productivity tools?

Kishor Patil: Productivity tools are internal software productivity tools. Of course, we have many . .

N. G. N. Puranik: Kishor, where do you make your 20% to 30% margin? Is it in architecture or in validation testing?

Kishor Patil: We actually would do both ways because if you just do it at very high - end, it is difficult, as you know. So, we have to do it as both sides. So, we have to have downstream revenues to realize the margin and volume.

N. G. N. Puranik: The fixed price component is what part of the revenue?

Kishor Patil: It has gone up by almost 5 % during this quarter. So, it is going up. As our SDV programs go forward, I think we will see that increasing.

N. G. N. Puranik: As you rightly said, cost, quality, & time is very important. That is important for fixed price projects also and for the margin also. Isn't it?

Kishor Patil: Yes.

N. G. N. Puranik: That's where you make your 20% to 30% margin?

Kishor Patil: We just do 20%.

N. G. N. Puranik: I don't think you need to do more than 20%. If you reinvest in the business, 20% is really great. That's fantastic. When will you get your next \$100 million account?

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Kishor Patil: We spoke about it, I think. We look at every big OEM as our opportunity to be there. In some cases, we upfront announce it. In other cases, we build it over the period.

Moderator: In the interest of time, that would be the last question. I would now like to hand over the conference to the management for closing comments.

Sunil Phansalkar: Thank you for your participation. If you still have some questions, please feel free to write to us and we will be happy to get back to you. Have a great evening. Thank you and bye -bye.

Moderator: On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

KPIT Technologies Limited

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W kpit.com February 2, 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001 .

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir/Madam,

Sub: Disclosure of events & information pursuant to Regulation 30 and 46 of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 . -
Transcript of Q3 FY 24 Earnings Conference Call

Ref: Intimation of Q3 FY 24 Earnings Conference Call dated January 24, 2024.
Please find enclosed the transcript of the Q3 FY 24 Earnings Conference Call, held
on January 30, 2024 , after the meeting of the Board of Directors for approving
unaudited financial results for the quarter and nine months ended December 31,
2023.

The transcript of said Earnings Conference Call is also available on the website of
the Company . The link to access the same is as below :

<https://www.kpit.com/investors/policies-reports-filings/>

Kindly take the same on your records.

Thanking you ,

Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande

Company Secretary & Compliance Officer

Encl: as above KP 11.

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"KPIT Technologies Limited

Q3 FY 24 Earnings Conference Call "

January 30, 2024

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – PRESIDENT AND JOINT MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. ANUP SABLE – CHIEF TECHNOLOGY OFFICER AND BOARD MEMBER – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER – KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR –HEAD INVESTOR RELATIONS – KPIT TECHNOLOGIES LIMITED .

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the KPIT Technologies Q3 FY24 Earnings Conference Call hosted by Dolat Capital. As a reminder, all KP 11.
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participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you, and over to you, sir.

Rahul Jain : Thank you, Rio. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us the opportunity to host this earnings call. And now at this point, I would like to hand the conference over to Mr. Sunil Phansalkar, who is Head of IR at KPIT, to do the management introductions. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. Good evening, and a very warm welcome to all on the Q3 FY24 earnings conference call of KPIT Technologies Limited. On the call today, we have Kishor Patil, Co -Founder, CEO and MD; Sachin Tikekar, President and Joint MD; Anup Sable, CTO and Board Member; Priya Hardikar, CFO; and Sunil from IR.

As we always do, we will have the opening comments by Mr. Kishor Patil on the performance of the quarter and the way forward, and then we'll have it open for questions. So thank you once again for joining the call. And I will now hand this over

to Mr. Patil.

Kishor Patil: Good evening, and welcome to quarterly earnings call for KPIT. As you all know that KPIT is very sharply focused on automotive and mobility industry. We remain as the preferred independent software integrator to the mobility industry. We do work in cutting -edge technology in terms of autonomous, connected, electrification, operating systems and also about the monetization of aftermarket services, which OEMs want to do, as a change of their business models.

So we are deeply engaged with the OEMs and our key customers in doing that. And these trends are sacrosanct and people continue to make investments, specifically into software -defined vehicle, but also now, going forward, more to make it a reality. It's a lot of work beyond pure development of SDV platform, and KPIT is deeply engaged with its clients to do that. Very recently, we had a significant presence at CES, Consumer Electronics Show, Las Vegas. And we had more than 100 clients visiting us. And we typically demonstrate the latest and the most relevant technology, we

more a reality, more successful, more dependable. And also, as we talked about changing their business models going forward.

So we got a very good response from the clients and really great appreciation in terms of the clear thought leadership of KPIT, in many cases, bringing new thoughts, new technology, new expertise to OEMs, which would help them in their transformation. So basically on these growing trends of technology, KPIT continues to perform well. So during this quarter, I think our revenues grew from \$145.2 million to \$149.1 million, in terms of quarter-on-quarter.

On a year-on-year basis, it is 31.5% in terms of constant currency, 35% on a reported dollar year-on-year basis. Our profit grew from INR100 crores to INR155 crores year-on-year, which is 54.6% growth, and on a quarter-on-quarter basis from INR140 crores to INR155 crores which is 10.3% growth. Our EBITDA grew from 20% last quarter to 20.6% this quarter, driven more by operational efficiency. We also got certain benefit of currency. As we know, the KPIT has more than 60% revenue, which is non-dollar revenue, and currency changes did help us to a certain extent in terms of other income as well as improving our realization.

EBIT went up from 16% to 16.6%. We have a healthy pipeline, but during this quarter, we closed \$189 million new closures in terms of new wins. The cash balance is very healthy, moved from INR512 crores last quarter to INR829 crores. DSO improved further from 47 days to 46 days, though, I would say it is also a little bit better because of the last quarter in the calendar year where we always see more collections.

Headcount, net headcount has gone up by 756 during the quarter, and that demonstrates our strong hiring and continued strong hiring. Our attrition is one of the lowest for us historically, one of the lowest in the last many years, and for sure, in the industry. And we are very happy with the overall engagement we have with the people.

We continue to invest into new technology, which is really the most important and relevant part for KPIT. As you would remember, we have created a new entity called QORIX, and we continue to build on that, and it is making good progress. During the quarter, we also invested into N-Dream, which is casual gaming to improve the experience of gaming for the future.

And we saw tremendous response again for both these - during the CES and otherwise. And already for N-Dream, many OEMs have shown interest. We do believe this will allow us to add many value-added services to the OEMs in that aspect. Last but not the least, we also continue to do innovation, which will be relevant. KP 11.

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We see, apart from global market, India as a strong market. We also believe that we need to and we are very deeply committed to sustainability. During the quarter, we also unveiled the technology for sodium battery, which hopefully will prove in due course to be a great alternative to the current battery chemistries and a more sustainable option.

In terms of accounts, I think our strategic accounts contributed to 85% of the revenue and most of the new wins and the opportunities are also in these accounts. We also have a few other three, four clients where we have started engaging and which we believe will convert into larger engagements in our T25.

In terms of dividend, we have given the interim dividend of INR2.1 per share from INR1.45 per share last year, which is in line with the profit growth of the company. So overall, we are very confident about the guidance we have given.

So we are confident that we will increase our revenues by 37% plus, as we have said it, so we will naturally exceed our revenue growth beyond 37%.

And the profit percentage based on increased EBITDA, we also believe that we will, for sure, exceed the numbers in the guidance we have given. So with that, I would leave it to you for questions.

Moderator: The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah : My first question is on the Asian carmakers contract that you've announced as part of our \$189 million TCV engagements this quarter. So congratulations on that. Just want to understand, is it an existing client? Is it a new client? Is there any additional colour you're able to provide here around, whether it's middleware related work, SD -related work? Any additional colour on this business win, that'll be very helpful.

Sachin Tikekar: Sure. Chandra, this is Sachin Tikekar. It's an existing client. And it's a broad - based engagement covering multiple practices, starting with vehicle engineering to autonomous driving and so forth. So it's the additional incremental growth that we have seen , if that answers your question?

Chandramouli Muthiah : Got it. That's helpful. My second question is just on the recent comments that we've seen from automakers globally. So firstly, I think Tesla has mentioned that it expects a slightly slower growth here for its own EVs. But in China, I think EV growth continues at very good pace. In Europe, in the luxury car space, EV growth seems to be relatively strong and R&D budgets in EV space also seem to be continuing if we were to judge from commentary from a lot of your peers on the visibility that they have on their contracts. KP 11.

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So just trying to understand what is the disconnect between maybe the US EV players and the rest of the world? And also EV spending budgets on the R&D side versus what the volume growth outlook seems to be over the near term?

Kishor Patil: So I think, we , let me take it first as a KPIT view, and then I will go beyond. I think in all our programs on electrification, we haven't seen any changes into this spend. So the first thing I always mentioned many times that increase in the production or lowering of the production does not impact us because we work on future programs. So we haven't seen any changes , and as most of our programs are long term we have not seen any changes in that area.

I think in terms of what you mentioned about Europe or China and all that, I think there're multiple things. Of course, China is leading in electrification and not necessarily pure electric, I guess, many of them are also hybrid vehicles. But now they are also entering into Europe. So naturally, the OEMs in Europe are very focused on creating more efficient, more cost -effective electric powertrains. So of course, they continue to focus on that are

a.

In terms of U.S., I do think that some of them had made, in my view, that's how I read it, but as I said, we have not seen any change. But the way I see it, initially, they had given a very high estimate in terms of what will be the change into electrification. And I guess they saw that it will take them little more time to really reach those numbers. And that's how they mentioned. I don't think it had any other implications, at least in my view. But maybe Sachin, you have anything to add?

Sachin Tikekar: Just to add to what Kishor said, if you look at it there is a slowdown in terms of growth in EVs. And that's why I think all they want is to just get rid of the inventory, hence, the production of actual vehicles will go down a little bit. Having said that, the number of production programs remain the same. More and more EV vehicles will hit the US market. And from our perspective, we are working on some of the programs that are in 2027, '28. So , these vehicles will get launched in '26, '27 .

Kishor Patil: Also, if I may add is we are seeing also a little more proactiveness from the commercial vehicle manufacturers on electrification or alternate energy programs. And as compared to last year, for sure, this year, more opportunity is there.

Chandramouli Muthiah : Got it. That's very helpful. And my last question is just around the headcount increase this quarter. It appears to be north of 6% Q -o-Q headcount increase, seems to be relatively strong versus the past three years, three to four years, what your Q -o-Q headcount increase have been. So just trying to understand what's giving you that visibility? Is there any particular contract that's ramping KP 11.

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up relatively fast that requires resourcing? Or is this just in scheduled course of the visibility that you have going forward?

Kishor Patil: So there're two points. One of course, we have our planning cycle of every two quarters, so six -monthly planning cycle. So we do hire accordingly. Other part is also the fresher hiring cycle as it takes some time for us to train people and get them ready. So with the both combination, it is there. I mean, in 756, we have a fair number of freshers as well.

Moderator: The next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain : I just have two questions. Firstly, to understand from an FMS business perspective, what's the contribution for the quarter and how we expect this part of the business to do over near future?

Sachin Tikekar: Yes, Rahul. It's been a couple of years with FMS and the business is fully merged, so there is no way for us to track revenue or contribution separately.

What we can say is, overall, the accounts and the practices where the FMS business got merged, we've seen improvement just like in other parts of our business. But it's hard for us to differentiate FMS business separately now.

Kishor Patil: To put it the other way, we integrated the business ahead of time because they met the targets. So in some sense, we met the targets ahead of time.

Rahul Jain : Right, right. And from an SG&A in this quarter perspective, is there -- one thing is this addition to the headcount. Is there any onetime element in this?

Or this is kind of a run rate now?

Sunil Phansalkar: There is no special onetime element. But of course, I mean, the additions that happen, you don't have their cost for the full quarter. Next quarter, it will be for a full quarter. So that delta might be there .

Rahul Jain : So yes, so whatever run rate we did this quarter, on a normalized basis, ideally, we should see some growth, whatever growth it could be? There's no onetime which will be absent...

Kishor Patil: I may not exactly say that. But in the sense, the Q3 may have few provisions or something which may come onetime. Those kind of things may be there.

But I mean, for your

calculation , you can take it at the same run rate.

Moderator: The next question is from Karan Uppal from PhillipCapital India.

Karan Uppal : Congrats on a strong set of numbers. First question is in terms of the T25 clients. So in the past, you have mentioned that there are two clients which have crossed \$100 million revenue threshold. So any update on that number? KP 11.

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Have you seen that number increase? And what's the potential in terms of T25 hitting the \$100 million run rate?

Sachin Tikekar: Karan, what we can see is bulk of our growth, like the last years, that has been driven by our diamond and platinum accounts. And the trend will continue, even though we have added, as Mr. Patil mentioned earlier, a couple of new clients, and we'll probably add another client or two as we get into the next year. We don't provide details related to clients, but there are a couple of them that are in the \$100 million range, who have crossed that threshold, and we are seeing healthy growth in both of them. So that's what we can share with you.

Karan Uppal : Okay. Okay. Secondly, in terms of commercial vehicles, you've partly answered. So in the past, it has been a bit volatile if you look at last three to four quarters' performance. So now you are expecting the volatility to reduce, and from here on, the performance should be strong?

Sachin Tikekar: Karan, as we discussed in the previous call, we have started to double down on commercial vehicles business, both on the truck side as well as on the off-highway side. The existing business is there on the truck side, which is more than 20% of our overall business. We believe that business will grow in the next year.

And we have started to understand the business problems on the off -highway side, so that we can solve them through the technologies that we have. That work is underway and we believe that the work that we are doing will yield greater results for us over the next several quarters.

It does take time. We would like to be in the same position that we are in with the passenger car, whereas we deeply understand their business problems, and we can solve them through technology to that extent others

cannot solve, right? That has been our play, and that would be our effort when it comes to off-highway as well.

So it may take a little bit longer for us to go to market. But once we go there, we'll make sure that we go there in a more meaningful manner that will create value for the clients.

Karan Uppal : Last bit is on the interest expense. So interest expenses have almost doubled from what it was in last quarter -- 3Q FY23. So how should we think about it going ahead?

Priya Hardikar: So yes. So during the quarter, some bit of interest expense has increased because it has elements of Ind AS calculations of certain leases that we have acquired newly, which is the finance cost. This is a notional finance cost. And KP 11.

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there has been a certain element of additional interest on a little bit of working capital that we used for a month, which is fully repaid as of December end. But majority is because of the notional cost incurred on account of Ind - AS methodology of accounting.

Moderator: Next question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan : Congrats on the quarter. A couple of questions. The first is looking at the environment, broadly, you're not seeing any risk at this point of time is my understanding. Is that a fair assumption? And basically, existing programs and everything despite whatever nuance I'm hearing, are on track and there's nothing to really call out on?

Anup Sable : This is Anup here. Yes, there is no current impact because if you understand what we do is we essentially work on the programs that are supposed to be for fu

ture. So normally, the current environment usually doesn't play out into what very, very transformational projects that are going on in terms of product development for the future. So we see no impact on any current activity that we are doing.

Nitin Padmanabhan : Perfect. Very helpful. Second is you mentioned three or four customers where you could probably end up with larger engagements. Could you give some colour on which geographies these are from or anything specific in terms of the breadth of the engagement? Do you think we can see something -- are these very large deals like what we saw last year? Or these could be gradual -- may not be a large deal, but over a course of period will be large as they keep coming up into revenue? Just some broad thoughts on those three , four clients you alluded to.

Sachin Tikekar: Sure. Nitin, what we do is during the course of the year, twice a year, we actually scan all the OEMs across the globe that are relevant to us. And we see the ones that we are not working with, whether there is a way we can create value for them and we keep looking for those entry points. And we've been working with three of them , newly . And a sluck would have it, there is one each from each geography.

There is one from the US There is one in Europe and one in Asia to start with. But the list that we are scanning is about five or six, but there is a meaningful engagement where we are trying to , we have done some assessment. We have done a bunch of workshops for them, and that is related to three of them. And the way it works is it takes several workshops for us to exactly understand their problems. And then we have to go back with innovative solutions. KP 11.

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So for them to understand our solutions, it sometimes impacts their structure and priorities. So we have to overcome some of those things as well. So it does take some time for us to create long-term engagement. But when that happens, they really take off at some point in time. There is no way to sort of say when. But I would say that at least two out of the three , we have made reasonable amount of progress, and we'll see some growth coming from them during the course of next year.

And our hope is, again, to build a long-term partnership. We are making all these investments in them so that we can build a long-term partnership, just

like our other diamond and platinum accounts. So our hope and effort would be to make sure that they get into that trajectory over the next several quarters.

Kishor Patil: And all of these clients are global .

Sachin Tikekar: Yes, they're all global. So that's really the process, Nitin. Hope that answers your question?

Nitin Padmanabhan : Sure, absolutely. And the last one was your thoughts on monetization of the sodium battery chemistries. How should we think about that? How does that work? How are you looking at it? And second is on QORIX. You were looking at adding another partner. So just some thoughts on how that is doing and where are we on our journey, on both those fronts?

Kishor Patil: So I think the sodium battery is, as I said, it shows our commitment to innovate and specifically for the local market, India, and also, it is something which will be useful for the global market too. It will take time, and the monetization models are unce rtain. But at the same time, it gives us a tremendous positioning and opportunity to work with the different OEMs and their models. It's a very key area. How and when we will do it, I would not factor anything in terms of revenues for now.

On the QORIX side, I think we are making very good progress, both in terms of development of product, second is in terms of planned client tractions and also in terms of adding a new partner. Right now, actually, our own process is a bit delayed. And that's why it may take a little bit more ti

me to add the

third partner. But our own process of having a joint venture fully established is itself, due to some legal formalities, delayed. We hope it will be done in a month or so. And then, of course, we will have the third partner coming in the next two, three months.

Moderator: The next question is from Mohit Jain from Anand Rathi. KP 11.

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Mohit Jain : Congrats. First is on third quarter numbers. So when I look at sequential growth, is there any impact of furlough in the third quarter? And therefore, should we expect some bounce back in 4Q? That's the first one.

Kishor Patil: Yes, I think it's a yes and no. I mean, it is always there. We have a lot of fixed price contracts now they are part, so relatively, it is a lesser impact as compared to if it was fully T&M . So yes, there will be some impact there. But I mean, I would now say that the way KPIT is working, I would not put it as an additional factor for the next quarter or so. But that's how I would put it.

Mohit Jain : Right. Sir, second was on margins. Now there, we are consistently doing better than the guidance as well, and you have hired a lot of people in this quarter. So should we expect like next quarter margins, and what is your view, say, over medium term? Will we continue on this upward trajectory? Or do you think now margins would be more or less stable and the focus will be on the revenue?

Kishor Patil: I think we have mentioned it many times that if we had to maximize just the margins, we have a big headroom. However, we continue to invest into growth. We continue to invest into technologies. We continue to invest into markets. And so even though , I mean, we have hired, it doesn't mean that the margins will go down or something like that. But at the same time, you should go with the guidance or outlook we gave for the year.

I would say that is more fair because whatever we have given an annual outlook, we choose to invest the additional money into growth areas for the future.

Mohit Jain : Sir, a little longer term, like directionally?

Kishor Patil: Directionally, there is a headroom to improve.

Mohit Jain : Okay. And one housekeeping, your payouts, which are pending in Q4? And if possible for FY 25.

Sunil Phansalkar: So there is one payout that will happen in Q4, which is PathPartner. It should be somewhere in the range of about INR60 crores to INR65 crores. That's the range that will happen. Then as we have said, for Technica there are a couple of payouts that will happen. Total is about EUR30 million over two years, 2.5 years from now.

So one of the payouts might happen in Q4 or Q1 and the other one, similar Q4 or Q1 of the next calendar year. So that is how it will happen for Technica.

That also should happen sometime end of '24 or beginning of '25. So these are the payouts that are remaining at this point of time.

Mohit Jain : Okay. And sir, last, if there is any update on the large deals we used to have this number a few quarters back. So in terms of pipeline, qualitatively, if you can tell us, there is something in the pipeline, should we expect something in the next few quarters? How is that coming up?

Sachin Tikekar : So, you can see that there is growth in the overall pipeline from the last quarter, and we are happy. Second thing is, given most of it is from our diamond and platinum accounts, our win ratio is also higher so that helps us. And as we put it in our investor update, all the large engagements that we announced are from our existing clients. And we believe that the three clients that we talked about, the somewhat newcomers, we believe that over the next few quarters, we'll see some growth. And at some point, our hope is that

at least one or two of them will get converted into long-term engagement.

Kishor Patil: I just want to add something, I will ask Anup to add this. So I may say that over the period, what we are giving to the clients, and that's what is really helping us is not individual offering, but the impact of connecting them, having multiple offerings and increasing the impact multifold because of the overall offerings we offer to the client.

So actually, that leads to additional revenues from the clients and whether there is one deal or one announcement, you don't have to look at it like that. But I think the opportunity landscape grows significantly. Anup, you want to add something?

Anup Sable: Yes. So some of the complexity that is arising because of significant changes in the architecture, we believe we are demonstrating now a combination of multiple independent offerings integrated together to create a much larger - a very credible way of solving the customer problem. So these kind of things we believe will create more opportunities for us with all the key customers. And we got a validation of this concept during this year with multiple customers.

Mohit Jain : Right. So what I understood is basically, we should look at the total large deals may happen, may not happen over the next two, three quarters?

Kishor Patil : Absolutely.

Moderator: The next question is from Girish Pai from Nirmal Bang Equities.

Girish Pai : Thank you for the opportunity... KP 11.

Moderator: Girish, we can't hear you if you're on a handsfree, request to use the handset.

Anup Sable: Yes, Girish. Can you speak up? You're breaking up Girish, we're not able to hear you.

Moderator: We'll move to the next question. The next question is from Abhishek Pathak from HSBC.

Abhishek Pathak : Congrats on a great quarter. So I had a couple of questions. Firstly, on the Americas revenues, they've been kind of flat over the past almost three -odd quarters. So just some color on what's happening there and we expect Europe and ROW to continue to -- stability? Or do you see North America return to growth in the short to medium term? That's one.

And the second question was just wanted to understand slightly more around the nature of the deal velocity rather. I mean FY23 was, of course, a phenomenal year. We had \$1 billion in deal wins. And so far, Y-to-D, we've been slightly slow. And of course, large deals, as you said, are lumpy and may or may not happen.

But if -- I'm not asking for a guidance here, but if I were to think about growth in '25 and '26, sustaining this pace of growth or coming in the ballpark of extreme high-growth trajectory, how dependent is that on maybe increasing our deal wins to maybe slightly higher than the current run rate?

And if no -- how fast do this growth expansion happens so that, that growth keep sustaining?

Sachin Tikekar : So let me cover the Americas part first. If you look at the year-on-year growth,

which is we believe is the right indicator to look at growth, it's pretty healthy. It's quite balanced across the three geographies. And in Americas, if you look at last year, what we think is it's seasonal, and I think the growth will come back. All the T25 clients there, we are having meaningful conversations with them. And then there are two or three that will add to the KPIT during the course of next few quarters.

So overall, we believe that America will be an area of growth for us, along with the other two. And there is nothing fundamentally that we see that is off as far as our engagements are concerned with these clients.

Kishor Patil: On the other part, I would say, for you to wait for a quarter, when we talk about that next year. But overall, we see a good environment, as I said. And we see good long-term trends from our clients. We see continued spending. Naturally, la

st year was an exceptional year so that may not be the benchmark, but we will still grow at a very healthy rate in years to come, KP 11.

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which we have been saying it. And we see that environment, and we'll give a more concrete outlook for the next year at the year-end.

Moderator: The next question is from the line of Abhishek Kumar from JMFL.

Abhishek Kumar : I have a question around fixed price contracts. It seems very counterintuitive that for us, when we do a lot of development work. Our fixed price contract has been going up. So I just wanted to understand the kind of contracts that we are getting into -- does it involve an outcome-based pricing, and therefore, implies certain risks that we might be taking up in these contracts? How should we -- how do we explain higher FPP when we are doing a lot of development work?

Sachin Tikekar: Abhishek, this is Sachin. As we go up the value chain and as we solve meaningful problems of our clients, at some point, it makes sense for them as well as for us to do it fixed price. We get better control, and the client can also depend upon us to solve a meaningful problem. Within that also, we bring what we call our platform tools and accelerators that can reduce the time to market, save cost for our clients, and we can also have more profitable kind of engagement. That's something that we have done over the years and that part has been increasing quarter-on-quarter.

And if you see from the risk perspective, we monitor our deliveries very, very tightly. Actually, all the performance parameters on delivery, they have been getting better over the last couple of years. So, yes, inherently, there are certain risks that one takes. But with the platform tools and accelerators that we have at our disposal, we believe that some of these fixed-price contracts do create a win-win for us as well as for our clients.

Abhishek Kumar : Sure. My next question is on the deal tenure. Our understanding -- at least my understanding is that the programs in ER&D tend to be smaller or of smaller duration. So for us, how do we understand the TCV to kind of -- TCV and ACV growth? Is there a significant divergence? Or given these are maybe smaller tenure deals, TCV growth is also in line with -- ACV growth is also in line with TCV. Any color around the duration.

Kishor Patil: Yes. It depends upon the client, but most of it, if I would say, the programs which we are working on, typically range from three to seven years duration. So that's how it is. I mean, typically, how the clients do. There are a few clients who're very comfortable, I mean, we have announced also in the past very long-term contracts, but I guess many of them would be about three years to seven years. Three years would be more common, but maybe go up to seven years.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities. KP 11.

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Sandeep Shah : Congrats on a consistent execution quarter after quarter. This question is slightly strategic long term and may sound basic. So I think if I'm not wrong, we addressed almost mobility, IT services and that too on a digital side. So my question is, are we addressing 100% of the spend, if not? And where are we in terms of the spend curve of our addressable market?

Is it still in high-growth phase or in a stable growth phase or it's in a mature growth phase? So do you believe, if it's in a high-growth phase, this may continue over maybe another four, five years in the long-term?

Kishor Patil: Yes. So I think we are basically, I will not say, it's all digital IP or etcetera, it would be very confusing. We are into engineering and development spend, ER&D spend for the client. That's what we define, a large part of our business. We are in a phase wh

ere, as you know, there are many reports which have come in the market. Even the revised report after, if I had to say, little softer environment talks about 8%, 9% growth every year in this spend. And so that's a pretty significant growth going forward.

As a company, as we go forward, we see many areas beyond the actual spend, which we can address for the client, which maybe -- because taking a higher share from the client of what they do, taking higher share from what the work they do with Tier 1s, doing a higher share in terms of creating a solution, which is more on the revenue side. So there are multiple areas we are seeing as we go. So overall, we believe we are in a very positive environment of spend.

Sandeep Shah : Okay. So in terms of gap in the offerings, any number you can put in terms of percentage that this much percentage of the target market still not addressed by us where we have gap in terms of service offerings, and which may add going forward on a quarterly basis?

Kishor Patil: I mean I wish I could answer that question. But let me tell you, we get surprised every time. So every three, four months, we find out a few areas where we could do something more and add value. Naturally, it may take a different time zone to mature those offerings. But I feel there is a headroom for us to build on.

Sachin Tikekar : And If you were to just go back a couple of years, the number of offerings that we have added to our kitty in terms of providing more broader solutions. And going forward, I think that would be our effort. And that's the continuous investment that Mr. Patil talked about earlier on. That's one area where we'll continue to make significant investments going forward.

Sandeep Shah : No. No, fair enough. Fair enough. And last question in terms of bookkeeping. There were two letter of comfort issue for the overseas subsidiary. So is it KP 11?

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fair to assume this is to optimize working capital in the overseas subsidiary and factoring means or bill discounting where we can optimize the collection faster than what we anticipate with a lower rate of interest?

Priya Hardikar: That is correct. And these letters of comfort are not issued for any guarantees or loans or any promoter related matters. These are specifically for subsidiary and our operations in those geographies.

Moderator: The next question is from the line of Hiren Ved from Alchemy Capital Management.

Hiren Ved : Congratulations to Team KPIT on another set of very strong results. My question is that as we see the Chinese to compete very aggressively by exports and price point, which is sort of bringing deflation to the electric vehicle industry, how do you see your customers in Europe or the OEMs in Europe and US, how are they behaving? Or how do they plan to counter that? And Related to that, is that -- does that open up opportunities for us to help these OEMs to compete better with the Chinese?

Sachin Tikekar: Yes, you're spot on in terms of your observation. If you just break it up into 2, first, we'll talk about Europe and the Americas because the impact is separate. Europe, obviously, everybody is feeling the heat. Many Chinese vehicles have hit the market and gaining market share. And if you look at what we are trying to do with our clients in Europe is precisely to engage with them in a more meaningful manner and make them competitive.

That's the point. And that's what Anup actually talked about earlier on. How do we take a holistic view, starting with, we look at their architecture and then put new vehicles on the ground, that will be very competitive. So that's the on-going effort. That's something that we've been doing for the last few years, and we believe, given the added competition, it becomes even more urgent to sort of help them to solve some of these problems.

So you're absolutely right whe

n it comes to Europe , everybody is feeling the pinch now. The case with the US is slightly different. None of the Chinese OEMs that we have talked to have plans to be in the US I think the geopolitical issue is the fact that there is a 20% tariff. So they don't look at US as a market. But when it comes to Asia, you see that their footprint has increased in most of the larger markets in Asia. And the story, what is true for Europe, is also true for the OEMs in Europe or in Asia who are serving the Asian market. There is a continuous effort to help them be more competitive. And that creates more opportunities for us. So that's really our take, Hiren , we are watching that market very carefully too. KP 11·

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And the whole thing we are looking at from China perspective since we are on the topic, there are two things. One is, what is it that we can learn from the Chinese OEMs and help our global OEMs making them more competitive? And secondly, there are gaps in some of the OEMs from China, especially when they have aspirations to be global, is there a role for us to play? So those are the two things that we are exploring at this point in time.

Hiren Ved : So if I understand on your second answer that do we see an opportunity in the Chinese market as well? And do you think that working in China would be as remunerative as working in the other geographies?

Sachin Tikekar: We are looking at China very, very closely. Unfortunately, for the last three years, it was difficult to go to China. So we couldn't quite go there now that for the last nine months or so, there is an opening, we have been seriously working on our strategy in China. But we do believe, like I said, there are two things that we want to do out of China. One is what is it that we can do for the OEMs in China. I think there is value that we can create, whether it's on the propulsion side or some of the other things for Chinese OEMs in China. And secondly, for Chinese OEMs who have global aspirations, how can we help them to be global because the standards are different in every country when they go out.

And the third part , these are two sides of the same coin. But the second part is what is it that we can learn from the Chinese OEMs that may be applicable to our global OEMs. So we are not only looking at China as a market, but also a learning ground in some areas to help our global OEMs.

Moderator: The next question is from Ankit Agrawal from Yellowstone Equity. Ankit Agrawal : My first question is on the sodium -ion technology. It seems like we are among the few pioneers globally. So I just want to understand like how differentiated and efficient is our technology? How much investment have we done so far on this? And what is so special about our results that we were able to crack this technology?

Kishor Patil: I won't be in a position to give some of the financial themes for multiple reasons. But I think if you really look at it, this is a long -term investment we have made out, over the last seven years. So it is not something we have done today or tomorrow. So we continue to make investments. So I'm sure we are making some investments, which technologies may come up to life after three , four years, and we have spent ahead of time. KP 11·

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So I think the key point is, first is, when we identified sodium as a possible chemistry, it was not very common actually. In the last two, three years, we started seeing it even in China now or outside it. The second is there is not really an Indian technology, which is pure Indian technology, which is at that level. The third is we have done it along with collaboration with the research institutions in India and build it over the time.

So naturally, batteries are more complicated technology. So there're certain parts which needs better understanding of other parts of technology beyond software and some parts of the engineering. So that's what we have done. So we believe this opens up a lot of things for us, and we are in multiple discussions. Because of the China issue, I think there are enough companies who are interested in that, and I think we will get a very big headway because we understand it in a very core way, the technology.

Now that's what I said we have not factored any revenue yet on that. But for sure, there will be opportunities for us in future when it is adopted, either as a technology or a chemistry by any of the clients, we will be in a much better position. I can only tell you that right now, we have done at lab plus level, the validation of the technology. And after that, then the investment cycle is very big. So that's where we had to see what business models come up. As a KPIT, we are not into manufacturing. So we will not make those investments. It is for a partner to do those.

Ankit Agrawal : Okay. Understood. And the second question is on the quarterly numbers. In the architecture and middleware consulting this quarter -- I mean, quarter-on-quarter, we have seen a decline in growth. Is this just the random quarterly noise? Or is there something to read into it?

Sachin Tikekar: Yes. As I mentioned earlier on, if you look at the year-on-year growth, if you look at the growth over the last two years, it's been phenomenal. And all I can say is the pipeline for the next year also looks very good. So we are on a sound footing for that practice, and we believe that it will continue to be an area of key growth for us.

Moderator: The next question is from the line of Gagandeep from Invest Analytics Advisory.

Gagandeep: Congrats for a good set of numbers. So my question is on the QORIX side. So are there -- what are the new developments that are happening on the company? That is one. And secondly, why the legal hurdles are taking so much time. I think in May '23, we started off and now also we are into the regulatory hurdles only. So is this going to be risk related to any kind -- like the QORIX will face any legal hurdles going forward? KP 11.

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Kishor Patil: The first thing is there's no legal hurdle from that perspective because we had to take a clearance form over six, seven countries because it's a joint venture. So, wherever ZF has the presence and KPIT has a presence, we have to go through all those countries, and it included some difficult countries also. I will not name them, some countries which are in war and some are otherwise, so et cetera.

So we have come a long way. There are a few clearances now we need in India, which we will do shortly. So there is nothing fundamentally problematic, this has taken undue time to our liking for sure and we are equally anxious in getting it done. So apart from that, I think there are a lot of positive moments in terms of technology and plans.

Anup Sable: But from a technology perspective, we have, as we work with more and more customers, especially on the advanced programs, the SDV programs, we have understanding of more and more challenges that come. And as a result, the product is taking up a direction, which basically addresses this problem which is of interest to the entire industry.

So we are in good discussions right now. The product is quite differentiated. And the multi-technology angle that we are bringing together, the fact that we are able to integrate it as KPIT, the fact that QORIX is itself now a product that has come out of a lot of learning in the industry, and the fact that Technica also brings a lot of understanding of network and platform specialty, I think that is turning out to be beneficial for the product.

Gagandeep: Understood, sir. That's good. And sir, we came across a disclosure from QORIX

itself regarding the collaboration with Qualcomm. So can you provide more details on the collaboration with Qualcomm Technologies for launching software packages for the digital platforms?

Anup Sable: It's, when we work on a platform software, sometimes it is called also as a middleware, there is going to be some very tight integrated work with the application processor or the SoC providers. And for that, there needs to be a tie-up, there needs to be a lot of information handshake that needs to happen to be able to make a good vertical integration ahead of time so that all the juice that the system on chip has is extracted and properly used by the platform so that the application developers don't really have to worry about many of the technical aspects.

So I think that is the reason why we require these partnerships. Qualcomm being in whatever position they are in the industry, we believe that it's very critical to have this partnership going and do some advanced integration

Gagandeep: So what is the market potential for software packages catering to these programs do we see?

Kishor Patil: I think QORIX, some point of time in the future we can say that, yes, as we formalize that.

Gagandeep: And sir, is there any update on the prospective client that the company was talking about in earlier con call with regard to QORIX?

Kishor Patil: We have won certain clients, but I guess give us some time, then we formalize the announcement once our JV gets done.

Gagandeep: Okay. Sir. And lastly, looking at nine -month revenue. So it seems that we will comfortably achieve 37% guidance in top line. So are you looking to revise our guidance for FY24 to upside?

Kishor Patil: We don't give actually quarterly guidance. We typically give a yearly guidance. Then if there is a substantial change, then we change it once in the year.

Typically, we do it at the end of the third quarter. But this time, there was a very big change, which was evident at the end of the second quarter, so we revised it. We have said 37% plus, right? And we have said that, but I think it's something which is not a big variation you can imagine.

Moderator: The next question is from the line of Nitin Sharma from MCPRO Research.

Nitin Sharma: Just one question. Is there any specific ceiling in terms of the revenue contribution that comes from your strategy client?

Sachin Tikekar: Can you repeat that question, Nitin, not sure whether I understood it.

Nitin Sharma: Yes. So is there any specific ceiling. So currently, your strategic clients are contributing around 85% of the revenue. Is there an upper ceiling that in mind that how much they can contribute to the total revenue?

Sachin Tikekar: Yes. I think, as Mr. Patil mentioned earlier on, the more we engage with them, the more areas that we figure out where we can create differentiated offerings and solve some complicated problems for them. So earlier on, a couple of years ago, getting to a \$50 million account was a big thing. And now we have \$100 million, I think a couple of clients have already passed that. So as we get more and more engaged with them, we see more and more opportunities for growth. So as of now, with some of these clients, we don't see a ceiling in the immediate foreseeable future. And that's really our model.

I mean, we just worked with a handful of clients so that we can build long-term partnership and continue to grow, create value for them so that they

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can grow and we can also grow with them. That's been the whole model for us, Nitin, if that answers your question?

Nitin Sharma: Yes. It does.

Moderator: The next question is from Sunil Rahul, who is an Individual Investor.

Sunil Rahul: Congratulations on the good set up. I just have two ques-

tions. What is your

current backlog -- total backlog? And what is the 12-month backlog? And is there any growth compared to previous quarter in 12-month backlog? And my second question is around the freshers. So how much is the time normally takes to get them on billables?

Kishor Patil: So on the freshers, we take three to four or five months depending upon certain areas. But three to four months is more likely, unless they really go through our desired level and productivity we don't put them on to the production programs. On the first part, we do not give any backlog numbers. And that's why we give the win numbers every quarter.

Moderator: Thank you very much. Due to time constraint, we'll have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Sunil Phansalkar: So thank you, everyone, for your participation on the call. And if you still have questions, please feel free to write to me, and we'll be happy to get back to you and have a great evening. Bye.

Sachin Tikekar: Thank you.

Moderator: Thank you very much. On behalf of Dolat Capital, that concludes the

conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines. KP 11.

Call: Apr 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

KPIT Technologies Limited

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May 03, 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

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Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir/Madam,

Subject: - Transcript of the Post Earnings Conference Call for the quarter and
year ended March 31, 2024.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Conference Call for the
quarter and year ended March 31, 2024 conducted on April 29, 2024 after the
meeting of the Board of Directors for your information and records.

The transcript of Post Earnings Conference Call is also made available on the
website of the Company. The link to access the same is as below:

<https://www.kpit.com/investors/policies-reports-filings/>

Thanking you,

Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande

Company Secretary & Compliance Officer

Encl: as above

"KPIT Technologies Limited Q4 FY'24 & FY'24
Earnings Conference Call"

April 29, 2024

KPIT

Management: Mr. S.B. (Ravi) Pandit - Co-Founder, Chairman

Mr. Kishor Patil – Co-Founder, Chief Executive Officer
and Managing Director

Mr. Sachin Tikekar – President & Joint Managing Director

Mr. Chinmay Pandit – Board Member & Head Americas

Mr. Anup Sable – Board Member & Chief Technology
Officer

Ms. Priya Hardikar – Chief Financial Officer

Mr. Sunil Phansalkar – VP (CF&G) & Head Investor
Relations

Moderator : Mr. Rahul Jain – Dolat Capital Markets Limited

Moderator : Ladies and gentlemen, good day, and welcome to the KPIT
Technology Q4 FY'24 Conference Call hosted by Dolat Capital.

As a reminder, all participant lines will be in the listen-only
mode, and there will be an opportunity for you to ask questions

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after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by
pressing "*" and then "0" on your touch-tone phone. Please note
that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat
Capital. Thank you, and over to you, sir.

Rahul Jain : Thanks, KPIT Technologies, for giving us opportunity to host this
Earnings Call. And now I would like to hand the conference over
to Mr. Sunil Phansalkar, who is VP (CF&G) and Head IR at KPIT
to do the management introductions. Over to you, Sunil.

Sunil Phansalkar : A warm welcome to all on the Q4 FY'24 and FY'24 Earnings
Conference Call of KPIT Technologies Limited.

On the call today, we have Mr. Ravi Pandit – Co-Founder and
Chairman; Mr. Kishor Patil – Co-Founder, CEO and MD; Mr.
Sachin Tikekar – President and Joint MD; Mr. Chinmay Pandit –
Whole-time Director and Head of Americas; Mr. Anup Sable –
Whole-time Director and CTO; Ms. Priya Hardikar – CFO; and
Sunil from IR.

As we do always, we will have the "Opening Remarks" by Mr.
Ravi Pandit. And then we will have the floor open for questions.
What we have done this time is we have uploaded a
Presentation on the exchanges, and I would request all of you
to, if possible, go and open that Presentation because Mr. Pandit
will take you through the Presentation. It's a very short
presentation of about #5, #6 Slides. Then he will talk about the
performance of the year and the quarter, and then we will have
it open for questions.

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So, welcome once again, and I will hand it over to Mr. Pandit
now.

S.B. (Ravi) Pandit : Thank you, Sunil. And I would like to welcome and thank all of you for your continued interest in our company. This call not only marks the end of the fourth quarter and the end of the year, but it also marks the end of a 5 -year period since we completely re-strategized our business. What we thought we should do was to first take a quick view about what has happened over the past 5 years and then look at the current quarter and the current year. And so, as Sunil has mentioned, our presentation regarding the 5 -year overview is already now on the exchange. You could certainly refer to that. And you can, of course, also refer to it later. I am going to take you through it, not in a word -by-word way, but to give you a broad overview about how the things have been, what we started with and where we have reached.

So, you would all remember the kind of an unusual decision that we took 5 years ago when we went through the merger, demerger process. You would recollect at that time, we were a general -purpose IT company and we decided that we will go through a restructuring, whereby we will create finally a new company, which is very sharply focused. And we did this exercise. We worked on it for a period of almost 2 years before we really launched it in Q4 of FY 2019, which is like 5 years ago. Now the purpose in that was to embark on a journey to be a global software company of the first order for the automotive and mobility industry. So, we decided that we would rather be a mile deep and an inch wide rather than the other way around. And with that in mind, our teams spent time together to come up with our new vision and new mission. We defined our new KPIT Technologies Limited
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vision as reimagining mobility with you, you meaning the clients, our employees, our investors etcetera, for creation of a cleaner, smarter and safer world.

So, the focus we decided would be squarely on the area of mobility. And we said that with this sharp focus, we can become the leading software integration partner for the mobility industry. And our motto was to know software better than any automotive OEM and to

know automotive better than any other software company. And that was what we started with, and we believe that, that enthused our team of passionate automobile believers to really go way forward. Now with this vision and mission, we decided that what would be our strategy. So, our strategy was how do we create a culture of excellence by really looking at the 4 pillars of making this company really the leaders.

One is we will not work with a lot of clients, we will focus on strategic relationship with a few clients. Then we said we would like to really become leaders in our defined practices and platform businesses. So, that was relating to what is it that we will offer to our clients. Then since our clients deliver products which weigh over a ton, which travel like more than 50, 60 kilometers per hour, it was important that we delivered absolutely zero -defect products. So, we focused on good delivery. And of course, none of these can be done unless you have a good set of people working with you. So, we said we will strive to become the best place to grow.

Now that was the beginning. And I want to take you very briefly to each one of the 4 things that we have worked on until now.

So, having strategic relationships with clients, that has been our first major point. So, now we have 6 global OEMs with whom
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we have been working for more than 17 years continuously, 4 OEMs, with whom we have been working for over 12 years and another 7 with whom we have been working continuously for a period of 7 -plus years.

Our strategy of focusing on only a few clients so that we understand their needs better, so that we are able to service them better, so that we are able to take them into their future in an industry where so much is changing. I think our end customers really look forward to a partner who will be very sensitive to their needs, who will be perceptive about their future needs. And that is what we have been able to do with a very sharp focus on a few clients. So, now the strategic clients contribute to more than 85% of the revenue and more than 90% of the growth. So, this year shows ample justification for our focus on the clients.

The second pillar has been the pillar of becoming a leading company in practices and platforms. So, we not only have focused on some of our old practices such as powertrain, ADAS, but we have also built now key practices such as the software - defined vehicle middleware, the electric powertrains, autonomous and connected vehicles. And these practices have grown. So, you would notice that our last year provided balanced growth across multiple practices, and we continue to add more and more practices as time comes.

Then the third one, as I said, was global delivery model, delivering on zero defects. And specifically, to be able to run key strategic programs across multiple domains. We have now been able to set up delivery centers, not only in India but also in major countries like U.S. or Germany. We now have centers in India, in Munich, in Spain, in Tunisia, in Detroit, in China,

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Bangkok, Japan and Egypt. So, wherever there is a need for an end client, wherever an automotive industry does research and development or wherever there is good quality talent available for this vertical, that's where we have opened our centers.

And lastly, in terms of becoming the best place to go, we now have a team of around 13,000 automobile believers, probably the largest in the world, focusing on embedded software for the automotive industry. And as you would notice through our various presentations, we have been able to attract and retain good quality people. At a time when retention has been a problem, our attrition levels for the best of our people has been in higher single digits. And I believe all of that is on effect

tive

delivery or execution of the goals that we set up.

One of the goals that we looked at was to have appropriate technology partnerships. And you would have read some of the announcements that have come in this regard. Not all the customers give announcements, but some of our customers who have given announcements include Honda and Renault. And you would recollect earlier, even BMW had given the announcement. So, we are very near and intimate partners with these companies. We also have worked with Technica Engineering to accelerate the process of transformation through the software -defined vehicles.

As you would also know, during the last year, we made an announcement of working with ZF, joining hands to promote an independent company called QORIX to build scalable automotive middleware platforms. So, these have been some of the actions that have been there on the technology partnerships.

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The proof of the pudding has been the kind of growth that we have had over the last 15 consecutive quarters. So, beginning with Q4 of FY'19, when we took this, I should say, momentous decision, when our quarterly top line was \$71 million, now we are at \$160 million. At the beginning of this period, our quarterly EBITDA was Rs. 0.6 billion, now we are at Rs. 2.7 billion. Our EBITDA percentage has gone up from like 10%, 11% to 20%+. So, I think our commitment to deliver on a focused strategy has yielded not only the results in terms of serving our customers, but also has helped us in giving good financial performance. Now how do we see the future :

Now I am sure there are questions about how do we look at the future with the kind of growth that we have had in the past. I think it 's important to remember what kind of conditions through which automotive industry is going. So, it's a continuously evolving industry with some specific changes that are happening now and have happened in the near past. All the OEMs are now really looking forward to creating lifelong relationships with end customers. They want to provide immersive digital experiences and create multiple sources of monetization for them. They also want to increase their business efficiencies, reduce their cost of the product, increase the speed at which new products will be brought in and also increase the scope of collaboration with the new partners, including the companies like cloud companies or semiconductor companies.

So, these factors actually create a substantial headroom for growth in the automotive industry. And with a view to service in this industry, we are creating new offerings to the present technology solutions. We are also increasing our investments in

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various geographies. Over a period, of course, we will look at adjacencies in the overall mobility space because today, we have really scanned the surface of the mobility space with only the automotive industry, but we see possibilities in the IFE and other mobility sectors. We believe that they will also have good opportunities for growth. I must however stress that the headroom in the automotive industry is still quite big.

So, this is where we are. This is how we see forward going forward.

So, what is it that about our commitments , what are our commitments :

Our commitments to our clients is to help the OEM transform their business models, to be an integrated independent software integration partner for their core areas of electrification, autonomous as well as connected vehicles, become their core partners in software -defined vehicles because that is really a major change in the automotive industry and in the common middleware platform transformation.

Our commitment to you, our investors, is financial and governance sustainability, our relentless focus on enhancing customer value and doing appropriate capital

allocation and

enhancing shareholding returns. To our employees, our commitments are the newer and exciting technologies to work on because our employees really are the foundation of our growth. We also have our commitment to them for long -term incentivization and an ability to work with the best clients in the world.

Finally, there is a commitment that we are making to the world,

and that is something which is very dear to our heart. And that 's
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the commitment that we are making to environmental and social sustainability. And that 's an area that we have been very passionate about for a long, long time. We are also equally passionate about our community services, where we focus on environment, energy, education and all of this through employee participation. We would like to be a responsible corporate citizen in every country in which we operate. So, this is really a quick overview about where we started 5 years ago and where we see we are as of now .

I would now like to turn to the current year :

I trust you all have got our investor update, so I am not going to go through all the items in detail, but I would just like to cover some headline items. So, as you would notice, our revenues in this quarter grew 27.5% in constant currency terms and 28.5% in dollar terms on a year -on-year basis. Our sequential growth was also very good at 5.1% in constant currency terms and 6.6% in the dollar terms. The growth was led by middleware , connected and autonomous domains. However, I must add that all other practices also had a good growth.

The growth was broad -based across multiple geographies, and there was a strong sequential growth in passenger car as well as in the commercial vehicles. The strategic accounts to which I referred to earlier, contributed to 86% of our total revenue in Q4, which translates into 39.6% year -on-year growth and 8.4% quarter -on-quarter growth. So, our focus on these accounts has been quite sharp.

We also had healthy deal wins of \$261 million during the quarter. When it comes to the entire year of FY'24 , our revenues grew 40% in reported dollar terms and 39.1% in the constant
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currency term. The organic growth was 32%. The absolute revenue at FY'24 stood at \$587 million. The growth in FY'24 was quite broad -based, again, led by middleware , connected powertrain and autonomous domain.

The growth was led by passenger car vertical although there was also a double -digit growth in the commercial vehicles as well. The growth was broad -based across multiple geographies, with Europe and Asia leading the growth. Strategic accounts contributed to 85% of the total revenue for FY'24 as a whole, which translates to 44% year -on-year growth from the earlier year. We started FY'24 with an outlook of 27% to 30% constant currency growth and EBITDA margin range of 19% to 20% . At the end of Q2 of FY'24 , we increased the outlook, you would recollect, to 37% + constant currency growth and EBITDA margin of 20% +. With 39% constant currency growth, I am happy to tell you that we have done better than our increased outlook for the year. Even our EBITDA margins have been better than what we had committed.

Coming to profitability :

Our EBITDA margins for Q4 stood at 20.7%, which is an increase of 160 bps over Q4 of FY'23 margin. The absolute EBITDA grew 40% year -on-year and 5.6% quarter -on-quarter. This is as far as Q4 is concerned. The net profit in Q4 grew 47% year -on-year and 5.8% quarter -on-quarter. The net profit margin in Q4 was 12.5%.

Looking at the year as a whole :

FY'24 EBITDA margin was 20.3%. EBITDA grew a handsome 56%

over the last year. The net profit growth also came to about 56% over 23% with a net profit margin at 12.2%. Our increase in KPIT Technologies Limited
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profitability was also matched with increase in the cash flow, although I must add that during the year, we had significant outflows on account of acquisitions that we did. The net cash balance at the end of the year stood at Rs. 8.5 billion as compared to Rs. 5.8 billion at the end of the last year, an increase of roughly Rs. 2.6 billion.

Looking at the cash flow and looking at the growth requirements going forward, the Board today considered the decision relating to the dividend, and the Board has approved a final dividend of Rs. 4.6 per share. And this is, of course, as you know, is subject to the approval of the shareholders. And this would take the dividend to a total dividend of Rs. 6.7 per share, which is a 63% increase in dividend per share and results in a payout ratio of roughly 31%. You would recollect that a few years ago, when we announced our dividend policy, we said that over the years, we would like to continue to increase the dividend payout ratio.

Now I am sure you would all like to look at what is the outlook for the next year.

So, our constant currency revenue growth, we believe, should be in the range of 18% to 22% and an EBITDA margin of 20.5% +. Revenue growth will be broad-based across practices and geographies.

In FY'25, we would invest in technology areas like cross-practice offerings as well as AI adoption. Additionally, we would also focus on Asia geography. People emphasis would be on leadership and competency development plus productivity improvement. The Board has also approved an ESOP scheme for our employees. We believe that this will further strengthen the long-term incentivization for our people.

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The ESOP costs and other long-term incentive costs will be roughly in the region of Rs. 100 crores for FY'25 alone. The EBITDA margins that I talked about a little earlier are after considering these costs. So, you would understand why after a revenue growth of 18% to 22%, why is it that we are still looking at a more or less stable EBITDA margin. But we believe that the investments that we are making in these areas will help us in our long-term growth.

So, this is about the outlook for the FY'25. I trust I have covered most of the issues that you had, I am sure, concerned about, and you have questions about. And we will be all very happy to take any further questions that you may have. My entire Management Team is here with us. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah : My first question is specific to the quarter. We've, again, done sort of 4.5% to 5% growth quarter-on-quarter. Most of our peers that are focused on the transportation vertical listed in India seem to be doing sort of between 0% to 2% quarter-on-quarter growth specific to the transportation vertical. So, just trying to understand consistently, what are the factors that are helping us perform slightly better than sort of the India-based peer group in the vertical?

Kishor Patil : Yes, Chandru, I think looking at the numbers, I guess you would

agree that it is reasonably better than most of the other peers. And it is just by focusing on the strategy we have talked about. I guess the area of new technology, areas of deep relationships, trusted partnerships with the client. And of course, the substantial deal wins in the past as well as during the quarter.

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So, that really helps us to really deliver on these numbers. And we do believe that as Mr. Pandit mentioned, we are going to double down on our multiple offerings, which will help us to further get the benefit of the client spend in these areas. And that basically gives us confidence about thi

s growth, which has happened in this quarter. I think it is roughly 5% CQGR actually going forward.

Chandramouli Muthiah : That's helpful. My second question is related to the deal wins this quarter. Congratulations on the \$261 million of deal wins. I think over the past 6 quarters, we have had 2 quarters where deal wins have been in excess of \$200 million. And in both those quarters, you had called out \$100 million -plus mega deal wins.

So, just trying to understand if we have sort of a mega deal win in the deal win announced this quarter? And if there's any color on that, sort of which sort of vertical it's from. Is it middleware?

Is it core software integration? Any geographic color as well where you sourced that sort of deal, that would be very helpful.

Kishor Patil : So, this is a pretty broad-based growth we are having in the deal wins, but if I were to talk about top two wins during the quarter, one is in from Asia, one is in from Europe. And both are significant. The Asia one is in the area of SD V and the Europe one is in the area of integration. So, both these deal wins are substantial, and it is in the area of the clients we work with and we basically furthering what we have been doing them into the next phase of SD V.

Chandramouli Muthiah : That's helpful. And my last question is just specific to the announcement you made on the margin guidance. So, congratulations to all the employees of the company. And just related to the ESOP cost, you mentioned that in FY'25, we could

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have close to Rs. 100 crores of cost provision there. So, just trying to understand in FY'24 what that ESOP cost number would have been, just to try to sort of map the journey from FY'24 margin to FY'25 margin, if you were to adjust for that.

Kishor Patil : It will be very minimal, maybe 10% of what it would be in FY25 in terms of the incentives and the cost in the earlier year. So, it's a substantial cost during this year we have committed to. Naturally, as you know, that we had given ESOPs during the COVID time actually. And those came to end, that was in this March. So, we have given the fresh round of ESOPs to key performers and the potential players who we expect to play a significant role in future. So, because it was at the end of the earlier cycle, it is minimal. It was, I would say, about 10% of this amount.

S.B. (Ravi) Pandit : So, Chandru, this has been like a new scheme that we have announced in the framework that we had already decided. So, this really brings in a lot more newer people into the gamut of our ESOPs.

Moderator : The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : Congratulations on a solid quarter, solid year, great guidance. So, a couple of things. So, one is from a guidance

perspective, when we give a guidance, it's based on the deals that we have already won. And are there some assumptions on certain wins you expect in the future for that guidance number? And second is how does the large deal pipeline look like? And are we baking in any of those, if any, into that? Just two broad things to start with.

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Kishor Patil : So, when we give the guidance, I think we look at naturally what is the business on hand. And of course, we look at our pipeline, and we have naturally categorization of the pipeline and where we believe that there is a substantial higher probability of building. Those are intact. That's how we have done in terms of guidance. Naturally, it is not only based on what we have already in hand and what we have done, it takes into consideration high probability wins, and engagements we would have.

Nitin Padmanabhan : And how does the large deal pipeline look at this point in time? And I think on the earlier question, on the deal wins for the c

urrent quarter, well, there were 2 significant deals.

Would you classify it of the size that we won earlier of the \$100 million odd? Or it would be much smaller than that?

Kishor Patil : Yes. I think these are significant deals, that I can tell you. But I think what we have said is our business is more based on continuing trusted and strategic engagement with the existing clients. Some of them really, they package it as a part of a large deal. Some don't package it as a part of a large deal. In both these cases, it is our existing client and the current practices I mentioned about it. So, I would not like to give the numbers yet, but they are upwards of \$ 50 million.

Nitin Padmanabhan : So, that's helpful. The other thing is from I think we spoke about this last quarter as well on QORIX, right? So, this quarter, we were supposed to start out business thereafter regulatory approvals across countries. How is that going? And how should we think about that business from revenue and margin contribution? How should that flow through? And how has the experience been post start off of the business?

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Kishor Patil : So, first thing is, right now, it is all part of KPIT. We are waiting for all the regulatory approvals. I mean everything has happened, so it should happen soon than later, but it is subject to regulatory approvals now .

Now we are ultimately very close to the closure. So, the leadership team is in place. We already have hired all the COO, CTO, some key teams, engagement team, et cetera. On the product side, what is happening, maybe Anup Sable will share.

Anup Sable : Yes. So, the product development, we have a road map. There is a milestone associated with this road map that we are delivering. We are on time on that. The engagement is going to happen global. So, in all the 3 geographies, that is Europe, Asia as well as in USA. And the current management team is focusing on those activities, even the product management team is in place. So, all things going fine, except for the regulatory parts now.

Kishor Patil : And to your point, as we had mentioned basically, what it means is a significant key part of the technology will be with our clients, whoever adopts this. So, the work we expect in KPIT will be largely in the integration work for the platform. But it will take some time because I think the companies will source it and then we will get into the action.

Nitin Padmanabhan : Sure, very helpful. If I can just squeeze in one more. On the ESOP cost, how much would be the dilution from this and what is the vesting period? And after this Rs. 100 crores in year 1, how should we look at year 2, just from this element actually?

Priyamvada Hardikar : This is Priya. Dilution will be very minimal because we already had available shares in the trust for this scheme. It will be less than 0.2% for this kind of grant that we have announced.

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In terms of vesting period, it is our standard process of 3 years vesting period, and employees will have further period to exercise the same. In terms of the cost, as per the accounting standards and Black and Scholes model valuation, the maximum cost comes in the first year. We will see how the cost now tapers down in the second and third year subsequently.

Kishor Patil : But there could be additional options we may give in the second round, though it may not be of the similar level, but some of the entities we have acquired and some of the key staff, we may still give next year to some extent. But difficult to predict, I think. We'll say later part of the year, we may be in a position to give some idea. But it won't be at this level for sure.

S.B. (Ravi) Pandit : And even at the current level, it's not a very significant dilution as far as the existing shareholders are concerned.

Moderator

r : The next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta : A couple of questions. Firstly, I remember last time, you were talking about engagement with 3 clients, one each in U.S., Europe and Asia. So, are these 2 deals which you have announced this time part of those 3 engagements that you were talking about? Or are these different clients? So, just some clarity on that.

Kishor Patil : I think some of them are from that. I mean, as I said, we have a set number of clients. So, we are winning only a set number of clients. We are not going anywhere else. The only one thing I can tell you that a large part of our growth has been in the diamond accounts. Until now, the large part of our growth has been driven by diamond accounts. Now we are focusing on platinum and gold accounts also to expand further, because

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there is a right opportunity for them to engage with them more meaningfully. So, some of these clients are from that set of clients.

Bhavik Mehta : And secondly, just going back to the ESOP cost, I understand that typically, first year costs are way higher. But any broad sense of whether are we taking 50% or 60% of the cost in year 1, because the vesting is just 3 years and typically for other companies we have been vesting over 5 to 6 years. So, I just want to get a sense what should we assume for FY'26? May be rough sense will be helpful.

Priyamvada Hardikar : Around 60% is generally the cost that comes in first year, but we are still in the process of actually calculating it, but that is how generally it pans out.

Moderator : The next question is from the line of Yogesh Aggarwal from HSBC. Please go ahead.

Yogesh Aggarwal : Couple of questions. Firstly, from a longer-term perspective, let's say, over the next 3 years, this year is likely to be the peak year of R&D spend for all the European OEMs. And from next year, it's likely to be flat. So, I was curious, how do you guys relate your growth? Is it largely driven by increase in outsourcing and offshoring? Or do you guys worry about the

absolute growth in R&D spend in your clients? That is one. And related to that, over the next 5 years, let 's say, you have to be \$2 billion, can it happen with the existing client base itself? Or at some point, you will have to open up and go for Tier-1 suppliers and some of the adjacent areas?

Kishor Patil : So, first thing is we are not seeing that and all the reports at least don 't say that the R&D growth will be flattish. It will

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continue to grow. I have in the past explained that there are 2 buckets of the R&D or engineering spend, actually, if you should call it more appropriately.

There is one on the areas of future which are like SDV and plus, plus, plus. Also the different business models, the after -sales transformation and many such areas or safety, security, those areas. And the next one is about the number of programs they have been doing over the last many years, the last 12 years, if those programs are like. So, as the days pass by, they are cutting down and bringing the efficiency on the old programs and continue to invest on the future. So, that is the part. And KPIT is, I mean, significantly focused on the future spend area, future technology area. So, from that perspective, we do not see that.

The other part is there are multiple opportunities in this area, which is in terms of cost cut, if I had to call it out, kind of a thing people are looking at reducing the supply chain , revisiting the supply chain to reduce the cost or different areas in terms of manufacturing. And so two things. First is we are looking at new practices, as I mentioned, which is companies we will invest and we are, of course, looking at them or already invested into many of them.

That is point number 1.

Point #2, as we talk about the Tier-1 suppliers, there is a separation of hardware and software, which clients are looking at. And that ownership of software will come to really a pure - play software integrator like KPIT , not to any generic software integrator , which can own the whole program. And that is something 'we have done in the past already in a few areas, and we see that also as a big area.

Anup, you have anything to add.

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Anup Sable : Yes. If you look at the new generation and what needs to be achieved in the new generation, it 's that large part of the changes in the passenger vehicle experience of the consumer , is going to be through software. For that reason, the architecture is going to change. For that reason, a change in the ownership of the software in terms of the OEM owning most of the software. And for that same reason, there is going to be a change in t he dynamics of how the OEM wants to work with their own teams, how the OEM wants to work with the Tier-1s and how the OEM wants to work with very, very specialist integrators, software integrators like KPIT, and we believe that this year, we are already ex perienicing this. And going forward, there is going to be more and more such shift happening for which we are very well positioned.

Yogesh Aggarwal : This is helpful. But in your long -term planning, let 's say, 3 years, do you do assume growth in the engineering spend in your clients? You 're not expecting a flattish R&D spend?

Kishor Patil : Yes. So, we are seeing still significant growth from our current client. But as Mr. Pandit mentioned, so first, we are looking at also scaling up of our, I mean our current customers, our

diamond clients will continue to grow. That is the point number 1.

Number 2, we are also expecting a higher growth from platinum and gold accounts, which, if I have to say, have been a bit late in rolling out some of these technology and programs. So, that is the second.

Third is we are also looking at adjacencies, which very much would use what we have been providing, the same practices, but naturally different use cases for in case of industrial farm equipment sector. So, that is another one. Last but not the

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least, I've added that in our T25, we had minimal set of clients from India, China, which we will pursue. So, this is how we intend to do it for the next 3 years.

Yogesh Aggarwal : And then another quick one, in '25 next year, there are big emissions impending in Europe. And usually, a year before that, there is a lot of work around validation in some of these areas.

Is that an area of KPIT that gets business and some of the tailwinds on revenue?

Anup Sable : So, from an automotive cycle perspective, this is a standard operating procedure. Yearly programs and yearly activities keep on happening when we have relationships with our customers that work obviously comes to us in terms of making whatever changes are required. So, while we are pursuing with our SDV and new technology areas, these continuous changes work on the existing programs also keeps on happening and we keep on doing it.

Yogesh Aggarwal : Just lastly, in case you guys can confirm, the Renault deal you mentioned on the presentation. Is it more around ampere or horse side of the business?

S.B. (Ravi) Pandit : We prefer not to discuss more details with individual customer account.

Moderator : The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal : Congrats on the good set of numbers. My question is on the QORIX side. Like last time, you mentioned it will take 1.5 months to get all the regulatory clearances. So, now what is the exact status, how much time it is still going to take? And what is the exact hurdle th

at we are facing in not getting that?

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Priyamvada Hardikar : So, we expect that it will be done very soon as Mr. Patil mentioned, most likely in the current quarter, that is April to June.

Garvit Goyal : So, what are the exact hurdles, actually? I want to know that thing.

Priyamvada Hardikar : Yes, multiple regulatory hurdles, because the joint venture is based out of Germany, so Germany jurisdiction regulatory compliances. Since the JV partner is KPIT India, so we had to go through the Indian legislative compliance also. There are quite a few, FEMA, RBI, in terms of merger control. So, significant amounts of legal compliance.

Kishor Patil : And we have gone through merger control for 6 countries .

Garvit Goyal : So, in this quarter, it is likely to be there, right?

Kishor Patil : Yes.

Garvit Goyal : And secondly, sir, like there is a news regarding the formation of JV between Tata Technologies and the BMW. So, how is it going to impact KPIT 's existing partnership with BMW? Are there any potential risks of market share loss or any missed opportunities for KPIT due to this collaboration?

Kishor Patil : Yes. I think the people who have been following us properly, we have been explaining this, because similar question came in case of Honda, there was one relationship. I would again explain and please try and understand this, because there may be more also like this. See, every client, every OEM plans 30% to 50% for engineering spend internally, so as a captive in the sense of locally. And there is always 50 % to 70% which it outsources to specialist player.

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Now when they have to do this like a 30% to 50% spend internally, there are multiple ways in which they build. They build locally where there is, as you know, the talent availability an issue, then they go into multiple geographical areas. And they try to build it in a different model. Some cases, it is build, operate, transfer. In some cases, control JV and that kind of a thing.

Now for example, in case of BMW, they already have 4 JVs, one in South Africa, one in Portugal, one is in China, one is in India. So, these are basically to build their own centers. So, we focus on the high -end specific outsourcing opportunities. So, that does not get impacted. And also, most of these are also in IT and in this specific case, IT plus engineering R&D. We are not involved into IT. So, anyway, this would not impact our share of spend, which is more in the outsource d bucket .

Garvit Goyal : That's fine, sir. And sir, in light of the Hyundai 's recent announcement of the software -defined everything strategy, so that is similar to KPIT 's software development expertise for OEMs. So, could you share any ongoing discussions on the potential negotiations with Hyundai for future collaborations, akin to those like we have for Renault and Honda?

Kishor Patil : So, we would not like to comment on that.

Garvit Goyal : And sir, one more question, last. We guided for 18% to 22% kind of organic growth for this year. So, are we currently looking for any inorganic opportunity that will make up for further growth in another 25%?

Kishor Patil : I mean, yes, I talked about the areas of opportunity. We look at it, whether it is in terms of new practice areas, new technology areas or new geographies. So, we will continue to look at the KPIT Technologies Limited

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right one. As you always know that we don 't look at any acquisition for pure growth or client access because we are very confident or we have an access to all the clients.

Second, we have a very strong positioning in terms of most of the offerings. So, only in case where we believe that there is a strategic value proposition, either because of the talent or because of a certain technology or limi

ted access to protected market, then we would go for it.

Moderator : The next question is from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal : Congratulations on very consistent execution. So, 2 questions from my side. Firstly, on the spending. So, incrementally, amongst the various areas like SDV, middleware, electric power train, autonomous and connected, which are 1 or 2 areas which are driving the lion 's share in terms of the incremental spending from OEMs? Or do you think it is pretty broad based in nature?

Anup Sable : I will explain why the changes are happening and then the answer will be there. So, if you look at the changes in the architecture and the centralization of the architecture, in the wave of the OEM wanting to take control of the software,

because the changes have to be made faster to the software to respond to the consumer requirements.

If you look at this change that is happening, this is driving fundamentally all the domain areas to come together. So, it's very difficult now to see which domain is which feature. So, if you look at any car feature, you 'll start seeing that it is actually integrated with each other. And that is why all of these broad - based development and growth will be happening now.

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Karan Uppal : Got it. Second is on the competitive intensity. So, we have recently seen Tier-1 IT services players acquiring Germany - based auto R&D companies. So, does that in any way increase the competitive intensity which may affect us in medium term?

Kishor Patil : Yes. And total spend is \$ 70 billion R&D. And actually, outsourcing, there is an increase in the trend by these people. So, if these companies buy another service provider, I will say, naturally, there is a reason for these companies to capture some part. But we are very confident in the areas which we are in the new technology in which people are investing , will continue to have adequate spend.

Karan Uppal : Okay, sir. And just one more question in terms of the split of business with OEMs versus Tier-1s, would you like to give what 's the split of yours?

Kishor Patil : I mean our whole strategy is about OEM. And the Tier-1 who are a part of providing a solution to the OEMs, so as I always said, so we look at OEM as the end customer and then we work with the clients who basically service the OEMs. But very significant part of our direct revenue is from OEM. And in most of the cases where we work with Tier-1, it is because of the OEM direction to the Tier-1 to work with KPIT.

Karan Uppal : And just last is on the supply side. So, given that most of your pure-play R&D players as well as Tier-1 IT services vendors are getting aggressive in auto R&D given the growth in this market. So, does that in any way impact us in terms of talent management, in terms of attracting freshers, laterals as well as retaining the top performers. You spoke about the ESOP scheme, but anything further on this?

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Kishor Patil : I mean number 1 is very few companies are hiring right now during this year for campuses. So, we are fortunate to have a really top talent, better talent than what we had in the past. So, that is 1 part. Certainly, there are these captive centers which are coming up and which will have some fresher hiring or certain type of talent hiring at some level. But I mean wherever we are working with the client, client is also cognizant of the fact that ultimately, otherwise it can impact its own projects. So, we don 't see any significant impact in most of the cases in that part.

And our attrition, as Mr. Pandit mentioned, is in the single digit currently. So, it may go up by a couple of points is what we factored in our planning. But we do believe that the excitement of working with a leader in t

his area, the respect we get from the client, the thought leadership which we have , the exciting technologies and the clients they work on and a variety of projects they work with is unmatched elsewhere . And the last, but not the least, as we talked about, the best place to grow, this is a more attractive proposition as compared to most of the clients. And we have a very significant part of the talent coming back from the past employees every year. So, we are in

a good shape on that.

Moderator : The next question is from the line of Abhishek Kumar from JM FL. Please go ahead.

Abhishek Kumar : Most of my questions have been answered. Maybe just 1 question on the top 25. I just wanted to understand how you define your diamond, gold, platinum clients. Is it the R&D spend that they have? Or is it the vintage of our relationship with these accounts? That's the first question. And then I have a follow-up.

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Kishor Patil : Sachin, are you on the call?

Sachin Tikekar : This is Sachin. It's a combination of 5 factors, the 2 that you mentioned. So, essentially, where are they in the ecosystem? What is their standing? What is their overall spend? What is our relationship with them? What is our potential for headroom to grow as a strategic partner? And of course, over the next 3 years, what kind of revenues we can expect from them?

So, it depends on the set. It's a combination of these factors that make up the T25 that consists of the diamond, platinum and gold accounts. So, there are about 7 or 8 of them in each category.

Abhishek Kumar : So, the next question is, let's say, in our penetration the diamond client is extended. Where would be that penetration in some of the other categories? And what will it take for us to bring that penetration up to where diamond clients are?

Sachin Tikekar : As Mr. Patil was saying, over the last 2 years, the bulk of our growth has been through the diamond clients. And some of them will continue to grow for us for years to come. However, there is now an opportunity for us to create the same kind of headroom and deliver the same kind of value to some of the platinum and gold accounts. So, the headroom is different from client to client based on their strategy and our ability to create value for them. But across gold and platinum, there is quite a bit of headroom for us to cover.

Abhishek Kumar : So, essentially, with the same set of clients, we should be able to sustain a 20% plus kind of growth for possible near future future?

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Sachin Tikekar : That's the plan. And as you would imagine, there is always a 10%, 12% sort of turnover within that. It's not a stagnant list.

About 10% of the clients, maybe 2 or 3 change every year, but the bulk of them remain the same. So, we add maybe 2 or 3 every year. As our business mix changes, it also changes. Mr. Patil mentioned earlier on that the last 3 or 4 years, most of the business growth has actually happened on the back of OEMs.

So, some of the Tier-1s and all of those have dropped off from the list and more and more OEMs have come as part of the T25.

Moderator : The last question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil : Congratulations on a very strong quarter yet again. Sir, the first question is on this slightly macro-level question. The current pivot that we are seeing, slight pivot that we are seeing to hybrids, do you see the same intensity and rigor from the OEMs who are looking to develop hybrid models and the Tier-1s as well? Do you see the same intensity and rigor on software spending from them as well as compared to EVs?

Kishor Patil : Let me just answer that question. Number one, there will not be one solution which companies will go for. So, there will

be
battery electric, there will be hybrids and there will be a few

other parts like fuel cell, et cetera, so that will continue to add. So, companies will have multiple models and technology in their electrification journey. That is point number one. Everything has its own purpose and a different market segment. I mean, if you look at one of the matured countries like China, their BEV sales are very high, but hybrid sales are also much more than that. And one of the reasons has been the charging infrastructure in the rural areas. So, one is the charging infrastructure and the mindset about the consumers there. So, KPIT Technologies Limited
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that's what has happened. Now if you go to somebody like Toyota, their mindset is very different. They look at how much, if I have to say, they can create a sustainable solution by given limited raw material. So, for every BEV, their view is they will create 7 or 8 hybrids. So, every company comes with its own thinking and there are different mindsets.

But one thing is for sure, so there is no one product, there are multiple products which will come in the market. Europeans have completely focused on battery electric, same is in U.S. Now they have realized that they have to also look into the other parts. As with KPIT, I mean they will continue to focus in terms of electrification. So, that is there. And any new areas, which is hybrid or anything, they are actually more complex in terms of technology and integration. And we have expertise and ability to do those.

S.B. (Ravi) Pandit : So, now coming to your question whether there is going to be more spend on R&D when it comes to hybrid vis -a-vis full electric. See, there are some spends which come in when it comes to hybrid and some that go out. So, typically, as you know, in the case of a hybrid, you have both an IC engine as well as a battery. So, the integration of the two, the switching of the power from one to the other is something which is unique as far as the hybrid is concerned.

When it comes to the battery electric, there is more investment on how you do charging. Because typically, in the case of hybrids, the charging is on account of regenerative charging. So, there are different areas in which the spend happens in terms of R&D. We don't expect to see any significant drop in R&D spend when the movement is from full battery electric vehicles to a hybrid electric vehicle.

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Vimal Gohil : Sir, lastly, just briefly, you spoke about China, and we're wanting to sort of explore that market. What are the kind of investments that we are looking to make? When I say that, what I am looking for is what is the approach that we will have? Are we going to approach this market very differently? Because the cost basis over there is very different to the clients that we've been working with. So, if you can just highlight your approach over there.

Kishor Patil : So, at a high level, we are only in the phase where we are crystallizing the strategy. And as we will have some specific details to share, in the due course of this year, we will share. But two things we are looking at, Chinese OEM in China, Chinese OEM for global markets, global OEMs in China at a high level. And we will have multiple strategies to address a different set of OEMs, which are more advanced, which are catching up, differently. So, we are just going deeper into the market, strategizing that, and we will share more details. Just to tell you that we have been working with the local companies for some years we have had a small team for a long

time. We had a presence in the past but as you know, due to COVID, we could not do much during that time. So, now we are revisiting the whole go -to-market. Also, the fact that Technica had a presence in China and has certain offerings which

are in

China would help. But we will come on the specifics later.

Moderator : Thank you. Ladies and gentlemen, I would now like to hand the conference over to Mr. Sunil Phansalkar for closing comments.

Sunil Phansalkar : Thank you, everybody, for your participation on the call. And if you still have any questions, please feel free to write to me, and we will be very happy to get back to you. So, thank you, and have a great evening ahead.

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Kishor Patil : Thank you.

S.B. (Ravi) Pandit : Thank you.

Anup Sable : Thank you.

Moderator : On behalf of Dolat Capital, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

KPIT Technologies Limited

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Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

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Listing Department

Dear Sir / Madam,

Sub: Transcript of the Post Earnings Conference Call for the quarter ended June 30, 2024.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Post Earnings Conference Call for the quarter ended June 30, 2024, conducted on July 24, 2024, after the meeting of the Board of Directors for your information and records.

The transcript of Post Earnings Conference Call is also made available on the website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor s/policies-reports-filings/>

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande

Company Secretary & Compliance Officer

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"KPIT Technologies Limited

Q1 FY 25 Earnings Conference Call "

July 24 , 2024

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE

OFFICER &MANAGING DIRECTOR
MR. SACHIN TIKEKAR – PRESIDENT & JOINT
MANAGING DIRECTOR
MR. ANUP SABLE –CHIEF TECHNOLOGY OFFICER
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER
MR. SUNIL PHANSALKAR – VP, CF&G &, HEAD
INVESTOR RELATIONS

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to KPIT Technologies Q1 FY 2025 Conference Call, hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call,

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please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Rahul Jain from Dolat Capital.

Thank you. And over to you, sir.

Rahul Jain: Thank you, Aditya. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies for giving us the opportunity to host this earning call and now, I would like to hand the conference over to Sunil Phansalkar, who is VP, CF&G & Head, IR at KPIT to do the management introductions. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. A very warm welcome to all on the Q1 FY 2025 Earnings Call of KPIT Technologies Limited. On the call today, we have Mr. Kishor Patil, Co -Founder, CEO and MD; Mr. Sachin Tikekar , President and Joint MD; Mr. Anup Sable , CTO and Board member; Priya Hardikar, CFO and myself from Investor Relations. So, as we always do, we will have the opening comments by Mr. Kishor Patil and then we'll open up the floor for questions.

So, once again, a very warm welcome to you and I will hand it over to Mr. Patil.

Kishor Patil: So, good evening, everyone , very happy to take you through Quarter One FY 2025 highlights. So, as our vision statement is really reimagining mobility for cleaner, smarter, safer world, we have launched during the quarter formally, EcoVoyage 2030, it's basically KPIT's journey towards sustainability.

We have been very mindful on this and have been working on this for many years, but this is a formal launch of our EcoVoyage journey. As you know transportation accounts for more than 16% of carbon footprint globally , so this is very, very important for us, as well as for our clients. The way we are looking at it is, we have anchored science -based targets for three things.

One is, what we can do with our clients, how we can help them to reduce their carbon footprint. The second is how we can reduce our footprint on our infrastructure and operations. And the third is, basically and very important and unique, I may say , is all our 13,000 KPIT Technologies Limited

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plus people, how they can really embrace sustainability beyond work in their personal lives also.

So that's a holistic approach we have taken and we have made a commitment of net zero by 2030 with clear annual targets. So we are very excited about this journey and it is in line with our vision statement.

As I mentioned, this is a very key focus area for our clients also and

we actually continue to work in this area. We are looking at our clients' priority –which continues to be to bring sustainable products in the market. The key priority for them is faster release of features and vehicles in the market.

Then secondly, substantial cost savings and reduction of time and better leverage of their investments. And third, in order to enable that, move towards a central compute architecture that is reliable. So we continue to work with our clients in these areas.

Our growth overall is driven by T25 clients, as we mentioned and what we have done is, as you know that our growth has been largely driven by top maybe 15 clients in T25. So, now, we also see many other clients in the T25, which are committing themselves for the technology investments and meaningful engagements with us, which is very important for us. And that's why we see continued traction in our T25 clients.

The second part is, we also are looking at an adjacency, which is truck and off-highway, which is a very important step for us in order to broaden our growth engines. We believe that many of the areas in which we are working, specifically into bringing new technologies to passenger car, while the offerings will be fine-tuned for these adjacencies, these are also very important technologies and specific

ly, like trucks etcetera we believe that many of these clients will go for autonomous and connected soon and we have started some of the early conversations in this area.

We do believe that off-highway continues to be a good market and they also have similar investments in technology, driven by cost efficiency, again, competition with Chinese players, etc. So we believe we can bring those offerings to them as well.

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Overall, Asia has driven the growth very strongly, with Europe continuing with the growth momentum. USA has a muted growth and we believe that the USA momentum will come in some time. We have started engaging some of the clients -- as I mentioned about the long list of T25, some of the clients which had not committed to technology spending earlier but have now started moving in that direction, so some of those clients are in the USA.

Apart from that, many global OEMs are looking at USA as a market and that's where their spend would increase and we would have a role to play and USA market will grow in that direction. Overall in the adjacencies we talked about, there are many dominant US clients. So, we believe that the USA growth will in due course come back.

Apart from that, we continue to bring focus on China operations. We are looking at a few areas in China. One is, what we can do for Chinese OEMs and how we can do it for them? We do have a small presence in China for many years, but now we are strengthening that presence and we are bringing certain products and technologies to these OEMs, which are unique and for them, are required for their next phase of journey. We are also trying to bring out offerings for them, that they would require for being global companies.

Naturally, we are also helping our global clients to scale in China. So, with all these, we would like to bring more focus on China. We are also making investments in China.

I would like to come to the people part, where our attrition continues to be one of the lowest in the industry, which is in single-digits. We have invested quite a bit in terms of leadership development for our broader set of people, so that we can focus on multiple initiatives at the same time and that's what we will continue to do and we are launching a formal management development program for the next 12 months to 18 months.

During the next quarter (Q2FY25), we will have salary increments and as we have done in the last many years, we continued with our salary

increments which will be some of the best in the industry and we have gone ahead with our increments from 1st July. These are in higher single -digits.

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Last, but not the least is, we have also launched our ESOP program. I think one of the very few companies who have a broad -based ESOP program for key people. That also we have launched a few months back. So that's on people side.

On the Tech side, I talked about the offerings, I mean, in order to reduce the time to market, as well as the cost for the OEMs and help them compete with China , we have introduced many offerings which will help them to do it. These offer ings are significant and we have launched them at different stages with the OEMs. We believe in next few years this will amount to a significant opportunity for us.

Apart from that , we continue to grow in our normal areas such as autonomous, electrical, connected, etc. In the electrification area while many companies had a clear focus on EV and we do believe that EVs will continue to grow in due course because of the reduction in terms of input costs and we naturally help OEMs to reduce their cost further for the EVs.

There are other areas such as hybrid etc which are also gaining new programs apart from the traditional conventional powertrain , which some clients some in passenge

r car and some in commercial vehicles, continue to launch and we would help them in those areas too. On the AI side , we have taken various concrete steps and we are looking at AI in multiple ways.

One is in terms of improving the productivity as a n organization. The second is in terms of improving the productivity in software development lifecycle. And the third part is in terms of how we can create differentiated offerings for our clients bringing efficiency to the clients ' offering s and help our clients to be more efficient. So these are the areas in which we have taken concrete steps in terms of technology and we continue to invest into technology more and more. Lastly, coming to our performance during the quarter our revenue grew 4.7% quarter -on-quarter and on a year-on-year basis we grew by 23.1% . Growth was led by geographies like Asia an d middleware and powertrain. Our net profits have grown by 52.4% year -on-year. It includes INR 396 million (gross) and INR 327 million (Net of additional taxes on the one-time gain) of one -time gain and that has happened because of two things.

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First is we have transferred certain IPs to QORIX last quarter. At that time, QORIX was our fully owned subsidiary and now that it is a joint venture and so according ly we got the credit in some way in the books of 50% of the value of the IP. So that is one part which is really a very natural transaction in due course of business.

And the second is, while QORIX was our fully owned subsidiary, all the expenses we were incurring were written off in the books of accounts, but as it became a joint venture , these expenses I mean that much assets and liabilities , liabilities mainly and the expenses got allocated to the joint venture partner and that is the second benefit we have got. So , net of tax basically the one -time gain is INR 327 million which is part of INR 2 billion plus profit during the quarter.

As we move forward in this year we would like to reiterate our guidance which we have given at the beginning of the year. We would like to also mention that next quarter basically we would have the increment impact as well as the one-month additional ESOP impact

which will be for the full quarter in Q2FY25 . Last quarter , it was only for two months. So overall the impact will be 2.8% during the quarter, but as I said we reiterate our guidance for the year. Thank you and we are open for the questions.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead, sir.

Chandramouli Muthiah: Hi, good evening and thank you for taking my questions and congratulations on the completion of the JV with ZF in QORIX. My first question is just around the JV. I think you mentioned that most regulatory approvals are now through ZF has also contributed their share of investment. So just trying to understand where we are in the process of building some of the middleware offerings?

And are we working with any clients as we speak? And also approximately when we think we will launch some of these offerings to some of our critical clients? Is there any sort of interest that the key clients have exhibited here? Any color around that would be super useful.

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Kishor Patil: Absolutely. So thank you for this question. I think we are very excited about the QORIX proposition to the industry. See during the quarter actually QORIX has become part of the Eclipse Foundation , which is a very important foundation for the industry. So basically , QORIX became a part of this foundation and we have also agreed to open source some part of the software which is very important for the OEMs because as you would recollect, many OEMs wanted to

develop

their software and operating system on their own in order to have a better control on the software. So this gives a lot of comfort to the OEMs.

—

The way we had planned that maybe in next less than 12 months now because we have been developing the software over the last one plus year, we would have our product ready and it would go through I would say the whole testing and integration for the OEMs by the end of the next year. We already are engaged with couple of OEMs and working with their production programs for the end of the next year. So we are already engaged with a couple of clients .

Chandramouli Muthiah: Got it. That's useful. My second question is specific to how you've been performing in Asia. I think when we look at the disclosures by the various Japanese OEMs, it seems that companies like Toyota and Honda have committed to 30% plus electric vehicle R&D growth over the next couple of years annualized. So, just trying to understand some of this performance in Asia is it largely ramp -up of existing work with Honda or could you give us more color on if you're working with a broader range of OEMs across the region beyond some of the Chinese efforts that you mentioned?

Sachin Tikekar: Chandru, obviously we've had tremendous growth on the back of Honda over the last several quarters and it will continue. On top of that, if you look at Asia as a market, there is business in Korea, there is business in India and there is business in China. So these are the countries that are driving our business and we believe that the Asia growth going forward would be broader and more broad based across these four countries. And we are also seeing that besides pure manufacturing of vehicles in Thailand, the OEMs also want to do some design and engineering work in Thailand from hedging perspective.

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And we believe that work, with our global OEMs we'll be able to do in

Thailand.

So we look at growth coming from five countries across our T25 clients. And to your question about specific focus on Japan and its investment obviously we are working with two OEMs at this point and I think there is interest from the third one as well. So we believe that the growth in Asia has been high and it will continue to be on the higher side in the foreseeable future.

Chandramouli Muthiah: Got it. That's helpful. And my last question is just specific to the margin performance this quarter. I think when we had guided at the start of the year, we had guided to 20.5% plus EBITDA margin versus the previous year 20.3% and the previous quarter at 20.7%. We've done 21.1% this quarter in spite of couple of months of ESOP headwind. So just want to understand if you were to piece out the headwind just from the ESOP scheme, how many basis points would you say it was this quarter? Just sort of similar to the 2.8% impact you mentioned for 2Q, just trying to understand if you were to adjust out for just ESOP impact what the underlying margin of the business would have been in 1Q?

Kishor Patil: So if we would have taken out margin impact so it would be about a 1% more maybe that would have been our EBITDA margin. But as I said next quarter we have also increments, we have three months of ESOP part. And so these are two main costs we have, but I mean we will for sure go by what the guidance we have given on profitability.

Chandramouli Muthiah: Got it. So just -- I think lastly just to clarify on this, this quarter would have been 100 bps on ESOP, next quarter should be 150 bps and the remaining 130 bps should basically be from increments on your 280 bps?

Kishor Patil: So last quarter it was 0.7%, this quarter (Q2FY25) would be 1%. So, this coming quarter will be 1%, last quarter was 0.7%.

Chandramouli Muthiah: Got it. That's very helpful. Thank you very much and all the best.

Kishor Patil: Thank you.

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Sachin Tikekar: Thank you.

Moderator: Thank you. Our next question is from the line of Nitin Padmanabhan from Investec. Please go ahead, sir.

Nitin Padmanabhan: Yes. Hi, good evening and congrats on another very strong quarter. Just wanted your thoughts on a couple of things. So first is you did allude to the US geography. We have seen very strong growth across the others. Just wanted your thoughts on what's sort of holding back the strength there, considering that the targets for the emission norms continue to be strict even there. So broadly how should we think about the US geography? You did mention that it should pick up soon, but just trying to understand the underlying dynamics of what's holding it back?

Sachin Tikekar: So, Nitin thanks for your question. Let me answer that question in two ways, what's sort of holding back. Couple of things have happened in the US. One is a couple of truck makers and one OEM, their headquarters over the last couple of years have moved out of US. So the revenues also get shifted and the balance also shifts, so that's one reason. And that's why there are very few US-based OEMs in passenger cars that we can work with.

And we have taken a call that in terms of the new-age OEMs, there are only select OEMs that we'll work with and that too just to try it out. They are not really part of our T25. So that's one part. So this is the reason why you have not seen the same level of growth. More importantly, what is it that we are doing in order to bring that growth back.

So there are three things. One, on the passenger car side we believe that the existing OEM clients that we have will have more growth there and I think it would be visible in the next two quarters or three

quarter, that's what we believe. Second part is --that US is becoming more and more important from our global client perspective given there is 100% tariff on Chinese vehicles in US, it's sort of a secured market for Japanese OEMs and some of the European OEMs. So, our engagement with our global OEMs with US is also increasing. So that's the second part that gives us the confidence that the growth will come back. And last but not the least, as we make investments

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in off-highway segment, there are three or four key players, some of the largest players are actually based out of US. So we believe that accelerating on these three levers will help us to sort of create more traction as we go forward.

Kishor Patil: And just to add simultaneously we are also adding and making investment in the front end to access this opportunity.

Nitin Padmanabhan: Sure. That's very helpful. Just two other things. One is the -- with the QORIX which is now moved to the JV, would that have had a benefit on margin this quarter considering the costs have moved out? And is it fully baked in for the quarter and or is it partially likely to aid in the next quarter or is it meaningful? I just want to understand that?

Kishor Patil: No, there won't be any significant impact on the margins because anyway the costs -- I mentioned about it, once we had the agreement then we had accumulated those costs. So I think that would not have an impact on the current quarter. I think the impact we will see from both revenues as well as margin will be from end of the next calendar year. When actually the revenue starts coming into the JV we would gain certain profits from that.

Actually, during the period till that time, the operating expenses proportional to our share will actually impact and will come naturally below EBITDA, but as a share of our expenses. And of course naturally we have factored that when we had given our estimate for the year. So the margin as well as the integration revenue will grow by the end of the next calendar year.

Nitin Padmanabhan: G

ot it. And lastly, so for the next quarter we are calling out around 250-odd-basis point from salary increases and 100 bps from ESOP cost, that 100 bps is incremental, so...

Kishor Patil: Incremental is only 0.3 % from the ESOPs.

Nitin Padmanabhan: It's only 0.3. Correct. So, historically, at least for KPIT we have been able to always offset the wage hike to a certain level. You think that remains unchanged broadly from a thought process perspective?

Kishor Patil: Yes, we may not be in a position to fully offset, but yes I mean reasonable part we will.

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Nitin Padmanabhan: Got it. And just lastly just your thoughts on the deal pipeline and how that's panning out and anything on large deals that you would see within that pipeline would be helpful?

Sachin Tikekar: So, what we can say is you can see that there are, we called out five specific large sort of engagements totaling to about USD 120 million to USD 130 million, on an average about USD 25 million, USD 30 million each. And so, it's been a good quarter from that perspective and we really think that we can build on it as we get into the next quarter, Nitin. Just the breakup of those engagements won is two of them are from the US, two are from Europe and one is from Asia and one also happens to be from the truck business.

So that's sort of the breakup of the five large engagements that we were able to close last quarter. From this quarter perspective as I mentioned earlier on, I'll talk about next one or two quarters actually. There are two in the US and then there are two in Europe where we

think that that will help us to create a bigger pipeline for us as we get into the second half of the year. And again most of them are passenger car vehicles, but you'll also see some trucks coming along as we get into the third quarter and fourth quarter of this financial year.

Nitin Padmanabhan: So perfect. That's very helpful. Thank you so much and all the very best.

Sachin Tikekar: Thank you, Nitin.

Moderator: Thank you. Our next question is from the line of CA Garvit Goyal from Nvest Advisor LLP. Please go ahead, sir.

Garvit Goyal: Good evening sir and congrats for a good set of numbers. My first question is on the headwind -- industry headwind side. So do you see any near to medium -term headwind particularly towards Europe side?

So if Europe is getting slowing down so you -- do you see any headwinds in the -- any industry which our product offerings cater to or do you see any execution delays of the existing deals in the rest of the year compared to what we were anticipating at the beginning of the year?

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Kishor Patil: So naturally, there are headwinds for the mobility which I'm sure you are seeing in the news, but it is different headwinds for different people. So, for Chinese OEMs the headwind is the ir market is quite saturated and they have to move on into different markets to get the growth. European markets have to compete with the Chinese people on the cost in China market which was their significant market and that is really impacting their sales. Also, they have to compete in due course with the Chinese in their own market. So they are focusing on so overall also for overall automotive, especially pass car the overall sales of vehicles are going to be flattish or go down a bit. So that really makes pressure on their margins. So that is there.

And US actually is also for the electrification area they have to take more steps basically, specifically because many of these OEMs have been focused more on electrification and now to in order to really both for Chinese and otherwise the market but at the same time to comply with their commitments, I guess they are going for hybrid and other technology.

So, there are cost increases with their competi

tion pressure and that

is there and in some way that creates an opportunity for us. And the only thing is you need a different kind of offering for this to capture these opportunities and that's what I mentioned at the beginning of my comment.

Garvit Goyal: So, we are not seeing any kind of delays in execution happening, right?

Kishor Patil: So, if you see delays in a normal business but as I said, that's what we are going to try and offset with the new offerings and which are bigger and long -term.

Garvit Goyal: Understood, sir. And sir, like KPIT has always emphasized leveraging global delivery and building scale through automation and productivity improvement. So, can you share more details on the steps being taken to enhance the global delivery capabilities and how the automation is expected to impact the overall productivity and operational efficiency?

Anup Sable: So productivity improvement is a continuous pursuit. In the past, it has been through having toolchains having effective training competency building. But the new thing that is happening is the usage

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of AI. So we will start seeing the impact of that in terms of what the technology offers to us. So in multiple buckets. One is individual

developer productivity. The second one would be in terms of efficiency at the group level the functional level. And third is also enhancing offerings, which means the competitiveness of the offering by using of the technology. So there is work happening on all these three areas. So for us, productivity is a continuous pursuit , just that new technologies are coming to help us now.

Sachin Tikekar : I would also add to what Anup just said, you also talked about global delivery. So we have presence wherever there is an auto and truck OEM footprint. And the model that we have is for Asia, we have centers obviously, we have centers here in India. We have a center in Bangkok as well and pretty soon, we'll have something substantial in China.

And from Europe perspective, we have a large center in Germany as well as our footprint in Tunisia , Netherlands and the U.K. And for U.S., we have a center in Brazil and then in Novi, Michigan. So the nature of our business is that of global model. And we are trying to make sure depending on every client, we are trying to figure out the best cost country to increase our productivity and decrease the time to market for our clients.

Garvit Goyal: Understood sir. And sir, one last question. Like this quarter, we reported Y -on-Y growth of 24% in our top line. But we are still maintaining the guidance of 18% to 20%. So does that mean in upcoming quarters are you seeing any muted kind of numbers as compared to this quarter or what is the situation is likely to be?

Kishor Patil: We'll stick to the yearly guidance. I think very few companies are giving the guidance the way we give. I think when we see a better visibility and we are sure about the external environment , we will revisit it.

Garvit Goyal: Okay, understood sir. Thank you very much and all the best for the future.

Sunil Phansalkar: Thank you.

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Moderator: Thank you. Our next question is from the line of Karan from PhillipCapital India. Please go ahead, sir.

Karan: Yes, thanks for the opportunity and congratulations on a strong set of numbers. First question is on the Commercial Vehicles segment. So CV segment has been volatile since last four to five quarters. You spoke about some of the deals in the pipeline. So are you expecting this to CV segment to rebound anytime soon? And what sort of projects are you engaging with clients? Is it related to EV transition infotainment move to hydrogen if you can elaborate that as well?

Sachin Tikekar: So that's a good question. And Karan, CV we look at it in two ways, trucks and

off-highway and trucks is where we have had engagements in the past. And now I think we are putting a lot more rigor to make sure that it's not just two or three OEMs that we work with but there are six or seven OEMs. The nature of the engagement with them is very similar to that of passenger car. It's just that their KPIs are different. So obviously, they have interest in software-defined trucks. That's one area.

Second is within that, I think the Level 4 Autonomy in controlled environment may likely be more prevalent in truck business than anything else. Then also the after sales part is of interest to them. So is over-the-air updates, diagnostics and after sales part. That's another area of interest to them.

And of course, from the propulsion perspective, there are fuel cells and other technologies that are relevant to them. And everybody has a pilot program in this, and we'll wait for it to sort of productionize it over a period of time. So we do see these areas of growth. And I have to say this is on the back of all the work that we do in the vehicle engineering and design side, right? There is scope for innovation there as well. So that's on the truck side.

On the off-highway side, this is new to us. And as we discussed earlier on, we are putting our strategy together. We have been working on it for the last six months, now it's time to execute. Having said that, I have to just say that these are mid-term bets that we are taking at this point in time. The fruition and the actual impact will be realized gradually but we'll see it will become a significant part of our business over the next two to three years.

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Karan: Okay, sir. That's helpful. Second question is slightly a strategic one. So in the global market, we have seen Volkswagen investing \$5 billion in JV with Rivian to share the EV architecture and software development. So what can be the implications of this sort of JV? Can Volkswagen reduce the outsourcing work to players like us? Or you think that such development may see a positive impact given that it will lead to faster time to market for their respective product lines. So your thoughts on this?

Sachin Tikekar: So first of all, Volkswagen Group is an ocean. And there are a lot of people, their budgets are very high and there is a lot of catching up to do. So Volkswagen Group, we look at it in three buckets. So one is the Audi Cariad part. Second is Porsche and third is the Volkswagen brand. This is how we look at the account because it's one of the largest OEMs in the world. Their spend is tremendous. And as Mr. Patil mentioned, there is a lot of catching up to do in order to be competitive in China and then secondly, retain their market share or increase it, not only in Europe but beyond Europe.

We think that using the Rivian platform or they made investment also in XPeng in China, there is a two-fold strategy. So XPeng will use it for China, Rivian they may use it for outside of China. That's really their strategy. And we believe that there is an important role for KPIT to play. All of this calls for substantial validation and integration work. And for us, it's actually good news because they'll actually go down that path and some of these programs will get launched. So we are looking forward to this.

Karan: Okay. Thanks a lot for this. Last is on the cash balance. Cash generation has been healthy and now the company is sitting on a INR1,000 crores cash. So any plans to do any M&A this year? And also if you can highlight which are the service lines in your portfolio, which are like white spaces, which you would like to target to M&A?

Sachin Tikekar: Our growth strategy hinges upon three things: buy, build and partner. And we've been building many offerings over the years. We have also acquired companies in order to enhance our current offerings and

and so forth. So it's a continuous effort and we keep looking for complementary things. As Mr. Patil talked about building offerings for future that are more relevant for them. I think some of them, we are KPIT Technologies Limited
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building on our own. And for some, when we find the right kind of a fit, obviously, will go all out for it.

So that's really the strategy. It's an ongoing strategy and we'll continue to look at that. And we cannot ignore the partnering part as well. We can't do everything on our own. So in certain areas, we'll have alliances and partnerships as well.

Karan: Okay, sir. Thanks a lot. And all the best for the future.

Moderator: Thank you. Our next question is from the line of Abhishek Kumar from JM Financial. Please go ahead, sir.

Abhishek Kumar: Yes, hi, good evening. Thanks for taking my question. My first question is on your business units, the architecture and middleware consulting has really been leading our growth for many quarters now. Just

wanted to understand, is this a lead indicator for the growth in other areas, given a strategy of going in with our middleware proposition and then taking up some of the saloon services work. So how should we look at middleware consulting growth, your views please?

Anup Sable: I think, prior to middleware, there is architecture, which comes before that. And if you look at passenger cars, some of them have crossed the generation one and there will be generation two coming up very soon, some of the pre-activities for Gen 2 have started. So these are continuous efforts that happen on the OEM side. We are well placed to actually contribute in those particular areas. Then Mr. Tikekar actually spoke about trucks, we see that even the trucks will go through the central architecture around the same time frame as the second phase of the car architecture renewal happens. So we are on top of that. We have a focus activity happening around all these activities. So we believe that the network as well as middleware will be our entry points to anything that new happens at the OEM side.

Abhishek Kumar: Sure. And next question is on competition. A lot of the IT services peers also have spoken about softness, there is cost pressure even the European pure-play R&D players are ramping up their delivery in India, etc. So how do you see competition? Is it intensifying? Do you have a niche? And also on the deals that we win, are these RFP deals or these are like sole sourced deals, any color around competition?

Thank you.

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Kishor Patil: Yes. So competition is certainly intensifying and largely from Chinese players for China market and some of the new parts. I think that's what really the competition we are working with, we have to be careful. And we still have the integration opportunities in all these areas. That's how we could say. I mean naturally, all the players, this has been area where there is a brighter spot than the normal IT. So many companies are trying to access this. But I may just say that you can look at the growth numbers of many of the European and other OEMs. So naturally, dapppling in the conventional areas, which have growth but to your point actually, it will attract more competition. It will attract more and the competition will be intensified. We believe that we are in a good position in terms of both sides. We are arguably the largest. Also we are very focused and we have made a lot of investments ahead of time.

Abhishek Kumar: Sure. Maybe just last point on RFP versus sole-source deal. Just wanted to understand maybe pricing behaviour of the competition there?

Sachin Tikekar: So from our perspective, this is an interesting metric to track, I would say, I don't have the exact data, but I'll give you an approximate figure. I think there is a huge shift

in our total revenue, where many of the large engagements are actually initiated by us. They're structured by us, and there is no RFP.

In some of our diamond accounts, rather most of our diamond accounts, that is absolutely the case. In some of the diamond accounts where it cannot be single source, we end up writing or influencing the RFP. So that part of business and the percentage in the overall business continues to grow.

Naturally, when it comes to some of the new clients and in some aspects, there are RFPs that we respond to. But that has gone down substantially as part of our total business. Majority of our business comes through long-term engagements and through proactive proposals that we make to the client.

And they also emerged from thought leadership. Some of the problems that our clients are likely to foresee we anticipate early and then we go back to them with the solution. So that's been really the

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effort. And that's why Mr. Patil talked about – adding new offerings that are more relevant from a future perspective. I think these are the investments that are essential for us .

Kishor Patil: In some cases , I think the OEMs do work basis RFPs . But I think our clear focus is to become a top tier partner , technically being the best .

–Then we have an advantage in multiple ways both in terms of price and billings. So that's what could be the play, because our play is pure technology.

Abhishek Kumar: So it reflects in your growth and revenue per employee. Thank you so much and all the best.

Kishor Patil: Thank you.

Moderator: Thank you. Next question is from the line of Mohit Jain from Anand Rathi. Please go ahead, sir.

Mohit Jain : Sir, three questions. First is on TCV. Now should we see this number, like 1Q '25 from a Y -o-Y standpoint, should we see this number accelerate as we move ahead or do you think this is enough for us to generate 22%, 24% wherever we end up in terms of growth? So that was one. Second, capex.

Capex seems to be on the higher side for us, you spoke about various centers being opened. So how should we see this number for FY '25?

And the last is on the JV QORIX. Now is the investment complete or should we anticipate some more investment or infusion of IT from KPIT or from ZF into the JV?

Sachin Tikekar: Okay. Mohit, let me take up the TCV part. Given the TCV that we have and what we believe we are likely to close in the next quarter. From a guidance perspective, I think there is sufficiency is what we think at this point in time. So I think we are in a pretty good position.

Mohit Jain : And on a slightly longer -term basis, like should we expect to pick up, say, Q2, Q3? Do you think this around 200 number is good enough?

Sachin Tikekar: No, I think it's too early to say any of that. I think if there are any changes will, as always, in Q3, we come back.

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Kishor Patil: We stick to a yearly guidance, only when we are very clear, we would revise it at the end of Q3. I think we have been following it religiously , because there are too many changes in the world. So we would like to be cautious on that.

Priyamvada Hardikar: The second question is on the capex. This capex is in the routine course of business. The quarterly mix may not be linear. So this quarter also we did some procurement in terms of our business licenses or otherwise. It's in a routine course of business and the quarterly changes are cyclical . It is nothing one -time or nothing exceptional in it.

Mohit Jain : So FY '24 is a good benchmark, from numbers perspective ...

Priyamvada Hardikar: On the capex perspective, yes.

Mohit Jain : Yes. Last on JV ?

Kishor Patil: Can you repeat that question on the third?

Mohit Jain : So ZF also invested and KPIT also contributed some IPs. Now that is -- and I

think you have spoken about EUR15 million being contributed by them. So is the investment complete or should we expect more money going into the JV from KPIT standpoint? Money or IP? And second thing was, will we be consolidating this line by line? Do you think this will be separate from our accounts?

Kishor Patil: So the first part is from the KPIT so I think we have mostly completed our part of the investment. If at all, it is required after 12 months to 18 months, we may contribute EUR 5 million or so. But it really depends on at that point time what the requirements of the JV would be.

Mohit Jain : EUR 5 million?

Kishor Patil: Yes. And overall, I think this will be actually a joint venture and as we have mentioned many times in the past, we may look at the third partner. And so this will come as an investment into the JV.
Priyamvada Hardikar: The JV will not be consolidated line by line. We will have an equity pickup and therefore, share of our profit or loss will come as a one - line item below PBT.
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Mohit Jain : Okay, understood. Very clear. Thank you.
Kishor Patil: Thank you.
Moderator: Thank you. Our next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead, sir.
Sandeep Shah: Yes. Thanks for the opportunity. Just wanted to understand, you have given a color about the deal pipeline and the deal wins in this quarter. But on the mega deals, any commentary would help. I do agree those are cyclical and sporadic rather than recurring, but any commentary in the pipeline any mega deals shaping up?
Sachin Tikekar: Sandeep, I don't know what constitutes a mega deal. But from our perspective, the whole concept of T25 is to build long -term engagements with them. I think with majority of them, we have built long-term relationships. And we believe that just the nature of the relationship that we have, we'll continue to have growth in each one of them. And of course, there are a few others that we need to tap. So overall, more I think where in the past, I think there were three or four large announcements that we made of so -called mega deals. Many such engagements get closed. It's just that not everyone is comfortable talking about them. And so they don't come up or they are not bunched up like that. But most of the things that we do are all long -term large engagements in nature with at least 5 0% of the T25 OEMs. Yes. So that's the nature of our business in general or our engagement model
Sandeep Shah: Second question is, we have touch base in terms of the market headwinds, which we also read in the newspapers. But do you believe these market headwinds, especially in the mobility is impacting our addressable market in the R&D budgets of the OEM?
Kishor Patil : I think I addressed that the challenges have changed and what their challenges are also addressed in different parts of the world. And I mentioned that it does impact some of the current offering, but there are new offerings, which we have built. So I think I mentioned that overall, our market opportunity does not change, if not increase in due course.
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Sandeep Shah: And last question on the QORIX side. As you said, the commercialization may happen by end of CY '25. But until that time, you might have to do some expenses for building the products. So any guidance in terms of how the JV loss line will look like in FY'25 and FY'26 to QORIX JV which we can model?
Kishor Patil : No, I think it is -- we would not be in a position to give that. I think all our guidance takes care of what we commit on that. It will pan out as the JV requires the investments.
Sandeep Shah: Okay, thank you. All the best.
Sunil Phansalkar: Thank you.
Moderator: Thank you. Our next question is from the line of Manik from Axis Capital. Please go ahead, sir. Hello Manik sir?
Manik: Yes. So while you already answered my question with regards to the performance in America, you also made some remarks that over the -- while we focus on the T25 customer base, a significant part of our growth since we have been led by 15 customers. So given that we now

trying to essentially broad base this growth, do you think in the interim, growth pace of consolidation and slower growth compared to what we have witnessed over the last few years? That's question number one.

The second question was with regards to simply getting your comments around the competitive intensity in the space as we've seen IT services companies make acquisitions in this space? How do you think that changes the competitive intensity for you in the segment?

Kishor Patil: I think I answered both the questions in the past. I think I did say that there is an intensity, but I do believe that we are in the best position to be in a prime position to win the business which we have planned for.

Sachin Tikekar : The first one was in T25, you're saying that some of them we already have long -term relationships does that mean that the growth within those will slow down?

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Kishor Patil: So we will go by the guidance we give. I think we have given the guidance and we continue to give our commentary over the medium term. I don't think there is any change.

Manik: And the second question was I have a follow -up question with regards to the fact that you are seeing some weakness in terms of EVvolume.

While in the current context, it may not be impacting R&D budgets on – new product developments etc. But do you think at some point of time, this starts to essentially impact future or new model R&D retail spend as well?

Kishor Patil: I think we see the spend, multiple market reports are there and we have been talking about reasonable drivers for R&D to continue beyond 2030. So nobody knows after 5 years, 6 years, but I think this is a good enough visibility in terms of a mega trend.

Manik: Thank you and all the best for the future.

Moderator: Thank you. Our next question is from the line of Rohit Singh from Nvest Analytics Advisory LLP. Please go ahead, sir.

Rohit Singh: Yes, congrats for a good set of numbers. I have two questions. One is on this QORIX joint venture, right? So see, we understand that it's a middleware business and stuff, right? So if you can take a step back and then you can explain us what could be the size of this type of services and currently and how it can build up over the next 3 years, 5 years, not from KPIT perspective, but as a service industry as such. So if you can spend some time giving that color?

Anup Sable : QORIX is actually a product that goes in between the application and in the literal sense the operating system. So many people call operating system that includes the middleware. But the difference between an operating system and middleware is the operating system usually deals with making the capabilities of the hardware available to the application, whereas a middleware handled many functionalities that the application needs or multiple applications or a system needs to make it work efficiently -- so QORIX is a company that will focus on the product of middleware. And it will actually not do anything from a service perspective. Most of the integration activities related to the QORIX will be done by KPIT.

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Rohit Singh: Okay. And what could be the pace of that business if you can? I'm sure that it's still at the nascent stages maybe, but how big it can become?

Kishor Patil: No, I think typically a license revenue , it depends upon the product company, we expect it to be reasonably successful in the market with what we have done. Typically, it is 1:3 ratio, 1:4

ratio as normal,

between the license revenue and the integration revenue.

Rohit Singh: And secondly, on your hydrogen fuel technology. Is there any updates?

Are you going to monetize your technology if so, are you near that opportunity or you're still at some way, distance from that? Any talks with the government, any follow-up that you can?

Kishor Patil: No, I think we have -- our model is to work with OEMs. We continue to work with OEMs. We are engaged with a few OEMs. And it's at an early stage of the technology and a lot of POCs, etc., we are helping our OEMs to realize this technology. The production programs will come in due course.

Rohit Singh: Okay, thanks and that's it my side. Thanks.

Moderator: Thank you. Next question is from the line of Deepak Rao from Cuba Asset Adviser. Please go ahead, sir.

Deepak Rao: Yes, congrats on the continued success. Some of the questions I have on QORIX has been answered in the earlier question. Now I just want to know, you're saying that 1:3 would be the revenue. So is architecture middleware consulting is now 20% of your present revenue, maybe half of that would be consumed as the middleware product revenue?

Kishor Patil: Currently, what we do does not include any product revenue because, as I mentioned, the products will get ready by the end of the next year.

Deepak Rao: And just from a perspective of opportunity size, would ZF be originating business, especially from...

Kishor Patil: So it's an independent company, so it has its own business development team.

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Deepak Rao: So it's not likely that the customers might be from non-KPIT customer base?

Kishor Patil: Yes. So it has independent clients and they will go in the market. See the products, basically the nature of product business is, it goes to multiple clients. And it will go so. Naturally, they will leverage KPIT as well as ZF ecosystem. But it will have its independent presence. And if you look at the opportunities in its own way, that will create opportunities both for ZF and KPIT in their own business.

Deepak Rao: Okay. So thank you very much.

Kishor Patil: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to management for closing comments.

Sunil Phansalkar: So thank you, everyone, for your participation. We appreciate that and all of you have a great evening. Thank you, and bye.

Sunil Phansalkar: Thank you, everyone.

Moderator: On behalf of Dolat Capital that concludes this conference thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

KPIT Technologies Limited

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W kpit.com October 29, 2024

BSE Limited

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Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E), Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir / Madam,

Sub: Transcript of the Post Earnings Conference Call for the quarter ended

September 30, 2024.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule

III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the

Post Earnings Conference Call for the

quarter ended September 30, 2024, conducted on October 23, 2024, after the

meeting of the Board of Directors for your information and records. The transcript of Post Earnings Conference Call is also

made available on the

website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor s/policies-reports-filings/>

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande

Company Secretary & Compliance Officer

MANAGEMENT : MR. RAVI PANDIT – CO-FOUNDER AND CHAIRMAN –
KPIT TECHNOLOGIES LIMITED
MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – KPIT
TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – PRESIDENT AND JOINT
MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER –
KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR – VICE PRESIDENT AND HEAD
INVESTOR RELATIONS – KPIT TECHNOLOGIES LIMITED .

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED
Moderator: Ladies and gentlemen, good day, and welcome to KPIT Q2 FY '25 Earnings
Conference Call hosted by Dolat Capital. As a reminder, all participant lines
will be in the listen -only mode, and there will be an opportunity for you to

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ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing star, then
zero on your touchtone telephone. Please note that this conference is being
recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank
you, and over to you, sir.

Rahul Jain: On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited
for giving us this opportunity to host the earnings call. And now I would like
to hand the conference over to Sunil Phansalkar who is VP and Head of IR at
KPIT to do the management introductions. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. A warm welcome to all on the Q2 FY '25 Earnings
Conference Call of KPIT Technologies Limited. I also take this opportunity to
wish you and your loved ones a very Happy Diwali. On the call today, we have
Mr. Ravi Pandit, Co -Founder and Chairman; Mr. Kishor Patil, Co -Founder, CEO
and MD; Mr. Sachin Tikekar, President and Joint MD; Ms. Priya Hardikar, CFO;
and yours truly from Investor Relations. So, on the call today, we will have
the opening remarks by Mr. Ravi Pandit and by Mr. Kishor Patil and post which
we'll have the floor open for questions.

So once again, welcome all and I'll hand this over to Mr. Pandit.

Ravi Pandit: Thank you, Sunil. Good evening, and welcome to all of you. In this call today,
we want to talk about three things. One is the Board resolution regarding the
appointment of Mr. Vijay Gokhale. Then we are going to talk about the Board
resolution regarding the QIP. And then we will talk about the operations of
this quarter and how the rest of the year looks. I'm going to talk about the
first two points, and my colleague, Kishor Patil will talk about the third.

So, over the years, we have recognized that as we are growing in scale, the
geo-economics and geopolitical considerations are becoming more and more
important to us. Therefore, understanding how these conditions are changing
over a period of time is critical for us. With that in mind, we were looking to
appoint a suitable person on our Board, and we are extremely happy that Mr.
Vijay Gokhale had accepted our request to come on the board of the company.

Mr. Gokhale has had an illustrious career in the Indian diplomatic service,
Indian Foreign Service. He has worked in all the three geographies, which are
very critical for us: Asia, Europe and the US. He has served in the diplomatic
missions in Hong Kong , in Hanoi and in Malaysia, and he was also our
ambassador for People's Republic of China. His knowledge about China has
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been very widely recognized. His books from China have been extremely
popular, and they are extremely incisive.

Considering the plans that we have for China; we believe that his inputs in
this area would be very important. He has also served as the ambassador of

India to Germany. And therefore, that's yet another market, which is very important for us. And therefore, his expertise in that area matters a lot. Lastly, he has also served at diplomatic missions in New York. And that's really our third major segment of market. And therefore, we are extremely happy to have him on our Board.

Our Board has passed the resolution requesting his appointment. And now we will take this resolution to the general body very shortly, so that his appointment becomes effective. The second resolution that we had today was about the proposal to raise capital via the QIP group. As you know, over the years, we have grown organically through our multiple initiatives. Over the years, we have done acquisitions, and we have also done investments in new assets. Our acquisitions have been done for the purpose of increasing either our presence in the market or increasing our depth in

various services. We have also invested, as you know, in building facilities, etcetera .

As we continue to grow, we foresee the possibility of such acquisitions in the times to come. And they may be not so small that we can do the complete fundraising through our own sources, which is what we have done over the years so far. Therefore, keeping this possibility in mind, we have now taken an enabling resolution from the Board and which is what again we'll be proposing here is for raising capital via the QIP route up to a maximum of INR2.88 billion implying a dilution of up to 6% at the KPIT market cap of INR48,000 crores or INR480 billion. We will be seeking approval from the shareholders via postal ballot for raising capital.

Now I would like to stress again that this is an enabling resolution. By the provisions of the act, we can use this resolution for a period of 12 months to raise the capital. And we will go for it as soon as we find there is an appropriate opportunity to deploy this capital. So , you will hear from us about it as and when we are in that juncture. So, these are the two issues I wanted to talk to you about.

And now to hand over the mic to my colleague, Kishor Patil who will talk to you about the results for this quarter, which I'm sure you will be happy about. Over to you, Kishor.

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Kishor Patil: Thank you, Ravi. Good evening, and welcome to our quarterly Q2 results, basically giving 17 consecutive quarters of growth both in revenues as well as profits. So, during this quarter, the revenue grew 20.1% year -on-year in constant currency terms and 19.3% in dollar terms. The growth has been largely driven through Asia.

And when we talk about Asia, in this case, it is more about Japan, Korea and India. It is driven by Powertrain and Middleware as the practice areas, and the passenger car basically is grown by 5.3% quarter -on-quarter and 26.4% year -on-year.

The EBITDA is at 20.8%, which is 27.7% year -on-year growth over the last quarter this year. This is after absorbing the increments, which we had given proper full increment. And also, additionally ESOP -cost. Last quarter, it was only an impact of 2 months. So , this quarter is of the whole cost. So, after absorbing 2.7% impact, our EBITDA is at 20.8%. Our PAT is at INR203 crores, and it includes INR29.3 crores of one-time profit. This is on account of a claim, which we got from insurance. This was about 10 years back, almost 10 years back when before the demerger we had a claim on an insurance company against a dispute with the client. And that we have got after more than 10 years, nevertheless, that has come handy during this quarter. Last quarter also, we had a onetime additional income of INR32.7 crores.

The profitability has increased on account of two main reasons. One is the fixed price projects. It is our endeavour to increase our fixed price projects as much as possible. There is a significant growth in fixed price projects over last year and this quarter. That helps us to make use of productivity increase what we are bringing every quarter and also due to the increased offshoring. These are the main reasons why our profitability has gone up despite additional expenses during the quarter.

Then on the people side, our attrition is absolutely the lowest ever. And that

allows us to really be ready to focus on building competencies and building the right workforce, right talent for the complex projects for the future. If you really look at the overall environment currently, particularly at U.S.A. In the U.S., the overall environment, there are opportunities, at the same time, there is a little bit of tentativeness. However, in USA, we see opportunities for two reasons. One is USA has banned China software already. And we do believe that will help us in providing that kind of a software or integration oppo

rtunities to US OEMs .

The second thing is off-highway and commercial vehicles, which is our second area of focus. And we see that there would be a good opportunity in that. So, these two, we see as a growth opportunities in this otherwise uncertain KPIT Technologies Limited

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environment. In case of Europe, we believe that most of the European OEMs are certainly struggling in terms of their financial performance. And however, we believe that in due course, there will be a consolidation and due to both the competence, relationship and the scale, KPIT will be a beneficiary of the consolidation. Even in Europe, we see that there will be an opportunity in off-highway and trucks.

Coming to Asia. Asia, we believe Japan, Korea and India will continue to grow and we see significant opportunities, both in terms of our existing Diamond clients as well as some of the gold clients growing further. There are opportunities while some of these companies are also struggling. If you look at it, it's a mix in terms of OEMs. Some of the OEMs are doing very well and some of the OEMs are struggling. And we see the same opportunities wherever the OEMs are struggling that they would look for a significant consolidation as well as the competency to expedite their road map and that we see that as an opportunity.

And the second is our current strong clients continue to grow, and there are more opportunities we see. In case of China, we continue to engage with Chinese OEMs for two reasons. One is to understand and be a part of ecosystem of innovation. So, we understand what is happening in China and take it to our clients outside and engage with them in a very select areas where we can add value both for their forays in international markets and in certain specific areas in terms of compliance, etcetera.

Apart from this organic growth, as Mr. Pandit mentioned, we see certain market shifts happening in the overall market. Market shift is happening significantly and OEMs are looking for cost reductions, improved consumer experience and their increased compliance requirement. We are looking for some inorganic initiatives to address this and tap into this growing opportunity for us. And we would do it only when, as you know, only when we find a very suitable candidate, which will help us to really establish our leadership in that area.

On the other investments which we have made in terms of QORIX. In QORIX at least certain revenues have started, though for the large offerings which we have, it will take some time. It has become a part of Eclipse Foundation and Covesa Foundation. And these two will certainly help us in our endeavour to make it really an industry-leading platform.

N-Dream, which was our gaming company, again, we have done our investment of the second tranche taken it 26% during the quarter. N-Dream has won more programs with other OEMs. And I think that is going to help us KPIT Technologies Limited

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in helping clients to create a cockpit for the future and more integration revenues in due course.

With this, I would also like to say that our pipeline continues to be strong with our current wins during the quarter of \$207 million which I mentioned about the various reasons why we will continue to see opportunities in the market. These are across the geographies. These are across Europe, U.S. and Asia. And with this in mind, I would like to reiterate our guidance for the year. We believe that due to cost reduction, which we have to give to our clients,

both on fixed price and especially basically reducing the cost for them. The revenues will be on the lower side of guidance while the profits will be on the higher side, while we have talked about 20.5% plus, it will be a few 0.2 to 0.3 decimals higher than what we have mentioned earlier.

So, with this, I would like to hand

over to operator for the question.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: First question is just on the commentary you made during the prepared remarks around guidance that you're reiterating. So, I think you have given a range of 18% to 22% Y-o-Y constant currency revenue growth and 20.5% or higher EBITDA margin.

So, in the first half, we seem to be tracking at the higher end of the range, sort of 21-ish percent constant currency revenue growth and EBITDA margin also closer to 21%, so I just want to understand how you think about the back half. And then in the context of your commentary that, that growth might be at the lower end of that 18% to 22% for FY '25?

Kishor Patil: So right now, as I said, overall, the environment of the business, basically, the OEMs are extremely cautious. And we believe that our pipeline is very strong and not only that, that we are actually engaging in some very mega opportunities with a few of the clients. But we are not sure about their timing when these large opportunities be realized during this time.

While we again reiterate our guidance, we believe because of some of the postponement of some of these and the offshoring of many of these opportunities more than what we have done in the past. The top line may look on the lower side of the guidance. And at the same time, because of the offshoring and of course, the momentum we have, the profitability will be on the higher side.

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Chandramouli Muthiah: Got it. That's helpful. Second question is just around the fund raise. So, you mentioned that it's enabling resolution for the next 12 months. Just wanted to understand, I'm sure we are already prospecting potential candidates. So, any color around is there any specific geography or any specific domain where you're looking for assets and also sort of what might be the realistic time line for potentially closing on some of the assets that you're considering?

Kishor Patil: So, we continue to prospect always with our current positioning, I think, fortunately, a lot of companies do approach us on an ongoing basis. We believe there are areas of growth, which we have identified. One is in terms of cost reduction, specifically. And the second, we have talked about adjacencies. And we have talked about certain compliances or certain key areas which are required for companies to work internationally. So, in these three areas, we are mainly looking at. There are also a few in China, small ones, but we are looking at this.

So, there are such I would say, 4 or 5 types of companies. There's no one very large, but reasonable size 3, 4 opportunities. Also, in addition to that, I must say that we have some very significant opportunity for consolidation and mega deals. We do not know whether the clients -- what time frame this can be realized, but it will also require certain investments in terms of infrastructure and etcetera, from our side. And with all this, we are looking for as much as we can, and you know that we have very strong cash flows. As much as we can, we would do it on our own. And when there would be a significant kind of opportunity, right opportunity in these areas, we would look for the funds.

Chandramouli Muthiah: Got it. That's helpful. And just last question is as we head into 3Q, historically, we've had sort of different trends in certain years, we've had 3Q because of furloughs and holidays tends to be seasonally slightly slower. And in some years, we actually had a pickup in 3Q performance. So, I just want to understand, based on some of the deal wins you've had recently, what is your thinking on how 3Q might be relative to the first half?

Kishor Patil: So, while we have got very strong goo

d wins in last 2 quarters, based on the environment, we are not 100% sure when they would start. And so, I would consider it not so strong quarter 3 from that perspective. As of now, that's how we would put it.

Moderator: The next question is from the line of Mr. Nitin Padmanabhan from Investec.

Nitin Padmanabhan: Congrats on another solid quarter. Just wanted your thoughts on a couple of things. So, the first is see, we have historically seen that our growth has consistently been very solid for maybe the last -- maybe 15 years plus in this KPIT Technologies Limited

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segment. And the only time you really have a real weakness is when there is some major economic impact.

Now in that context, when we look at Europe and specifically Germany where it seems to be in a recession, and that's usually the time when we see the play. How would you sort of contrast what you're seeing in terms of behaviours on spending by OEMs today versus what you would have seen during earlier similar periods, whether it's during the COVID period or the GFC period. How would you sort of contrast it?

Sachin Tikekar: Nitin, I think it's a great question. And the point here is, as you know, some OEMs are under tremendous pressure at this point in time because of various reasons: A, the competition from China; B, the overall economic scenarios across some of the key markets. So, I think there is pressure on certain types of OEMs, especially right now, the pressure is more on Europe because they are more exposed. European OEMs have large sales in China and they are getting compromised. At the same time, the European economy is not doing as well.

The US OEMs, to some extent, because of the 100% tariffs that they have, they are not facing the competition as much from China, but they see competition from the rest of the global players. And as you know, the Asian OEMs always look at the long game and they will make investments for the long term, and they will not look at quarter -by-quarter.

So, if you look from a passenger car perspective, of course, there is pressure. And right now, they're all looking to get their -- the cost of the vehicles in the right shape. And that does create a lot of opportunities for us. It's just that, as Mr. Patil mentioned earlier, they have to reconfigure some of these things, and that does take a little bit of time. So, we believe that this will create a good environment for us from the growth perspective. And hence, as you know, in the midterm, we do see a solid pipeline coming our way. It's just that we have to get through the next few months of uncertainties for some of these OEMs. So that's our read on the passenger car side.

On the off-highway side, the cyclical nature of the agriculture, I think it's getting over. So, we think that the growth will actually come back. And it's the same case with trucks. Trucks have been slightly on decline and flattish in the current year. I think next year, they are likely to be around the same, but 2026 onwards, there will be growth on the commercial vehicle side. And that's mostly about Europe and Americas.

So overall, we believe that some of the themes will continue from the OEMs perspective, it's the reduction in the cost of the vehicle, reduction in the time to market of the vehicles as well as the features. And the third part is also KPIT Technologies Limited

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trying to figure out in this changing environment, their client segments in different markets for the global OEMs. And how do you really -- how do they really differentiate themselves. And that's something I think everybody is trying to figure out, right, what it means in the change environment. Does that answers your question, Nitin?

Kishor Patil: If I may add also that the conversations are actually happening. I mean they are very serious conversations which are happeni

ng. We are saying it's a bit of timing we are not 100% sure of the conclusion.

Nitin Padmanabhan: Got it. So actually, I had 2 follow-ups. So one is that what you're seeing today is not so much of a rate reduction, but more of offshoring to sort of help clients sort of release their overall cost. Is that a fair assumption? And two,

from that perspective, maybe there is near-term lower growth, but as and when things pick up, they sort of pick up. So that was one. The second is, do you think that Asia makes up for the related weakness from an incremental revenue contribution perspective, considering that geography seems to be recently solid. Do we have the pipeline and events to really make up for the related weakness?

Sachin Tikekar: So, Nitin, in the immediate future, I think the growth is actually coming from Asia. You've seen that in our Q2 H1 results as well. And we believe that, I think that growth will continue throughout. Having said that, we really believe -- again, going back to Mr. Patil's comment, there are European conversations, some serious conversations with the European OEMs as well as the American OEMs.

So, we believe that the growth will come back, we just start to figure out the timing. Is it 1, 2, 3 quarters, whatever that may be, because it's the reconfiguration of their priorities and hence, what kind of business model in which we work with them? So, it's just going to take a little bit longer. But we do believe that there are significant opportunities in Europe with passenger cars as well as trucks, and in Americas for off-highway and passenger cars. Kishor Patil: And just to elaborate on that point, actually, our wins for last both the quarters have come from larger deals have come also from U.S. and Europe. However, there is a delay in starting of the projects, and that's what we are looking at in addition to the larger engagements.

Nitin Padmanabhan: I just have one more quick question and then I'll fall back in the queue. The fund raise that you spoke about and the areas that you spoke about. Is this sort of pre-emptive to the large opportunities that you're seeing would you need to -- do you think we'll need to buy out existing vendors who are there for that particular client as a part of that exercise or was the other...?

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Kishor Patil: We are not looking at buying out any vendor or anything from that perspective, not those kind of, but the large consolidation will require infrastructure depending upon the deals basically building the infrastructure here as well as outside people, investment, etcetera. And many of those kinds of things. And apart from that, certain competency, as I said, we know that on the top of mind is the cost reduction for every OEM and certain other areas where we want to make sure that we are -- as we have been in SDV and other areas ahead of the market. And that's why we will make those investments in a very high-quality company.

Moderator: The next question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta: So, a couple of questions. Firstly, on the offshoring, can you explain like what is suddenly driving this offshoring, is this just cost efficiencies that clients are looking at their end they want to move offshore. Or is there some other factors as well? And also, is it right to assume that the volume of the work is already impacted, but the pricing is mainly because of onshore to offshore movement?

Kishor Patil: Absolutely, I think the first part is the volume is not impacted. Volume is growing. While we are trying to increase our productivity and other things, as you can see, we still continue to add net headcount in some ways and improve the productivity both. And the offshoring is happening for two reasons. One is we have delivered a lot of complex projects and now when they are scaling up, that's when we

are increasing it offshore and client is very comfortable because of the history they have with us and the work we have been doing. So, I think with both these things, we are in a position to increase the offshoring.

Bhavik Mehta: Okay. Got it. Second question was on the QIP fund raise, just a clarification. Will you say that it won't be just one large M&A could be two or three companies also you may acquire with the fund raise.

Kishor Patil: Absolutely. So, it's not a single transaction.

Moderator: The next question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for a good set of numbers. I have two questions. One is like considering that we do have cash and cash equivalent of approx. INR950 crores, right? So, I want to understand from you two things. One is how

management read to the numbers specifically INR 2,880 crores QIP what is the thought process behind it?

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Secondly, you mentioned about three areas. Can you put some more color on all those three areas, like what is the thought process, how we are looking to diversify from the existing business by going into these three areas? So, these are my questions.

Kishor Patil: First thing is we have cash and continue to have a very strong cash conversion.

As we said, we had to make multiple investments and we have been making those investments all these years, but we have to make it in infrastructure.

We have to make it in some pay-outs of the old acquisition, we have to make it into some of the new acquisitions we make.

So, I think when we are looking at it, we are looking at holistically. Right now, if you look at it, it is about 3 months kind of a cash is what we have, which is not too much from that perspective, but that would allow us in a normal course of growth in our organic way.

But when we look at the new acquisitions, that's the time when we will look at the fund raise. I think I mentioned already; I think it is about the adjacencies. It is about the cost reduction and it is about certain specific compliance -related practices. I think we have talked about it a few times earlier also so. Anything beyond this would be difficult.

Garvit Goyal: One more question on the demand environment. Like you mentioned for next 1, 2, 3 quarters going to slowdown. So how do you see the FY '26 from this kind of situation?

Kishor Patil: So, we have made 2 statements. One is our growth, we are reiterating our guidance, number one. Number two, our revenues will be on a lower end of the guidance because of the offshoring and other things, while the profitability on the higher for the same reason, that is the second part.

Third thing we have said that our pipeline is strong, and our conversations are very strong for the large strategic deals. We had talked about the environment in all the 3 geographies specifically. So, we are very confident about the demand going forward. We have always come forward to share what is happening in the market as well as what we are going to do about it. So, I think in that context we talked about the external environment.

Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni : My question is already answered.

Moderator: The next question is from the line of Karan Uppal from Phillip Capital India.

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Karan Uppal: The first question is related to the incremental spending. So, amongst various areas like SDV, Middleware, Electric Powertrain, autonomous, mechanical. So, which are the areas which are driving the incremental spending from OEMs and which are the ones where spending is being pushed back. Any color would be very helpful.

Kishor Patil: So, number one is the cost reduction, whatever allows clients to reduce the cost of the

final product, they are very interested. Right now, that is number one priority, specifically on even the electrification as well as otherwise. So that is the number one part. The second is they want to reduce the program life cycle significantly. I want to make sure that the programs which they have announced for '26, '27 or '28 as the case may be, those are not delayed and those are delivered and if they can be delivered before because many of these OEMs have relatively less number of programs as compared to the Chinese or other OEMs.

So, these are the two areas always the spend is happening. So, the investment on SDV continues to be there, but it is only on the area where you can reduce the time or the cost and the overall cost reduction part, these are the 2, and the third, which I mentioned about is on the compliance.

Karan Uppal: Okay. The second question is basically, if you just step back and look at, let's say, FY '24 and '25. So, the large part of the growth was driven by large deals

like Renault and Honda, which we signed earlier. Now if I look at the TCV for last 6 quarters, except for Q4 FY '24, the TCV has been in the range of 150 million to 200 million. So, you've also spoken about large deals in the pipeline. So, are you expecting any large deal to close maybe in Q3 or Q4, which can help you on the growth trajectory for FY '26?

Sachin Tikekar: So, Karan, as we discussed earlier on, there are a few clients in Europe as well as in Americas, where we are actually in conversations of building long-term large engagements. And of course, there are conversations in Asia as well. So, we do believe that there will be some engagements that are going to be fairly large to come. But we also think that from our existing clients we have business that will grow. So, it's going to be a balanced growth across, we just have to figure out the timing of it.

Kishor Patil: I mean, one thing we have said time again, that with the current clients, with the current spend that we have, we can double the revenues which we have. I think these are basically -- which could happen normal in organic in the normal course of business. Some of these are the opportunities on top of it.

Karan Uppal: And last question is with respect to fund raise. So, is management thought process also in terms of diversifying the vertical, maybe looking at some of the other verticals apart from auto? Is that also a thought process?

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Kishor Patil: I think we have mentioned that we --are currently looking at off-highway and trucks as an additional verticals.

Moderator: Our next question is from the line of Aayush from B&K Securities.

Aayush: Congratulation on a good set of numbers. So just wanted to understand, sir, one thing that if we see a commentary for the large deal pipeline and vendor consolidation opportunity that you have out in your opening remarks. So why are we like providing at the lower end of the guidance should be there because if we see that we are having the vendor consolidation opportunities in US, Europe, Asia and then also we are highly entrenched with the T21 clients.

So, what leads to the caution towards the lower end of the guidance? And then what are we looking forward with the strategy T21 clients for the next year, how they are shaping up their budgets or how they are seeing their programs continuing with us?

Kishor Patil: So, I think we answered this question earlier, that even where we have won the deals, some of the implementation has been delayed by a quarter or 2, specifically European OEMs, we have one. And so, this being the year-end of most of the OEMs, and you probably will see the results of European OEMs I think for a quarter or 2, they may be very cautious.

Similarly, the situation is there. So that's why we are not sure when these deals will actually realize, but as I s

aid, these are serious conversations and even some of the deals which we have won, we have not started. So, I think in the medium term, we see good opportunities and we are confident about good growth.

Aayush: Okay. Next question is on margins. So definitely, if we consider that if we do even like the flatish margins for the next 2 quarters, we would be almost 20.7% -- 20.8% kind of figure for the EBITDA. So, are we like eyeing for 21% plus for this year? Because like the wage hike is behind us. So, it will be giving us a big lever going forward? And what is the furlough situation are we facing that can access a headwind for the next 2 quarters?

Kishor Patil: I think two things. We don't give the quarterly guidance; we give the yearly guidance. And I think we have been very clear about it. We, as a company, we have continued to make investments and some of these adjacencies, some of these growth opportunities, some of these large deals engagement, some of the key programs we have taken, we continue to grow and many of those expenses will be there. And that's why we have given what we see as a margin. Also, the currency movements have been very crazy actually last few quarters. So, I think with that, I think this is what we can see.

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Aayush: And just a last question on commercial vehicles. So, if I heard it clearly, as you mentioned that 2026 will be the growth for the trucks. So, should we expect the same kind of momentum that can kick in like what we have seen in the passenger side of the vehicle part or will it be just a starting phase for that trucks and after post 2026, it would be like a kicker phase for us?

Sachin Tikekar: We actually believe that some of the programs will start sometime in 2025 because they'll have to make -- it depends on from OEM to OEM, when they have the new vehicle launches and what does that mean from -- when I said growth is coming back, that means the number of vehicles being sold will actually grow in '26 over '25. So, the build part from the OEM will actually increase in 2026. However, they continue to make investments in different technologies that are relevant to us. And those programs just start. The point here has been -- we have been sharply focused on passenger cars all these days. Even though we have had some business with commercial vehicles or the truck makers.

Now we are actually for the last few quarters, we have been doubling down on that very consciously. So, we believe just building that expertise and understanding what their needs are, would lead to additional business for us. And I think they need help in the areas where we have deep expertise. So, I think the meeting of these 2 things will happen over the next few quarters.

Moderator: The next question is from the line of Rajit Aggarwal From Atharva Investment Managers.

Rajit Aggarwal: This question is specific to the Volkswagen Groups and their strategy. Recently, there were news reports that they have dropped their all electric vehicle target for 2030 and have incorporated -- and have actually said that, that target now includes hybrid vehicles as well. So, while you have addressed the immediate headwinds for the next few months, do you think that development itself...

Sachin Tikekar : Will you please repeat the last part of your question, you got cut off.

Rajit Aggarwal: Hello. Can you hear me?

Sachin Tikekar : Yes, yes. Just the last sentence, if you could repeat, please.

Rajit Aggarwal: So basically, I just wanted to understand the impact of Volkswagen's resetting of their 2030 target on the overall spend vis -a-vis electric vehicles and our engagement with them. In the medium term, does it impact our outlook of our relationship with them?

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Sachin Tikekar: We believe that there are significant opportu

nities with the Volkswagen

Group. As you know, it's -- you looked at some of the announcements that Volkswagen Group have made. They really need -- they are in the process of reinventing themselves in many ways, given the impact that they have faced in China and the competition that they're facing from China. And they are reprioritizing some of their areas. They are also trying to consolidate their efforts across the plan so that there could be substantial cost leverage that can be taken. And we are part of some of those conversations, right?

So, in general, we think that as soon as that dust settles down, we'll have significant opportunities coming from Volkswagen Group. Coming specifically to powertrain part. You're right, I think like many OEMs -- some OEMs have pushed out the battery electric vehicle program. However, some of them are actually revisiting their hybrid programs, whether it's a mild hybrid for markets or plug-in hybrid for the other markets. So, we believe that there will be more alternate powertrain opportunities coming our way.

In fact, if you look at our results and some of the large engagements that we have closed, there is quite a bit of a contribution from what we call propulsion that covers different types of powertrain. So, we remain -- we believe that going forward, the alternate powertrains will remain a significant part of our business.

Rajit Aggarwal: So as of now, you do not see any negative impact on your outlook over the next 2 to 3 years as far as that specific relationship is concerned?

Sachin Tikekar: Absolutely. I'm glad that you brought up over the next 2 to 3 years, we feel very confident about growing that relationship.

Rajit Aggarwal: No, I'm always looking at 2 to 3 years, sir. I understand...

Sachin Tikekar: No, we remain very optimistic about our partnership.

Rajit Aggarwal: Wonderful. So next quick question on QORIX. Any thoughts or any guidance on when do you see this becoming substantial and are these revenues from our existing customers? Or are they -- or is there any new customer onboarded with QORIX?

Kishor Patil : Well, first thing is QORIX revenue will not be consolidated in KPIT accounts. So, it's just actually , the profit or loss from their operations, our share. And it being a product company, which is investing into this initiative , we do not expect big revenues in the near future and it has not been factored in whatever guidance we give.

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However, as and when they build a new client , the services revenue of integration will come directly to KPIT. So that is where we are looking at those opportunities. We are in a very good position right now, and we believe it will take time. I mean, when we actually announced also, I have mentioned that it will take 12 to 18 months to come out with the main product.

Until that time, the revenues have started which are smaller in numbers. Nevertheless, the client engagement has started, and we have started getting the revenue, we mean QORIX has started getting revenue .

Moderator: The next question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal : My question is answered, sir.

Moderator: The next question is from the line of Sanjaya Satapathy .

Sanjaya Satapathy : Just quickly trying to reconfirm. So, you have said that you've cut down your revenue guidance to the lower end because the mix is shifting towards offshore, but at the same time, part of the margin benefit do you think that you will be spending in your capability? Is that correct, sir?

Kishor Patil : So, first, we have not cut down our guidance. We have reiterated our guidance. I've just given you a color on that, that it won't be at a high end because people assume when we have given certain range, where it could be. And the second is we have given the reason why it will be, and that

is the reason I

said the margins will be better. But -- so earlier, we had expected a certain margin. Our margins will be better.

So please understand we have given a guidance. Very few companies have given -- I mean, it is about 2x or 3x of the next companies who have given the guidance. And we are just saying that it will be at the lower end of the range we have.

Sanjaya Satapathy: On the top line. But overall, on the bottom line, you are maintaining your guidance, that is what you are saying?

Kishor Patil: Not only that we think the profitability is higher than what we have said. We had given 20.5%, it will be higher.

Sanjaya Satapathy: Also, you have made a fair comment that not many people have given guidance and not only KPIT has given guidance but have -- based on this which made us still kind of feel that you will always beat it by a big margin. That is only in which we have gotten used to.

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And sir, of course, you've given huge amount of clarification as to your fund raising and what will be the deployment and considering the kind of cash you have and the kind of money that you're looking at, it looks like it is going to be a huge one, which will probably bring in its own set of challenges in terms of integration and all that, and I'm sure the company is ready for that. And then you are pretty close to the deal. Otherwise, you not have announced this kind of fund raising. Is that correct? Because you have always been disciplined about capital?

Kishor Patil: I will just comment that we have a reasonably successful history of integration. We have grown every acquisition we have done and leveraged it very appropriately or significantly because they all have been very strategic acquisitions. And we expect that, and as I said, time frame, we cannot say, but we are in certainly in active discussions.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman

Sachs.

Chandramouli Muthiah : First follow -up is just around, I think, over the past 2 to 3 years, we've given long-term outlook that it's a really good industry to be in and you see sort of longer -term 20% plus organic growth opportunity with 30, 25 clients that you're working with. So just in the context of maybe the slight change in macro environment, a little bit of geopolitical uncertainty. And also, maybe slight delays in execution of some of these strong opportunities. Does that sort of range of 20% plus organic growth opportunities has changed a little bit over the near term?

Kishor Patil: I think those opportunities are there. In this case, I explained to you what we see right now. But we do believe I have mentioned that we can be at least 2x of our size of more with the current clients and the current focus we have. So absolutely.

Chandramouli Muthiah : Got it. That's helpful. And just in terms of the company's long history of M&A integration, I think that the largest transaction we've done has been Technica. And I think we've executed pretty well on it over the past couple of years. So, I just want to understand internally before you decide to allocate capital to a particular asset. Are there any financial metrics in terms of minimum IRRs or hurdle rates of return or payback periods that you keep in mind? And could you just contrast what typical net margin you'd like an asset versus the current yield on cash that you have?

Kishor Patil: So of course, we are extremely careful. I may say that there are significant numbers of deals we have walked away from than what we engage. And the reason is our careful diligence on that because it's a lot of effort. And while the organic growth is strong , which basically in some way, you are investing KPIT Technologies Limited

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into a larger initiative. So, 2, 3 things. First, we make sure that it is not a

margin dilutive in a certain period, maybe 12 to 18 months it is not a margin dilutive . It's not dilutive on EBITDA, that's the first point.

Second, it is not EPS dilutive, that is the second part we look at. These are the minimum things. Third, we look at cash conversion, which is very important for us. And that we look at a fairly good return. The IRR, etcetera , I mean, you know our return on capital has been very strong, and we continue to drive it. I think if we drive the certain profitability and a certain growth, I guess, that is how it comes. So, we ensure that those are some of the criteria we look at.

Of course, the most important part is how critical it is for our clients, whether it is on the top of our client's mind because that allows us to really get a positioning premium and the growth. So that is very, very important, and it should put us in the top 2 or 3 players in the world in that area. These are very, very important for us. And this is what we drive.

Moderator: The next question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: I wanted to check the change in demand dynamics that you alluded earlier, that it was concept through the quarter? Or it was more a quarter -end phenomena?

Kishor Patil: Sorry, we couldn't understand your question. Could you please repeat?

Ruchi Mukhija: Yes. I want to check the change in demand dynamics that you alluded in your commentary where we're experiencing offshoring and it indicates slight slowness in the second half. Is this kind of demand scenario persist through the quarter? Or it was more quarter -end conversation with the client? I'm trying to assess whether KPIT managed to deliver 4.6% growth despite these dynamics, or we started to see change in the client conversation more towards the end of the quarter only?

Kishor Patil: I think the offshoring is, of course, we have started earlier because we had to hire people, etcetera . But as the cost, as we mentioned that we have won a lot of deals and the mix has changed specifically to ensure that we deliver on the project in a lower cost to the client .

Moderator: The next question is from the line of Ankit Agrawal from Yellowstone Equity.

Ankit Agrawal: I had a quick question on QORIX. You had mentioned that you might add one more partner to the JV, probably an OEM. So just wanted to see if there is an update on that?

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Kishor Patil: So, first thing is we never said it would be an OEM actually. But yes, it will be a very important partner, and we are in advance discussion. Absolutely.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sunil Phansalkar: So, thank you. Thank you for your participation in the call, and have a great evening. If you still have some questions, please feel to write to me, and we will be happy to get back to you. Thank you, and bye.

Kishor Patil: Thank you.

Sachin Tikekar: Thank you.

Moderator: On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

KPIT Technologies Limited

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BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai- 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E), Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir / Madam,

Sub: Transcript of the Post Earnings Conference Call for the quarter ended
December 31, 2024.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the
Post Earnings Conference Call for the
quarter ended December 31, 2024, conducted on January 29, 2025, after the
meeting of the Board of Directors for your information and records. The transcript of the Post Earnings Conference Call is also
made available on the
website of the Company. The link to access the same is as below:
<https://www.kpit.com/investor-financials/>

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For KPIT Technologies Limited

Nida Deshpande

Company Secretary & Compliance Officer

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"KPIT Technologies Limited

Q3 FY '25 Earnings Conference Call "

January 29, 2025

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – KPIT
TECHNOLOGIES LIMITED

MR. SACHIN TIKEKAR – PRESIDENT AND JOINT
MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED

MR. ANUP SABLE – CHIEF TECHNOLOGY OFFICER AND

BOARD MEMBER – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER –
KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR – VICE PRESIDENT OF CF&G ,
HEAD INVESTOR RELATIONS – KPIT TECHNOLOGIES
LIMITED .

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of KPIT hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you, and over to you, sir.

Rahul Jain: Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us the opportunity to host the earnings call. And now I would like to hand the conference over to Mr. Sunil Phansalkar, who is Vice President of CF&G and Head of IR at KPIT to do the management introductions. Over to you.

Sunil Phansalkar: Thank you, Rahul. Hello all. Good evening, and a warm welcome to the earnings conference call for Q3 FY '25 of KPIT Technologies Limited. I hope all of you have had a great start to the new year and continue to have so for the remainder of the year. On the call today, we have Mr. Kishor Patil, Co -Founder, CEO and MD; Mr. Sachin Tikekar, Co -Founder and Joint MD; Mr. Anup Sable, CTO and Board member; and Mrs. Priya Hardikar, CFO; and Sunil from Investor Relations.

As we do always, we'll have the opening remarks by Mr. Kishor Patil on the performance of the company and the way forward, and then we'll have it open for questions. So now I will hand this over to Mr. Kishor Patil.

Kishor Patil: Good evening, everyone. Very happy to take you through the results for quarter ending December '24. At a high level, first, we maintain and reiterate our guidance for the revenue we had given at the beginning of the year between 18% to 22%. We have raised our EBITDA outlook from 20.5% + to 21% +, and that is reflected also in the EBITDA margin for this quarter.

Overall year -to-date quarter 3 FY '25 revenue grew 20.7% over the last year Q3 YTD revenue. Similarly , YTD Q3 FY '25 profit growth is 38% over the same period last year. For this specific quarter, revenue grew 17.4% CC, 18.1% reported USD, year-on-year. EBITDA is 21.1% versus 20.8% last quarter. Year-on-year, there is a growth of 20.4% in terms of net profits.

Quarter -on-quarter, there is a growth of 2% in constant currency and 1.7% in reported revenue. Overall, the growth has during this period –largely been driven by Asia, but we'll explain a little more on this. The overall deal wins

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have been \$236 million during the quarter, are largely balanced, driven more by Europe and followed by US and Asia.

The cash for the quarter has increased from INR9.68 billion last quarter to INR14.2 billion this quarter. This is a significant cash generation during the quarter. It's an exceptional one. Our DSO is 42 days, which we typically are about 45 days. So significant cash generation during the quarter.

We have interim dividend of INR2.5 per share as compared to INR2.1 per share last year. The overall growth during this quarter is driven by Asia, Powertrain and Connected vehicles. The revenue mix has really improved. And mainly our productivity continued to improve. As you might have seen year -on-year, the per person productivity, per person revenue, per person contribution has gone up.

In terms of people , our attrition continues to remain the lowest. It is about

half of most of the average industry attrition. And there is a substantial investment we continue to make in people, basically make them AI ready as well as improving the competency of our team. In terms of technology, the top two areas for us continue to be AI and cybers

security for the investments, along with our continued investment in the normal practices. Looking forward for the next year, overall, we see very positive conversations with the clients. And our pipeline has significantly increased during this year. We do not report any specific numbers, but I may say that it has gone up by about 20% plus during this quarter. The pipeline has increased. It has increased mainly on account of 2 things. One is a couple of large deals, significant deals and deals across multiple broad-based clients. We have positive conversations going with 8 new clients, which we have been pursuing and that has resulted into broad-based pipeline for KPIT. It is across the vertical. I mean it is, of course, led by Passenger cars, but there is a meaningful pipeline in off-highway, commercial and semi-con for automotive. And this is mainly driven by 2 things. One is many of large clients, OEMs, which include existing as well as the new ones, some of them has come out of consolidation of partners they have, where they are looking at effective, quick implementation of SDV and there we see a natural orientation to come to KPIT. And the second part is some of these new companies, which we are talking about, who are mainly in off-highway, commercial and semi-con companies who need different kind of solutions for the mobility in terms of largely driven by the architectural changes in SDV. So these are some of the reasons why the pipeline has gone up, it is fairly balanced between the geographies as well.

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Looking at the other part in terms of another big change which happened during the quarter is about the US. There are many changes which are happening. All in all, we see that there is in some way, we see the positive movement all in all. While some of the incentives on EV are no more, but what it means is basically they have given more options to the end consumer. And considering the fact that the consumers have a preference for electric vehicles, including, as you know, Tesla, which is a US company. And there is a significant segment who prefers EV. Naturally, it means also that the OEMs will look for alternate solutions, which means hybrid, which means fuel cell and also stepping up their conventional programs. I think that means that there are multiple opportunities for us to engage with the OEMs. We do not see any significant challenges in terms of visa, etcetera, basically because we believe it is about the talent and not about the immigration. And so we believe that there will be a continued mobility for short-term projects as needed, whether it is H1 or L1 or any other mode, it doesn't matter. We are well prepared for continuing to increase our local presence as well. We believe that the people productivity is a major focus for us. We'll continue to make AI investments, and we'll improve the productivity per person as we continue to do it.

On the M&A side, we continue to engage with few companies. but looking at their sizes and what we see currently, we do not see that we will opt for QIP in the short term. So we believe some of these acquisitions, we will do through internal accruals on the basis of strong cash flow and borrowing. And we will not opt for QIP at this point of time. Thank you.

Sunil Phansalkar: We can now have it open for questions, please.

Moderator: The first question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta: So a couple of questions. Firstly, obviously, we are -- in auto sales, but based on the client conversation, -- being fastest between US and Europe, between the two I know Asia does well. But between US and Europe, where do you see the recovery happening at a faster growth? That's question number one.

Sunil Phansalkar: Bhavik, could you repeat that. We couldn't hear you clearly. Breaking a little bit.

Bhavik

Mehta: Is it better?
Kishor Patil: Yes.
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Bhavik Mehta: Yes. So I was asking that, obviously, we have seen a slowdown in global auto volumes, and obviously, the recovery will take some time. But between US and Europe, where do you see the demand from clients coming back sooner than later based on our client conversations? That's question number one.

The second question is as OEMs move from EVs to hybrids or other alternative options, how does that impact the kind of work KPIT does with those OEMs? Do we see any headwinds on our revenues because of that movement from EVs to, let's say, hybrid or any of her alternative option?

Sachin Tikekar: So let me answer the first question first. The way I understood the question was where is the demand coming from? Where we see recovery from our perspective, given the sluggishness in the total volume of the vehicles being sold. So as Mr. Patil mentioned earlier, it's led by Europe, followed closely by Americas and Asia. So it's a balanced sort of demand generation that we have created in terms of the geographies.

And also, if you were to look at the breakup of the sub-verticals, obviously it's led by passenger cars, followed by trucks. And there are meaningful conversations with the off-highway OEMs. Primarily, off-highway and truck OEMs are from Europe and the US. So I hope that answers your first question. And the second question was sort of alternate propulsions. It's not just going to be battery electric vehicles, but there are other options that we have to make available and what does that mean to KPIT. It's a great opportunity for KPIT. A, we do a lot of the work in the battery electric space, and we think that, that will continue because there is still demand across the world for battery electric vehicles, including the US. The other part is actually the hybrid.

And we think that in specific countries, many OEMs will actually have to focus on not only plug-in hybrid, but also the mild hybrid solutions. So that creates an opportunity because we are servicing some of the clients in the hybrid space as well. And there is from -- especially from off-highway and truck perspective, there is thinking towards next generation of conventional powertrain engines as well.

So that creates an opportunity because that's the core of KPIT historically speaking. So we think that it's a very positive thing for us, not only in -- necessarily in the US, but we also see similar trends in markets like Japan, potentially in India as well and some of the other markets across the globe. So we really believe that it's a very good opportunity for our company.

Kishor Patil: I wanted to add one different dimension. I think somehow, people relate all the expenses with EV, while that opportunity exists as Mr. Tikekar mentioned.

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The SDV, as you look at it, it is much beyond EV in that sense. And if you actually ask me, the largest growth will be driven for us in terms of digital cockpit and autonomous in the next few years.

So while we continue to grow, as we mentioned, I just wanted to reiterate this basically because I think many times, it is misunderstood that it's driven only by the EV part.

Sachin Tikekar: Does that answer your question?

Bhavik Mehta: Yes.

Moderator: The next question is from the line of Garvit Goyal from N vest Analytics Advisory LLP.

Garvit Goyal: Am I audible sir?

Sunil Phansalkar: Yes.

Garvit Goyal: Congrats for a decent set of numbers. My first question is on QORIX. Like we are observing a few developments there happening when we visit your social media platform particularly on the human resource side, like teams of Pune and Bangalore are meeting along with the new hirings happening. So can you put some light on where are we right now? And by when we can expect reveal

nue to start kicking in KPIT's books. So that is my first question.

Kishor Patil: So actually, I may just say that we are quite on track. The team is already in place. And to some extent, we are building this solution for a much broader base. Last time I mentioned that we have open sourced some part of it as a part of consortium for Europe. We have got one significant OEM as a client for QORIX. And we are also in advanced engagement with 1 European OEM. And also our discussions about third partner, is in advanced stage. So this is what I may say. Anup, do want to add anything? So I think this is where we are on the QORIX.

Garvit Goyal: Do we expect anything in revenue to contribute in FY '26 in KPIT's books?

Kishor Patil: So I may say that it continues to contribute in some way right now, but I'm sure it will be a contributor for the next year.

Garvit Goyal: Understood, sir. And sir, like in continuation to question of previous participant, you mentioned SDV is much beyond the EV. So can you please further elaborate on it, like how -- like you also mentioned you are doing it for one of your hybrid customers. So can you please put some more color on KPIT Technologies Limited

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it, like how it can be like not a degrowing factor, the change in the Trump's policies happening that is not going to affect us?

Sachin Tikekar: So let me, I think what Mr. Patil was trying to say is not all vehicle programs are just necessarily about battery electric vehicle or propulsions. The priorities for the OEMs are also in the areas of e-cockpit, which is basically consumer experience. I think there is a lot of high spend in e-cockpit and consumer experience. That's point number one. Point number two, cybersecurity is also becoming important. And thirdly, the autonomous driving Level 2 to Level 3 is also important. So again, there are investments. So I think what Mr. Patil was trying to say, the spend is not just about alternate propulsions. There are other areas where OEMs are making investments and those also create opportunities for us. And let me have Anup Sable contribute to that to what I just said.

Anup Sable: If you look at in the past, how OEMs worked was primarily sourcing electronic components, which obviously, when you talk about electronics, there is software in it. So sourcing that and integrating the electronic software components into their vehicle. SDV is an initiative for right reasons to actually make sure that most of the software is actually driven by the OEM, controlled by the OEM, owned by the OEM.

And as a result, the OEM program, which was largely an integration program of maybe 20 subsystems supplied by the Tier 1s is coming down to actually developing software for all these subsystems. So whether it is cockpit, whether it is chassis, whether it is body, whether it is autonomous vehicle and many more.

And that actually drives different architectures. So a significant amount of work in terms of making that happen in terms of change of architecture and writing more software on top of their architecture. So I think when we talk about SDV, we are talking about much more than e-Powertrain.

There could be a nonelectric powertrain SDV also because fundamentally, what the OEM wants to do in the future, is get closer to the customer and most of the customer journey or customer experience enhancement is happening through software now.

Garvit Goyal: Got it. Thanks for nice explanation. My next question is on the deal pipeline.

Like with pipeline showing a strong improvement both year-on-year and quarter-on-quarter. So how do you see this trend shaping up in the upcoming quarters? Like what is the future prospect in terms of the pipeline and in terms of the deal wins?

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Sachin Tikekar: So what we can say at this point in time, there are two things.

One is, we are very happy to see that there is significant improvement in terms of the deal closures that we have actually reported. It's not just the deal closures during this quarter, but also the pipeline build-up for potential closures in Q4, but more importantly, the closures in the first half of next financial year.

And as Mr. Patil explained, we believe that there are opportunities for us to continue to grow across the 3 geographies and also across the 3 sub-verticals. And the fourth part, if we can add beyond the 3 sub-verticals, passenger cars, trucks and off-highway vehicle is what we can actually do with the semiconductor companies to create much greater value for the OEMs. So there is another angle where together we can make a much bigger impact on some of the OEMs. So net-net, right now, we are very happy to see the progress that we've made in Q3, and we expect the trend to continue in the near future.

Garvit Goyal: Got it, sir. And one small request like we were looking to visit your facilities in Mumbai. And we tried reaching via investor desk on the e-mail address, which you are sharing with us in PPT. Further, we also called on the contact number followed by a mail to the investor grievance, but no one is responding, sir. So kindly look into it whether there is some internal issue or what?

Sunil Phansalkar: No, please write an e-mail to sunil.phansalkar@kpit.com, and I'll get back to you.

Garvit Goyal: We have written on this email address only.

Sunil Phansalkar: You can just re-forward it to me, and I'll get back to you.

Moderator: The next question is from the line of Karan Uppal from PhillipCapital India.

Karan Uppal: The first question is on the potential Honda Nissan merger. So do you foresee any risk to the existing work which you are doing for Honda, which may impact the growth for FY '26? That's the first question.

Sachin Tikekar: So as you know, what is in the press is they are working towards creating an agreement over the next couple of quarters. And all going well, they will create one common entity where the 2 companies will get merged. And that's something that they will do in the next year. Honda is one of the most important clients. And for Honda, we are one of the most critical partners in their SDV and beyond SDV journey.

We actually look at this as a greater opportunity, not only from the work that we are doing for Honda, many of the things that we are doing for Honda where KPIT Technologies Limited

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Honda is leading the way. So we believe that if all of this goes through, there could be opportunities for us to bring the Nissan part of the partnership also up to speed with what has been done.

Having said that, we also think that there are opportunities related to overall cost reduction in the vehicles, both on the Honda side as well as the Nissan side, that will actually become very critical. That's one of the reasons why they're actually coming together is to leverage the combined volume and improve profitability and the impact. So from our perspective, we believe that this is a very positive thing from KPIT's perspective.

It's too early to say because I think there is a very clear road map that they have rolled out, and we'll go as things start to materialize on that front. And on top of that, I think we are in conversations with both the OEMs, outside of this potential partnership. So yes, net-net, I think it's a very positive thing from KPIT's lens.

Karan Uppal: Okay. So no impact as such you are seeing at this point of time from this potential merger?

Sachin Tikekar: Hopefully in a positive way.

Karan Uppal: Okay. Okay. Great. Second question is on the pipeline. So very bullish commentary on the pipeline side. But last time, you mentioned that the timing of the deal conversion was a bit uncertain. So have we seen improvement in pipeline to deal conversion?

And second question related to that is any large SDV-related deal you are seeing in the pipeline?

Kishor Patil: So first thing is we have seen the good conversions during the quarter. So we do hope there are more positive conversations. But during the quarter, we have seen very strong conversions specifically being the last quarter of the calendar year. So of course, I mentioned that there are a few larger opportunities in our pipeline.

But the more better thing, I would say, is it is across 3 verticals, across geographies and it includes more clients as we are adding off-highway and commercial vehicles to the pipeline as well as new passenger car vehicle OEMs, where we have not engaged till now. So it's a broader set of clients,

and it is across a broader set of verticals.

Sachin Tikekar: What I would just add to what Mr. Patil said is in reference to your specific comments with regards to SDV, most of the long-term partnerships that we have announced in the recent past were related to SDV. Going forward, that would be the case, but it would be much beyond that. As Mr. Sable explained

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that there are different parts. So there is the SDV part and the variance of that.

The second part is also the alternate powertrain. There is the overall vehicle cost reduction, cybersecurity. So we see all of these areas where we can have large long-term engagements.

Kishor Patil: Just to add to that, during this quarter, one of the engagements is a significant SDV program, which we have signed during the quarter.

Moderator: The next question is from the line of Jinesh Shah from RSPN Ventures.

Jinesh Shah: Am I audible?

Sunil Phansalkar: Yes.

Jinesh Shah: Yes. So my question would be that we saw market shift happening and there's like OEMs that were looking for cost reduction, right? So I would just -- based on which you already mentioned about that you'll be hitting the lower end of the guidance in top line. So firstly, can you talk about how are things right now with OEMs? Are they like still struggling to maintain their financial performance?

And how are we seeing that in -- how it will be reflecting in the top line. So like if you say that you'll be hitting 18% lower end of the guidance. And if I do the math, then for Q4, it might sum up to around 10%, if I am doing correctly Y-o-Y basis. So if you can answer these two questions?

Kishor Patil: Yes. First, you are not fully audible, but as I understand, I will try to answer to the best of my ability. But the first thing is we mentioned that we have raised the profit guidance. which is, in my view, whatever I have seen, it is one of, if not the highest, guidance or performance during the quarter not only ER&D, but across all the companies.

The second thing, I would urge you not to speculate anything. I think we have strong quarter closures. I talked about the pipeline going significantly higher and conversations across the verticals. I can only share this much at this point of time. And we have increased our profitability guidance. So it shows that we are in a position to really have a meaningful engagement with the clients. So the only thing what I want to say is there are 2 drivers. I will repeat what I have said earlier. One is the large consolidation deals from the European partners, which many clients had they see significant value from KPIT, . So we are in a position to engage with them.

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And the second part is the new sub-verticals where we are engaged. They're also a journey towards SDV or the new architecture. So that is what is driving the pipeline.

Jinesh Shah: Okay. Okay. That was helpful. And secondly, if you can just talk about like one of the participants already talked about QORIX. So like at PAT level because we can see that we have some

amount of loss coming in sharing due to --

how are we looking going forward in next year financials?

Sunil Phansalkar: Currently, there is a share in loss from QORIX. And how do we see that going forward? Is that the right question?

Jinesh Shah: Yes, yes.

Kishor Patil: Yes, I think, I mean, in our business model, we had maintained that it will continue for some time. But at the same time I will talk about that the revenue cycle has started. In the new product company, we had expected that there would not be much revenues in the first 18 months. But at least we see some revenue starting from next quarter.

Moderator: The next question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: Congrats on the solid deal wins in the quarter. I had a couple of questions.

One is, I think not only for us but across the industry, I think both US and

Europe have been weak. And our strength in Asia has sort of ensured that we are better off. Just wanted your thoughts on -- from both these geographies, when do you see them sort of returning to growth for us on an overall perspective? That's the first question.

Kishor Patil: So Nitin, as I mentioned, I think the wins we had, I think, they are led by Europe and across verticals. So I think the growth will come back latest by quarter 1, if not quarter 4. I hope it will return by quarter 4.

Nitin Padmanabhan: Got it. And I think in the last quarter, we were worried about some pushout of deal execution, and this is what even the other players are suggesting. Do you think that's sort of subsiding? And while the deal closures are actually quite solid, do you think the deal to revenue conversion will be normal? Or do you think that also gets pushed out a bit or it's just normal for us?

Kishor Patil: I mean I can only say during this quarter, also, earlier when we talked about it, I think we have been in a position to get good closures. We are very positive about the conversations, which we are having. So, we do believe that there will be better conversions than what we expected earlier.

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Nitin Padmanabhan: Got it. Got it. And this -- the other expense has sort of increased like almost 11% sequentially. Anything specific within that number? Or how should we think about that on a going-forward basis?

Kishor Patil: Yes. It's an absolutely one-off kind of a thing increase, but we continue to do that. So I think we had a substantial additional expense during this quarter, where we have actually had a significant investment into both the technology as well as management development, both for AI and competencies. And we did something on our own significantly.

Also, we deployed certain consultants for the same for accelerating our journey to off-highway and commercial verticals. So that is the expense which has come during the quarter. It's not something which is affected.

Nitin Padmanabhan: Okay. Got it. And just one last one. See, when we look at the rupee realization, it's at around INR84. So how does the -- so are we taking hedge losses on the revenue line? Is that how it works?

Sunil Phansalkar: No, no, Nitin. If you look at it, our exposure to euro and yen is about 60%. And the INR has appreciated against both these currencies as compared to the last quarter. Whereas against the dollar, it has actually depreciated. But our dollar currency share is lower as compared to the euro and yen.

And that's why this realized rate that comes, which is nothing but the rupee revenue upon the US dollar reported revenue is a mixture of all of these currencies, and it's typically because of yen and euro, where the realization has been lower. Hedge incomes or losses are not taken in revenue. They are a part of other income.

Nitin Padmanabhan: Got it. Got it. And just one last follow-up, if I may. From the large mega deals that we were talking ab

out, how is that tracking? And how is the competitive intensity for those deals?

Kishor Patil: I think I can only say that fortunately, because of the experience and what we have, the competencies developed, we are in a prime position for most of the deals. And I have always said that we are in a very good position on that behalf. I think even from the competition side, the client is very selective because it is not about only price. But because of the competitive pressure on them, they want to get it done in a quicker way as well as they want reliability.

And the kind of solutions we have and the kind of innovation we bring to the table, that differentiates us very significantly. So from that perspective, we are in a good position. And not only that, we are in a position to have some

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premium in most of these kind of deals. And that reflects into some of the performance parameters, both on productivity and profitability.

Moderator: The next question is from the line of Pranav from ASK Investment Managers.

Pranav: Just one question on the margin front, considering a significant part of our acceleration is coming from the ROW geography, which is on the lower margin

side relatively. How are we looking to offset this change in margins going?

Kishor Patil: I didn't understand your last comment.

Pranav: Since a significant acceleration is coming from the ROW geography, which is relatively lower margin as compared to, say, Europe, how are we looking to offset this margin headwind with the change in mix from geography point of view?

Kishor Patil: So that is, I think, an assumption from your side, actually. Yes. So many times, we do not see any impact on our profitability because of that. Actually, I think we have the same, if not better profitability as compared to the other part.

Actually, if you ask me we are getting ready for, if I had to say, pressure on cost to some extent, but we believe we will be in a position to really have benefits because of the investments we are making in AI and automation and the productivity. Maybe Anup, you may want to talk about it.

Anup Sable: Yes. So from an AI perspective, I think if you look at AI and how it works, there is going to be a significant advantage for companies that have data/expertise knowledge and being very focused on this vertical and the experience that we have gained and the kind of problems that we have addressed to the customer, we believe we are in a good position to start leveraging using AI. And out of the 3 main applications of the AI, right, one is for what we need to do as a company. One is what we need to do as a company towards our customer, and third is what our customers need to do. We are very well positioned and appropriately invested in those areas.

Kishor Patil: And on top of it, I may also say that we are also improving our mix of revenue towards either license, platforms outcome-based revenues, where the margins are better. And so we feel comfortable at this point of time.

Moderator: The next question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: Congratulations on good execution in this tough quarter. I have a couple of questions. We have had a very good run in Asia over the last 2 years. Asia revenues seen about two and half times jump. Do you see this geography to

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stay resilient and not see challenges that European or North American automakers are seeing today?

Sachin Tikekar: Ruchi, so let me answer that question. We do see growth coming from Asia in future as well. And when we look at Asia, we look at Japan, Korea, China, Southeast Asia and India. And also now there are 1 or 2 OEMs that are in the Middle East. So that's really Asia. And we believe that all of these markets, we are likely to see growth. So we re

main bullish on Asia. However, I just want to reiterate what I said earlier.

What is being reported as growth from Asia, it does have elements of Europe and US because some of the clients that are actually from US and Europe, large execution is happening out of India. So Asia is getting credit for it. But that's not to say that Asia will not lead our growth going forward. Does that answer your question?

Ruchi Mukhija: Yes. And then I had a few questions on margin. In the prepared remark also Mr. Patil highlighted, we are working on improving employee productivity, and we see that playing out in numbers also. Could you explain what is driving revenue or productivity? What are we doing to keep this lever engaged for us?

Kishor Patil: So maybe this is the point I may share with you one thing. If you look at the last December, the same time, our headcount is almost same, only 50 people are more as compared over the year. And our revenues, as you know, have gone up by 18% or so. So it shows what we have been in a position to achieve in terms of this.

We do hope that with the other automation and the productivity measures, AI as well as the business model, we could continue to do it. I don't know to what extent, but to a significant extent.

Ruchi Mukhija: Okay. Now coming to headcount part of it. Now for last 2 quarters, we see headcount reduction. You also mentioned we have been helping our employee resources now tied bad. So -- and this has been happening while we are growing our top line. So do we have room to further correct utilization? Or we expect hiring to increase from this quarter onwards?

Kishor Patil: So actually, that was the reason I mentioned the first point that you please do not link the revenues to headcount because if you apply the same logic, in

1 year, we have not added the headcount. So it's only 50 people we have added in the year as compared to the last December.

Ruchi Mukhija: How to execute on the deals that we have won?

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Kishor Patil: So I will answer that question. But the only thing I'm saying is please don't put on to the headcount part only. So we, of course, have made offers in the colleges next year. We are very selective about the talent which we want to hire in the AI -powered world. And also the kind of domain we want. So we would be very selective in hiring people of this type or even the young people with a different kind of orientation and aptitude.

So I think as we are really playing a technology game, I think that's how we see talent. And I would request you not to look at that while we are making offers for the next year or so. But how it works out, I don't want to predict anything right now. It depends upon -- I mean, you should be happy if we are in a position to increase ,get better revenues without adding to the headcount. But at the same time, we continue to hire and look for better talent. We continue to hire more in lower -cost countries, but good talent, which is not cheap. So I think we continue to do that. Anup, if you have any comments on the talent.

Anup Sable: Yes. So we are looking at how the talent competencies will change over the time in AI -first delivery, and we are working on that. We are confident that we have already progressed with what our assessment is in terms of what we want. And we'll start and we have already put in place the mechanisms to identify training mechanisms or infrastructure that is required from AI perspective to leverage their talent.

So all is in place. And going forward next quarter and the next year, especially, we believe that we will push more of what we think as technology into what we deliver to the customers.

Kishor Patil: And to just answer your question, we are in a very good position if we want to hire. We can go out and hire because right now, we are really an employer of choice. I said our

attrition is at the lowest. We are an exciting company to work for. So we don't see any issue anywhere in the world to hire, not only in India.

Moderator: The next question is from the line of Abhishek Kumar from JM Financial Limited.

Abhishek Kumar: I feel that we have expanded sort of our playbook and correct me if I'm wrong, be it in terms of client base, we talked about 8 clients out of our T25 clients. In terms of offerings, we have spoken about semi -con at length, which we have not spoken earlier, and also in terms of some verticals...

Moderator: Sorry to interrupt. Abhishek, you need to be a little closer to the microphone, you are sounding muffled.

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Abhishek Kumar: Yes. Is this better?

Kishor Patil: Yes, Abhishek.

Abhishek Kumar: Yes. So my question was that it appears from outside that we have expanded our playbook, whether it's client base , offerings or sub -verticals. And I also see despite a decline in technical headcount, I see an increase in enabling sales personnel. And we just talked about deploying some consultants for some of the new verticals.

So am I reading this right? Is this a conscious strategy that we are trying to expand what we offer to offset or a potential slowdown that we are seeing and therefore, investing ahead of the curve so that the revenue trajectory, etcetera , remain a lot more resilient.

Kishor Patil: I'll answer your question, but I didn't understand in the modelling you mentioned. I'm just trying to understand.

Sachin Tikekar: Let me try and answer the question that you have -- the way we understood the question is you're saying that we are expanding into 3 sub -verticals. We are expanding into more offerings. Does that mean that we are hedging in order to prepare for any kind of slowdown? Is that?

Abhishek Kumar: Not -- yes, the question is same, but I didn't mean that. I meant that we are investing ahead of the curve given some slowdown, etcetera , but we probably see opportunity in adversity, etcetera .

Kishor Patil: At a high level, let me answer that question. We believe our share in the spend of the client can be at more than double from where we are. But at the same time, looking at the industry, we want to make sure that we are more broad-based. And we are in the mobility, which is, again, very, very similar technologies and the same type of clients. So that's what we are trying to do.

Abhishek Kumar: Sure. Sure. The second question is on -- we have spoken about kind of offshoring demand from some of the European and US OEMs. Where are we? Has that kind of demand sustained? Are we seeing some offset in terms of volumes from those customers for the price discount of lower cost that we are passing on?

Any color around. Do you see that continuing for the next few quarters? Or do you think that majority of the impact in terms of revenue deflation is already in the base?

Kishor Patil: Nothing is on our territory , that's client -specific, but for a large set of clients, we don't see any changes. And actually, it is reflected in the results. I think KPIT Technologies Limited

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the margin is increased and the closures have been higher both in dollar terms and this. So at a high level, we don't see it. It is very customer specific. 90% of the clients, we don't see any changes in the behaviour at all.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just on the Nissan Honda merger, which I think was discussed earlier as well. So I just want to understand of your 63 active customers today, is Nissan a part of that? Or is it something that you'd think is incremental if it were to come through potential Honda merger?

Kishor Patil: Difficult to give a client -specific answer, but as Mr. Tikekar said, it will

be an

add-on to us in terms of it's a revenue growth opportunity for us.

Chandramouli Muthiah: Got it. Got it. That's helpful. Second bit is, I think for many quarters, your active client count, I don't know how much it matters, but your active client count has been at 60 clients. And I think after a period of 5 or 6 quarters, we've now seen it increase by 3 clients. You also gave some commentary in your prepared remarks that you've been able to sign on some new clients.

So I just want to understand what is the nature of these clients? Are these new age OEMs? Are these legacy OEMs you didn't work with? Are these semiconductor companies? Are they Tier 1s? Just trying to understand that.

Kishor Patil: So it is actually all of it, but let me give a bit of color on this. So there are a few OEMs which we did not engage earlier for both things. I mean, naturally, first, they did not have a clear road map for the SDV as well as the investments marked for it and their direction was, I would say, not consistent with what the solutions we have to offer .

But what we have seen is many of those are coming back to us , even the legacy OEM s, at least 3, I can see, if not 4 large ones. And that really brings our engagement with them , which is based on what they want to do and what they see, what KPIT has done. So I think that is one part.

The second is the expansion we have done in the off-highway and commercial vehicles part. So that -- there are naturally clients from that side. And last but not the least is what Mr. Tikekar mentioned is, we are trying to meaningfully engage with the semiconductor companies together to create solutions, which will be very significant for the OEMs. And I think with all these 3, we are talking about the meaningful engagements. And now on the number of clients, I think we really continue to work. As you know, we work only with 25. So the number is 60, whatever, and that it is what we continue KPIT Technologies Limited

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to engage and we add when there is really, we believe that we are going to work together.

And so we don't come into POCs or those we don't count really. At a point of

time, we had been, so some of those will reflect in due course.

Sachin Tikekar: Just to add to what Mr. Patil said so that we avoid the confusion between T25 and 60. I would say more than 85% of our revenues actually come from T25, the remaining contribute to the remaining 35 -odd. And these are the clients; A, some of them came through old acquisitions. And there are many of them where we are actually there are small licensing kind of agreements and arrangements. For licensing, we do go beyond T25.

So just for you to know, the focus continues on T25. The mix will change because there are more and more OEMs coming in from passenger cars, and we will add more from trucks and off-highway. Whereas the dependence over the last 3 years from Tier 1 has gone down dramatically. So it's becoming almost all of it as OEMs in T25.

So that focus remains. And as Mr. Patil said, we are very judicious about signing up new clients because we really want this to be a meaningful long-term partnership. And that requires time, but we have actually been putting in that time for the last few years.

Chandramouli Muthiah: Got it. That's helpful. And my last question is just on the topic of European OEMs that we've discussed a few times on the call. So I just want to understand I think the European OEMs are the ones within your mix, which are large, but maybe take a little bit longer to come back. I think you gave commentary that Q4 or Q1 is possible.

So just trying to understand what are some of the things you need to see in the industry in the broader environment potentially for them to come back a little quicker?

Kishor Patil: I think the first thing is that the closures we have done during the quarter, right? I think there are

fair closures from the European clients. So that's the point number one. Point number two, the largest part of the pipeline, the pipeline is across all the 3 geographies, but the largest is from Europe. And the conversation we see and the progress we are making recently gives us that confidence.

And as I said, the reason for that is basically many of them were engaged with local partners and high-cost engagements. But more importantly, they realize that many things they tried with locally, they would like to find a solution which is quicker and cost effective. And that is where they are coming back

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to us. And those conversations are progressing, and that's why we mentioned it in a positive sense.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: Yes. I think this call has come a little late. I had to get off the call to something else. But quickly, what I understood from your narration is that your clients' business challenges apart, the progress on the sales being good or otherwise apart. Fundamentally, we offer a solution and capability which results in a relationship with auto client, which is not transactional, but which is a deeper engagement.

And therefore, that gives us ability to grow even when your clients are facing challenges. That was, in some sense, is a meaning I could derive.

Kishor Patil: Absolutely. And to add to that, I mentioned that our share in the client spend still can more than double. So putting what you mentioned and that part, I think we believe that we will be in a position to grow our relations.

Sachin Tikekar: Bharat, I think you should become our spokesperson. You articulated -- you are spot on. I must appreciate that, the way you captured it.

Bharat Shah: Thank you. Which means, we are not linearly correlated to the business issues and challenges and otherwise facing clients. We are fundamentally problem solver for them. And so long as these clients are going to remain in the business, technology flux, whether it is EV or hybrid or this or that really is an opportunity rather than a concern for you.

Kishor Patil: Absolutely, absolutely. And I think we have been talking about it for last 3, 4 years that our revenues or the spend does not linearly connect with the vehicles sold, but it is about the product development and the future platforms they are creating. And to your point, you really articulated it well as Mr. Tikekar mentioned. So absolutely.

Bharat Shah: Just one last bit. On CV revenues remaining softer, what has been the causal factor? Is it transitory kind of issues at the client's end or it is more structural?

Kishor Patil: So it is actually very specific to 1 or 2 clients. And actually, we have made significant investment in these 2 verticals, off-highway and commercial. And we again want to engage only in a meaningful manner. That is certainly what we want to do. So it may take some time but I mean I'm sure we'll start seeing the results next year.

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Moderator: The next question is from the line of Mihir Manohar from Cernelian Asset Management.

Mihir Manohar : Congratulations on a good set of numbers. Sir, you mentioned about the pipeline, the growth being there, 20% Y-o-Y. Can I get a broader sense as to how has the pipeline growth grown over the last 3 months, last 6 months? You mentioned a significant growth. Any number over there will be helpful.

And also what is the growth here in Europe on a 3-month, 6-month basis? Is the pipeline growing strongly for Europe? Some color on that will be helpful?

Kishor Patil: So we do not mention the pipeline, as I said, it could be misleading. But...

Mihir Manohar : Just a Y-o-Y number. Sorry to interrupt, but just a Y-o-Y or Q-or-Q number, not the absolute number.

Kishor Patil: So yes, that's what I'm answering. So actually, I'm saying it is a quarter-on-quarter 20% growth. It is not year-on-year, the increase in the pipeline. And yes, it's a very significant number. It's a 20% increase in the pipeline, and it is led by Europe. So there is a significant increase in the pipeline in Europe as well.

Mihir Manohar : Sure, sure. Understood. Correct. Correct. So I'm sure, given the conversations, the kind of conversations which we're having on Europe, should we see our company growth levels coming back, I mean, the earlier growth which was there from 1Q onwards?

Kishor Patil: I don't understand this part, maybe I will understand over the period of time. But this year also, we are having one of the best growth in the industry. But it's okay. I think we see the opportunities are good. Conversations are good, and we'll talk about it in April.

Mihir Manohar : Sure. And just a second question was on the change in the US administration, which is there. Now incentives have also been phased out on EV side. So I mean, I understand these are the early days. But what could be the possible impact for us given the fact that we have such a tremendous experience in the industry? How should we see the change in US administration on the overall EV and specifically the ER & D outsourcing side?

Kishor Patil: Actually, we answered this question a few times earlier that actually it's a broadening of the products for the end consumer. And work in all the 3. We do not see any significant impact. Not only that, we see opportunities actually because these will be separate programs. And SDV is beyond EV. And that -- I think we explained that earlier.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Sunil Phansalkar: So thank you, everyone, for your active participation. And if you have any more queries, please feel free to write to us. Thank you so much, and have a great evening. Bye.

Kishor Patil: Thank you.

Moderator: Thank you, ladies and gentlemen. On behalf of Dolat Capital, that concludes this conference. You may now disconnect your lines.

Call: May 2025

KPIT Technologies Limited

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May 06, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.,
Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.
Symbol: KPITTECH
Series: EQ

Kind Attn: The Manager,
Listing Department

Dear Sir/Madam, Subject: - Transcript of the Post Earnings Conference Call for the quarter and
year ended March 31, 2025.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Conference Call for the
quarter and year ended March 31, 2025 conducted on April 28, 2025 after the
meeting of the Board of Directors for your information and records.
The transcript of Post Earnings Conference Call is also made available on the
website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor-financials/>

Thanking you,
Yours faithfully,
For KPIT Technologies Limited

Ashish Malhotra General Counsel & Company Secretary

Encl: as above

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"KPIT Technologies Limited
Q4 FY '25 Earnings Conference Call "
April 28, 2025

MANAGEMENT : MR. RAVI PANDIT – CO-FOUNDER AND CHAIRMAN
MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE

OFFICER AND MANAGING DIRECTOR – KPIT
TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – PRESIDENT AND JOINT
MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. ANUP SABLE – CHIEF TECHNOLOGY OFFICER AND
BOARD MEMBER – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER –
KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR – VICE PRESIDENT OF CF&G ,
HEAD INVESTOR RELATIONS – KPIT TECHNOLOGIES
LIMITED .

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KPIT Technologies Q4 FY '25 Earnings Call hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital India. Thank you, and over to you, sir.

Rahul Jain: Thank you, Avirat . Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us the opportunity to host this earnings call. Now I would like to hand the conference to Sunil Phansalkar, who is Vice President, CF&G and Head of Investor Relations at KPIT, to do the management introductions. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. Good evening, and a very warm welcome to everybody on the KPIT Technologies Q4 FY '25 and FY '25 Earnings Conference Call. On the call today, we have Mr. Ravi Pandit, Co -Founder and Chairman; Mr. Kishor Patil, Co -Founder, CEO and MD; Mr. Sachin Tikekar, President and Joint MD; Mr. Anup Sable, Board Member and CTO; Priya Hardikar, CFO; and Sunil from IR.

As we always do, we would have the opening comments made by Mr. Ravi Pandit on the performance of the company for the year and during the quarter and the way forward, and then we'll have the floor open for questions. So now I will hand it over to Mr. Ravi Pandit.

Ravi Pandit: Good evening, and welcome to our fourth quarter investor call. So what I would like to do is to first talk about the financial results that we have declared, which are in your hand. And then I would like to talk about the broad movements in our area of work. So coming to the financials first. If you look on a quarter basis, if you look at the top line, the year-on-year growth in constant currency has been 15% and quarter -on-quarter growth has been 3%. The EBITDA this quarter was 21.1%, where the year -on-year growth on this quarter has been 18.5% and quarter -on-quarter has been 3.5%. For net profit, we have given 2 numbers this time. The year -on-year growth in net profit for this quarter has been 48.9%, but includes some one -time income, which we have detailed in our investor presentation. If you exclude that, then the growth has been 34.9%. And on a quarter -on-quarter basis, it's 30.9%. And without the exceptional, it is 18.5%.

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I believe that the growth in quarter -on-quarter EBITDA as well as on net profit has been quite healthy. We had during this quarter total closures of \$280 million. We ended the year with a healthy cash conversion with a cash on hand of INR 15.8 billion. If one were to look at the year part, on a constant currency basis, the top line growth has been 18.7%. EBITDA is 21%. Growth in that has been 24%.

The net profit has seen a 41.2% rise. And without considering the one -time, it is 29.8%. We had given a certain revenue guidance, which we are within that.

We had also given some EBITDA guidance in the first place, which was 20.5%, which we later on increased to 21%, and we have kind of met that. On the basis of the results that we have, we are proposing a dividend for the AGM at INR6 per share. And if that gets approved, then the final dividend will be INR8.5 per share, which would be a 27% growth over the last year. So that is a broad financial picture. What I would, however, like to do is to talk to you about what's happening in the marketplace and how do we see things happening. In our presentations to you all along, we have been talking about 3 main drivers for our future growth and

I want to do a bit of a deep dive in each one of them so that we understand where we are on that. We talked about 3 basic drivers. One was geographical adjacency. The second is offering expansion and the third one was vertical adjacency. And we have talked time and again about the work that we are doing in China. As things are becoming more and more clear, we see 4 buckets of opportunities for us. And we have been doing extensive work in China now really understanding the market very well. And therefore, we have come to a conclusion that we can possibly look at 4 ways in which we can use China for our growth. There are some significant learnings from China. And we believe that those learnings are going to be extremely relevant to the global OEMs. And those include new features, they include cost reduction, and we believe that we have an opportunity of taking these learnings from China and take them to our global OEMs, which should help them to become better in their products and cheaper too and also help in the faster delivery. Secondly, we are also working with our existing OEM clients to remain relevant in China. And we are finding that especially in the area of architecture, the work that we do globally with our global clients could be inducted in the China market, and that is something that can give them some edge in that market. Third thing is that and we all know what the current political conditions are, but we see a possibility that we can take the offerings of the China OEMs to go global.

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And lastly and not the least, we believe that we can help China in China, the Chinese OEMs. That's because of the tools and the PT S that we can bring to the table. And all put together, we see that there is a possibility for us to grow in China. We are also working outside of China in some markets. But as we come to a more definitive work on that, we will come back to you. The second area has been the work on the offerings. The extraordinary work that has been done in China by the Chinese OEMs have actually gotten all the OEMs to think about some serious work on cost reduction. How can they consolidate their hardware or software or configure it differently so that the cost can come down. And that's an area where we see a lot of opportunity. We are also seeing opportunity -- and this is a global opportunity in the area of cybersecurity. And we are building some muscle in that. We have added some people in that area, and we think that we have some interesting offerings to give. And also considering the fact that the speed at which the new vehicles are going to be launched in the years to come, there is a need for end-to-end validation. And that's an area where we have been investing our time and money, and we see a possibility of growth in that area. The third dimension has been the area of vertical adjacency. And we have spoken about this earlier that we want to look, currently, we are looking at the entire spectrum of mobility, but our main thrust has been in the area of passenger cars. And we talked earlier that we want to look at both commercial vehicles as well as off-highway equipment. And last time in our last presentation, we talked about 8 new clients with whom we have been having positive conversations. And out of them, we have started already working with 4, which includes 2 truck OEMs as well as 1 off-highway. We have also started working with 1 passenger-car OEM. So we see that increasing potential for growth in the vertical adjacencies. We are also seeing some broad trends in the customers with whom we are working, and especially those customers whose business model has been disrupted by the current experience in China. And we see this largely, we see

this especially with the European OEMs. We see that they are doing more and more consolidation of their vendors.

And so obviously, t

hey are going to lead us in this area, and we see that there is a possibility for us through this consolidation. We are also seeing that considering the fact that the Chinese OEMs have done exceptionally well, both on the autonomous side, which is like L2+, as well as on the digital cockpit side, the other global OEMs really want to improve their features in this area. And that's where we see some opportunities for growth for us.

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And of course, there are many OEMs now who are looking at best -cost- country initiatives. And that's the third part where we are seeing some potential for growth. And you can see a reflection of that in the deal closures that we have done. If you recollect, in the first quarter, we had a deal closure of USD 202 million. The second quarter, it went to 207. The third quarter, it went to 236.

And the fourth quarter, it went to 280. While the OEMs are reconfiguring the way in which they are giving out the work, they are restructuring that, and that is taking some time, and which is why the deal closures are not getting immediately reflected in the revenues. But looking at what we have developed over the years, and the kind of expertise that we have developed, the kind of client confidence that we have built, we are certain that we will do well in these turbulent times.

And so that is what I wanted to leave you with in terms of my first initial remarks. And we will be happy to take any comments or questions that you have. Thank you.

Sunil Phansalkar: We'll have the opening comments again. I think financials have been done. Post-financials, we'll have the opening comments again, and then we can have it open for Q&A. Please.

Ravi Pandit: Hi, everyone. I understand that somewhere in the conversation, we got disconnected. And so what I would like to do is to bring out the points that I wanted to make. And so the first, I covered the quarterly and the yearly financials, which I understand were heard by all. Then I talked about how do we see the things, the current market opening up. And as I said, in Q2, we talked about certain uncertainties. In Q3, we gave confidence regarding how things are moving. Today, we are far more clear regarding how the market is moving and how we will perform in this market. So let me talk about the broad drivers of our revenue and go a little bit deeper into that.

In all our past 3 investor updates, we talked about 3 leverages that we wanted to use. One was the look at geographical adjacencies. The second was look at broader offerings to service our clients. And the third one was to look at vertical adjacencies. So these are the 3 levers that we were looking at. Coming to the first one, on geographical adjacency, we have been talking about China for quite some time. And now it seems that the picture relating to what we can do in China is getting clearer and clearer and we are seeing 4 possible avenues for us to work. And let me take you very quickly through the 4 avenues.

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One is that over our work in China and our partners' work in China, now we have realized what are the learnings which are from China, which we can take to our global clients and we believe that, that will help our global clients to do work at lower cost with better quality, more features, etcetera. And that's one thing that we see happening, especially in the area of Autonomous L2+ part as well as in the area of digital cockpit. And we see our global clients can help from our work in this area.

Secondly, we believe that we can help our existing OEMs to remain relevant in China, especially on account of the extra work that we have been doing, the specialized work that we have been doing in the area of architecture. And that's an area where we have some definitive edge, and that is something that can be

used by our global clients to operate in China.

The third thing is about taking some pieces of work, which has been done by Chinese OEMs and take them global. This, of course, depends on the various political situation, but we believe that there are parts of the work that we can take from China to the global market. Last and not the least is helping the Chinese OEMs to work in China. This is especially in the area of where we have some extremely good tools and the PTAs (Platform, Tools & Accelerators), etcetera, and we see there is a possibility for us to help them. So this is our first axis of operational leverage.

The second one has been on the additional offerings. And we believe our 3 major offerings, namely the cost reduction, cybersecurity, and end-to-end validation will be of relevance in the current period. The third thing that we talked about was the vertical adjacency. And you would recollect we had talked last time that there are 8 new clients with whom we are having positive conversations. Out of those 8, we have started working already on 4. And out of them, 2 are commercial vehicles and 1 is off highway. And the last one is, of course, passenger cars.

So we are seeing growth in our vertical adjacencies. We have created specific administrative structure for that, and we are progressively seeing growth in that area. We are also beginning to see that many OEMs, especially the European OEMs are now doing a substantial consolidation of vendors. And we see that there is a possibility that we will have some piece of the cake. Clearly, because we believe that we have more expertise than most others can offer, and we would become like very natural partners to these OEMs.

So we see this as an overall traction. If you were to look at our deal closures over the last 4 quarters, you would see that consistently on a quarter-on-quarter basis, they are going up. So in the first quarter of this year, the deal closures were \$202 million, in second quarter \$207 million, in the third KPIT Technologies Limited

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quarter, \$236 million. And in the last quarter, that Q4, our deal closures were \$280 million.

So the point that we are trying to make is that we believe that this industry will continue to go for transformation. We believe that we have established our reputation as good dependable suppliers of software integration for them. We believe that we have some extraordinary offerings for them, and this should actually see us through in the years to come. So with these opening remarks, we'll be happy to take any questions from you. Over to you now.

Moderator: The first question is from the line of Abhishek Kumar from JM Financial.

Abhishek Kumar: My first question is on the dichotomy between the deal momentum that we have seen building throughout the year and the decision to not give guidance. But if you could just help us understand, you know, how much -- how difficult it is, what kind of visibility we have right now getting into FY '26?

Kishor Patil: See, overall, as we have said that there are clear areas where we are engaging with the client. And we have seen traction. We have seen pretty reasonable results for Q4 also. At the same time, there are a lot of things which are changing currently, and we think it is in the process of settling down. I mean, for example, everybody is aware about tariffs. And I think many of these areas from that perspective, the speed at which the things will get executed is still not fully clear in the short term.

While we believe it is a question of a quarter or 2 at the most. And that is the one reason why we do not know how the conversion of orders into revenue will happen. At the same time, I must tell you that many of these larger deals, which we have got, many of them are already in the transition phase. Many of them have started scaling up, but slowly than what we would have

expected

from the client perspective.

So the clients have been a bit cautious at this stage. And all our discussions with the clients tell us that the governments and the industry that the trade agreements will get settled in the next 3 to 4 months. And every day, you see a better environment. So with that, we believe we should be in a position to move on quickly from there.

Abhishek Kumar: Okay. My second question is on this collaboration with Mercedes-Benz. Now Mercedes, their strategy was to do their vehicle operating system, which was called MB.OS, if I'm not wrong, all in-house. So do you see any change in

stance by Mercedes in this case ? And in general, across OEMs who are now more open to collaborating and offshoring even their SDV programs, especially the German OEMs?

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Kishor Patil : So absolutely, I think we have been working with German OEMs, as you know, that's a large part of our clients, too. But recently, there are 2 things they are seeing, and it is related with their local ecosystem, which has not been very cost competitive, number one, which has been slow in some sense, the kind of work environment they have, number of hours they have and also the way in which they have been innovating for the future. So with all this together, many European OEMs are absolutely looking at how they can very quickly catch up.

Naturally, we are in a specific situation where specifically in SDV or some of these areas, we are very well entrenched. We have many platforms, many PTAs as we call, we can accelerate this growth. From that perspective, we got engaged. And you will see that from many companies in Europe so that their response can be improved.

The main thing for them is typically, their SDV programs have been delayed for most of them, and they want to catch up on that. Where they see the opportunity is where a company can step in and help them to do that, I think that's where now they are moving. Did I answer your question?

Moderator: The next question is from the line of Karan Uppal from PhillipCapital India.

Karan Uppal: The first question is again on, let's say, FY '26. So assuming there is some certainty to tariffs in next 3 to 4 months, will that be a trigger for auto companies to start resuming the spend? And also will that have an impact on the growth trajectory through FY '26?

Kishor Patil : Absolutely so. And we believe that it's not something which we will start from there. We have already started walking. We'll start running after that. So I just want to be very definitive in saying this. Basically, it is not a question that we start the process from there on in terms of this. We are already in the process .

With most of the clients we are talking about in terms of either transitioning or getting more clearer in terms of what to deliver and already started in some way. The point is how quick and when to scale on a large scale, which I think will happen.

Karan Uppal: Okay. Secondly, on Mercedes deal. So congratulations on that deal. So just wanted to understand the size of this engagement. Is it similar to our previously announced SDV deals like of Honda or of Renault? And also, if you can mention the tenure of them.

Kishor Patil : Yes. So absolutely, it is a similar scope we are doing, but I think we came a little bit late, but absolutely, it is the same contract. And it will be a longer - term deal. It's a multiyear deal, which we are looking at 3 to 4 years deal. So

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this engagement is there. And naturally, it's like being a strategic partner for them in these areas. So that's what we are looking for.

Karan Uppal: Okay. And last question is on Europe. So there was a sharp drop in Q4. What led to that? And also related to that is in FY '25, we saw majority of the growth being led by Asia. So in FY '26, c

an we expect a broad -based sort of growth?

Kishor Patil: I think in a quarter or 2, anything happens, but we have already mentioned that in the pipeline we have, the largest pipeline we have is from Europe. And many of these opportunities we have started are from Europe. And actually, as we have also mentioned last time, some of these engagements like Mercedes, which is a European client, it gets reflected sometimes in Europe or outside depending upon how it gets staged .

But we see that there are different opportunities in different regions, and Mr. Pandit talked about it. But I think in Europe, we believe the speed to catch up is important, and we are a very well -established as well as acknowledged player in that area. So the situation is in terms of how quickly they can do it, how reliably we can do it. I think from that perspective, we are in a prime position.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Sir, just wanted to understand your comments indicate some growth slowness in the first half with expectation of pickup in the second half. So just wanted to understand the first half growth on a Q-on-Q basis, you believe because of macro pressure, it could be even negative or you believe it could be marginally positive with growth momentum to pick up in the second half?

Kishor Patil : We don't talk about quarter-to-quarter growth, but it would be positive.

Sandeep Shah: Okay. Okay. And second, in terms of these kind of a difficult macro situation, maintaining margins could be a difficult task for the industry. So how do you see the FY 2026 EBITDA margin versus FY '25?

Ravi Pandit: See, what we intend to do during this year first thing is you have seen that if you look at even last year, I mean, if I'm correct, most of the companies, their margins have dropped as long as I know almost all. And for surely for the last quarter, for sure. I think we have been in a position to maintain our margins through multiple ways. And we believe that we are in a good position to do that. There are many things we have been focusing a lot on things such as platforms, the automation as well as AI together.

And that is a much more compelling reason than a pure AI-based solution. And this can give a disproportionate productivity for us, which will be great
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for the client and for us, both in terms of time and the quality. So we believe that many of these things will help us not only that we want to continue having the margins, same margins, but we would like to invest in terms of many areas for future and really making a transition to the new models, business models.

And that's why we feel that there is a good possibility for us to manage the margins, while we are not giving any particular time. But I would also say that during the year, as the things settle, we will certainly come back and give the outlook for the rest of the year. And during this time, we intend to give at least some more updates in between once in quarter so that we are engaged with you and you keep on getting more updates frequently.

Sandeep Shah: That would be helpful. And just a last question, Kishor, sir, in your presentation comments, you have mentioned apart from other factors, a potential acquisition would also be one of the growth drivers for medium term. So any update on M&A and versus QIP announcement, which we had 2 quarters back? And whether the potential M&A at advanced stage and will it be financed through internal accruals debt or through QIP proceeds?

Kishor Patil: Yes. So first thing is, yes, I think we have been talking about the areas and especially in the areas which are becoming more and more important, as Mr. Pandit talked about, the cost reduction part or cybersecurity where we already have the offerings, but where we really want to catapult

into, again,

the leaders in this area very clearly. In that aspect, we are looking at certain acquisitions also in advanced stages of discussion, but till it doesn't happen, it doesn't happen. So those opportunities are there.

The idea is not really for a growth, as we always say. It is about more a strategic intention. And the strategic intention will be whether it is adjacency of vertical or adjacency of offerings. And I think that's what we will do the acquisition for these matters.

Moderator: The next question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta: So a couple of questions. Firstly, you did mention that there have been some delays in ramp-up of the projects. But have you seen any ramp down or cancellation since the tariff announcement on 2nd April.

Kishor Patil : We have seen certain projects which we are expecting not coming up and some small way where the projects got closed, we did not continue with some of these. So that has happened, but nothing on a significant scale.

Bhavik Mehta: Okay. The second question is on the Mercedes deal. Firstly, a clarification, is it part of the 280 million TCV you announced for the quarter? And secondly,
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how should we think about the margins on this deal, given that you're working

with the India R&D centre of Mercedes?

Kishor Patil : So, I think two things I would say is, this was already factored in the last win for the last quarter, we were transitioning in this area. We are completing the transitioning and closing those formality. So, it is not a part of this quarter . And the second thing is, we had covered it in the earlier quarter. Part of it was covered in the earlier quarter. And the other areas, I may say that, we have been working with the India centres earlier too. So, we will continue to look at the margin in a holistic way.

Moderator: The next question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: I had a couple of questions actually. The first is this quarter, we saw a decline in passenger cars, but growth was primarily driven by the other segment. Could you give some context as to what kind of work actually drove growth there?

Yes, is it better?

Sunil Phansalkar: Yes, now it's better. Okay. So your question was.

Nitin Padmanabhan: So my question was that during the quarter, we saw a sequential decline for passenger cars. And growth was largely driven by the others segment. So could you give some context on what kind of work actually drove this?

Kishor Patil : I mean we actually it was a marginal number. So we'll come out, we'll check it out. But it should be something to do with either the commercial and off - highway or semiconductor company. So we will check that. But I think that's what it is.

Nitin Padmanabhan: Sure. That's helpful. The second is, see, this time, the share of profit from associates is around INR14 crores. Is that from QORIX? And is this sort of a sustainable number we should think about?

Kishor Patil : Yes. Absolutely, it is from QORIX. And actually, it is from both. I think we also had a profit in N -Dream also. So it is a profit from both. In terms of QORIX, I don't think this is something sustainable. We have to look at it more on a yearly basis. There is a large order which Qorix got during this quarter

Kishor Patil: So I think if you look at the QORIX, every quarter, there was a certain loss during the last year, but this made it up largely for the profit. So I think it's a product business. So there will be quarter -to-quarter variation, but I'm sure as a year, we should be in a position to do well

Nitin Padmanabhan: Perfect. And I hope the audio is better now.

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Ravi Pandit: Yes.

Nitin Padmanabhan: So how should we think about margins going forward? So last year, we had the

the ESOP costs, which sort of tempered margins a bit. So you think if you could give some context on how much of a tailwind that could be this year?

Kishor Patil : No. So I think we'll come out with, as I mentioned, that once there are, I would say, down the line, we would come up with a more specific number. But right now, there is nothing to assume either way. So I think that's what I would just say, at that point.

Nitin Padmanabhan: Perfect. And just 2 quick questions. So in the last quarter, you mentioned a 20% sequential increase in deal pipeline and a lot of that was from Europe. How is it now post the wins that you have had? And any update on the large deals that you have spoken about in the past?

Sachin Tikekar : All right. Nitin, so Europe pipeline looks solid. The 2 truck OEMs that Mr. Pandit talked about, they are from Europe. The passenger car OEM also happens to be from Europe. The pipeline keeps getting better. So the outlook for Europe for this year remains encouraging for us. Nitin, what was your second question? The outlook for Europe and.

Nitin Padmanabhan: The second one was earlier, you mentioned a couple of large deal wins. So - I mean, large deals in the pipeline. So how are they stacking up at the moment?

Sachin Tikekar : Yes, yes. So they're tracking really well. And we do hope to have a closure on at least one of them during this quarter. So they're tracking well. And as the dust settles down, hopefully, there will be some acceleration in the next couple of quarters.

Nitin Padmanabhan: Perfect. That's very helpful. And then just one last one, if I may squeeze in. Is how are you thinking about the wage increase cycle this quarter? Do you -- any thoughts on holding it back? Or it should be a normal cycle in Q2?

Kishor Patil : So I think we are changing a lot of things in the company and the way we are

working, specifically with the AI. So for sure, for the year, we would have increments specifically, but those would be, if I would say, more linked with certain performance. Specifically, we want to ensure that our direction in terms of AI and overall productivity or the end-to-end solutions. So how the people deliver on the overall productivity, we would have more incentive-based payments and the fixed increments will be smaller.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

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Chandramouli Muthiah: My first question is just around passenger vehicle versus off-highway and commercial vehicles. So I think we have been trying to build up the business potential within commercial vehicles given that it is a little more intelligent driving and ADAS friendly. So far in the last couple of years, I think passenger vehicles have comfortably outgrown commercial vehicles. So just trying to understand over the next 1 to 2 years, how you see commercial vehicle as a driver and when you see a more meaningful growth potential there?

Kishor Patil: So if you see the win-in some of this, I mean, we look at commercial vehicles as well as, I mean, off-highway commercial together as a segment. So we already have one win, a meaningful win and a more strategic win. And we believe that this is something which will take off during the year. We may not have significant numbers to add, but reasonable growth. In this year, we would build a base. And from the next year, we will see meaningful growth is what we see as of now.

And passenger car, of course, I mean, that will remain as an engine for years to come. As I have always said that we believe that there is a lot of headroom for us to grow in the passenger car. As Mr. Pandit also mentioned and Mr. Tikekar mentioned last time that we are already in discussions with multiple clients, and we are seeing a great conversion on the new clients. We have shown about the Mercedes-Benz.

I think that those w

ere some of the concerns earlier, whether you will get SDV programs for the new OEMs. And I must say that actually, there are many OEMs which we were not working or for the reason that they were not really driving this in a holistic way this program, many of them are coming back to us right now. And from there, that's how we have started the traction in this area.

So absolutely, we believe in the medium term, I mean, the passenger car vehicle growth will be always there from this year and next year onwards.

Sachin Tikekar: Chandru, another way to look at it is from off-highway, we had 5 OEMs in mind that are of meaningful size. And on the truck side, there were 4 OEMs.

What we have done is 2 out of the 4, we have already signed up with. And I think over the next several quarters, we'll start to engage with them more meaningfully. Out of the 5 on off-highway, we have started an engagement with one. Having said that, there are 2 others that we hope to start engagements within the next quarter.

So in order to have a broad-based growth, which is across the 3 geographies and across the 3 verticals, I think we are setting ourselves reasonably well.

And we'll be able to do so during the H1 so that our growth going forward in the second half of this year and in the midterm will be more balanced across

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the geographies as well as across the three sub-verticals. So reasonable progress from that perspective.

Chandramouli Muthiah: Got it. That's helpful. My second question is just around the focus on China.

So in the global EV market, this is the set of OEMs from China that seems to be rapidly gaining market share and entering more and more markets, which are accessible to the Chinese OEMs. So I think KPIT over the past couple of years has been focusing more on trying to build a bigger base and closer relationship with some of the Chinese OEMs that are going global.

So just trying to understand, are there any sort of early examples or early wins that you're able to share with us, which you think can germinate into

larger opportunity sets? Just to see over the past couple of years, the efforts you've been putting, if there's sort of any early indications of what sort of direction and trajectory this maybe more thematic shift in the global EV industry could take and benefit you?

Kishor Patil : Yes. So as Mr. Pandit talked about our China strategy and what are the 3, 4 angles which we have in terms of our China strategy. So we are first, I must say that for a sustainable growth for long-term, we have to build an organization. And we are in that process where we have hired people from the technology side who can bring our learning from China to here. We are building a local stronger presence which can meaningfully engage with China in China. And of course, we have moved some people from outside China, Chinese people who can really engage with us in terms of global OEMs. So we have actually first established the structure. I may say that we have established some partnerships there at this point of time. I believe in the later part of this year, we should have something going. But we are progressing on some conversations there. I would not say anything concrete beyond that. But there are certain conversations which are progressing positively.

And the first part for us was to really create -- as you know, we are not there to just go and sell. First, we have to build an organization. We have to build offering which makes significant sense to the OEMs for the long-term and strategically. So that is something we have built some of these partnerships and the conversation with the end consumers. And we see better confidence in penetrating in that market.

Chandramouli Muthiah: Got it. That's helpful. And my last question is just around pricing in the market, as well as sort of profitability metrics. So

when I look at your EBITDA per

employee, it continues to grow on a Y-o-Y basis. So just trying to understand from a pricing standpoint, even though the macro is a little more of a pause kind of situation at this stage, what sort of negotiations are you having on pricing? Are you able to take price hikes the way you were able to take 1 or 2

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years back? Or is there maybe sort of a pause on sort of pricing trends as well?

And just related to that, on the margin front, I think part of this was asked earlier. Last year, we did have meaningful ESOP headwind in spite of which, I think the company was able to expand margin Y-o-Y. This year, there's much less of an ESOP headwind and you have spoken about more offshoring, so just want to understand directionally if there's some color you're able to share on margin and pricing.

Kishor Patil: Yes. So I think we look at -- I think it is better to look at holistically. The way we look at it as a company. I mean, there are many things, right, we continue to invest. One is in the people, right? Last time like stock options, we invested quite a bit. We invested quite a bit into market expansion. And we will continue during so this year also to invest more meaningfully into markets. --We are also making a meaningful investment into AI transformation. It is in terms of hiring the team, then we are also building solutions as I said, AI is not just AI because that any company can come up with. We are looking at how we can make a very automotive-specific or mobility-specific AI agents, platform tools, and along with our accelerators, it creates end-to-end solutions. So we would like to accelerate that part of the journey also during this year.

So of course, to your point, in some customers, we have got the increment that is increased rates in some customers. And of course, there are clients which are coming back for a better cost-effective solution. Currently, our approach is to take this opportunity to change the business model and really find a better way to give them benefits as well as maintain the margin if not increase it. Right now, that is what we have been doing.

So to answer your question, we'll we will manage our margins based on the kitty we have and where we are making the investments. So that's what I would put it.

Moderator: The next question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: Now most of questions have been answered. Just to double-click on China strategy. Do you think localization, partnership, ecosystem and special

solutioning, will it have some implication on margin for KPIT? And now how flexible we are if it requires some balance sheet commitment to build China scale business for us?

Kishor Patil: I mean, it will be part of our TCV we talked about, right? We'll develop and invest in the market. So China will continue to. It's a little longer game and KPIT Technologies Limited

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we believe that as in any market like including India, we have been in a position to have a reasonable margin. So it's something we have to do. And I think I must say that with AI, we are more confident actually with the overall platforms and solutions we are picking to compete in any market.

So I won't say that whether it is accretive margin for this or that. But right now it's a little medium-term game at least in China, but it's very strategic.

So we will continue to do that, and we'll find our way to improve the margins.

Ruchi Mukhija: Got it. In the presentation prepared comments mentioned that transformative large deals we expect to contribute revenue in H2. Just to clarify here, are the ramp-up timeline have been planned like that or because of the tariff situation, this is some delay that we anticipate?

Kishor Patil: We believe these 2 or 3 bigger opportunities which

we have. It's nothing

planned but I think some of these, as I mentioned earlier, we have already started in some small way. I think it will take some time to scale during this part. That is one part. And a couple of things, I think they are in that natural process, they will realize that around that time.

Ruchi Mukhija: Okay. And last bit, more accounting one. The profit from JV INR14 crore we received, you did mentioned that there will be some fluctuation around the Qorix. But can you give some broad sense, are we confident that the next year, we would still net positive for the year? Or still we are in the experiment phase and there could be negative or losses in the JV effort?

Priyamvada Hardikar: So there could be - like Mr. Patil mentioned earlier, there will be quarter-on-quarter variation because it's a product company, QORIX itself. We do believe that in coming times in medium-term, it will be positive. Cannot say right now whether it will be 1 year or 2 years.

Moderator: The next question is from the line of Ankur Pant from IIFL.

Ankur Pant: I have a few questions. First is Asia has been a key growth driver for us over the last several quarters. Post the tariff announcements, have you seen more caution in your clients in Asia as well which might lead to some tapering in growth in 1H? Like how are the conversations changed there?

Sachin Tikekar : Asia is a fairly broad market. So we look at Asia as Japan, Korea, one bucket China, one bucket, and India, one bucket. And what we are trying to do is we want to have more broad-based growth in Asia from passenger cars as well as trucks. And I think the efforts are on. And as Mr. Patil mentioned earlier on, I think quarter-on-quarter, there will be fluctuations. But year-on-year, we'll continue to see growth coming from Asia. In fact, we do hope that this year, KPIT Technologies Limited

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the growth will be broad-based in the sense that all 3 geographies will be firing in the same direction.

Kishor Patil: At a high level, maybe if I may add, India will be a growth market. We see a reasonable growth in India. China has been a small part. So we will see at least something positive there than what it was last year. Japan will be also positive. And Korea is probably flattish as of now, and we'll see where it goes. But there are other markets in Asia where we see some growth opportunities, and that we expect to grow during this year.

Ankur Pant: Sure. And then talking about these geographies, how is the demand environment, if you could just elaborate in brief different in U.S. versus Europe, for example, Asia, you have already explained. But how are clients, including the US and Europe?

Sachin Tikekar : So I'll generalize for each of the geographies. We just talked about Asia, and we also talked about Europe earlier on. There are German OEMs who know what they want. They're trying to consolidate business and they're looking for a partner who will sort of help them accelerate some of these programs. And

as Mr. Pandit explained earlier on, we are in a pole position to capture growth from them.

As far as the US is concerned, we've started an engagement with the new OEM in U.S., which is a good thing for us. And we believe that we'll grow, we'll have substantial growth from that particular passenger car OEM in the US. And the existing OEMs that we have, both on passenger cars as well as trucks will have growth.

Having said that, we do hope to have more growth coming in the US from off-highway. There are 2 or 3 really large off-highway players, and we've started an engagement with one of them this year. So we do believe that growth in the US will also come back. It's just that it'll be broad-based. It'll be across passenger cars, off-highway, and trucks for the US. Whereas in Europe, it's going to be mostly in passenger cars, trucks. And Asia primarily will be passenger cars supported by trucks in some ways. If that's helpful in any way?

trucks in some ways. If that's helpful in any way?

Ankur Pant: Yes, definitely. Another question is now there is heightened uncertainty. Are there any specific types of programs that you are seeing delayed and some - and any specific types of projects which you are seeing that are going as planned, and specific programs which are getting delayed? Just wanted some color around what kind of programs are being delayed.

Kishor Patil: I will start for this and then maybe Anup can talk about it. I think as we mentioned, most of the OEMs are closer to production programs for their new production program in next year and year after. And so this is a very important KPIT Technologies Limited

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stage for the integration. And many OEMs are lacking behind. And that's where we have a very differentiated solution to help them. Maybe Anup, you can elaborate on this.

Anup Sable: Yes. So typically, the programs for the OEM fall in multiple categories, which are going from urgent to important. The current programs, which basically deal with the next release of vehicle, right, the start of production, are the most critical ones. They are urgent and important, both. Subsequently, after that, there is a new platform development, or a new next-generation platform, which is critical. After that any R&D or proof-of-concept activities that are important.

So I think when you look at tightening of situations, some of these further in the timeline activities start falling into discretionary activities and they start getting tuned. They're not necessarily cancelled, but they start getting tuned in terms of deferment, what to do now, what to do later, 2 quarters later, etcetera. I think all the programs that were taken in the last generation will basically hit production some in the current year, some in the next year and some year after that.

So from calendar year '25, '26 and '27, many of the current programs will get delivered. And as time goes by, as the production dates closer, the programs also start getting into challenges from an integration perspective. And that is where normally, because we have domain as well as technology expertise and we bring to the table the full solution, we start getting engaged also significantly even at those stages, even at the last stages of the delivery. So I think more or less this is the explanation.

Kishor Patil: So from that perspective, validation is an area where we see a significant growth and integration, which will happen. And we believe we have a very differentiated solution, which we can take to many clients and take the full ownership of this program. That's the area of growth we see. The other areas of growth, Mr. Pandit talked about in terms of both autonomous and digital cockpit area, which are critical apart from the cybersecurity. So these are the areas which will be more important. So I must say that some of the smaller discretionary expenses will go down, but these are the areas which companies will double down.

Ankur Pant: And finally, one last question from my side is that a couple of quarters back, you had highlighted that there is -- the clients want increased offshoring. Are you still seeing that happen? Would that be a margin we were going into next year? And what about the revenue deflation impact from that?

Kishor Patil: Absolutely. It's one of the areas when we are moving towards fixed price. There are many areas how we can do it. But in many areas, we can do that.

It depends upon the stage of the program. I mean if we take a very large program, initially, still you will have to deliver at least have some people on site, but in 6 to 8 months, we can move them offshore. That has what has happened even in the past.

So most of the time, we do believe that people are open for a large -scale cost-effective s

olution. We want to move -- as we always, we move away from on -site or offshore, but we are in a position to put a model based on productivity, offshoring, our PTAs, as we call platform tools accelerators. And based on that, give a cost -effective solution.

Ankur Pant: But would there be any revenue deflation from that like we did call that out last year?

Kishor Patil: Yes. So from that perspective, if you look at it, I think -- in case of our current engagement, I think there will be marginally, if at all, it happens over the period. But hopefully, we are taking more work from the OEMs from that perspective. So that is not something we believe. But in the new areas or new clients, which we are taking, as we mentioned, we are trying to take away from the Europeans or local companies.

Moderator: The next question and the last question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: Yes. This is less on KPIT, but broadly in the -- what is happening in the world in the automobile arena. So it is the impression I get is when I look at what is happening in China, especially on the passenger vehicle side, it is explosion of innovation at a scale, I mean, number of new products, different features, variety kind of stabilizing and customer choices. There is such a dramatic proliferation, which has occurred in a relatively short period of time.

And Europe, like most things in life, Europe is behind by a big margin. America also barring Tesla to an extent that to an extent that innovation is not to be heard. And even Japan seems to be fairly behind. So given that kind of context of that industry, if I'm right in my judgment, what it means is despite the highly questionable trade practices and commercial behaviour of China. So it will raise the heckles of other countries and put up barriers like we are witnessing.

But that kind of innovation can kind of damage the brand equity. I mean, if Mercedes is charging a hell of a lot of price but offering inferior features, suddenly the brand equity gets eroded when you find far modestly priced vehicles with so many features that Mercedes simply doesn't offer. Don't you think that kind of a risk seems to be around, and given your business being predominantly in these geographies?

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Ravi Pandit: You are right in your observations about how China has significantly changed in the last years. And I agree that it has taken all other OEMs by complete surprise. And it is also true that the rest of the countries are putting up kind of temporary trade barriers. Europe has done that, America is talking that, etcetera . But I mean, that cannot be a long -term solution because the customers would like to have good products.

And of course, the Chinese OEMs can open their operations in multiple locations and, so to say, get around these legal barriers. But the fact of the matter is that now that these extraordinary new offerings, which have come from China are now being seen by the European and American OEMs, they are in a rush to make sure that they catch up. And so the China cost, the China quality, the China speed is kind of becoming like a mantra with the remaining OEMs. And we really do see a tremendous potential in that.

And in the original remark, in the opening remarks that I made, I talked about learning , taking learnings from China, and taking them to our global clients. But this is what we exactly meant. And as Mr. Patil mentioned, that this whole kerfuffle about the tariffs, etcetera , between US and China may kind of unwind over a period of time. But that is the time that the American OEMs will try to see how they can use that time to kind of match up. And we really

do see opportunity in that area.

And I mean, the way we look at it is that in this whole bargain, the consumers are getting a better deal, and this is how thi

ngs should be. And we should be like the catalyst for making that happen. To us, it's a very good opportunity for growth.

Bharat Shah: No. I understand, you try even when your customers are in trouble, because otherwise their survival is at a stake and therefore they will need to invest.

But if your customers or primary customers are usually behind the curve, doesn't it affect you over the period of time that also makes you behind the curve at some stage?

Ravi Pandit: No, not a good question. But a couple of things. It is not safe to assume that the Chinese OEMs are ahead of the remaining and ahead of us in every department of software. I believe that we are good in architecture, and that's something that I mentioned earlier, we could possibly take to China.

There are some areas like we talked about the autonomous. These are the areas where the Chinese have done well because of the extraordinary amount of data that is available to them, which is not available elsewhere. And so some strengths that they have got are the strengths that they have got from their environment. And that doesn't in any way put us as KPIT kind of behind.

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Bharat Shah: But from customers' point of view, it is those features, and the dramatic kind of new offerings which customers may not have even thought about, I mean, auto parking, vehicles parking or vehicles...

Ravi Pandit: No. None of these offerings are what customers did not think about. These are the offerings available also in some cars outside of China. It's not such a sweeping difference between China and the rest of the world as is sometimes felt. There are avenues where they are good, and we talked about that, like the digital cockpit and some part of autonomous. That's where they are ahead. And -- so it's not an insurmountable lead.

Bharat Shah: I see. And there are Chinese behind, if there is any?

Ravi Pandit: Architecture, I mean...

Sachin Tikekar : Cybersecurity. Again, China leadership right now is China OEMs for China. This is where they are dominating the world. Of course, they are getting in different countries, but it's an insignificant amount in terms of number of vehicles, even though they are going up. The concerns that the global consumers have about Chinese vehicles, they work really well in China because some of the reasons that Mr. Pandit talked about.

It will take quite some time for them to localize them for each of the countries in which they need to operate. And also aftersales, the quality of the vehicle and the offerings, and the aftersales and dealer network. That is also something that the traditional OEMs have it very well established.

So as Mr. Pandit said, it's not everything lost. The way we see it is Tesla disrupted everybody. And then Chinese caught on. They have disrupted. Chinese learn from Tesla, now the world will learn from China, and so will the global OEMs, right? So I think that it's a great wake-up call and opportunity for everybody to sort of get their act together and move on.

Bharat Shah: No, appreciate. That means even though Europe remains somewhat legacy driven and sleepy in general, you still believe it is not a lost cause?

Ravi Pandit: No. I think everybody is woken up now.

Kishor Patil: On a parting note, I may say I was very impressed with the current Mahindra vehicle line. I think it gives me hope that in few years India will have vehicles which can compete with China.

Moderator: Ladies and gentlemen, with this, we conclude the Q&A session, and I now hand the conference over to the management for the closing comments.

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Sunil Phansalkar: So thank you very much. We appreciate your participation on the call, and have a great evening. Bye -bye.

Kishor Patil: Thank you.

Ravi Pandit: Bye-bye.

Moderator: On behalf of D

olat Capital Markets Private Limited, that concludes this
conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

KPIT Technologies Limited

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Dalal Street,

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Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai – 400051.

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Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir / Madam,

Sub: Transcript of the Post Earnings Conference Call for the quarter ended June 30, 2025.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Post Earnings Conference Call for the quarter ended June 30, 2025, conducted on July 30, 2025, after the meeting of the Board of Directors for your information and records.

The transcript of the Post Earnings Conference Call is also made available on the website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor-financials/>

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For KPIT Technologies Limited

Ashish Malhotra

General Counsel & Company Secretary

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"KPIT Technologies Limited

Q1 FY '26 Earnings Conference Call "

July 30, 2025

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MR. SACHIN TIKEKAR – CO-FOUNDER AND JOINT MANAGING DIRECTOR – KPIT TECHNOLOGIES LIMITED
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER – KPIT TECHNOLOGIES LIMITED
MR. SUNIL PHANSALKAR – VICE PRESIDENT OF CF&G , HEAD INVESTOR RELATIONS – KPIT TECHNOLOGIES LIMITED .

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED

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KP 11· DOLAT CAPITAL MARKETS LIMITED
KPIT Technologies Limited
July 30, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to KPIT Technology's Q1 FY '26 Earnings Conference Call, hosted by Dolat Capital Market Private Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Rahul Jain from Dolat Capital Market Private Limited. Thank you, and over to you, sir.

Rahul Jain: Thank you, moderator. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us the opportunity to host this earnings call. And now I would like to hand the conference to Mr. Sunil Phansalkar, who is VP, CF&G and Head IR at KPIT to do the management introductions. Over to you Sunil.

Sunil Phansalkar: Thank you, Rahul. A very warm welcome to everyone on the Q1 FY '26 Earnings Call of KPIT Technologies Limited. On the call today, we have Kishor Patil, Co-Founder, CEO and MD; Mr. Sachin Tikekar, Co-Founder and Joint MD; Priya Hardikar, CFO; and myself on the call. As we do always, we'll have the opening remarks by Mr. Kishor Patil on the quarter performance and the way forward. And then we'll have the floor open for your questions.

So thank you for joining this call, and I will now hand it over to Mr. Kishor Patil.

Kishor Patil: Hello. Welcome to quarterly investor call. I will just go through quickly the key highlights of the quarter. year-on-year growth has been 12

.8% in rupee

terms and 7.8% in dollar terms. EBITDA has grown year-on-year by 12.4%. We are very happy that in these uncertain times, the EBITDA remained strong at 21%.

EBIT was at 17%. PAT is INR 1719.1 Mn. There is a variance as compared to the last quarter, basically because of the onetime income we had last time because of QUALCOMM's investment into Qorix as well as a net negative impact of INR272 million because of the currency changes. The wins during the quarter have been \$241 million. The growth has been mainly in powertrain and connected areas, both across U.S.A. and Europe and basically in the passenger car vertical.

In terms of commercial, there is certain drop, and it is very specific to this year's ramp down, that happened in a client, which we believe now will go into the growth mode from 1 quarter down the line. In terms of overall quality of the revenue, fixed price projects have moved from 60%, to 62.5%. It is very KP 11·

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important because this allows us moving to the business model and which we would like to move into in the future. The head count has been 12,545 from 12,873 from the last quarter.

On the Pipeline. Overall, the pipeline remains strong. We believe that based on what we have won and the way the movement of the pipeline is appearing in the last few weeks and also based on some of the wins we had. I think we have this pipeline based on the passenger cars, but we believe that in the Commercial Vehicle vertical -- there will also be growth in off-highway and commercial, which will kick in, in the next few quarters.

We are also very bullish about China and India. We can see that the pipeline from both these geographies has increased. And you have seen an announcement about the JSW engagement, which we have won.

I must say that we are very bullish about where we stand in terms of AI competency and the kind of solutions we are in the process of building in terms of AI-infused mobility. We believe, based on our interactions with the clients as well as overall industry players, we are ahead in terms of our AI journey specific to mobility, and this gives us a very substantial competitive advantage as compared to our competition to win more business.

Overall, as you know, the geopolitical issue because of the tariffs and the intense competition between the OEMs and the China competition is still there, but we believe it will settle down in a quarter. We believe that the solutions approach is what the clients are looking for to bring in speed and a reduction in the cost.

We believe that along with our products and platform strategy and this AI-based solutions, we will be in a position to have certain wins and H2 will be higher than H1. And as we move into the second half, we will start gaining the growth momentum.

This is what I have to say today, and we look forward to any questions.

Moderator: Thank you very much. The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Just one question, Kishor, you mentioned that you expected tariff which are uncertain to settle down in a quarter. Is this based on client conversations that we're getting confidence that things will start improving from 3Q onwards?

Kishor Patil: Yes. I mean what we see in the newspapers and overall, what you know and what we talk to government and understanding and of course, the clients. I KP 11.

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believe in a quarter or so, I think there will be more certainty. And right now, we believe because we have a very strong pipeline, and I think the scale-up is not happening because of the uncertainty or wherever there is a priority, the client is coming to us specifically when they really need speed, which is required for the completion of most of their programs. But that comes

at a cost of some kind of a cannibalization of the existing business also. So, we believe the spend will start happening, and that is, of course, based on the client conversation, as much as they see it right now.

Moderator: The next question is from the line of Karan Uppal from PhillipCapital India.

Karan Uppal: The first question is on the overall deals. So have you seen any pickup in terms of the projects which were stalled or delayed due to macro uncertainty in last few months? And do you expect Q2 to stabilize? Or there could be some additional drop in revenue in Q2? Yes, that's the first question.

Kishor Patil: I will tell you about the environment. We don't talk about quarter-to-quarter and anything specific. But I think in quarter 1 as well as quarter 2, the way we see is that if you remember, last year, we had some onetime income, which I mentioned also at the end of the year last time and during the opening remarks here.

Many of that income had gone, but I think it has been compensated by the new wins or some of the start of the projects. So already, we see some of that. But I think we have not ramped up to our expectation in quarter 1 and quarter 2, but we do believe that in H2, sometime in the H2, it will start

growing. It will start ramping up based on our conversations, as I mentioned, and we will see the growth momentum .

Karan Uppal: Okay. And can you, sir, can you please mentioned about the demand trends you are seeing across various geography markets like Europe, Asia and U.S. And the recent U.S. and Europe as well as U.S. and Japan trade deals, would that have any positive impact on the R&D spending as that brings some certainty with respect to tariffs on auto?

Kishor Patil: Absolutely. I think some certainty is getting in, as you talked about Europe, U.S. And we believe as it settles down, I think the clients , even though there will be an additional cost, I think at least there will be a certainty to some extent. And that , we believe that will really push them to move forward in terms of certain programs and spend.

There is still less clarity in terms of tariffs, in terms of Mexico and Canada, which is important to some clients, specifically in Asia, but also some places in Europe. And that is also required, and I hope that also comes in this time. KP 11·

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That will further help. But even today's clarity is helping is what I think, as I mentioned, H1 is something which will remain a little unstable or uncertain to some extent, as I have been talking. But we see now H2 certainly, we believe that we will start seeing the growth in H2.

Karan Uppal: Okay. The last question is on the pipeline. So could you mention about the segments where you are seeing good demand in terms of, let's say SDV, AD ADAS, connected, hybrid. Some color would be helpful. And last time, you had mentioned two large deals were there in the pipeline in Europe. So what's the status of that?

Kishor Patil: Yes. I think overall, the growth in terms of domain, I think, has been more in terms of powertrain, connected and autonomous, though this quarter it doesn't appear like that, but in 1 quarter down the line also, you will start seeing that. But I think these are the areas.

And in Europe, there are many deals in the process. But I think in Europe, some of these deals have started ramping up. As I said, slowly than what we expect ed, but they have started converting.

And the other thing, I must say that as India and China, we believe that they will start contributing meaningfully to our revenues in next 6 months or so. I mean, that you have seen one announcement today, it will start kicking in to a certain extent even though it is initial , it will start in Q3, it will be small to begin with, but it will start scaling up over the next 3 years or so.

So reasonable contracts and they wi

Il start scaling up. We also are very pleased that China pipeline is coming along well. We hope and we believe that we'll be in a position to start some of these projects also. In Europe, our pipeline is the strongest, as I have been talking about, I think that will help us. And U.S., I think specifically on off -highway and commercial, we see that we will start seeing some growth in the quarter s down the line.

Karan Uppal: Okay. Thanks and all the best.

Moderator: The next question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: I think it's been pretty solid execution in a very tough quarter, both on deal wins and margins. I wanted your thoughts on a couple of things. So first is, I think, we have had a lot of OEMs make a lot of announcements, like I think Honda spoke about their change in plans on or at least pushing out plan from an EV time line perspective and a lot of things, Daimler today, there was a new guidance on lower volumes and so on and so forth. KP 11·

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So there's a lot happening. It would be good if you could sort of contextualize what is happening from a spend priority perspective if you compare now versus last year on how they're looking at those spends. So that is one. Second is, I think, see, we have seen a good almost 20% growth in deal wins , right, both on a TTM basis and year -on-year basis.

Now for the older deals, are you seeing versus what was originally signed, is there any change in the scope or anything because of the change in plans?

Are you seeing any impact or that continues to sort of hold true in terms of what the original scope and scale of those deals were ? Those are the two questions to start with.

Sachin Tikekar: So Nitin, let's start with the first question. In terms of the spend, obviously, there is a lot of prioritization, reprioritization that's been done given the cost pressures that are being faced by all the OEMs across the globe. The basic thinking is they're making investments in the features that make sense and that they have to bring into production immediately in order to remain competitive. And there are two specifics. I think it's becoming a default that everybody has a smart cockpit or an e-cockpit.

And secondly, it has Level 2+ autonomy. I think this has become the #1 priority for most OEMs. It has become a default in China and now it's becoming a default in the Western world as well. So that's one area where everybody is prioritizing their spend. Along with that comes cybersecurity and functional safety. They go hand in hand. That's the second part.

But the third most important part is when you are putting these features into production, they require extensive validation. So, we are seeing growing demand in terms of validation. These are the areas where the spend is growing. We believe that, as someone mentioned earlier on, the electric powertrain is taking a little bit of a backseat. At least the programs have been pushed out by many OEMs, especially the ones outside of China.

However, hybrids have become prominent and trucks and off-highway, there is also a talk of ICE, some additional investments into internal combustion engines, right? So, we are also seeing some demand coming up there.

So those are areas in terms of technology. In terms of the newer architecture, which was actually for the first generation of SDV, they're all coming to fruition between now and next 1 year or so. And the next architecture was supposed to come into play by 2028, for that, the work should have started by now. That's definitely getting pushed out by a year or 2. So these are the kind of changes that we are seeing in terms of preferences and prioritization for the OEMs. KP 11.

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What was the second question, Nitin sorry, if you could remind me?

Nitin

Padmanabhan: Yes. The second question was that our deal wins are up like almost 20% this quarter and even on a trailing 12-month basis. So, if you look at the trailing 12-month deal wins, basically, it suggests the order book is very solid.

Now the question was on this order book, which needs execution with all these changes that are happening, does this change the scope and size of those deals in your view because of these reprioritizations and change.

So in reality, would it still be a 20% increase on a TTM basis? Or that number would have come down because people have changed what they want to spend on is the question. So from a visibility perspective, is it the same as what the numbers suggest?

Sachin Tikekar: The visibility, you're right, the visibility continues to get better. , –And there are two reasons for this. One is the reprioritization of existing programs. that has had an impact. Even though there is growth on one hand, there is reprioritization in the existing program, right, which is sort of not helped us. And the second part also, for the existing programs, there is a demand to do them in a more efficient, effective manner. In terms of instead of providing the service, providing the solution. That means using more of our tools and accelerators to speed up the program so that they can be launched faster. That means cannibalization in terms of some of our competitors, but at times, our own business. So even though you're seeing a lot of growth on one hand, these are the two factors that are sort of dampening that growth to some extent. And we believe that that's something that will happen less of in H2 of this financial year.

Kishor Patil: I think one thing I may want to add is if you look at the fixed-price projects, they keep on going up. So, we are now at 62.5% from 60%, and this is very important because then we get the flexibility to deliver it in a multiple and more efficient manner, et cetera, and also change certain business models in the days to come. I think that has all helped us to maintain the profitability as well.

Nitin Padmanabhan: Got it. Got it. That's very helpful. Just one last one if I can squeeze in. The cannibalization in the business, which you had explained. So we were always known for using those accelerators, having prebuilt code tested to be error free. So we were anyways doing it. At the moment, could you please explain how that cannibalization is working at the moment? What exactly is happening? If you can just give a simple example. KP 11.

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Kishor Patil: Absolutely. I'll give one example. And I think, see, take an example of we doing a validation earlier. So right now, as Mr. Tikekar mentioned, it is an area where most of the project programs are in the process of validation, right? That's what is happening. Now the many OEMs are realizing that they are delayed and they have to catch up very quickly and have a better validation with a better quality but much quicker.

Now for that, we have brought in a very good solution in terms of a AI driven validation. Now this is a big priority for the OEM, so they have given us reasonably reasonable size orders, prioritizing over other spend. And we have won such kind of deals, but in that case, because they are not in a position to increase their spend, they had to slow down or cut down spend somewhere else, and that has also impacted us. Did I answer your question?

Nitin Padmanabhan: That's very helpful. Yes, yes. Absolutely. All the very best.

Sachin Tikekar: Thank you, Nitin.

Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisory LLC.

Aman Soni: Congrats for the resilient performance despite a tough quarter. My first question is on new tie-up, as JSW Motors first new New Energy vehicle is expected to reach the market in the second half, can we assume

that like you

mentioned in the opening remarks as well, Q3, we will be starting the execution.

So I want to understand like what is the size and scope of this contract, that is one? And is there any strategic correlation between KPIT's recent entry into China and securing this partnership? Given that JSW Motors, India's operations involve a joint venture with the Chinese automotive company. So that's my first question, sir.

Kishor Patil: We don't like to comment on more details on the client project. But I may say that this is specific to India program. And a lot of work we will be bringing in what assets we have, and we will be adapting it more for India market –This will be about 3 years kind of a program. And this is much like the other programs we undertake, and I cannot talk about the numbers on this specific program.

Aman Soni: Got it, sir. And secondly, on this sodium ion battery test. So considering the formal transfer of this technology to Trentar in February '25. Could the management provide an update on the current progress of commercialization and manufacturing activities. And additionally, does KPIT maintain any KP 11.

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transparent visibility or any direct involvement in Trentar's battery production process?

Kishor Patil: So I mean, at a high level, I can only say that, of course, they are making the right investment. They have hired a CEO from Europe and moved him to India. And so a significant investment in commercialization. In order to go through two stages because battery is a very intricate kind of technology and the investments are pretty significant, but they are all committed to that.

So if you look at both these things, I think it will take about 2 to 3 years for us to start getting the license revenue till that time, we expect the factory to be stable, the production to start coming in and achieve a certain threshold from where our royalties kick in.

Aman Soni: So just a follow-up on that. You mentioned 2, 3 years. But I remember in one of the interview, management has mentioned, like vehicle will be on the road based on sodium ion technology in India in a period of just 1 year. So what was that?

Kishor Patil: I don't know which interview you are talking about. But it could be a battery not manufactured through our technology or the deal. It may be something else I mean there are vehicles on the road even with hydrogen, but these are all pilots. And that kind of thing happened because even with the so dium, we have run some vehicles with the pilot production done in Europe. But those will be a few of them.

Sachin Tikekar: Yes. These are not mass production yet. These are only pilot. .

Aman Soni: Understood. And lastly, on the -- any update on the QORIX side, whether we have made any addition in the terms of new clients?

Kishor Patil: I think there is one big European OEM, which is in that process where we are in the advanced stage of engaging will probably know in next quarter or 2.

Aman Soni: Got it. And just one more thing on the hydrogen fuel side. What is the update on that technology part, sir?

Kishor Patil: I think this is a piloting of this technology to get hydrogen at a high scale it will take some time. So , we are piloting it. I guess you might have seen also some PR also on this. It's happening in multiple ways. I mean, apart from the Cochin shipyard, we did I think we are doing in some other cases, also some pilots, but it will take time to be commercially viable and revenue earning for us.

Aman Soni: Understood, sir. All the best for the future. KP 11·

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Sachin Tikekar: Thank you, Aman.

Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: My questions are answered. Thank you.

Moderator: The next ques

tion is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management.

Vimal Gohil: Congrats, good quarter. Just -- you've been talking about making some inroads in China, and now we have a very firm inroad in India as well after this announcement. I just want to -- could you just put some more light on the nature of work in these two geo graphies, especially China? Is -- what kind of work are we doing?

Is it very different from what we've been doing for clients across EU and U.S.?

What I mean is, are we directly entering the core architecture over there for the Chinese OEMs? Or are we looking at the partnership route through -- to enter these OEMs? If you can explain more on that, please?

Kishor Patil: Look, currently in China, we have at a high level, we are looking at all the three stakeholders. One is global OEMs in China, which we have engaged, our existing clients, and we have engaged some of our existing clients in China.

And we are now with a better presence, we are improving our engagement with them.

The second thing, which is a little different , because the ecosystem in China is very different. So we are working with some Tier 1s, Chinese Tier 1s, specifically to get a better understanding of innovation and technology, which is coming in certain areas like digital cockpit and autonomous and some of these. So that is the second part.

And there, we are working with them in China as well as outside China. And the OEMs, we are engaging with them, specifically through Tier 1s in some cases, as I mentioned to you. And third thing is more outside China. So this is how we are working.

Sachin Tikekar: And just to add to Mr. Patil, we have certain products through our subsidiary, Technica Engineering. And we are seeing a lot of traction for our products in Chinese OEM ecosystem. So there are 5 or 6 Chinese OEMs with whom we have already built a partnersh ip for our products, and we hope to enhance our reach to larger OEMs through the products. KP 11·

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Vimal Gohil: Right. Sir, my second question was on margins. Given the kind of reset that we've seen with macro challenges and we are also looking at different avenues like off -road commercial vehicles. How should we look at margins in

light of the fact that we've been fairly confident in the past of expanding margins through offshoring and fungibility of our overall workforce. So if you could throw some light on the long-term trajectory of margins after what has happened in the recent past?

Kishor Patil: Right now, I would say, in a foreseeable future, we believe we can maintain the margins at 21%. I think as you have seen I mean, unless the currency plays very havoc. We don't know. That part, we don't know. But as long as it is in a reasonable way, we should be in a position to maintain it at 21% EBITDA. We do believe in the medium term, we can increase the margin, as I have been saying. And as it stabilizes in the next few quarters, although we will talk about our strategy for the future, both for growth and increased profitability.

Vimal Gohil: Understood. Understood, sir. All the very best.

Sachin Tikekar: Thank you.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just on head count planning for the year. So I think the last 3 years, we've had between 15% and 30% sort of head count addition in F '22, '23, '24 and F '25 was sort of a little bit of a reset year where it was flat. So just going forward this year with back half recovery expected? Just want to understand how you're looking at sort of head count additions, just given that I think this quarter, we've had a slight maybe net reduction in headcounts.

Kishor Patil: Yes. so I'll answer this in 2, 3 ways. One is, of course, our growth has been flattish for the last few quarters

and maybe we are expecting another 1

quarter of growth in that range. So, looking at that, of course, we manage our head count based on how we see the next quarters, right? And based on that, what we have done is if you look at for last year, our attrition is around 7% or so on an annual basis. At that range, we have not added, filled the bench as we generally would do.

So that's where we are. And naturally, we have continued to hire freshers. We continue to go to campus and get freshers because they are more, I would say, AI amenable and ready and ready to learn more. So, I think that we continue to do. So right now, that's how we have done it. As we get the more KP 11.

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productivity, and we are already getting more productivity. As I said, we have moved to 62.5% in terms of fixed price significantly higher than the last year, if you look at.

And we believe we can go further on this part. So, we will change our business model, too, and we believe we can get better productivity advantages on that. We will put this together. I must say, and I have been saying it from the last 2 quarters, that I think the model where you relate head count to revenue will be difficult in future and while we do expect that in some cases, we will still do in short term.

But I think over the period, we believe that we will be in a position to enhance our productivity substantially and move towards more products and solutions. And that has actually also helped us during the last few quarters in terms of margins. And we believe that our portion of that business will keep on going up.

Chandramouli Muthiah: Got it. That's helpful. My second question is just around, I think, the comments you've made on potential good momentum exiting the fiscal year, back half to be better than the first half. So we have seen very stable and good level of deal wins over the past 4 quarters, even if you look at it on a Y-o-Y basis. So it looks like you are able to win business in this tough environment, but maybe conversion into revenue is taking slightly longer.

So just want to understand, as you look into the back half, maybe even if next quarter is a slow recovery in the back half, do you see visibility in your pipeline or conversions for that sort of 5% to 6%, maybe higher than that kind of Q-o-Q growth that you have done for almost 15, 16 straight quarters before FY '25. So I just want to understand what sort of trajectory you expect in the back half? Just given that your wins have been relatively strong in a relatively hard environment.

Kishor Patil: Yes, yes . So, I think let me say that we'll start walking before running. So that's how I would put it. And I believe that as we first mentioned, because of the uncertainties, I think the clients -- do not have an extra budget. So , their priorities have changed.

I think Mr. Tikekar also explained, right, where they are into production programs they're changing towards most of the people have pushed down their new architecture programs by a year or 2, and they are trying to really make sure that they are in a position to deliver the current programs effectively with a better quality and add some features in the current program because they know that they are already behind and their current program specs are not good enough for them to win in the market. KP 11.

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So they want to add more features in that. I think that kind of changes in the priority basically, they are moving the budgets to that extent, and they are cutting or reducing their budgets or not spending more on the other parts. So that has really slowed down and so the certainty improves , or I would say, when stability comes in the external environment , I think the OEMs will start spending, and that's when you will see the net realization of new

wins and

basically the growth will come back more.

Chandramouli Muthiah: Got it. That's helpful. And my last question is just around Caresoft . So I think this is also something which you indicated might help you in the China offering to potential customers there. I think in the mid -quarter update, you had indicated something that's nearing closure towards end of June, early July. So I just want to understand when we think we can close that and start consolidating the results from that asset?

Kishor Patil: Yes. So we are -- in that process, we had certain, I would say, condition precedent CPs, which are still not fulfilled. So , we are waiting for that . We do hope in this quarter, it should happen. It's not happening on the 1st of July, that I can tell you. So , we'll see, and we'll keep you informed as and when it happens, of course.

Moderator: The next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: I basically had some clarification questions with regards to our segmental margins. If you could talk about what's driving the quarterly volatility when it comes to segmental margins, especially when it comes to the European markets as well as the ROW Geography?

And the second question is over the course of last couple of years, the 2 large events with Asian OEMs contributed to a significant part of our growth through FY '23 and '25. And when you spoke last quarter, you were simply expecting much more broad base growth in FY '26. Given the way things stand in your commentary regarding the deal closures in India, with MG and also your expectations on China. If you could talk about how you're thinking about the broader controls of growth across the 3 markets. Those would be my 2 questions.

Priya Hardikar: In terms of segmental margins, I think if you look at it is basically recorded basis, Entity financials. Those are getting converted at the currency rates that apply. And this quarter, we have seen some changes. Alongside that, as Mr. Patil mentioned, we have seen a significant change to fixed price based model and that is also driving the changes in the business model and thereby the margins that you see in the segment. KP 11.

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Manik Taneja: So just to clarify -- sorry, just to clarify on this fixed price mode, is that translating into some near -term pressure on margins in certain geographies where you are seeing this move? And is this certain geography -specific move towards or engagement moving towards fixed rate?

Sachin Tikekar: Not really. I think our first step is to see, and it goes back to solving the clients' problems and making sure that we are meeting their priorities. For that, if their expectation is that we'll do things cheaper, better, faster for them.

The first thing that we have to do is convert all the programs into fixed price

so that we can actually apply our own tools accelerators, also the AI infused solutions to do that. So, I think this is the first step towards that. That does impact the revenue, but it doesn't impact the margins, right, to some extent, as Mr. Patil explained earlier on.

So from that perspective, there is not much of a difference that you've seen in the last quarter. In terms of you talked about the segmental margins across the 3 geographies, it hasn't really impacted to that extent.

I think your second question was about growth across the geographies. First, let's talk about Asia. As Mr. Patil explained, our investments in China, our investments in India will pay off as we get into the second half of the year and the next year. We are seeing some of the larger engagements that we've been able to close there from Europe, and we believe that Europe will continue to drive our growth in the future.

Even though you've seen in the recent past for year-on-year, there was a degrowth, but we believe that Europe will

lead the growth for next several quarters to come. And in the U.S., as Mr. Patil explained, it's not only the car OEMs that we are working for, where we'll see some growth coming, but it would be complemented by the growth that we'll have from off-highway and truck segments.

These are early days again in the U.S. These are all new clients and we are establishing those relationships at this point in time. But over the next few quarters, we'll be able to see more growth. So, net-net, we see opportunities to grow in all 3 geographies. The timing of that will be different. But if you take next 3 to 4 quarter kind of view, we believe that there is potential growth across the 3 geographies.

Manik Taneja: Sure. I appreciate the color. And last question, essentially a clarification question with regards to wage hikes for the year. Typically, we tend to do them in the second quarter. Any thoughts on what are you planning? KP 11.

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Sachin Tikekar: Can you repeat that? What was the part -- Sorry, can you repeat that question?

Manik Taneja: So typically, we tend to implement wage hikes in the second quarter. I just wanted to understand what -- how you're thinking about wage hikes for the current year?

Kishor Patil: Yes. So we are going to do that in a different way. Basically, as we talked about, that our business model and client expectations are changing. So, we are looking at all of our HR processes, including hiring, training, appraisals and compensation.

And we have also done the complete benchmarking with the new set of talent, which we will compete henceforth not the normal talent, which we have been competing with, if at all, in India market. So, I think from that perspective, we are realigning ourselves. For example, one example I'm giving you is our variable pay was less percentage as compared to the industry. So, we will introduce the variable pay more in line with the market.

Similarly, we will create more incentives based on outcome in terms of productivity or AI adoption and hence, the productivity. So, we are making certain changes, both in terms of the overall HR processes. And that we should be in a position to do by end of Q2, and then we will basically do our rollout next quarter.

Moderator: The next question is from the line of Keshav Karwa from White Pine Investment Management Private Limited.

Keshav Karwa: Sir, my question was, what are the strategies that you have implemented in China market and as well as in India market. And how are you seeing the demand shaping up in next, let's say, 2 to 3 years?

Kishor Patil: I mean, in both the markets as in the India market, we are seeing reasonable traction actually. And we believe that we would like to make sure that we are dominantly present in different parts of the market. And frankly, also beyond business, we bring the best of the knowledge we have across the world to really build ecosystem in India, which will help them in the long term for the industry to compete with the best in the global part.

I think that's what we intend to do. And of course, it makes a lot of commercial sense and also growth it includes working with the established

OEMs, but also with the challenges which are coming in specifically EV and new technology. KP 11.

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And like, we have seen in JSW or some of these, which will bring a new vehicle like I think some people mistook it for the existing vehicle. So we will bring it to new kind of vehicles and whether it is in passenger car or commercial or electric trucks, electric buses, electric passenger car and really establish India for India model across the ecosystem. That's what we are trying to do.

And we are seeing a reasonable traction. We are also working with the GCCs.

I must say select GCCs, where we can really, which are our

global clients. And

they believe that some of the programs they are implementing. And many of them are looking at India. So they are working through their GCC's sometimes.

In that case also, we are making sure that we are working with them where we can add a differentiated value proposition, specifically based on our accelerators and reduce the time to market. I think these are the two cases in which we are working here. I just spoke about China. I think if you can just refer again. I think I elaborated that some time back that how we are working with global OEMs Tier 1s as well as Chinese OEM in China and outside.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Congrats on a great execution again in a difficult macro. Sir, just one question and some of your remarks implies that the contribution from India and China may go up. In that scenario, it may have some margin impact because margins in this country could be slightly lower versus company average.

Kishor Patil: I would encourage you not to assume that because I think as we talked about, we are changing the business model, trying to do it in a different way using different areas. And over the time, we will also talk about how we are building platforms and products which could become the significant part of our business. I think we are using some of these in these markets to maintain our margins.

Sandeep Shah: Okay. This is fair enough. And just last in terms of -- for the exports to happen in China, the invoicing can happen in dollar or in the local currency?

Priya Hardikar: It can happen in local currency as well as in dollars. It depends on the engagement with the client. There are no restrictions from the legal side here.

Sandeep Shah: Okay. Because in a local currency, we may have a currency volatility, but I do agree it's a small percentage to the overall revenue.

Priya Hardikar: No, you should also note that we already have a subsidiary in China, and that actually does the transaction with our clients, which is in local China currency.

Kishor Patil: And the costs are also in China... KP 11.

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Priya Hardikar: In the local currency.

Sandeep Shah: Fair enough. Thanks and all the best.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Congratulations on good execution in a difficult environment. So I wanted to understand on the China and India pipeline. I mean so how large or how material are this pipeline? Because as of now, I think they don't contribute much to the business. I mean, would it be sufficient for us to offset this slowdown, which is clear in Europe and U.S. part of the piece. Just wanted to get some color around that. And how would be the billing rates here? I mean the billing rates are quite lower versus what the general robust clients?

Kishor Patil: I encourage you to just look at the answer I gave just now how the margins will keep. The model is not about T&M, the model is not about the bill rates.

It is about the overall solution, how we charge the platforms and the products and then the, of course, AI-infused mobility solutions. So these are the changes in the model we are bringing.

Of course, we do a normal business also. But with all that, we are comfortable with the margins we can maintain. I will not give any specific numbers, but I can tell you that in 2 years, this will be a 3-digit number in terms of revenues,

India, China together.

Mihir Manohar: Okay. Understood. Second question was on the -- I mean, European OE Ms is back-to-back profit cuts, also talks of does it structurally face a challenge for us for the 3% to 5% kind of growth that we, as a player and as an industry, we used to have? Does it face a challenge to that? Or should we see third quarter for us bei

ng once again back to the range of 3% to 5% growth that we used to have?

Kishor Patil: I'll not give a quarter -wise answer. And I mentioned this that first, we have to start walking. The world is stabilizing. I think we have to look at that. But we have a very strong pipeline in this. We said that the momentum will come at the end of the H2 for sure. How much or how it really is still in the world nobody, neither you, neither I can predict. But I think we have sufficient pipeline to accelerate once things settle down.

Mihir Manohar: Sure. Understood. Just lastly, on your products and platforms. I mean you're trying to prefer the business models. Some 2 to 3 key production platforms, some color around that, how you're going to monetize it for this production KP 11.

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platforms exactly. What's your strategy around that would be really helpful.

That is my last question.

Kishor Patil: Right now, we can talk only about something specific, but we'll lay down our overall strategy, et cetera, in the next couple of quarters. As you know, Technica, has a range of products, and we have been building the products, which are tools mainly for validation and those kinds of products. Also, the re are network products for the vehicles. And this is one thing which we have been selling to all the OEMs, including best of the OEMs in the world.

So both American as well as Chinese and of course, European. So, I think these are the products. And also there are a few other products like QORIX, you know it's a JV, but you know the QORIX. So similarly, we are looking at broader strategy in terms of products and platform, which we will unveil in the due course of time.

Mihir Manohar: Understood sir. Just last question was FY '24, FY '25, what was the fresher addition fresher hiring in FY '24, FY '25?

Kishor Patil: I think we do not talk about these numbers, but these are in 3 -digit number, and we continue to onboard freshers and as long as they pass our criteria of doing the education and passing our tests, then we do hire them. So that's what I can say right now.

Moderator: The next question is from the line of Abhishek Kumar from JM Financial Limited.

Abhishek Kumar: First question is on TCV number. You guys mentioned in the mid -quarter update that a lot of your deal wins now are cannibalizing your own revenue.

So in that context, how should we look at this USD 240 million number?

Because this is a gross number from what I understand it might have cannibalized some of the revenues that you're already doing?

So maybe 2 -part question. One, if you can just tell us what would be the net number, ballpark? Or another way, do you think we need to win more to actually get the same effect as we would have got if we had won maybe USD 240 million maybe a year back?

Sachin Tikekar: Abhishek, there is no doubt that we need to continue to win more because there are tremendous headwinds. And there are three factors, right? So one is last year, we had substantial onetime revenues that were licensed. Second is we also talked about through the different business models in order to help our clients how we are at times, not only cannibalizing the market share of our competitors, but sometimes our own market share. KP 11.

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And the third factor is the reprioritization of the programs. And that remains fluid for now till the time the uncertainty exists in the minds of the OEMs.

And our hope is that things will settle down over the next 1 or 2 quarters.

After that, we'll be able to have more clarity in terms of what that means.

The TCV, just so you know, the TCV value is actually over a period of time.

And secondly, the TCV also the start of the program also depends on the ability of the OEM to accelerate growth.

We'll see more results coming out of the OEMs in

the next 1 or 2 weeks. And

we'll have to see the trend hasn't been good for the last couple of quarters for them. And we need to keep that in mind. We always take a long-term view of these partnerships. And through this difficult time, we are going to be their trusted partner. But we do believe that things will stabilize in another quarter or 2, and then we can go back to our growing ways. That's the best to the extent that we can answer your question at this point in time.

Abhishek Kumar: And one quick last question from my side, especially on Japan. The growth in JPY currency seems like a sharp decline, I think, despite cross currency benefit. So while we understand this was a difficult quarter. But as we look ahead, do you think this was just a pause in the program with some of the OEMs there? Or there has been a strategic rethink, and therefore, we will have to wait and see how this stands out.

Sachin Tikekar: So I think that's a really good question about Japan. We have had tremendous growth over the last couple of years because of our engagement in Japan, and that was on the back of largely one OEM. And the thing that we are doing is there are three other potential clients with whom we have started really advanced conversations.

And we believe that towards the end of the year, will start working with them as well. and we'll have more broad-based growth coming from at least four clients in Japan by the end of the year. So, what you've seen maybe for now is a glitch, it may continue for another quarter or 2. But as we get towards the end of this financial year, we'll have broad-based consistent growth coming out of Japan.

Moderator: The next question is from the line of Anand Bhaskaran from KCM Wealth Management.

Anand Bhaskaran: Congratulations on a good set of numbers. I just want to know your -- just to get a perspective of the hiring process. Now I guess like many company owners are basically saying that they will completely change the hiring process from counting the number of employees to actually sourcing the -- KP 11. KPIT Technologies Limited

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what do you say, getting -- focusing on output revenue rather than revenue per employee cut.

So what will your company like adopt going forward basically? Do you think that you'll focus on employee count? Or will you look at the gig economy and then say, okay, we will hire employees from time to time and focus on the output instead?

Kishor Patil: So, 2-3 things. Number one, we, of course, are looking at changing the quality of our employees, which is good, and we are investing quite a lot in training and improving their competencies, both in domain as well as on AI side. Understanding of AI and having that mindset is very important to us. So, we do believe that sometimes freshers can do good job. So, we continue to hire them.

Basically, our criteria of skills and the competency has changed both for freshers as well as laterals. In terms of gig economy, it's not still as much as prevalent in India. We would like to try it, but it really happens more as a subcontractor and some individual players.

It's not as mature market in India yet for that. So, we can do it in bits and pieces. But I must tell you that in other way, we do believe that interns and freshers are really contributing very well in terms of AI strategy. So, as I mentioned, we are looking at the whole HR process in view of with changes in the technology as well as what the clients are expecting.

Anand Bhaskaran: Okay. So like do you see any significant, let's say, employee count because you heard like many IT companies are laying off a lot of our employees as well as a company and probably focusing on more contractual employment. So you think that in your case also that will be the way going forward?

Kishor Patil: The first thing is we are a bit different than IT. And the second thing

is that

we are looking at changing the business model more. And if you see KPIT last

3 years, our revenue per person has increased. And we do hope that the changes will help us to continue to maintain that.

Anand Bhaskaran: Okay. Okay. And one last question is like do you have any guidance for the next 2, 3 years in terms of revenue growth?

Kishor Patil: I had said it, but right now, I think we'll come back when we have not talked about this year, and we'll not talk about this year. And we'll come back when we believe the markets are a bit stable.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference over to management for closing comments. KP 11.

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Sunil Phansalkar: So, thank you, everyone, for your active participation on the call, and have a great evening, ahead. Thank you and bye -bye.

Kishor Patil: Thank you.

Sachin Tikekar: Thank you.

Moderator: Thank you. On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. KP 11.

Call: Nov 2025

KPIT Technologies Limited

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BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir / Madam,

Sub: Transcript of the Post Earnings Conference Call for the quarter ended
September 30, 2025.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Conference Call for the
quarter ended September 30, 2025, conducted on November 10, 2025, after the
meeting of the Board of Directors for your information and records.

The transcript of the Post Earnings Conference Call is also made available on the
website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor-financials/>

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For KPIT Technologies Limited

Ashish Malhotra

General Counsel & Company Secretary

November 10, 2025

MANAGEMENT : MR. KISHOR PATIL – CO-FOUNDER , CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR
MR. SACHIN TIKEKAR – PRESIDENT & JOINT
MANAGING DIRECTOR
MR. ANUP SABLE – CHIEF TECHNOLOGY OFFICER &
BOARD MEMBER
MS. PRIYAMVADA HARDIKAR – CHIEF FINANCIAL
OFFICER
MR. SUNIL PHANSALKAR – VP (CF&G) & HEAD
INVESTOR RELATIONS

MODERATOR : MR. RAHUL JAIN – DOLAT CAPITAL MARKETS LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to KPIT Technologies Q2 FY '26 Earnings Conference Call hosted by Dolat Capital.

As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you, and over to you, sir.

Rahul Jain : Thank you, Shifa. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies Limited for giving us the opportunity to host this earnings call.

And now, I would like to hand the conference over to Mr. Sunil Phansalkar , who is Vice President (CF&G), and Head of IR at KPIT, to do the management introductions. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. A very warm welcome to everybody on the Q2 FY '26 post - Earnings Conference Call of KPIT Technologies Limited. I hope you all had a great Diwali and have a great year ahead.

On the call today, we have Mr. Kishor Patil – Co-Founder, CEO, and MD. We have Mr. Sachin Tikekar – President and Joint MD. We have Mr. Anup Sable – CTO and Board Member, Priyamvada Hardikar – CFO, and Sunil from IR.

So, as we always do, we will have the opening remarks made by Mr. Kishor Patil, and then we will have the floor open for your questions. Thank you once again for joining. A very warm welcome to you . And I will hand this over to Mr. Kishor Patil.

Kishor Patil : Good evening, everyone. Very happy to take you through the Q uarter 2 results for FY '26. As you might have seen, the overall year -on-year dollar revenue grew 4.4% and constant currency revenue gr ew by 0.4%.

Quarter -on-quarter growth has been 1.8% in dollar terms and 0.3% in terms of constant currency . In Organic terms , there has been a degrowth of 0.8% in dollar terms and negative 2.3% in constant currency terms. The EBITDA margin stood at 21.1%.

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To give some color to the growth, I wanted to take some time and explain to you something because there have been some questions about the wins we

continue to have. Actually, this has been an issue in the industry also as to why the wins have not reflected in growth. So, I would take a moment to explain that.

See, I want to bring that out that there has been a \$65 million reduction in the revenue over time for us. And it has two compositions. One is roughly about \$45 million, which is basically when the customers deprioritize their spend from the old programs or move to the products or some similar kind of movement of their spend, either because of discontinuing or delaying of certain programs or moving towards using something what they already have. If you really look at this \$45 million reduction in the revenue, this includes mainly electrical and middleware. Geography-wise, it has happened mainly in USA, then Asia and a little bit in Europe. So, this has been basically the part where the companies actually reduce their overall spend on engineering. Another roughly \$20 million kind of revenue got cannibalized, mainly because we came out with a different solution and provided a more holistic solution to the client. The revenues dropped because we gave a more holistic solution, but our additional revenues due to this will get reflected in the future, because these are mainly AI-based and other solutions and this holistic solution will take some time to materialize.

So, overall, we have \$65 million which got lost in terms of revenues, which of course has been compensated by the wins from our pipeline. And that is the

question that I thought I would address properly. Generally, the wins we had, have been in the digital cockpit, validation and after-sales diagnostics areas. These are the areas in which the wins have been more and also the products we have in validation, etc., mainly Technica products. So, they have largely compensated for this drop. And that is why sometimes the deal wins could not get reflected into the revenue. So, we have absorbed this fall and have been in a position to maintain the revenues.

The second part is about the key point I would like to bring out is, as a company, we believe the client choices are changing, and we want to make sure that we continue to add value and continue to lead the client engagements and have a higher share and maintain our leadership with the clients.

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So, we have been moving our overall services towards the solutions part. When we talk about solutions, it means that we take a holistic view and give an end-to-end solution to the client and take full ownership. This kind of revenue we have more than doubled in the last year to 18% of our overall revenues. And that has also helped us improve profitability. And that is why we have been able to maintain our profitability.

Coming back to profitability, our EBITDA is slightly higher than the last time. It is 21.1%. And we are very confident that what we have talked about, that we will be in a position to maintain 21% EBITDA for the full year. That would be considering the fact that we will be giving increments, some in next quarter and some in the quarter after. So, after giving that, I think we will be in a position to maintain our EBITDA margins at 21% for the whole year.

In terms of people, we have a net addition of around 300 people. It has two parts to it. One is, that in line with the movement from services to solutions as well as AI readiness, we continue to relook at our talent. And wherever we believe that such competencies cannot be achieved by a certain set of people, we are making sure that all our people, including project management as well as the front-ending people, are technical and get trained well on these competencies. Where we cannot have that kind of a team, there is a reduction in the quarter. Thus during the quarter, we have a reduction of about 500 people in the current business.

At the same time, we have added 800 people from the inorganic Caresoft acquisition. With that, our net addition is about 300 people. So, this is also a part of how we have been able to keep the efficiency and productivity.

Overall, our profits from the fully owned business has increased from INR 177 crore to INR 191.8 crore. So, there is a substantial increase in the profit. The reported net profit reduction is on account of our share from Qorix as well as N-Dream.

In case of Qorix, the revenues have been good in some quarters and not so great in others. So, next quarter, we will again see some revenues. So, Qorix does have fluctuating revenues being a startup. And if Qorix does not have license revenues in a quarter, then it impacts its profitability.

The reduction in Qorix revenues was also on account of middleware and operating system. On the middleware part, most of the OEMs have moved their re-architecture of middleware in the future for some time. And this is

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what I explained last year also, last quarter also. And because of that, there will be certain delay in the realization of this revenue in some of these areas. But of course, still, there are certain revenues based on the current business in Qorix.

On N-Dream, also, we have an increased share of loss during the quarter, mainly since we have written off certain expenses such as stock options costs, etc and that has really impacted

the profitability. As we acquire more,

we are moving the accounting base to our IND-AS accounting standards. . .

But all of this will largely come down significantly in next quarter and the quarter after.

The other part is about the cash and the DSOs. Our DSOs are 49 days. KPIT DSOs have been at 43 days last quarter. It is 44 days this quarter. The increase in the overall DSO to 49 is on account of Caresoft acquisition where their DSOs are at a higher level. It will take us some time to get them into the same system as we have. And over the period, their DSO will come down.

The overall Net Cash is around Rs. 10.5 billion. During the quarter, there has been, as always, Rs. 160 crore plus cash generation, which is pretty strong.

However, we had the payouts in terms of Caresoft acquisition, investment into Helm.ai, and of course, the dividend payment. So, with this, the Net Cash is about Rs. 10.5 billion.

If you really look at the future, we see that the client's discussions are turning positive. I think they see a little bit more stability on account of tariffs and geopolitical issues to the extent where it is impacting. I am not saying it is 100%, but it is much better than where it was. And we can see that positive discussions are happening. And of course, very specific conversations with the client on specific opportunities.

We see good discussions happening in autonomous, connected after-sales diagnostics, cyber security and commercial vehicles. Europe, of course, continues to see good traction as do India and China. We do believe that in U.S., commercial vehicle segment will have a positive growth.

Also, I do believe that the deals which we won during the quarter, which includes a significant deal win from a European OEM, which is a multi-year, multi-domain kind of a win, which is over three years, which will help us to really accelerate certain revenues. We do believe that from the last two quarters, we have a constant currency degrowth. Reported revenue has been

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growing. We believe that in the Quarter 3, we will be in a position to have a flattish to positive organic constant currency growth and while absorbing the expenses like increments, etc., we will be still around the similar EBITDA margins.

In terms of Quarter 4, we do believe that there will be a meaningful growth, which will be coming in. And we believe that it will be mainly on account of the areas which I mentioned earlier. So, this is where we see this. In medium term, we continue to make investments in relevant technologies

We are expanding the verticals as we had mentioned. One is, of course, off-highway and commercial vehicles, which we believe will bring some growth.

The second part, we are exploring industrial or manufacturing verticals..

Third thing, we are exploring verticals such as micromobility. We are also exploring defense to see where is our sweet spot, and where we can actually lead, as we have led in the automotive world. We see some very interesting areas where we believe that the investments we have made in the

technologies will help us to get there.

Again, I also believe that the investments which we made in the last year whether it is in terms of Helm, whether it is in Caresoft which helps us to reduce the cost of the vehicle as well as the manufacturing cost. These are all very related technologies which will really help us improve our wallet share in the existing client as well as will be very meaningful propositions in some of these expanded areas.

I may say that we are still in the process of going deeper into it and exploring where we can grow but I feel reasonably confident that based on our initial assessment we will have a reasonable growth prospect in medium term.

Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin

the question -

and-answer session. The first question is from the line of Sucrit B. Patil from EyeSight FinTrade Private Limited. Please go ahead.

Sucrit D. Patil: Good evening to the team. I have two questions. My first question is to Mr. Patil. As more tech players enter the software space, what is KPIT doing to build a strong edge not just through client wins or platform launches, but something deeper like a way of working or thinking that grows over time? And makes it hard for your competitors to copy yours? Thank you.

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Kishor Patil: I think the point you mentioned, I think we believe that there are 2-3 points that I have. One is that we knew about software defined vehicles, which a lot of people use the word but KPIT has been pioneering that and has the largest number of programs. I still believe it is a meaningful part where clients have multiple years to get there.

Not only that, it has become more important because of the introduction of AI and multiple technologies specifically in autonomous area. And with some of these investments, we believe that we will be in a position to maintain our leadership.

The second area I believe which is very, very important is the architecture of the vehicle, which I think are the next programs which clients will come up with. I think they will look at the one who has the highest experience in this area where naturally we are building a very very core expertise and a core team to really build a comprehensive solution for the next level of architecture which will certainly help us to get involved at a very early stage in the program.

The second part, I would say that AI is a major area of focus for us and in AI we have invested for a long time already. We are not only doing pilots, but some production programs also with the OEMs and the feedback which we have from the clients is this is the best-in-class solution they have seen in this area.

With that, we believe that we can significantly reduce their time to production programs and improve the quality, which I believe will be sustainable advantage both in automotive and the expanded mobility world.

Sucrit D. Patil: Thank you. My second question is to Mr. Hardikar. I believe she is also on the call today.

Priyamvada Hardikar: Yes, as I am. Tell me.

Sucrit D. Patil: Yes. My question, it is a forward-looking one again. I just want to understand when growth slows, when growth slows down or costs go up, how do you manage to keep the profitability stable and are there any smart ways you are building into your system like delivery design or automation or any other kind of things that will help you stay efficient without cutting any corners or taking any pressure? Thank you.

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Kishor Patil: I think I will answer that question. I think we talked about it. I think, first is the approach we are talking of the solutioning that allows us to really improve our realization. That is the most important part.

The second is, I think we always like to be on a cutting edge of the technology and the solutions. That also improves our realization. And I talked about AI

which will really improve productivity and efficiency not only in our software development, but also for the client.

With all these three things, we will continue to do that. And as you have seen that we are probably one of the only companies who have been in a position to manage this kind of margins in this uncertain world. Thank you.

Sucrit D. Patil: Thank you for the guidance and I wish the entire team best of luck for Q3. Thank you.

Moderator: Thank you. Next question is from Nitin from Investec. Please go ahead.

Nitin: Yes. Hi. Good evening. Thank you for the opportunity. So, you gave a very detailed color on the revenue impact. Just wanted your thought process on

how do you see this, when do you see this reprioritization sort of impact sort of reducing?

I understand, because of obviously all these trade tariffs and all of that it would have meaningfully changed priorities. Do you think a lot of the impact has already happened and we should start seeing that come off? How should we think about it broadly? How are you thinking?

Kishor Patil: Yes. So, thanks, Nitin. I think one thing I have that from next quarter we will start seeing marginal growth on constant currency terms and in Q4 there will be meaningful growth. I do believe that there will be a certain cannibalization which may continue to happen next year as well. But I think our revenue growth based on the solutions will be higher than that. That is how I would put it.

Because it is not about just reduction of the spend by the client, which may, if you ask me, may really get more stabilized in next couple of quarters. But the AI-led solutions which we are ourselves bringing, to the client, we believe that it will give us an edge to take higher wallet share of the client, as well as give a more holistic ownership of the programs, that will improve the revenues.

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So, I would believe that there will be certain cannibalization which will continue to happen. And that is because of the efficiency and what we bring to the table. But at the same time, I think it will also account for higher revenues.

Nitin: Got it. So, obviously, you did mention next quarter should be higher growth in CC, flattish or some growth that is on an organic basis that you were alluding to, right?

Kishor Patil: Yes, yes, flattish on an organic basis. Yes.

Nitin: And see, you did mention that the reprioritization is a bigger chunk, almost \$45 million.

Kishor Patil: For the last year.

Nitin: Of the last year. And cannibalization is around \$20 million. Cannibalization is understandable because obviously it should lead to higher velocity of business for you because clients save more, they will spend more with you. But on the deprioritization of spend, that should be on a declining trajectory or more or less behind.

Kishor Patil: That is correct.

Nitin: Yes. Fair enough. The other thing I wanted to understand was if you look at the geography, obviously this quarter you have Caresoft as well, which has come through. So, it is not very clear, but at least it looks like Europe has done exceedingly well this quarter. US, there is some marginal decline, but obviously I am assuming there will be some Caresoft delta there. I just wanted your thoughts on one, how should we read the geographies this quarter? And two, how are you seeing the opportunity set across the geographies on a going forward basis?

Kishor Patil: So, overall, the way I put it in the initial commentary also that basically we saw growth more in Europe. And then we saw a little bit growth in Asia. And we believe that USA growth will come back on back of off-highway and commercial in a quarter or two. That is how we see it.

And in Asia, basically we see growth in the immediate future in India and China, and over time we will see growth all across Asia. We believe that in next six months, we will see some more revenues coming from Japan and

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Korea. where , we may see some new engagements coming in down the line.

And that should give a further flip to our growth.

Nitin: Perfect. And one last question. On Caresoft, we reduced the consideration we are paying them because the revenues came in lower. You think they are broadly stabilized and growth should start coming through? And the second part of that is, ye s, okay, perfect.

And any joint wins or initiatives that sort of already sort of showing up for you?

Kishor Patil: Yes, absolutely. There is a reasonable pipeline, and

we are seeing the

conversion of some of them in the initial phase.

Nitin: Sure. Perfect. Thank you so much and all the best. I will come for a follow - up. Thank you.

Moderator: Thank you. Next question is from Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta: Hi, thank you. So, first question is, Kishor , you did speak that the client conversations are moving in a positive direction. But when you think about the pace of recovery over the next quarter, how should we think? Because 3Q could be flattish. 4Q itself could be like a very good growth quarter. Bu t does that growth momentum continue going into next year or will it be more like a gradual recovery we should expect over the next 12 months?

Kishor Patil: I would be cautious right now, but I will give you more color on this by end of Q4 only, By that time, I think some of the uncertainties would be less. I would see that it will be a meaningful growth, but it would not be like a hockey stick recovery in the year.

Bhavik Mehta: Okay, got it. The second question is on this large deal engagement with European OEM. Any color in terms of what could be the size of this engagement? When does it start to run? When does it reach peak revenues?

Kishor Patil: So, we have started working on the projects. I have mentioned in the current wins also there is some part of it and naturally, the deal of a certain size comes in phases. It is something in excess of three digits. And of course, we have the potential to really maximize this. But right now, I would say, put it as a three digit number over three years.

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Bhavik Mehta: Okay, got it. Thank you.

Moderator: Thank you. Next question is from Aman Soni from Nvest Analytics. Please go ahead.

Aman Soni: Hi, good evening. Sir, my first question is on our initiatives on the sodium ion technology with Trentar. So, how is it going on, sir? And also on the hydrogen cell side, what are the latest updates? So, we are seeing like various things are happening in these areas, particularly the staff are getting shifted and hiring are being done.

So, I just wanted to understand, where are we at present? And when can we expect these areas to start contributing to our top line in a material basis?

So, that is my first question.

Kishor Patil: See, basically, when we talked about the battery and sodium -ion, we have licensed them. If you remember, the buyer investment will be substantial. In phases, they will reach up to 250 million, not in the first phase, but in phases over the next two to three years. That is the investment they will make.

So, the meaningful production will start after two years. And that is when we start getting the royalties. I think I had explained that when we made that investment. I would say that the hydrogen and some of these are at early stages. We do have certain pilots and those kinds of projects may come in, but it is not something which will scale up in terms of an opportunity for us in the next few years.

Because for new production program to kick in, it will take time. But naturally, al our efforts are in terms of maturing the technology, building the ecosystem, building the pilots. And that is what we are doing with our clients.

Aman Soni : Got it. And sir, regarding our deal with MG, so how is the execution going on?

Last time you said in the second half, we will be doing the good execution.

So, what is the progress on that?

Kishor Patil : So, first, I have not mentioned that company. It is all assumed. So, that may not be true. But at the same time, I would say that we will be in a position to start the project in Q4 and then scale up in the next year.

Aman Soni : Got it, sir. And just a bookkeeping question. There is some big jump on the other expense line item. So, can you tell us the reason for the same?

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Priyamvada Hardikar : I think in this quarter, Caresoft 2 months' expenses are also consolidated. So, that is primarily the main reason. And there are some other expenses that keep fluctuating, which are not linearly similar. But mainly it is the consolidation that has impacted the absolute value that you are pointing out.

Aman Soni : Got it. That is it from my side. And all the best for the future. Thank you very much.

Kishor Patil : Thank you.

Moderator : Thank you. Next question is from Chandramauli from Goldman Sachs. Please go ahead.

Chandramauli : Hi, good evening and thank you for taking my questions. My question is just around the share of profit and loss from associates. So, you did explain that there are some onetime expenses there, which has caused the number to be higher than normal. So, the usual share of loss from associates we see is around Rs. 4 -Rs. 5 crores per quarter. This quarter seems to be close to Rs. 23 crores. So, I just want to understand if you could size out for that, how much of that is one-off and onetime and then how much of that sort of what would be the potential sustainable run rate could be there going forward on a quarterly basis?

Kishor Patil : I think we have mentioned that that the one-time is about Rs. 6 crores. And this time there were no major revenue s in the Qorix book s, which got postponed to the next quarter to some extent. The revenues there are cyclical in nature. See, one thing I want to tell you that the investments which we are making in some of these companies, I think this will really move us from services to solutions to products. And in that transformation, while we believe that we have been in a position to do a good job, there are certain investments in the initial phases and the revenues can be small , I would say, intermittent. And from that perspective, some of these impacts can come to us. But in this case, specifically, I think there were two things. One is, as I said, the revenues got postponed. I think if that would not have happened, we would have been at a similar stage as the last quarter .

Chandramauli : Got it. That is helpful. And just related to that, I think the Qorix JV we have invested over the past 18 -24 months is a pretty large middleware opportunity.

As you mentioned, more holistic solutions, you might get more integration business also out of this oppor tunity set. I just want to understand, I think we have said that initially we expected from December quarter 2025 to be

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the quarter where we start seeing more visible business from Qorix, but maybe the macro has changed. So, I just want to understand what your thoughts are on Qorix and when the potential inflection in opportunities that might happen there based on the discussions you are having with customers around this unique solution?

Kishor Patil : There are a couple of customers where we have strong discussion s happening, but as I mentioned earlier, that middleware and the architecture for many of these programs have been postponed by many OEMs, to a later date because first, they have not been in a position to deliver on the existing programs and there we see a huge opportunity in terms of validation and taking the full ownership. However, on the architecture and middleware type, they have postponed some of these programs to a later date. The architecture opportunity as you know, comes at the beginning of a prog ram. So Qorix has become more strategic to us because as I mentioned, some of the very strong differentiator s are about building a more efficient architecture which will reduce the time of a vehicle production program to less than 2 years and one of the key part in that is the architecture part and we are building many

solutions and Qorix would be one part of that solution and so that is why I think in the medium term,

this will become more strategic than what we thought in the earlier stage.

Chandramauli : All right, that is helpful. My second question is just around the macro environment. So, we have seen the US has signed trade deals already with Japan, with the UK, very close to signing a trade deal with Europe and Korea and these 4 regions are possibly the most important auto manufacturing regions globally apart from China. So, in this environment where we are getting closer to trade deals and clarity on the macro front, potentially means more clarity for the auto OEMs as well in terms of their capital allocation and investment plans. I just want to understand how your core customers are thinking about potentially reopening that app on automotive R&D spending. I think in your comments on the presentation you did mention that you are expecting more meaningful pickup in FY '27. So, any qualitative commentary you are able to share around tariff negotiations coming to a close and what that might mean for the macro for your customers?

Kishor Patil : So, I think that due to the way things have happened in the last year, many clients in Asia were earlier looking at making investments in the US in manufacturing, they were very ready, but they are still taking time to see whether that would be the best way to do it. Some people were going to KPIT Technologies Limited
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make investment in Canada, but then they are evaluating that option while they are completely ready with many of those things. So, I think it will still take, in my opinion, a couple of quarters before things become very clear to them. At the same time, I believe in next 2 years the demand for us will come out of current production programs, which are, I would say, not in the best of the health for many clients for multiple reasons. And that is where they are reaching out to KPIT, even the clients where are not currently engaged with. So, that will be one opportunity. The second is the innovation opportunity, which is, I talked about a couple of areas, innovative solutions on autonomous etc. The third thing, as you have seen the cybersecurity issue, which happened with JLR and some of those. I think, these are some of the areas which create the opportunities currently. There are a couple of markets, and especially I would say India market, which is positive and will provide more opportunities to us, which is innovation led. That is the same case, we believe in South east Asian market. So, some of that will really help us in this time.

Chandramauli : Got it. That is helpful. And this last question is just a clarification on the comments you had made earlier on the call. So, it looks like this quarter, there was close to 2.3% benefit from half a quarter sort of consolidation of the Caresoft asset. Next quarter as well, I think you will get maybe a month, month and a half additional benefit from Caresoft. So, the constant currency flat to low single digit dimension for 3Q, does that include that one to one and a half month benefit next quarter also you might get?

Kishor Patil : No, that doesn't include, I said organically, we will be flat to marginally positive.

Chandramauli : Got it. That is helpful. Thank you very much and all the best.

Kishor Patil : Thank you.

Moderator : Thank you. Next question is from Vimal Jamnadas from Alchemy Capital. Please go ahead.

Vimal Jamnadas : Yes, thank you for the opportunity, sir. Just wanted to check on or double down on the plans for China. Any movement there? When could we possibly see some small, even a small contribution from there in terms of our revenues? That is point number one. The second point is a question in terms of the industry in general, we have seen General Motors do away with Android and Apple CarPlay in their infotainment system and move towards their own KPIT Technologies Limited
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platform, which is called Ultify. Do you see some of these OEMs moving towards a similar trend? This is, of course, because of privacy concerns, data security, etc. And if at all OEMs move towards a similar trend, how does KPIT benefit from that? Thank you.

Kishor Patil : So, let me just answer the first question on China. I think we are making good progress. And as I mentioned, we are looking at China in 2-3 ways. One is really learning from them and investing into technologies proactively, which you are seeing. That is exactly what we are doing. The second thing is engaging with the clients, which are global clients in China and third is Chinese clients in China. We are seeing progress in all these three and we believe small revenues will occur in quarter 4. On the technology side, I would request Anup, our CTO to take it.

Anup Sable : Yes, the question about like GM has done away with the support of Android Auto and CarPlay and whether it is a generic move by the OEMs, the answer is no, we don't see this as a generic activity. The logical explanation for that could be GM has a very captive audience in terms of its customer base. So, they can probably afford to do that. Others may have thought that it is better to stick to the flexibility that consumers may get through Android Auto or CarPlay. In any case, either one of these, whether it is Android Auto or CarPlay or whether it is a proprietary solution implemented by the OEM, we do stand in terms of our advantage of being the best in that particular area to gain the market share. So, it doesn't really affect us whatever decision the OEM takes.

Vimal Jamnadas : So, just to clarify, what you are saying is if at all the OEM moves towards an internal architecture, a centralized architecture, it doesn't really impact us?

Anup Sable : There is no negative impact. In fact, if at all there is a positive impact on us.

Vimal Jamnadas : I want to understand where in the value chain of building that architecture does KPIT participate with the OEM?

Anup Sable : So, right from the top of the value chain. In terms of engaging in definition of the architecture to defining the proof of concepts of architectural concepts to doing all the platform software, the validation of that, and then subsequently developing domain software and then integrating that. So, the whole value chain is our involvement. Of course, that is further enhanced by our ability to give solutions in some of these spaces now.

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Vimal Jamnadas : Understood. And sir just, sorry to harp on this demand environment question. If you were to compare the uncertainty levels when we started the year, maybe in Q4 of last year versus now, incrementally, how much of an improvement are you observing? Or is it the same?

Kishor Patil : It has improved substantially. I don't have a barometer to look at it, but it is certainly, I think, I would say the uncertainty has gone down and in many cases, it has because people learn to cope up, right. I think from that perspective, they are making their priorities. And as I mentioned to you, in either case, we have a big opportunity on where they are. So, I would say more than 50% uncertainty is gone, if not more.

Vimal Jamnadas : Understood. Thank you so much. I will fall back in the queue.

Kishor Patil : Thank you.

Moderator : Thank you very much. Next question is from Ankur Pant from IIFL. Please go ahead

Ankur Pant : Hi. Thanks for taking my question. My first question is on the deal. Give me some clarification, so your three -digit multimillion -dollar deal, is that included in this quarter's TCV ?

Sunil Phansalkar : Ankur, as we said, only a very small portion of it is included in the deal wins that were mentioned in this quarter. New engagements under this will keep happening in the coming quarters. So, a very small portion is included in this

quarter.

Ankur Pant: Sure. And when do we expect the ramp -up of this deal?

Sunil Phansalkar : So, as we said earlier, we have already started working on it and we'll have ramp-ups coming up in the next quarter and the following quarter.

Ankur Pant: Okay. And my third question is, on the trajectory that we have highlighted for 2H, we expect a spike in revenues in 4Q. Is that coming on the back of an improvement in the environment, or it's basically something, kind of a deal ramp-up that we have in hand, which we know about?

Kishor Patil: It is based on the deals which we have and the visibility we have for now.
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Ankur Pant: Okay. But does it also build in an improvement, or it builds in a status -quo kind of an environment?

Kishor Patil: We have not looked at anything significantly different from here.

Ankur Pant: Okay. And finally, Europe did exceedingly well. I understand that there is Caresoft in that as well, but even without that, it did quite well. So, again, things getting better in Europe or a deal ramp -up which drove this kind of a growth from a particular camp?

Kishor Patil: No, there are two things that we service the client .. When the client is spending and building a new product, we have a big opportunity. And when the client is in a real problem and he is facing issues in terms of delivering on the current program, there is an opportunity for us. So, European opportunities are currently based on change s in the supply chain. I think most of the European players are looking at moving from the local ecosystem to more global ecosystem. And I think that is where we will get more traction .

Ankur Pant: Okay. And do you see a change in the timelines of, say, what they were initially planning before this slowdown, the electrification timeline or the timelines of how a particular product development would take place? Have they been right-shifted to some extent or how do you see that?

Kishor Patil: The new product development timelines have shifted by about one to two years for almost all the OEMs.

Ankur Pant: Got it. Perfect. Thank you. All the best.

Kishor Patil: Thank you.

Moderator: Thank you. Next question is from Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Thanks for the opportunity. Sir the first question, generally, if I look at the TCV which we disclosed, the second half is generally heavier in terms of TCV wins for KPIT versus first half. Do you believe the same trend may continue this year or do you believe because of macro decision making delays can lead to a normalized trend over all four quarters rather than second half heavy than the first half?

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Kishor Patil: I do not know. I mean, if you are asking me what will be the deal wins next quarter, I cannot answer it directly. But I can only say that what we have, the total wins and the pipeline is pretty strong. Our focus is on conversion and whatever we have won now to really get into implementation.

Sandeep Shah: Okay. And sir, the explanation which you gave on \$65 million revenue leakage, can you correlate with which period it was in terms of last year, this year, how, what is that definition?

Kishor Patil: So, first, it was not leakage. It was basically what the client stopped spending. That was the large part of it, which was \$45 million, which I mentioned is when they stopped spending in certain programs or certain areas. And the other \$20 million is what we talked about is cannibalization where we are doing currently the project s and the only thing we lost that project is because we went with a more holistic solution with them. So, this is how I see it. I cannot really 100% tell you what it will be, but certainly under a year.

Sandeep Shah: Okay. And just the last bookkeeping question on

depreciation and

amortization, it has gone up because of Caresoft, but do you believe this is the run rate can be maintained or it can further go up with a full quarter consolidation in the Q3?

Sunil Phansalkar : No, it will, it will go up. I mean, this is two months amortization for Caresoft in this quarter. So, linearly, it will be for three months in the next quarter and then that run rate will continue. The revenue will also be added for a total of three months as compared to two months this quarter .

Sandeep Shah: Okay. Thanks. All the best.

Kishor Patil: Thank you.

Moderator: Thank you. Next question is from Ishan from Cred Asset Management. Please go ahead.

Ishan: Yes. Hi. I just wanted to ask about the KSAR Classic and KSAR Adaptive. Also your product platforms that are there that are modular or customizable. How are they scaling from client to client?

Anup Sable : Both the products have been moved as an IP to Qorix. So, Qorix is now managing these products and product sales to our customers right now. So, we are not really accounting them in our KPIT revenues or costs at the KPIT Technologies Limited
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moment.. Qorix roadmap is about supporting the two current products which are KSAR Adaptive and KSAR Classic. KSAR Classic has been there for quite some time. KSAR Adaptive is for the service -oriented architecture and adaptive version of Autosar. There is also a third product that Qorix is introducing, which is called the Performance Stack, which is a more optimized version of KSAR Adaptive, where some of the other system problems have been taken care of. And that is largely the portfolio that Qorix is going at.

Ishan: All right. That is all from me. Thank you.

Kishor Patil: Thank you.

Moderator: Thank you. Next question is from Ruchi Mukhija from ICICI Securities. Please go ahead.

Ruchi Mukhija: Yes.. Thank you for the opportunity. I have two questions. First, you have clearly demonstrated progress on profitability led by what you call the solution as well as the AI effort and productivity. Given the current context where growth is likely soft, can you elaborate how you plan or what is our strategy to reinvest these efficiency benefits? Do we see continued margin expansion? Or you would think to prioritize in adjacencies, investments that you have been highlighting to us?

Kishor Patil: I think we would do both. Of course, the current organization and the front end as well as the practices are all geared for the current business and the expanded business into off-highway and commercial. So, we have the organization, we have the focus and we have the clients. So, we will double down on that. Just looking at the future expansion plans we have, we are looking at the adjacencies where either we can leverage our existing clients because, for example, some of the areas I mentioned like defense, some of our clients are expanding into that. Or the technologies which we have are getting into the new vertical. That is the thing we are trying to leverage. So, I think efficiency, of course, we believe that AI will be a big differentiation for KPIT. But fundamentally, we are looking at adjacencies in order to leverage what we have. And you know that KPIT has been a growth company and the last few quarters have not been to our expectations. So, we are just making sure that we create enough ground to play.

Ruchi Mukhija: Got it. And is the workforce adjustment near conclusion or we anticipate further changes to the employee base in the coming quarters on organically?

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Kishor Patil: It will be a continuous thing. We keep on hiring. We will continue to hire. We will continue to hire even onsite because of the solutioning we are doing. And of course, we will hire the people which are most suitable for our AI transformation and the solutioning transformation.

So, I think from that perspective, we will continue to hire. But wherever we believe that people are not able to make that transition at the individual level, we do give sufficient time as even today after all this, we have the lowest attrition. We are very transparent with the people as much we are transparent with the investors. So, I think we will make the maximum effort to do that and wherever it does not work, then only in that case, we have to part ways.

Ruchi Mukhija: Thank you. Thank you, Mr. Patil. All the best.

Kishor Patil: Thank you.

Moderator: Thank you. Next question is from Sushovan from Anand Rath. Please go ahead.

Sushovan: Hi. Thanks for the opportunity. I hope my voice is audible.

Kishor Patil: Yes, we can hear you.

Sushovan: Yes. So, the question is, if you look at the fixed price project which has

significantly increased by 800 basis points from 56.7% to 64.8%. Do you see that? I mean, when we look at some of your peers also who are moving to the fixed price project, we see that it improves the profitability and productivity, but it has an impact on the cash flow. Do you envisage going forward if this contribution keeps on increasing, it may have an adverse impact on cash flows? If you could possibly just slide on that, that would be helpful. I have another question, but I will wait for this one to answer.

Kishor Patil: It is a marginal impact. I do not see anything significant. And once we are in the cycle, I do not see that. There could be some minor impact, but as we said, we will have higher profitability as well.

Sunil Phansalkar : And the milestones for fixed price projects are designed in such a way that, I mean, it has minimal impact on the overall cash conversions.

Sushovan: Understood. Thank you. The other question was basically, if you look at whatever is the U.S. with GM writing off a significant amount of charges for impairments on the battery EV, and the same thing we are seeing that even

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for Mercedes-Benz and Volkswagen, where they are deferring their entire EV programs. I just wanted to understand what is your revenue correlation with the EV programs and how much would be your pay ICE correlation and such. If you could give some color on that. That is it from my side.

Kishor Patil: You are basically asking what the impact on us with these two things will be, right? . If you really look at what I mentioned, some of the programs where we dropped revenues were in this area. We hope that and we are seeing that some alternate programs are coming up, alternate power train programs are coming up. And so we do not see any significant impact . And I must say that it is specific to certain clients and where they see the differentiation. Some of the other OEMs are continuing their investments . And if you look at, for example, , just something which is closer to us , look at India, I think people are continuing to invest into some of these areas.

Sushovan: So, if it is just to get it correct, a decline in the EV concentration would not impact your revenues to a larger extent.

Kishor Patil: Actually, I had mentioned that sometime back. If I may repeat, our revenues are not only EV revenues. I think there is some wrong notion people have. As I said, our revenues are driven by digital cockpit, autonomous programs, then after sales diagnostics, middleware, body and many of these areas,. So, as I said, there are a few areas we are adding, such as cost reduction, cyber security, digital experience etc. And also in the powertrain area, propulsion area, as I mentioned, even if such things happen, I think alternate powertrain by itself is an opportunity for us. So, I mean, I think these things happen and we do not see any big change impact on us because of that.

Sushovan: Sure. Thank you so much for the lovely answer.

Kish

or Patil: Thank you.

Moderator: Thank you very much. Next question is from the line of Karan from Phillip Capital. Please go ahead. Mr. Karan, your line has been unmuted. Please go ahead.

Karan: Hello.

Moderator: Yes, sir. Please go ahead.

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Karan: Yes. Thanks for the opportunity. Just one thing I wanted to check. So, Mercedes recently rolled out their first SDV vehicle on MB.OS platform, and they are talking about rolling it out across their entire sort of models. So, does KPIT have any role to play in that sort of an opportunity? Or we are working on, let us say, SDV 2.0 for these OEMs?

Kishor Patil: I would not comment on a client-specific thing, but we are engaged with Mercedes. We made that announcement sometime back.

Karan: Okay. Second thing, so you spoke about commercial vehicles will be driven in US, but about passenger vehicles, will the growth be consistent across all three regions? Or are there any contrast to that?

Kishor Patil: I think I answered this question a few times. I think Europe followed by Asia,

followed by US in passenger cars.

Karan: Okay. And last thing on the interest expenses have been going up since last two quarters. So, how should we think about the interest expenses going forward?

Priyamvada Hardikar : So, from the current quarter, as you must have seen the results, there is a working capital loan that we have availed only for a short term. And that is the reason why you will see the interest costs going up. And also, on Caresoft's acquisition, there are some IND-AS notional interest entries on the deferred consideration.

Kishor Patil: Non-cash expenses.

Sunil Phansalkar : That is about 47 million during the quarter.

Kishor Patil : That is the larger part.

Karan: Okay. Thanks a lot. Thank you.

Moderator: Thank you. Next question is from Aditi Patil from ICICI Securities. Please go ahead. Ms. Aditi, please go ahead. Your line has been unmuted.

Aditi Patil: Yes. Thank you for the opportunity. I wanted to ask question on the cannibalization part. Can you share an example of what kind of solution are KPIT Technologies Limited

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you providing, which is leading to cannibalization? And what is the billing model for these solutions?

Kishor Patil: These are typically places where there are multiple people, parties engaged including where we come out with a full solution, including other infrastructure, mainly AI -driven solutions. Also, the related infrastructure or ecosystem we need for that kind of a solution. So, especially where, as I mentioned to you, , if I can take one example , its is in the validation area where companies typically in the past, have been doing testing or doing it in pockets. And they are not in a position to get the required impact. There we came up with more efficient, holistic, full solution and we have been in a position to take up the full responsibility. And in, some of these, some of the realization will happen in the later part of the program.

Aditi Patil: Okay. So, like these would be fixed -price programs?

Kishor Patil: Yes, this will be fixed -price program.

Aditi Patil: Okay. And are you like reducing the number of people in this work, like versus a number of people you were using earlier?

Kishor Patil: I think I answered this question. I think we are already over time. I have answered this question a couple of times. I just said that we are not reducing just to reduce the headcount but only when there is no competency required for the solutioning or AI, we would part ways. I think I have mentioned this.

Aditi Patil: Okay. Thank you.

Kishor Patil: One minute, Sachin, is there any comment you want to add at the end?

Sachin Tikekar : No, Kishor . I think all good from my side. Thank you.

Moderator: Thank you, ladies and gentlemen. In the intere

st of time, that was the last

question for the day. I would like to hand over the call to Management for closing comments.

Sunil Phansalkar : Thank you. Thank you, everyone, for joining the call and have a great evening ahead. Bye -bye.

Moderator: On behalf of Dolat Capital, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

KPIT Technologies Limited

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W kpit.com February 6, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir / Madam,

Sub: Transcript of the Post Earnings Conference Call for the quarter ended
December 31, 2025.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Conference Call for the
quarter ended December 31, 2025, conducted on January 30, 2026, for your
information and records.

The transcript of the Post Earnings Conference Call is also made available on the
website of the Company. The link to access the same is as below:

<https://www.kpit.com/investor-financials/>

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For KPIT Technologies Limited

Ashish Malhotra

General Counsel & Company Secretary

Earnings Conference Call "

January 30, 2026

MANAGEMENT : MR. KISHOR PATIL - CO-FOUNDER , CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR
MR. SACHIN TIKEKAR - PRESIDENT AND JOINT MANAGING DIRECTOR
MR. ANUP SABLE - BOARD MEMBER AND CHIEF OPERATING OFFICER
MS. PRIYA HARDIKAR – CHIEF FINANCIAL OFFICER
MR. SUNIL PHANSALKAR - VICE PRESIDENT (CF&G) AND HEAD OF INVESTOR RELATIONS
MODERATOR : MR. RAHUL JAIN - DOLAT CAPITAL

KPIT Technologies Limited
January 30, 2026

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Moderator : Ladies and gentlemen , good day and welcome to KPIT Technologies Q3 FY '26 Earnings Conference Call hosted by Dolat Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you and over to you, sir.

Rahul Jain: Thank you, Sagar. Good evening, everyone. On behalf of Dolat Capital, I would like to thank KPIT Technologies for giving us the opportunity to host this Earnings Call .

And now I would like to hand the conference over to Mr. Sunil Phansalkar, who is Vice President (CF&G) and Head of Investor Relations at KPIT to do the Management introductions. Over to you, Sunil.

Sunil Phansalkar: Thank you, Rahul. Good evening and a very warm welcome to everyone on the Q3 FY'26 earnings call of KPIT Technologies Limited. Since we are still in the first month of the year, I take this opportunity to wish all of you a great 2026 and beyond.

On the call today, we have Kishor Patil – Co-Founder, CEO and MD , Mr. Sachin Tikekar – President and Joint MD , Anup Sable – Board Member and COO , Priya Hardikar – CFO and Sunil from Investor Relations.

As we always do, we will have the comments about the performance on the quarter and the way forward in the opening and then we will shift into question -and-answer mode.

So, once again, a very warm welcome to you and I hand this over to Mr. Kishor Patil.

Kishor Patil: Welcome to Q3 Earnings Call.

Today, the way I would do is , I will go through some of the highlights of the quarter and then I would hand it over to Anup whom , you are aware, he is now the Chief Operating Officer. He used to be the CTO before this. So, to explain what transformation we are doing in terms of business specifically, KPIT Technologies Limited

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what we have been talking about the solutions and there have been many queries about what does it actually mean. So, he would like to take a couple

of examples and explain so that you may get some clarity.

So, I think I will start with the financials:

So, FY'26 year-on-year growth was 9.4% in rupee terms, 3% in US Dollar terms, and the constant currency growth in Quarter 3 was 1.5%. EBITDA growth was 6.8% post-absorbing partial increments Organic growth is negative under 1% for the quarter.

Overall, if you really look at the growth it was contributed by growth in Europe and off-highway, off-highway commercial.. Overall, the net profit excluding the one-time Labor Code impact is 1.53 billion against 1.53 billion last quarter. The impact of new labour code, was INR 469 million post-tax. We also declared interim dividend during the quarter. The cash at the end of the quarter is about INR 9 billion after payment of INR 6.3 billion against the payouts of Caresoft and N-Dream during the quarter. The TCV value of deals won during the quarter is INR 202 million. Largely it is across the geographies, Europe the highest, followed by USA and there is also something from China, this quarter - from a Chinese OEM.

As I mentioned earlier, we believe that the business is changing, the OEMs are changing, their challenges are different. So, the overall business will change for the industry in the coming years. While we continue to grow our existing business and we do see those opportunities, we would like to move forward and change the business ahead of time. That is why we are moving to solutions-based transformation.

Now, there are a couple of indications there. The fixed price revenue mix in our business is 66% against 59% last

year. Per person revenue is also up. We have continued the investment in this business, which is about USD 3.8 million during the quarter. This does not include the AI investments we are making, which is in addition to this. Plus, this definition of investment does not include the investments which we have made earlier in certain acquisitions like Technica or the recent acquisitions like N-Dream and Caresoft.

So, while we are here, I would like to mention that overall, the way we look forward, we see many positives out of this quarter and the last six months. The first thing is the focus on AI and we have two projects or wins which are KPIT Technologies Limited
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in the AI area, which we are working on and which are in the production programs we are working upon.

The second thing is also on AI, we announced the partnership with Microsoft. Actually, Microsoft also made an announcement in terms of recognizing KPIT as a frontier partner of technologies. Similarly, another leading CRM company has also signed an agreement for our agentic solutions on their platform. In terms of micro-mobility, we have done a partnership with Hero Group, HMC HIVE. That was the recent announcement we did about a month back. We do believe we see that overall in commercial and off-highway we continue to see traction, which is based on the back of Caresoft Acquisition and our other offerings.

In terms of geographies :

Overall, we see positive discussions in USA, positive discussion in Europe, positive discussion, of course, in India, China, Middle East and Southeast Asia, and in certain pockets of Japan and Korea. In order to really manage this transformation as well as the readiness for growth in future, we have added a lot of leadership. The first one, of course, I mentioned to you, Anup is now designated as a Chief Operating Officer and Key Managerial Person. Anup has been with the company for 31 years and has played multiple roles. We also have added multiple technology leaders in AI, also in certain domains, architecture etc. Also, we have promoted some internal people in terms of these positions, in addition to hiring from outside. In the Geos, also some of

the practice teams we have at a senior level, we have hired from the industry in view of our movement towards solution-based business and readiness. Similarly, we have continued to add people who can really handle complex sales, both in case of AI as well as the solutions, and we will continue to do that.

This is where we are, and I would now request Anup to really take a few examples about the solution business.

Anup Sable: Thank you, Kishor. Hello everybody, good evening.

I would first like to sort of demystify what is a solution, because many terminologies or definitions of solution could exist. You can imagine something like an iPhone is actually a product. That means you can literally pull it out of a box and with a minimum configuration, that means if you have an older iPhone, you can scan a barcode and eventually the new iPhone can get configured to your all contacts, etc. information that is there, and you can

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start using it literally within 10 minutes of buying it. That's a product. Usually, the most important attribute is mostly shrink-wrapped. It has a little bit of configuration to be done like we spoke in terms of iPhone. When we talk about a solution, a large part of the work that is required to be done for a solution is already ready with somebody like us, but there is some part of the work that has to be customized based on the customer's requirement, and these requirements could be different. These requirements could be more and less basis certain requirements of customers. These requirements could actually address certain internal complexity in terms of customer setup and the customer's

product, and hence there is a definite amount of work in terms of software development, in terms of validation that needs to be done to make the solution ready for the customer.

I will give you two examples of what we mean by solution. When we talk about, let's say, something that is pre-AI as a solution, there is an advanced feature inside the car now where you can use the phone as a key. Now, from a user's perspective, what it means is that you can use the phone and not have a key with you. The car detects the phone at a particular distance, unlocks the car, car also detects that the phone is inside the car and the door is locked and then allows the vehicle to go in an ignition ready state so you can switch on the ignition and then start driving the car. And similarly, when you get out of the car, it can switch off. You move away from the car, it locks the car.

Now, there are different technologies technically required and it's a very complex system in terms of implementation. So, you have multiple technologies like Bluetooth, ultra wideband, Wi-Fi, 5G, all involved. Then you have challenges inside the car in terms of how many different computers does this particular system interact in terms of making the use cases work. And of course, when you actually develop something like this, you need to make sure that you have integration with the Apple iPhone, but it also then works with the Android phones and then it works in Android specifically with Samsung and then specifically with other Android phones that are there. So, all of this, a large part of it is testable, reusable, but a significant part of it is customized to what the OEM would like to have. And for this, KPIT has a solution which is a combination of the test platform and then the number of test cases that are required for certain certification requirements. There is a consortium called CCC consortium that certifies the solution for this. So, all this is ready. So, when we go to the customer, we can actually present a full-fledged readiness in terms of getting the customer to a stage where a new phone or a new vehicle launch can be supported.

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Now, what is the advantage? There are a couple of advantages that happen because of this. One is things are more or less ready. That means the time required for this particular activity is less. Second, because you have done this for multiple instances, there is already a domain know-how that is

captured inside which gives an advantage both in terms of quality and again in terms of time. And of course, the overall cost for the customer is lower because most of the things are ready. And as a result, the profitability for KPIT would also be high. This is one example of a solution.

Now, I would take another example of a fully AI-based solution because in every solution, you can always have a certain amount of AI to improve the efficiency, improve the performance. But I am talking about a fully AI-based solution. Now, for this, I will give you an example of how software development happens, especially in large teams. So, when you want to develop a software, say for example, what you see inside your vehicle for a digital cockpit, which is a combination of your central touchscreen, the cluster, the colorful cluster that you have and then certain lighting that is inside, ambient lighting that is there inside the car.

Now, when you write the software for such a thing, the software is a combination of written software by OEM, written software by the tier 1 and then various third-party suppliers, sometimes as good as 20 different suppliers. For example, Apple CarPlay, Android Auto comes from Google. So, all these systems have to be combined together and validated. And when the software development is complete and the integration starts happening, there are a large number of bugs or issues that c

ome out, which are integration issues.

Now, when you look at a complex system, significantly large software, the most critical operation that happens very close to the software or the vehicle getting launched is fixing all of these issues. And sometimes these issues could be in numbers of thousands, if not hundreds. So, the most bottleneck operation in such a case becomes who actually decides where the problem originated from because the software has been written by 20 different players. It is residing on 4 different computers. So, where is the defect originating from and how to go about fixing this problem? This is called a triaging problem. It is a very complex thing because not only you have to deal with complexity, but the number of people who can handle this in terms of understanding what the problem is and where the problem originated are limited and hence this operation gets bottlenecked. Now, this is a problem that we are solving by triaging as an AI-infused solution. So, when we get into the customer, we have understood what the source code is, we have KPIT Technologies Limited
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understood what the architecture of the vehicle is, we have understood what the defect is, and then we have created an AI-based engine that allows what this one or two bottleneck resources used to do to immediately be done by the AI and as a result, again, significantly reduce the time to fix the problem. Also, the duration for which this bottleneck has happened, that also is significantly reduced and of course, at the end, the customer gets quality as an output and the vehicle launch happens on time.

So, I gave you two examples. One, which is very specific to a complex system, the iPhone case that I talked about the phone as a key and the second example I talked about software development life cycle, where we are actually solving a complex bottleneck choked problem using AI, AI as the primary engine or tool to fix it. So, there are multiple such solutions that we are going to focus on this year in terms of going behind the customers. These have been validated, these have been working with the customers in the last few years and we feel confident that now we can actually go to more and more customers and allow them to leverage what we have.

Kishor Patil: Thank you, Anup. So, basically, we believe that this is the direction in which the clients are going where they would like to have a solution ahead of time and we can make it available to their customers in a shorter duration and we can take full ownership so that there are no delays, overheads, which is from the client side. We do believe that this may take 12 months to 18 months, for a large part of our business to convert into this, but naturally, specifically AI and some of the few solutions which we believe have potential would start in the next 3 months to 4 months.

So, this is what I just wanted to mention today. I think we will be happy to take any questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal: Thanks for the opportunity. A couple of questions from my side. Firstly, on the pivot to solutions-led offerings versus service-led model which we used to have. So, do we expect to gain market share from our peers given our solutions or you expect that could the outsourcing of work increase from OEMs versus the work which they used to do internally? That is part one. And secondly, with this solutions-led model, do you expect any cannibalization of the existing revenue? If yes, if you can quantify it?

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Sachin Tikekar: Sure. Thanks for the question. This is Sachin Tikekar. So, let me answer the first part. Obviously, the solutions when you

look at solving the client's problem and Anup described two of them, what typically happens is in the second example, you saw that there is a hardware setup involved, there are tools involved, there is a workflow and then there are many companies that are actually providing different kind of software. So, if you have to provide a holistic solution, in order to leverage the solution and have the maximum benefits, you have to look at it holistically. So, our first effort is to take a broader view of the problem and provide a comprehensive solution to solve the problem. Now, in this case, what happens is we end up cannibalizing someone else's business. That means we will be able to do it cheaper, better, faster for the client. If there is an existing business, a part of the business has been done by KPIT, then obviously that part gets cannibalized. But the thing is, when we provide the holistic solution, we get a much bigger wallet share. So, that's the model that we are applying across the OEMs and the whole purpose is twofold. One is to solve the problem of the OEMs more comprehensively and help them get their vehicles in the production program cheaper, better, faster. At the same time, increase the wallet share for KPIT and also the margins. So, yes, the simple answer is yes, this will lead to increase in wallet share. I think that's the answer to your first question. What was the second question?

Karan Uppal: Does it cannibalize our revenue?

Sachin Tikekar: I think I answered that to some extent and in some cases we will do it proactively in the interest of the client, but we always want to solve the bigger questions. So, we will not just cannibalize our own revenue, we will end up cannibalizing something much bigger. So, net-net there is a wallet share gain.

Karan Uppal: Okay, thanks for that. Second, on the geopolitical environment with the new tariffs being announced by the US for new nations and EU-US trade deal in question. How are OEMs reacting to it? Are they comfortable to spend on their new age R&D programs or they may again pause before some clarity emerges?

Kishor Patil: I will talk about European OEMs. They have been saying that and you must have seen it, that they want to move towards a different supply chain in this case and that's why basically even though there may not be a new spend, they are moving their spend from the local vendors to India. So, that is certainly a clear trend and that will happen. The second thing there is that they are trying to find out how they can get some new technologies. Some of the specific solutions that we talked about, I think that they would like to go

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for. So, I think the way they are looking at it, they are saving some money, they are investing cautiously in certain areas. Naturally, they are not spending all the money, but that is what is happening in Europe. In USA, we believe that the speed is very important because most of the OEMs in USA are significantly delayed on their vehicle programs and I think that, this is where they are looking for solutions and some of the solutions, that Anup mentioned, significantly reduce time for the production program and helps with quality improvement which I think the biggest issue. If you have studied, I think most of the US companies they have a higher overall warranty cost

and so basically it is very important for them to have better quality and move faster with the production programs . But this is in pockets. Overall, it is also specific to some OEMs. Some OEMs are not spending and they are really not strategically taking a view, but few of them are doing it in US and also off - highway commercial are at this point of time positively looking at making a change towards this.

Sachin Tikekar: Just to add to Kishor 's point, the macro reading that we have from different OEM

s is, I think this has been going on for the last one year, they have figured out ways to, this may continue for a while, everyday things are changing, especially coming from the US and hence I think different alliances are getting formed, but I think the OEMs have figured out a way that this is going to be a way of life and then they are prioritizing certain technologies and certain investments. At the same time , they are deprioritizing many others so that they have enough money to respond to these changes and meet the expectations of their consumers.

Kishor Patil: So, there are one or two geographies which seem impacted because of the uncertainty, one of which is Japan. Basically, if you look at their overall market has shrunk. Most of them were having a good market share in US, which is under doubt now. Many of them were investing into US or Canada or Mexico. Now, many of them have kept their plan on hold or that is not helping them. So, that's the one reason they are getting impacted.

Karan Uppal: Okay, thanks for the detailed color. This last thing on the TCV, Kishor sir, TCV was a bit muted this quarter. How is the pipeline looking and what 's the overall outlook for F Y'27, if you can elaborate? Thanks.

Kishor Patil: I mean, the first thing is that, during this time, I think when you get the orders, nobody's ready to sign a very long -term deal most of the time, but there will still be a few . But the point is, this is the last quarter and it really depends upon what the budgets are remaining with a particular OEM. So, this , I would not read too much into it. But you know that we give any understanding about KPIT Technologies Limited

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next year around April. But if I have to give you some understanding, I will make only two statements. One is, we believe that in the last quarter that is Q4, we will improve, our growth will be higher, it will be the highest quarterly growth in FY26 . I mean, anyway, we did not have much growth, but there will be higher growth in Q4. That will be the highest growth quarter from this year. And our profitability will improve from what we have in Q3 in spite of our investments. This is one statement. The second thing is, we feel reasonably, I mean, and please recognize that we will tell you at end of Q4, but I am just giving you my feel right now. We will for sure grow next year higher than this year. And we believe that we will be in a position to do it. Now, some of these transitions, which we talked about exactly how much, when, time difference, we are a little bit not sure. So, we are not putting exact number right now or we will see what we can do by April, what we can talk about it. But this is the high level color, I can give now.

Karan Uppal: Okay, sir. Thanks a lot. I will fall back in the queue .

Kishor Patil: Thank you.

Moderator: Thank you. The next question comes from the line of Nitin Padmanabhan from Investec India. Please go ahead.

Nitin Padmanabhan: Hi, good evening. Wishing you all a very Happy New Year. I had a couple of questions. So, one is, see on the solutioning, I think when we listed in 2019, we actually at that time spoke about maybe having prebuilt 15 % to 35% or 40% of whatever customer seeks to build. And that 's tested to be error -free code and thereby we accelerate for clients. I think this is more or less similar, but I think you 're doubling down. So, if you could give some context on what that doubling down is. And the second is a more conceptual question, is that considering that we are able to sort of up the ante on this and maybe prebuilt a lot more, shouldn 't it mean, and basically at lower cost, right? Time to market is shorter. Shouldn 't it mean that your deal velocity should be higher, right? Logically, because market share gains would reflect in higher deal velocity. So, just wanted your thoughts there. And do you thin

k that is

something that we should start seeing soon or that 'll sort of evolve over a period of time? How should we sort of think about this broadly? And lastly, if you could just give some sense in terms of, let 's say if you look at US, Europe, and maybe Japan, broadly, how are conversations or spend s from our perspective, maybe within the top three or four customers within each of those geographies, is it , just some color that you could give qualitatively would be very helpful.

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Kishor Patil: Yes. So, first thing is, thank you for remembering what we said in 2019. So, I think at that point of time, if you remember, we were moving towards the domains, which was electrification, autonomous, infotainment , then we moved to digital cockpit, that kind of a thing. So, basically we had created a certain, what I would say, visible demonstrations of what the client will get ultimately. And I can say that actual usage of those into the actual delivery was not more than 5% to 7%. Actual program, when we deliver, it was not more than 5% to 7% overall contribution from such demonstrations . So, it was more towards understanding the requirements, the client understanding , what could be the functionality, what are the additional functionality, what we could deliver , our ability, skills etc. This is what we could do. And this is what it is. Now, more and more, as Anup mentioned, this is not about project s. This is about a full solution, which you are giving to the client. And this includes people from client side who are working on this, people from us, there may be some people from other vendors, including some tier ones . So, this is a more holistic solution, which we are giving. So, there is a huge difference. And, we are expecting, I mean, I don 't know what over the period will happen, but at least 50 %-60% kind of reusability benefit is in most of the solution s. As I mentioned, we have just set this up. About 2-3 months back, we started making the changes. And that 's where Anup has a clear goal of bringing this transition. So, next six months, I think we should give here. And after that, we will be in a better position to say but of course, this we are doing because we expect that this will drive high quality growth for KPIT in the midterm.

Sachin Tikekar: Nitin, I think there was an external factor as well, which was, if you remember in 2019, this was the first time all the OEMs wanted to build software on their own, they started their own software companies, and they had the money and the time to do it. And the thing was, everything was built ground up. That was the approach that was taken, especially in all the S DV programs, if you think about it, times have changed now. N obody has the time and the money to do this. And plus, there is a lot of learning from all the programs that have been delivered. So, the expectation is all of this will get cheaper, better, faster. That's why we think that the adoption of our solution in today 's time is likely to have much bigger impact. There was one last question, Nitin, which was about the spend of our clients from US, Europe and Japan . So, as you know, the pressure continues on everybody, and they have done reprioritization. And from our perspective, we see an opportunity for us to grow in certain areas . One is digital cockpit, that is true across the three geographies. The second is obviously, as you get more and more connected vehicles, with the OTA in them, cyber security becomes a bigger concern. So, we are seeing a lot of spend in cyber security. Third is, given different

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countries have dif ferent approaches towards powertrains, so multiple power trains, you cannot just have battery electric, the consumers want to have options. So, we see investment also in ICE now, as far

as power trains

are concerned. In countries like China, navigation on autopilot has become a default, you cannot sell an electric vehicle unless you have navigation on autopilot in China. It 's going to the US as well as to Europe. So, that's another area. So, these are the 3-4 areas where we have strength and we believe that the spend is going to get prioritized from the OEM 's perspective. Last but not the least, the cost reduction, the vehicle cost reduction from mechanical,

electrical, electronics, and also software perspective is becoming more critical. And with the acquisition of Care soft business, we are also ready to help the OEMs reduce their product cost. So, these are the areas where we think there is going to be a lot more traction as we get into FY '27.

Nitin Padmanabhan: Got it. So, just one last one as a follow up. So, when you think about what has changed from then to now, as you said, obviously, right now, their ability to spend is lower. And we are actually from whatever we are doing, we are helping them do it at a lower price quicker. But do you think that what we will see is maybe better margins because of the way we are approaching this, but lower growth versus historicals? Or do you think we will be able to get both because we will get higher market share? So, how are you thinking on this as you look at it going forward versus how it was in the past?

Kishor Patil: See, I think we are looking at it in two, three different ways. We certainly believe that we can increase our market share in the medium term. I cannot say next quarter or quarter after, but in medium term. But we also believe we will be in a position to have a better solutions backed with AI and have as well the other normal solutions. We talked about other adjacencies we are talking about. And we do believe that both the commercial off highway and micro mobility would really bring more revenues. So, overall this is what we believe. So, this is our growth strategy. And from that perspective, we do believe that we will be making significant investments. And that's why I talked about earlier also what investment we are making. We will be in a position to be in the ballpark of the margins we have, little here and there, but similar margins in spite of the investment. But in the midterm, we are very sure that the margins will improve.

Nitin Padmanabhan: On the growth side, do you believe it is directionally? How are you thinking? You think...?

Kishor Patil: I did mention earlier.

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Nitin Padmanabhan: I got it. Perfect. Thank you so much and all the best.

Kishor Patil: Thank you.

Moderator: Thank you. The next question comes from the line of CA Garvit Goyal from Serene Alpha. Please go ahead.

Garvit Goyal : The first question is on this change in strategy. A few quarters back, we were speaking about a different strategy where we were speaking about getting the learning from China and providing services to the European OEMs, right? So, I am just trying to understand. Now we are speaking about a different, altogether different strategy, bringing some solutions. So, first question is, when we are speaking about the solution, is it applicable to the existing order book or existing pipeline that we are having? Or is it for the newer areas, newer upcoming pipeline that we will be getting in future?

Kishor Patil: I think it is both. And as you have seen that, and I think Sachin mentioned that people prioritize what is actually required by them. So, many times there is a requirement, but they believe that certain features that they want to put in a car, they will prioritize it over some other things. So, that's why, I mean, there have been many questions. I keep on saying, I don't know what we call it, whether it be called cannibalization or changing in the priority of OEMs but that's why the decision

happens at that point of time from the OEMs. China remains important. We talked about it. I think, the reason the Chinese companies have been successful is that they understand the consumers very well and they created many solutions or features which can go in the car very quickly. So, that remains our learning and also the technology aspects. So, we continue to do that. You might have seen this time, this is the second OEM we have won which is a Chinese OEM, which we are very proud of. I mean, it's not easy to win. And so I think the Chinese strategy is there and it will take some time, but we do believe that we will be successful over the period.

Anup Sable: So, solution strategy is not a replacement to the adjacencies we talked about, defense, China, the European part of it. This is in addition to that.

Sachin Tikekar: Does that answer your question?

Garvit Goyal : Yes. And secondly, the indications that we provided last time in Q2 regarding H2 this year, they have not yet reflected in Q3 as far as margins are concerned. And last time we also spoke on FY '27 to be a promising growth year. This time

we are sounding a bit bearish while still guiding for a better FY '27. So, I just wanted to understand from you, like how to interpret this, means what has KPIT Technologies Limited
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changed over the last quarter? And are we like still confident for a very good Q4 that we guided last time and a very promising FY '27? So, how to interpret it, sir?

Kishor Patil: So, the first thing is that there is a change in Labour Code which was being discussed for last 3-4 years and it came in last 3-4 months. So, nobody knew when it would hit. It has one time impact and it has an ongoing impact specifically for this industry. So, that is point number one. Point number two, I would say that, I mentioned to you about the overall investments which we will continue to make. And I think we believe that it is very important from the company strategy viewpoint to continue to do that and actually double down on that. We have, and we will do that. Certainly, I would say that in Q3, we have got a bit short by about a million dollar or so in organic growth. But that happens in this kind of environment by even some movement of projects from now to next quarter or so. So, this kind of changes happen in this kind of environment. And Q4, I mentioned that based on what we think, it will be better than all the three quarters we had. It doesn't say much, but it will just say that there will be a positive growth organically and our profitability will be steady, including this cost, which will be higher than what it used to be. So, the quality of revenue should be better. And we also mentioned that the next year will be better than this year. Now, this is what we are saying based on the pivot we are taking in terms of solutions. As you know that we are a Company which will take a leadership first and start working on that. And it has generally given better results in the past. We have positioned ourselves and 4-5 years back, we took a bet and we worked on it, which was very difficult for many people to understand. And we delivered on that. We do believe that this will be a bet similar. It may take some time, but this will be an important pivot for us.

Garvit Goyal : That's it from my side. All the best for the future.

Kishor Patil: Thank you.

Moderator: Thank you. The next question comes from the line of Rishabh Rathie from Goldman Sachs. Please go ahead.

Rishabh Rathie: Hi, good evening and thank you for taking my questions. I was just trying to understand on businesses which we have already won over the past 12 months. In your view, what are some of the milestones which need to be crossed before we can see some of these revenues, some of these businesses accelerating into revenues? And just secondly, can you share any early KP

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learning post the Caresoft acquisitions? What are the amount or magnitude of synergies you see from this asset? Thank you.

Kishor Patil: So, For the pipeline, what we have won, the prioritization sometimes changes, so it gets slowed down. But many of these deals are over 3 to 4 years. So, I think these revenues will convert. I mentioned last time, we had given a number also that how much cannibalization had happened last year because of the drop. So, it doesn't reflect exactly like what has been won from that perspective. On the Caresoft perspective, I think the integration, etc. we are already in the market. We are moving forward as Mr. Tikekar mentioned. I think we are also adding to their capabilities and adding one plus one to more than three. That's basically the potential. Also, off-highway commercial, we see as a growth area. I mentioned that. And Caresoft gives us some good leads into that part. I would say that this is where we are. Also, on N-Dream, which is a small acquisition relatively, we see a high potential in that, specifically both in terms of growth and profitability. And it is already in two million vehicles, and we expect it to be about three million vehicles next year. So, this is how we started. And we are trying to see how, we can really leverage that platform for adding more services on the back of this engine.

Rishabh Rathie: Thank you, and all the best. Thank you.

Moderator: Thank you. The next question comes from the line of Vimal Jamnadas Gohil from Alchemy Capital Management. Please go ahead.

Vimal Jamnadas Gohil: Thank you for the opportunity, sir. Sir, I just had a question on the transformation that we are making. If you could take us internally, what are the metrics you're tracking to gauge the progress of this transition? And as investors, how should we look at what metrics should we track, which you disclose in order to gauge what the progress means over the next 12 months to 18 months? The related question over there would be, ultimately, what are we looking at? What are the outcomes we are looking at? Maybe slightly lower in number?

Sachin Tikekar: Can you repeat the second part? So, first is, in the transition from services to solutions, what are the key parameters we will look at? What is the second one?

Vimal Jamnadas Gohil: Internally, what are we tracking? And what investors, how should we look? They are probably more assured on the progress.

Sachin Tikekar: Yes.

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Vimal Jamnadas Gohil: And the related question, sir, over there would be, how should we then, what's the end outcome over here? Are we looking at secure customers? Are we looking at accelerated revenue growth, maybe a few years down the line, or maybe better margins? What's the end outcome? Thank you.

Sachin Tikekar: So, from the services to solutions, the one metric that completely changes is, what becomes most important to us is the revenue per employee. That's something that we also write in our report. That's one of the key measures that not only we track internally, but that's something that makes sense for the analysts and investors also to look at. I think this becomes the most important. Other than that, I think there are many others that we have listed out that basically change related to the progress that we are making in terms of building up the solution, getting the market ready for that. And we have to also look at our CRM with a different length given the transition.

Kishor Patil: So, I think what we will do is, at the end of the year, we will come out with a more detailed conversation on this. And we will share more details about it. Right now, we have some ideas. But in the next 3 to 6 months, we will have a better idea. But I guess in six months, we will be very sure about the criteria. An

d as you know, in the last 3 to 4 years, we started sharing as many things as possible as soon as we had a better handle on them. But we will share more at the end of the year.

Sachin Tikekar: The second question is, what is the outcome? I think Mr. Patil already mentioned, you know what to expect. Obviously, increased wallet share from KPIT's perspective. And of course, in the midterm, profitable growth. I think these are the two outcomes that we really expect in the midterm as we transition from being primarily a services company to primarily a solutions company.

Vimal Jamnadas Gohil: Understood, sir. Thank you very much and wishing you the very best. Thank you.

Kishor Patil: Thank you. Thank you very much.

Moderator: Thank you. The next question comes from the line of Ankit Agrawal from Yellowstone Equity. Please go ahead.

Ankit Agrawal: Thank you for taking my question. My question is related to Qorix as well as this solution-based shift. It sounds like what we are doing in Qorix is also solution-driven, although we are packaging it as a product. So, just want to
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understand what is the difference and also what is the traction we are getting on Qorix?

Anup Sable: Qorix is both a product and a solution. Typically the complexity of a middleware software is you can never really take it shrink-wrapped. But the attempt is to make it as shrink-wrapped as possible. But whatever you deliver to the customer, there is always going to be an effort in terms of integration, the application software for that. So, that is the explanation on whether the

Qorix is actually a product or a solution. So, it's a combination of both.

Kishor Patil: So, I think as you can see for some quarters there are fluctuations, this quarter we have got good revenues. It might not be true for the next quarter.

So, it is based on the licenses. I think one thing I can tell you is there are again multiple changes which are happening. One is that, new vehicle programs have been pushed out because of the problems the OEMs faced in the existing program as well as keeping the spending in mind. I mean, I would say postponing the spending on the new programs. So, because of that, the middleware and operating system spend went down. And that's the reason it doesn't have as much traction as we had expected till now. But we believe this will be as you probably know that Qorix has become the part of a European Union software partnership which the European companies have made. And there are very significant OEMs who are a part of that. So, we do believe that this is something which is very unique and we feel that Qorix will have its fair share in some time.

Ankit Agrawal: Okay. So, is it fair to say that Qorix is mostly focusing on middleware and architecture, whereas our solutions-based approach is granular across so many different domains?

Anup Sable: Yes. Actually, Qorix is less than architecture. It's mostly middleware.

Architecture is a much more comprehensive subject which KPIT is handling. It's not a part of the Qorix activity. Whereas KPIT is handling maybe across all the domains now, including because architecture is also a domain for us now. Including architecture domain, KPIT is handling solutions across multiple domains.

Ankit Agrawal: Okay. Yes, that's helpful. Okay. Thank you.

Anup Sable: Thank you.

Moderator: Thank you. Your next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

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Sandeep Shah: Thanks for the opportunity. In this pivot to solution-driven business, is it fair to assume as we are taking a lead in SDV ahead versus peers in terms of solution-based delivery method, we are planning to repeat the same thing, which will help us in terms of winning the further wallet share and

may help

some of the Western OEMs, both in the US and Europe, to launch the new model as fast as Chinese EV players or the OEMs are launching and taking the wallet share?

Anup Sable: Yes, your line is not very clear, but let me explain what I understood out of the question. Your question to summarize is, is the solution offering that we have to the OEMs going to increase or better their time to market? Yes, the answer is yes. Most of the solutions that we are talking about, some of them, definitely some of them are really about very, very difficult things that the OEM does during the development of a vehicle. And because we have these solutions ready, we definitely feel that the time to market will significantly decrease for the OEMs.

Sandeep Shah: Okay. And just another related question, more as a bookkeeping. In a pivot to solution, we will not change any accounting policy in terms of capitalizing the development cost. We may continue to not capitalize and take it to P&L. Is the understanding correct?

Kishor Patil: So, as you have seen for many years, we have not capitalized anything unless there is a new investor in a certain area. So, in the normal course of business, there won't be any capitalization.

Sandeep Shah: Okay. Thank you. All the best.

Moderator: Thank you. The next question comes from the line of Sameer Dosani from ICICI Prudential. Please go ahead.

Sameer Dosani: Thanks for the opportunity. I hope I am audible. I am not sure whether this is already addressed. So, Asia, as a geography, has been declining for a few quarters. And what I understand, we had a mega deal here, we have a large client, and they've been backtracking or they've been reducing spending in certain areas. So, can you throw some light what will happen in Asia as a geography and when will we start growing for us? That's my first question.

Sachin Tikekar: We look at Asia in two regions. One is Japan, Korea, China. Second is India and Southeast Asia and Middle East. You're right about a specific OEM, A, we

have been doing a really large program and all large programs come to an end. So, we will go through that. However, what we have done in Japan is we have KPIT Technologies Limited
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started working with a couple of others. And hopefully, you know, over a period of time, that will give us some growth, not only in Japan, but also in Korea. And as Mr. Patil explained, we have started to see some wins coming out of China. So, as a region, we believe that it will come back in some time. However, the India and Southeast Asia part will grow. It's been growing for us and we see a lot more growth. Now that India has become the focus for most of the OEMs across the globe. So, it's not only the India OEMs, the existing OEMs, the new OEMs, new age OEMs in India. But at the same time, the global OEMs want to come and look at India for India. And that poses an incredible opportunity for KPIT. And I think most of our solutions will be ready in time to help these OEMs launch new vehicle programs in India. So, we remain very bullish on India, not only now, but in the foreseeable future. That's how I would, so that's what I would say for now.

Sameer Dosani: Asia will continue to remain stable in declining and then start growing, like it will take 6 months, 12 months, maybe even months. How do you think about that?

Sachin Tikekar: I think we will see some ups and downs with really large programs. We have to make some adjustments. So, we will see some ups and downs. But, in next 2 or 3 quarters, we will see growth coming back in Asia as well. Because we have been sowing seeds into new OEMs across Asia. And, some of them have started to grow. Some will take a little bit longer. So, I would say, by middle of next year, we should start to see growth coming back in Asia.

Kishor Patil: Just to add to what we said, in Asia,

we have broken this into two geographies,

as Mr. Tikekar mentioned, and that you will start seeing, that we will start reporting also from next year. And we see a significant growth in the India and Southeast Asia and Middle East kind of geography. And as we say, even China, we see that. And we have, in Japan and Korea is where we will see a few ups and downs, but we will stabilize it.

Sameer Dosani: Got it, sir. That's good to hear. And second is, sir, when you speak about consolidation, right? So, like there are three buckets where you can consolidate, right? One is, obviously, taking work that is getting done in the OEMs, you outsource that and gain wallet share. Second is you gain wallet share from on-site-based vendors. And third is from offshore-led India players. So, obviously, consolidation would be a factor of all three, but where is the maximum share coming from at this point of time when you consolidate vendors or you try to win wallet share?

Kishor Patil: It's not exactly like that, but in Europe, it is from the on-site vendors too.

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Sachin Tikekar: That's right. I think it's all three. In Europe, as Mr. Patil said, it's mostly consolidation movement from largely local vendors to more of global vendors. And with solutions, you know, it really doesn't matter whether it's on-site or offshore, right? The world becomes a level playing field. So, we compete and we win against the competition.

Sameer Dosani: Got it. That's good to hear. And thanks for taking my questions and all the best for the future.

Sachin Tikekar: Thank you so much.

Moderator: Thank you. Your next question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Hi, thank you. The first question is, if you look at your peers' commentary over the last few weeks, everybody's talking about a good demand outlook, positive deal conversion to revenues, which should be in excess going forward. So, just curious to know, do you share the same outlook or is it something different for KPIT team? Peers have been talking about good growth in automotive.

Kishor Patil: So, I think we have given the sense of what we are saying. We have mentioned how the different geographies are behaving. We, of course, as you know, that

as compared to most of our peers, we have a much wider scope in terms of clients and the market as well as the volume. And we are actually seeing the change in the behavior of OEMs and the requirements. And we believe that if this is the case, what steps we are taking are most important in terms of long-term growth potential, and that's why we are talking about this growth. So, we would not generally make a statement. We would say that off-highway commercial, there is a growth which we would see, but not exactly the same statement in case of passenger cars across, on board.

Bhavik Mehta: This second question is on AI solutions. So, we have seen a lot of IT companies and even some of your peers try this solutions approach or IT-based approach in the past, but haven't seen much success out there. So, what is different this time? It gives you confidence that AI solutions can become a bigger part of your business in the next 2 to 3 years and is there any target you have in mind in terms of how much the solutions can contribute to revenues versus the course of the next three year period?

Anup Sable: Last six months, I am personally actually executing projects where internally we are solving the problems using AI. That makes me more confident, makes

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us very confident in terms of what it can do and how it can be done. So, we are very clear about what AI can deliver to our customers. I would suggest you also listen to the interview that Anthropic CEO had given during Davos. We are in full agreement

with him that we have the solution ready to solve our customers' problem. I think it is up to the customer's adoption now in terms of how they adopt AI quickly into their life cycle. But we are ready.

Sachin Tikekar: And I think what has changed from last time, there are two things. It didn't work as much. So, a lot of lessons learned. And I think this time, most of the solutions have been vetted by the client. And some of them are already been piloted during the course of this year and last. So, that gives us a lot more confidence that this time is going to take some time, as Mr. Patil mentioned, 12 months to 18 months before we start to make the shift. And in the next couple of years, we would want the majority of our business to come from solutions.

Kishor Patil: One thing I mentioned is we are focused only on mobility and that gives a very different advantage as such.

Bhavik Mehta: Okay, got it. Thank you.

Moderator: Thank you. The next question comes from the line of Vidyadhar Ginde from Soham Asset Managers Private Limited. Please go ahead.

Vidyadhar Ginde: Thank you. So, my first question is that in the last few quarters, when your growth has slowed down, has your share of the pie gone down or you've lost market share or the pie itself for you has gone down or is it both?

Sachin Tikekar: So, basically, if you look at mobility, from passenger car perspective, their spend has gone down by 20% to 25%. It's a dramatic, I think their volumes have gone down substantially, their profits have gone down even more. Except for one or two clients, we have not lost our wallet share in any of our T25 clients. In case of majority, we have actually gained wallet share. So, basically, the pie has shrunk quite a bit and that's the reality at this point.

Kishor Patil: The other way to look at it, if you look at an industry, all other ER&D providers and you look at their automotive business, mobility business, in the year-on-year, they have a significant reduction in this sector.

Vidyadhar Ginde: So, my second question was, so your medium to long term outlook, if I am not wrong, will depend on whether these global OEMs which dominated global market share, whether they can stop losing market share to the guys who are ahead in the new world, which is Tesla and the Chinese guys. So, am I correct

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in assuming that your medium to long term outlook really depends on these guys or then making otherwise making dramatic market share gains in the challengers who are gaining market share?

Kishor Patil: There are three answers to your question. First is, this was exactly the

question people asked me in 2019. People said that there is a Tesla and Tesla will take all the business from all the OEMs. That was 2019. This was asked very often. That was number one. Number two, I would say that we have started working with Chinese OEMs and we have been successful in getting Chinese clients. This itself tells us that we are doing something right and, we are very sure that this automotive business is so critical to the economy, this forms roughly 15% of the GDP of most of the countries. So, it's very critical and many OEMs will survive. So, actually the transformation will help. I mean, we would be of help to them. Third is, we are also going into certain different adjacencies as well as areas like off-highway commercial where we believe that we will be in a position to grow in that area. So, that's the broad-based strategy we have adopted.

Vidyadhar Ginde: So, just to take this forward, you are reasonably confident that a lot of your global legacy OEMs will survive, stop losing market share. Is that the case?

Kishor Patil: That, I will say that they will continue to spend. That's what I would say. They will prioritize their spend and they would take a call in terms of which are the profitable lines versus other lines. So, their volume, you cannot say, but the people will adjust their strategy to that line and most of the OEMs will continue, but I am sure there will be a few casualties. That's what we mentioned earlier.

Vidyadhar Ginde: What comes to my mind is the mobile industry where Nokia from being a market leader, you know where it is now. So, do you see at least all the guys put together here, at least it's not just one Nokia, it's a lot of OEMs put together?

Kishor Patil: There's a big difference in these two industries.

Vidyadhar Ginde: You don't expect that to happen?

Kishor Patil: There is a big difference between these two because the shelf life of a mobile phone versus the life of a car which is there on the road for 12 years to 15 years is very different. The type what it requires is very different. So, it's a different ecosystem and life cycle.

Kishor Patil: There is a big difference between these two because the shelf life of a mobile phone versus the life of a car which is there on the road for 12 years to 15 years is very different. The type what it requires is very different. So, it's a different ecosystem and life cycle.

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Vidyadhar Ginde: Thanks a lot.

Kishor Patil: Thank you.

Moderator: Thank you. Your next question comes from the line of Ankur Pant from IIFL Finance. Please go ahead.

Ankur Pant: Hi, thank you for taking my question. I have two questions. The first is, as you highlighted, mobility R&D budgets have fallen sharply last year. So, just an initial sense of your conversations, what does it suggest for this year? Do you expect stabilization, in fact decline to continue? Or is there some growth also that you're building in? Just wanted a sense.

Sachin Tikekar: Ankur, as I mentioned earlier on, of course, all the OEMs continue to be under pressure. So, the overall spend is not likely to go up. However, there are certain areas where they're prioritizing spend. And I called out those areas earlier. And those are the areas where we actually specialize. We have deep specialization, digital cockpit, cyber security, then navigation on autopilot, and also multiple powertrains. I think this is where they're prioritizing their spend. And we are also bringing in the cost reduction element from the vehicle perspective. So, these are the five areas that are in fashion in the minds of the OEMs. And we are ready to take those on.

Ankur Pant: Thanks. And my second question is with respect to the solutions pivot. Now, historically, for AI and pre-built solutions, OEMs have been generally varied, given that there are risks involved in a vehicle. So, what is changing this time? And given the upfront nature of investments that you would need to make on this, what gives you the confidence that multiple solutions will see broad-based adoption across OEMs? So, they would have been vetted by a few clients, but what gives you confidence in the broad-based nature of adoption?

Kishor Patil: I think it is our experience. I think in both the cases we know, and now the few more discussions we are having, it is not a choice for them. It is not IT. They have a choice to do something or this or that. Here, they are stuck with the production programs, and they are not sure whether they can really come out with a vehicle. This happened with two OEMs, and now we have some more discussions. And in order to take it out, there are hardly any alternative

solutions, and where we are ready to take the full responsibility. We are not just giving a tool. We are not doing what they tell us to do. We are ready to take full ownership and deliver.

Ankur Pant: Perfect. Thank you, and all the best for CY '26.

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Kishor Patil: Thank you.

Moderator: Thank you. The next question comes from Rohan Nagpal from Helios Capital Management. Please go ahead.

Rohan Nagpal: Hi. Thanks for taking my question. I just wanted to follow up on the customer project that you said was coming to an end in Japan. I think after we announced the mega deal with Honda, JPY revenue went from being

somewhere around 10 million a quarter to all the way up to 40, and now it is to 30. Where does this sort of bottom out in terms of this engagement?

Because I think at the time that the engagement was announced, we said that KPIT will work with Honda through 2030. Has that been part of the reprioritization in any way?

Kishor Patil: I think that is correct. We will continue to work with them, and there are different programs we are continuing to work with them. And this program is, as other programs it has delayed, so some of the new programs have been a little bit pushed out. And some of these changes are because of that, but we absolutely are strategically in place with OEM. And we will continue to work 2030 and beyond. Typically, our OEM engagement, if you have seen, there are many OEMs who are working for 20 years, and the business has not got down. It keeps on going up, so it takes some time. This was a very large deal, and specifically I talked about the Japan part, where the economy has got impacted, specifically through the uncertainties and etc. So, there are some, what I would say that delays in the production program, for the taking up the new programs, investing into new programs, and that may impact a little bit. It will impact to some extent, but it is not going to be a zero or something like that.

Rohan Nagpal: But are we close to steady state right now? Or is there more sort of, we get a better handle?

Kishor Patil: So, I would say, we don't know, in 1 or 2 quarters, it may go down further or not. But over the period, if you look at the end of the year, we would be more, because then the new opportunities which are happening, new programs which are happening will catch up. So, it's very hard to tell quarter-to-quarter client-wise, we will never give any answer on.

Rohan Nagpal: Fair enough. Okay, that's it from my end. Thank you.

Moderator: Thank you. The next question comes from the line of Karan Uppal from Philip Capital India. Please go ahead.

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Karan Uppal: Thanks for the follow-up. Just a bookkeeping question. So, interest cost has inched up in the last few quarters. Do you expect this to remain elevated in the next few quarters or maybe next year? And secondly, depreciation has also increased to Rs. 81 crores after full integration of Care soft. So, shall we expect this depreciation line item to stabilize from here on?

Priya Hardikar: Yes, depreciation line item will stabilize. This quarter, it had a full impact of N-Dream customer intangible as well as one month of Care soft. So, it will stabilize. Second question was on the interest cost. In interest cost, we did have interest cost on the borrowing that we had the previous quarter as well as some of the interest cost on the deferred payment calculations and the acquisition accounting. So, yes, both these costs will stabilize now.

Karan Uppal: So, Priya maam, this interest cost, shall we assume this Rs. 23 crores as a run rate for future quarters?

Priya Hardikar: No, it can lower a little bit, but yes, more or less in the same range.

Karan Uppal: Okay. Thanks a lot. And all the best for FY'26.

Kishor Patil: Thank you. I think we are already over time. So, I think we should end the call now.

Moderator: Thank you. As will take this as the last question and I now hand the conference over to the management for closing comments.

Sunil Phansalkar : Thank you very much. So, thank you everyone for being on the call and wish you all the best. Thank you. Bye.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: May 2026

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May 13, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001.

Scrip ID: KPITTECH

Scrip Code: 542651

Kind Attn: The Manager,

Department of Corporate Services National Stock Exchange of India Ltd.,

Exchange Plaza, C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai – 400051.

Symbol: KPITTECH

Series: EQ

Kind Attn: The Manager,

Listing Department

Dear Sir/Madam,

Subject: - Transcript of the Post Earnings Investor Meet for the quarter ended
March 31, 2026.

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the Post Earnings Investor Meet for
the quarter ended March 31, 2026, conducted on May 7, 2026.

The transcript of Post Earnings Investor Meet is also made available on the website
of the Company. The link to access the same is as below:

<https://www.kpit.com/investor-financials/>

Th

anking you,

Yours faithfully,

For KPIT Technologies Limited

As

hish Malhotra

General Counsel & Company Secretary

Encl: as above KP 11.

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Sunil Phansalkar:

Hello and a very warm welcome to everybody for this KPIT Technologies Analyst Meet. As we do
always, we will have the presentations by the KPIT leadership team and then we will have this
open for Q&A from all of you. So, since today we have an extended management team present,
we will do a small introduction of who is present here from KPIT leadership, which would be done
by Priya Hardikar. Priya herself is a part of the leadership team. She's our CFO and a part of the
executive board And she handles, obviously, as being a CFO, all the accounting, auditing, legal,
taxation, investor relations, compliance, all of these are under her. So now I would request Priya
to please come over and introduce the leadership team. And once again, thank you for joining us
on this meeting.

Priya Hardikar: Thank you, Sunil, and very warm welcome, all of you. I'm happy to introduce my
colleagues with you. I mean, I'm sure you know most of them. Mr. Kishore Patil, co-founder, CEO,
and managing director. Kishore, as you know, has led the company's transformation into global
mobility technology partner. He has been and continues to shape KPIT's long-term strategy
across mobility, software, and automotive innovation. Mr. Sachin Tikekar, President and Joint
Managing Director. Sachin drives KPIT's growth agenda and client relationships. He plays a key
role in scaling KPIT's presence across the markets and strengthening strategic OEM partnerships.
Mr. Anup Sable, whole- time director and chief operating officer. Anup oversees KPIT's technology
visioning, execution, delivery excellence, and execution rigor. He focuses on full-stack tech that
will help OEM transform their roadmaps and bring excellence in their performance. Mr. Chinmay
Pandit, whole time director and head of Americas. Chinmay leads KPIT America's business and
strengthening OEM relationship and expanding regional growth. He focuses on market

development, client trust, and strategic execution. Mr. Pushpahas Joshi, Head of Strategy and Growth Office, Member of Executive Board Pushpahas has led KPIT strategy growth initiatives and new mobility businesses. He drives portfolio expansion across the connected products, digital mobility, and strategic market development. Mr. Omkar Panse, CTO, Chief Technology Officer. Omkar leads KPIT's global technology vision software-defined vehicle strategy. He also drives next-generation EE architecture, SDV platforms, and mobility technologies across the domains. Mr. Gaurav Kakati, Chief Technology Officer

cer, AI. The buzzword, Gaurav heads KPIT's AI strategy

focusing on generative AI, agentic solutions, and AI-led transformation of automotive software lifecycle. He brings deep expertise in enterprise AI automation and innovation. Thank you, everybody, and welcome once again. Over to you, Kishor.

Kishor Patil :

Good afternoon, and very happy to really welcome you. After a long time, we are having this gathering, and I really missed it for the last few years, and I'm so happy that we are doing it at a time when there are many questions we need to answer I think so great to have you all here. So This is basically as we call it the next phase of transformation and growth. KPIT is always trying to consolidate and grow and further its thought leadership as well as the market leadership in the areas in which we operate, basically mobility And that's why I will start... I think I'll give you some overview about this. First, I will very quickly, for you all have seen the results, but You know, I would gequickly take you to FY26 performance market trends and KPIT response. I think this is the part I will cover. Anup will talk about technology moat . What is the differentiation of KPIT in multiple ways For Today and future. Sachin will talk about the resilient growth There are many questions about the industry. This that, how we are expanding the overall market, how we, would like to do this in spite of disruptions in, industries or, beyond, global, global environment. And then of course I will come and talk about mid-term outlook I know some of you want to do it the other

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way, but I think it is best this way. So I think you have seen it has been A bit of a muted growth year, but ultimately, we had a good Q4. I think we had a growth of 1.8% in constant currency 1.9% quarter-on-quarter growth in terms of dollar. In terms of rupee, it, basically it's a growth of 12% and quarter-on-quarter it is 5.8%. The key highlight, if you want to ask me, is the 349 million worth increments closed during the quarter. It basically says that the number of deals, the number of engagements we have signed, and we have, of course, announced a couple of them Specifically, I will cover them later So, that is very important. Pipeline continues to be satisfactory. Important part is the solution and products. That's our next pivot. And we'll talk about it, what does it actually mean, what it means to us, what it means to our client, how do we differentiate it? It's a 21% of the total pipeline is already into products and solutions, so it will, It basically gives us a very encouraging sign I mean, cash generation has been very good for the company over many years. It continues to be that dividend payout after dividend payout, it is 9.6 billion cash at the quarter end, and we have the annual dividend, which is 5.25 per share. DSO stood at 47 days. Dividend is about 33% Kind of a payout If you look at the revenue, the little going little down, 18% year-on-year growth in trucks and o-highway So, as you know, last year we decided that we will expand into truck and o-highway as a segment. And now it is 18% growth year-on- year in trucks and o-highway. And the Q4 growth was also led by trucks and o-highway 11.6% and the second was cloud-based connected services. So these are some of the areas Where we saw that, detailed part about the growth, Sachin will talk, I'm just talking about the highlight of this quarter and overall And, EBITDA growth margin is for the year 20.8%. And for this quarter, 20.6%. I must tell you that what we have never compromised is on the investments in technology, because we believe that is the core of KPIT, that's the core of future, and that's what we will continue to do it. Most of the companies have less than 1% investment into technology We have done more than 3% for many years. We have upped the investments more than 5%. And I think that is a very important part, I would say that a

fter doing that, we continue to have one of the best EBITDA

number in the industry Let's talk about Tailwinds as well as the headwinds So, the growth is driven by connected vehicle, powertrain, vehicle engineering, and after sales. I wanted to say this a little bit here. This is how the actual thing is. This year, it is driven by all the four segments. So, connected vehicles will see in terms of technology, but it is, of course, this is an area of the highest growth in the industry, one of the highest growth in the industry. powertrain also continues to grow. Now, the powertrain is not... is electrification, it's conventional, it's a hybrid, and there are also pilots we are doing in terms of hydrogen-based systems. So I think it's a more broader than pure electric But nevertheless, we continue to do that, grow, even though naturally the growth is not the highest in that part, but we have grown in that. The vehicle engineering, this, I wanted to bring it out. This is a different part of the acquisition we did in the Caresoft You know, last year. That actually we doubled down on that, beyond software, the reason is We wanted to make sure that we are in a position to address one of the key point of pain for our OEMs, which is cost reduction And if you... when you look at the cost reduction, it is not about software, but it is about

overall cost of the vehicle. And that's where Caresoft has, you know, certain competencies, some platforms. With that, we are in a better position to deliver that, but more importantly in the industry, typically people have been doing the benchmarking, which has been a more hardware benchmarking. We bring to it now software benchmarking, which is really one of its kind, which tells them in terms of how the performance is going to be there, how the security is going to be there. So these are some of the things which we are adding. So these are the areas which continue to grow and last but not the least is after sales. This is one of the fast-growing areas for KPIT. And after-sales is very important, because OEMs are looking for sources of revenue for them going forward, and not at the point of sales, but throughout the life of the vehicle. And after sales has become a big area. And I think that's the area where we have built a very strong solution. And I

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think you will hear about it. It's a 9% year-on-year growth with OEM clients, which has been our strategy. We did have a drop in certain part which just to tell you on it, Tier 1 revenues, which has never been a focus, but whatever we had, I think we... actually, there was a drop in that. We have strengthened the China presence. And two new engagements with Chinese OEM. This is very important. It's a very small part of our revenue, but it is important for us because China is a big market. The second thing is it has a different type of OEMs than the traditional. Later, there is a possibility that Chinese OEMs already are, you know, entering into the other markets and can take the market share also in other markets. So we want to make sure that we are successful in China. It's not the easiest market, it will take time, but let me tell you, we have spent time and effort, and now we have two clear Chinese OEM engagements, which even though the revenues are not that great, I'm very proud about it. And 18% year-on-year growth in Trucks & on highway, I mentioned, and accelerated pipe generation in AI-infused solutions and products. So, that is, this is the focus area, and this is how we did last year. In terms of headwinds, AI-led transformation led to near-term cannibalization in some areas. In some cases, but over the period, not over the period, we see a larger opportunity with AI-based solution. But sometimes in the short term, in a particular case, it can cannibalize a particular part. But over the long term, we see that we are in a position to take end-to-end, and that's why we are moving towards the solution, taking

the full ownership

of the solution, and actually it adds to the revenues. And lower than expected growth in middleware and autonomous driving. And one of the important reason for this is many new architecture programs have been delayed. And that's why some of the middleware or the Qorix or some of those companies, actually that got pushed out, many of these programs and our revenues have come down on that area. And autonomous driving, the game has a little bit changed, and I will show you. It is one of the high growth area going forward. And there is a better adoption of this area. The only thing is, the way it is there, earlier, all OEMs wanted to develop their own stack, and they realized that they failed in that, and they could not do it. So, it is more about really integration, it is more about how do you really train that, and how do you build on the stack. So these are some of the things which we need to do. So, there is a different approach, and there are some demos you can see later. You will see it. So, I think that is there. And last but not least, there were in few accounts, there was a program cancellation and delays in few accounts, and I will talk about it later. So, it challenged near-term growth, but expanded foundation for substantial future expansion. I must tell you that what we have achieved last year is one of the best we have achieved in the last many years in terms of qualitative progress. Both in terms of changing the complexion of services, taking the lead in terms of AI, the products journey, you know, apart from solutions, the products journey, and also the markets where we have expanded. So I think I'm very proud about what we achieved. And, of course, the leadership development which we have been in a position to achieve, which is going to be a base for the future growth, not only for a year or two, but going forward. We talked about, the reason I wanted to talk about is the many vehicle programs got pushed out, as I talked about, but that is more in passenger car area. But on highway and commercial now are looking to adopt into SDV or AI-based software development, right? AIDV. So I think this is one of the, I would say, one very important engagement which we have won, and that's why strategic value is more than only the value, financial value. It's a long-term partnership in excess of 50 million, focus on large-scale software-defined transformation. It is, for this. And for the next generation machine platform. So this is called SDV, generally we call it here it is called SDM software defined machines. So that and it is shipped from legacy architecture to modular platform that electronics and software architecture. So I think this is important from that aspect. This is the second thing is leading Japanese tier one and to deliver the next generation of digital cockpit. This is important because the way we are changing our way of delivering to the client. And the solutioning. It is a platform which is ours, and we are delivering

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to multiple OEMs of the tier one. Through this platform. And right now, we are engaged for 3 OEMs, and it will go to 5 OEMs. So I think that is how we are delivering. And these two engagements are important, sorry, two OEM programs underwent more to SAST shortly. So this is a very important part, and again, here we have used all our experience of so many years and so many production programs in digital cockpit area, and also, of course, we have used AI in terms of accelerated

development. I had some chat in 4 million people were asking about where the spend is and etc. So first thing I must tell you, that this is the only limited part. I've just picked up a data for only automotive part and also outside China because that is the data which is available. Beyond this, there is a Chinese data spend. There is also, of course, this does not include o highway commercial. This does not include micromobility, but still there is at least

t You know, the good

representation of automotive spend. And this is from the McKinsey Jan 26 their internal data which they collected. If you really look at which are the pockets? They're talking about 2x growth by 2030 into the R&D spend. However, I will bring to your notice two things. If you look at the areas where they are going to spend, one is The AD/ADAS, which is becoming three times the spend from now till 2030. AD/ADAS is the largest spent area from that perspective. In terms of growth. And the second area, if you look at it, is the infotainment and digital services that is there. And e-architecture, it's a relatively small part, but that is again moving in a big way. Integration validation is existing across many times it is across many spent area. It's the largest area of spend anyway, otherwise. So these are some of the spent areas. Now We... this will spend on gen 3 and Gen 4 programs. These are the architecture type you can look at. Now, automotive software spend remains strong. That's the one thing I wanted to say. Second thing I wanted to say that this is only, as I again repeating, it is only automotive part. This does not have o highway commercial, this does not have a Chinese data, and other things. And beyond electrification, there is a high growth in other domains. So, electrification is not the highest spender. I just wanted to bring, while I mentioned to you last year also we have grown into powertrain or propulsion area. There are multiple sheds. It is not only electrification which drives it, but Beyond that, actually, the spend is here, and as you could see in the earlier, our highest growth was in infotainment connected and security. The second part I wanted to cover is in case of AD/ADAS. Even though this spend is 3x, I must also say that this is not necessarily something to be available market to us fully. Because of two reasons. Because this is where the companies may source platforms from the companies who have built up platforms and there are very few now because this includes billions and billions of dollars to really build a platform and, you know. So I think, but As you know, always, actually the validation simulation is a very, very big part of it. And that is always a very big part of any implementation, and that is what is available to us. I just wanted to explain to you from your understanding how this looks like. e-architecture I talked about it, it will go when the new vehicle programs will come, e-architecture will become important. It is important for all of our o highway and commercial vehicles segment. Now, you all know about the trends, but for a very quick Tariffs and geopolitical conflicts EV policy changes in US and Europe supply chain disruption, rapid maturity of AI technology, impact on OEMs, multi-billion dollar write-off. One of the questions people ask is earlier we had much more clearer view of how the growth will be in the next year and then little bit we have said that this is where there will be growth and this is where there may be the programs will come to. One of the things is For one of our clients, and I'll tell you it is a public news, Honda, they basically cancelled all their new platform programs. And that had an impact on us, and it was very recently, because it happened in the April month, and for us to understand the impact, it took us some time. So, there are some things which happen, and that's why we also decided that we'll have a more broad-based strategy, which we have been working. It's not that we will work from now. Last two years, Sachin will, of course, talk about it. Then loss of market share in China and growing Chinese presence in other market. Many of

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European OEMs lost their Chinese market drastically. And this is where they were making money also earlier luxury OEMs. But I must tell you that they are coming back to some extent, even though their margins are less. Last few quarters, there is a r

ecovery in many of those. But this is

what happened for most of the part last couple of quarters, it has come. The pressure of margins. So even though they have grown, the margins have gone down. And an R&D budget I told you about how it changes. Again, I must tell you that AI budgets is not considered in some terms of your AI technology. Naturally, AI into those domains is considered there, but AI by itself is not naturally considered part of it. And impact Delay in vehicle programs, I talked about it. Most of the programs, most of the programs are delayed. It has two impacts on it. One impact is architecture part is something which got postponed, which we have really positions as well, which will come to, which is very important. We will come handy. And as I said, it is also important for highway commercial. Then the second part is Integration revenues will increase, actually. I must tell you that whatever we have a visibility, my experience tells me that there will be in the next two years a demand which we don't see today, which will come when the vehicle will get into actually the market, because the integration problems comes when actually the vehicle is launched. Right now, many of these programs are delayed, and at that point of time, they need something which is a proven partner and a solution. So, that is the... they both are the impact of delay in vehicle programs. Near-term revenue moderation, but robust outlook in medium term. Early move in software-defined machines for trucks and o highway. I talked to you about that. And traction in

autonomous L3, L4 programs, digital cockpit and after-sales And we made some see earlier we had made an investment in after sales. We made one investment into another company in California, right, Helm last year. I mean, it's a small investment, but the idea is actually to build this kind of expertise. So when we go for the integration, we go for the, you know, implementation, so I think we... we are in a better position. And also, when o ■-highway commercial, when we are building the solution We can have a little better preferred relationship with some of them. While we work with all the stack provider, it is not exclusive. We work with any stack provider So, these chips are there But mid-term outlook remains strong So what has been the KPIT response So This is something which we have been working already for two years. It's not something we are looking at it right now First is faster growth with solution products. We believe this growth, we expect to be 30% on this, even though it's a small part, as we said, initially we start with 20 25%. We'll grow with 30% plus growth rate in these solutions and products Expand into adjacencies and new geographies and I don't want to talk everything about it here, but we are looking... we already had o ■-highway Commercial, which has been pretty successful for us. We also have built a micromobility, and I don't have a clear data, but I can tell you that by 2032, it will be a very big part of the business. Micro mobility. And the new geographies, so we believe that we believe in India, India growth story, which will be number 3 market, and I truly believe in the next 10 years, it could be number 2 market in the world if, you know, we are on track So I think then Middle East and other market is there are of course Asia, Vietnam, China, all these markets are there. So new geographies We have made strategic external investment of \$ 400 million in M&AS, and I will tell you later how it actually stacks, create the full stack story, and how the technology investment is. So this is beyond the 5% I talk about This is... so if you really... these are not included into the investments we have made into technology, and that makes us really the most preferred partner, and I'm sure you have seen the quote from Carriat CFO about this. I mean, he talks about that they really know the game. So I think this kind of experience,

this kind of a thing is based on this

kind of investments. Continued investment in R&D, 5%, which I said, which is on top of this. And this is a very, very important part. As Gaurav is here, when we started Our journey about few years about AI, we actually had a separate organization build this technology And then take it in the company. But so ■rst is we build a core technology, core stack, and we'll talk about it. So the

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product, this is what we call automotive mobility or mobility intelligence product, Beacon for AI ■rst development, integration validation This we use for two things. One is AI-infused solution and also as a product Because when a client will adopt it, his employees will also use that So, we will be in a position to license also the product. We will also use it wherever we are delivering services. So there are multiple ■exibility in which we are doing it. Here we have tied up with some of the tech companies. I think we had one announcement from Microsoft part of this at the time of CES, but there are a few others. So I think it's a very, very important part for us. And the last but is ecosystem of complementary partners. Because if you have to take the full ownership We don't do everything, but we have to build an ecosystem. Now, if you know the China bene■t over many other companies is basically the ecosystem which they have built So, if you drive your ecosystem, your innovation is fast, you can give the full solution, which is very important. So we have a clear-cut focus on ecosystem of complementary partners, whether it is semiconductor companies, it is specialized tier ones or specialized software stack providers. So I think that's the kind of ecosystem which we are building. So continuous rigor on what this will mean is continuous rigor on wallet share expansion and expansion into new geographies and adjacencies We have about 10-11% market share. I mean, I talked about it earlier And we believe there is a much more headroom for us In terms of growing in the existing account. Beyond that, there are new accounts. There, beyond that, there are adjacencies. So I think these are the areas where we can really make. But these are the investments we have made. That's what I wanted to come out. These are the signi■cant investments we have made As much important is people. Why I will tell you, because the disruption is not Only one time. It will happen. So we want to build a really agile organization. And This agile leadership is going to be very important in the mindset. And whether it is even the AI adoption in the how you will use the AI for the client, apart from that, overall, how will you phase di■erent parts of the iss ues which may come, whether it is geopolitical or technical disruptions So it's a very important part, and we identi■ed about 60 roles which are going to be critical. Very broadbands which are going to drive the organization. And this is the ■rst batch where We had looked at about 40 people, 40 roles where we went through an exceptional program. This is completely designed by us with some partners, where we took all the team to China. They actually drove the vehicles, they actually went to all the OEMs, they went to the, you know, they had interactions with the government. Then they went to California. Then they saw, they went to NVIDIA, they went to the university, they went to the AI startups. They looked at it. And then we went to France and there we had the university interaction. So this is from INSEAD campus where we had some this Also, McKinsey has been our partners for these two. So a very, very rich program to really change the mindset and look at the world di■erently. My one thing I will tell you, my one take on that, and which is very important for our industry, for KPIT and for India

And that's why it is very important is If you take class 150 years, 200 years history, there's a direct correlation between investment yo

u make into technology and the growth you will have in future sustainable. So KPIT, that's why it continues to make that investment, which is very important to drive the growth for today and tomorrow and for future. So, that is what it is, and I think this is, as I talked about with the AI engineers, AI champions, engineers, research partnership, upscaling. We have basically building MTEC PhD combined programs with premier institute for research I think this is all going to be very important for us going forward. So we are making a lot of investment into this area. This is one area where we probably must be investing highest in this industry again, as much as the technology So, this has this investment we talk about proactive investment across chip to cloud as we talk about. So I mean, it doesn't mean that we are only doing an acquisition and investing into this area, but we have some work, and then we actually complement it with some of the specialist player. So this chip, it was a Pathpartner EA architecture, it's a Technica middleware is a Qorix. Application is helm.ai. Cloud, you can say in Page 7 of 30

dream and Summit solution. And these are the horizontal which go across. It is a caresoft technical validation, as I said, validation is a large part of the spend today, and it's also something which is continuous And it is going to be very important because one part, if you ask for a difference, that why China can deliver a program in two years or less than two years versus four years, what people take is one of the things where you can really reduce is time, is the validation. And that's where we have some very, very special offerings, which you can see it later. And recent is the cybersecurity Cymotive. Again, it's a... we believe that what was important to us is having a cybersecurity solution in the vehicle which is being used, multiple vehicles, millions of vehicles. As you know, the Cariad is an investor into this company, so in Volkswagen Group, there's millions of vehicles where cymotive solution is there So proactive strategic investment across all red chip to cloud stack So now I come to Anup for the technology moat, as we call. What is that differentiation? What is that KPIT doing in this area? Okay.

Anup Sable:

Hi, good afternoon Can you hear me? Okay, so You know, every time we talk about KPIT, we talk about Software integration And, you know, many people might have question of what really is that integration, why is KPIT keeps on talking about it. So, I'm going to talk more about that In terms of your understanding, so You know, if you just focus on this part You know, look at each car as a software component, right? So if each car is a software component What happens is software developers Design these components, that means they have a car, and they start riding on a very open, free, just freshly opened highway, you know, straight patch, missing link road. And they go at 100 kilometers per hour and they think their component works because it rides at 100 kmph, and then this happens. You know, they come to a junction Largely unruly problem. Many software components come into picture Each software component, the driver is different The attitude is different, the car capacity is different, the condition of the car is different, and then this typically happens. So This typically happens in any context in an automotive. Automotive is a very complex machine It has got about 100 to 120 computers 5 or 6 different types of networks And all of these have to handshake with each other in real time because sometimes, obviously when you press a break, you want the brake braking to happen when you turn the steering, you want the steering to turn And so there are real-time issues, there are safety issues. So overall, it's one of the most complex machines in the world The second thing is, okay, so If there is a complex machine, what is the problem, right? We can scale up and solve a

ll the problems When you look at the latest semiconductor technologies, all of you must have heard about GPUs that are used in AI. You heard about NVIDIA, Blackwell latest SoCs Do you have an idea of how much it costs for that one single big chip? Approximately \$ 35,000 That is probably more than the cost of the car Now, when you talk about giving infinite bandwidth in car that is not possible because you know I give you an example, the second bullet point talks about a \$ 300 billion company, let us say the sales are 300 billion dollars Margins are very small, 2.5%, 3%, sometimes maybe 4%. So, 7.5 billion of net margins. And then Let us say there is an opportunity of saving \$ 10 per car And that you multiply by 10 million vehicles, that becomes suddenly \$ 100 million saving So, a car company cannot think about Even spending \$ 1 more Or even 50 cents more. Negotiations are done for that per car. So, if you can reduce even \$ 1 per car, that is a great opportunity for extracting that money in the bottom line. And that is why a car is always a constraint environment. Everything inside the car is constraint, it is the most optimized version, and when you want to do optimization, you get into situations like this. You get into integration issues. And that is the real main work that we do, in terms of making sure that the car is optimized very well in terms of what it has to do. So, most of the chaos That happens, the programs get delayed. When you hear about delay in programs, it is because most of the software engineers start driving at 100 kmph per hour And they soon hit a Page 8 of 30

bottleneck like this, and this bottleneck is absolutely unresolvable And that is where we come

into picture. And of course, there is also complexity. Not only it has to be optimized for that car, it is to be optimized for probably 15 different models of the car, because you can't keep on engineering differently for every single car. So some large OEMs who have huge number of models, every year they launch 10, 15 different car vehicles, car models is similar, exactly the same component needs to exist inside, and then the scalability has to be up, down, sideways, all those things are there. So it becomes even more complex because of that. So this is what our real work on value addition to the customer is. So what do you do when integration problems happens? Of course, you can do something about it before it happens. So what is the proactive way of handling it? And then there is, of course, once you get into a problem, what do you do? You keep on finding the problems, you diagnose the problems, you fix the problem. So there is something that after it happens. Now, mind you The traffic jam is very easy to see. For very, very, very unskilled person to actually observe and find out where is the bottleneck, who's the car who's actually blocking everything, which truck is blocking it. But in software, you can't see anything. So you have to observe by different ways. And some of the things today, demons today that we are talking about is actually talking about these observability. How do we look into something that happens so fast. It is so critical from a real-time perspective. Microseconds are important, milliseconds are important. How do you observe these things? How do you find out the problems? And that is what we do also. Next question you might have, and I had many questions before this session started. What is the AI impact? How does AI really help? Of course, AI helps. AI improves software productivity. You know, worst case, 10 times. Best case, maybe 50 times, 100 times. So, what do you do? So that means you create a eight-lane highway, here there are six lanes. And everybody drives very fast and again go to the same bottleneck and hit it there. So AI is a fantastic way for generating a lot of software. So today, if you could generate 10 million lines of software, you'll generate 100 million lines of software and then

you are left to finding problems of 100

million lines of software inside the car. So the problem increases tenfold, probably multifold, not just 10, because the order of magnitude is not linear here. You are probably talking about power equations here, in terms of complexity getting created. Okay, so that is what we do. Now, let me get to you again this is You must have heard about software V. Okay? And if you look at this outer light purple thing, it almost looks like a V. It is looking like a U more than a V now. But that is actually the software V. But in a vehicle, you come from A requirements V, because even the requirements have to be validated. So, you can observe that inside the big V there are these small V's. And each of these V's, the left-hand side of the V is called a development side, and the right-hand of the side of V is called the validation side. Okay? So even the requirements are validated. There is a way of validating a requirement. I write something, I validate it. Is it ambiguous? Is it traceable? Is it testable? If I write a requirement that is ambiguous, it cannot be implemented. If I write a requirement that is not testable, nobody can verify it is whether it is written correctly. Each of these V is important. Once I write the requirements, am I actually implementing the right platform? Is my network architecture correct? Is my system architecture correct? What is my requirement. And what is my verification and validation for that? Then you come to something called as a feature development, the purple V's that you have. Software developers do these features. They write the features, they test the features locally. The highway driving at 100 kmph. And then you come to integration and regression. When you come to the Roundabout where traffic jams get created. This is the traffic jam. This is how you need to first verify whether your platform is working, then you keep on adding the features on top of it, and then you every time somebody adds a new feature, his feature has to be tested with 300 other features that already exist inside the car and they are actually handshaking, discussing, exchanging data with each other in real time. And sometimes this real time breaks, sometimes something doesn't work. So

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you'll see in your modern car, sometimes things don't work. And they work they do not work intermittently. You are lucky if it does not work consistently. Sometimes it doesn't work intermittently. Okay, and these are the integration problems that we are talking about. And once everything is done, then again, there is a standard validation cycle. So you have things that are tested in labs, and in labs, there are two stages. One is called a domain system hardware and loop testing, then you have a multi-domain, testing that happens. So, car infotainment gets tested with ADAS and then all of it gets tested with chassis, so it's called multi-domain, but it is in a lab. And then you have mule vehicles. I had tried to simplify this diagram for you. It is not that simple. Okay, so it is very, very complex cycle. And then you have a start of production and then you have an after sales section. So your car is in the field and you need to be serviced and all those things need to happen. So what at KPIT, we have been doing for so many years, and what we have done is you can take a look at different coverage areas of KPIT, and let me explain. So on the top, the orange color or whatever color that is. There are many ladies in the room. Closer to orange. So that is actually the platform approach. So there are different platforms. Platforms are things that do most of the dirty work inside. The car from a hardware perspective, but they are not as glamorous as the applications that you see in the front. So you have... the applications are what serves the users, that is you, who drive the car, and the difficult part of what the applications should actually

make happen inside are the platform

s Okay, so you have platforms Then, we have beacon. The reds are all the AI accelerated work packets that we would call it, I mean, in terms of software. So you can see, if you look at this diagram, I had done a left-hand side and a right-hand side. So, you'll see the red occurring here. This is the AI that is going to eat up the software development part, the digital part. Then there is a little bit of red here also, the AI part here also, because even when test verification is done Large part of the verification to be done is also software Okay, so validation also done. And then you have, I talked about what you do before, what do you do beforehand? Everything that happens on the left hand side, a good automotive platform, a good AI infrastructure, a good virtual validation So if I do not have the hardware for testing, how can I emulate the hardware, simulate the hardware, whichever word you feel comfortable with How do I actually simulate this hardware so that even if the hardware is not there and I still able to test the software that I write? It's called virtual validation. It's because it's virtual. You're doing validation virtually Then, you have actually real validation, but you have to do it across the board, even on the left-hand side of this bigger V So this is a development cycle and in that development cycle you're using AI, you're using virtual validation, you're using real validation, and then you're accelerating things using automotive platforms Okay? And then you have an integration Where you again have the virtual validation platform playing a big role. The SDV benches playing a big role, the one that is in the back, and then AI playing a big role. And then on the actual validation side, it's the real validation that comes into picture And then after you get into the sales, you have an after-sales products that come into picture. Okay, so this Whatever I have painted here is now the portfolio that KPIT has in terms of what Kishor was talking about, product and solutions. This is what we've been doing for the last maybe four years or so From a beacon perspective, I think Again, there are questions, and I don't think we have enough time to discuss in detail, but if there is more interest and Sunil can And that out, we can have a separate session on this What is this AI? Why is this AI, what is the difference between GPT and Claude and DeepSeek and of course there is difference. There are differences, a little bit of differences, nuances here and there And then AI gets even more complex whether when you want to use AI as a prototyping tool Well, or when you want to use AI as a production tool, production needs consistency, production needs repeatability, prototype needs You know, experimentation and fun. So, when do you transform from experimentation or having fun to doing some serious work in terms of repeatable and where repeatable things in automotive repeatability is also bundled with Concerns for safety, that

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means traceability exists, some regulations exist, like ISO 26262, or functional safety. So how do you encompass all of this? And you might hear a few words that are happening, right? Agents. Agents are the way of actually organizing a model. A model is an LLM model. Agent is a way of organizing this model to do a specific task. You might also hear about a word called harness. Harness is actually used to extract A specific thing from the agent model combination so that you are able to get what you really want to achieve at a scale, at an engineering scale. So what we have done is out of our experience that we have in automotive, what we understand, we are working across multiple domains And then we took an early lead on AI in terms of how it is expressing itself, how the models are progressing, and what is the most optimum that our customers need from this in terms of putting up an enterprise together, engineering organizations are huge. KPIT is a

13,000 plus people company doing only engineering for automotive. How do you organize 13,000 people together in terms of AI usage? How do you manage it? How do you address safety concerns? How do I make sure that my code actually doesn't leave KPIT. How do I actually create traceability? How do I track everything together? So all these things bundled together are what Beacon has right now. And this is what we are using very effectively in terms of large-scale implementations that we are doing for our customers are the most complex programs. When I talk about the traffic jams, the traffic jams are the projects start becoming bigger, complex, unpredictable in terms of when they will get complete, and these are the problems that we are solving now. And we are becoming, I mean, we have customer Testimonials to tell us that we are getting better and better every day in terms of solving those problems. So this is what our beacon, I will not get into details of what the features are, etc, because it can get more confusing. But this is our way of addressing large-scale problems that need AI intervention. And if you noticed The red color is everywhere What it means is there are places where AI can solve your software problems, but there are places where there is no software involved. There is a lot of electronics involved, hardware involved. How are we actually putting all of this together through AI? what is called as a harnessing. I mean making it work for the entire life chain is what we are trying to do. And this is what we are getting good at. Kishor mentioned about the inorganic effort, the companies, the joint ventures that we have. So here we are talking about It's not just that. It is also about an investment that we are making, a significant investment in terms of creating technology. So if you look at the layers These are the things that we have right now working in some form or other in terms of customer, and now we are supporting it with AI harness

that we have. And what it basically means that when we look at Typically, a company that does some great work in a specific area, let's take, for example, Technica, it is usually doing work with few customers, and our advantage is that globally we work with many customers. So we basically bring that Expansion, we try to understand how it can be expanded. We also try to look at what needs to be done more in terms of making it happen. How do you scale it globally, expand it globally across the markets that we have? And this is the work that we are currently doing and this is This is the one that we intend to expand in the next couple of years Again, same slide looking at it from technology perspective, all the purples here are actually a result of all of this work that we have done. The black is organic, that KPIT has, for the last many years, invested and actually converted them into products or solutions that we are trying to sell. Okay? Thank you very much. So I call upon Sachin.

Sachin Tikekar:

All right First of all, you can all hear me. I'm sure you can see me. I hope you can hear me too. So in our company, we have two functions Marketing and account management there are about 150 people. Their primary job is to just translate what Anup presented to all of you to all of you the purchasing organizations in large OEMs That's what they do, essentially, and to get them to pay Page 11 of 30

us money for something they cannot touch and feel So I just wanted to get that out to all of you What I'll try and cover is walk you through our story over the last couple of years. And this story is about, you know, when you see certain things getting repeated, then you wonder and you try and fix them in a systemic way So we realized that these macro problems and micro problems are not going to go away. First it was the pandemic and then there was the supply chain disruption and then there were tariffs and wars. And now there is AI, all of that. Two y

ears ago, we said that we needed to build our organizations, which will become resilient enough to deal with this, right? At some point, you have to say, it is part of life, and you have to build your future based on resilience. And that's really our story. And let me cover some of that, you know, what is it that we've been trying to do Over the last two years, I think we have made progress, but there were some unforeseen punches along the way. We continue to roll with the punches, and we continue to make progress. along these. So first is You know. Those of you who attend our investor calls, you hear us talk about our T25 strategy. 25 clients that we've been working with, and in all fairness, bulk of the growth that you saw of KPIT, phenomenal growth the last four years, it was mostly on the back of 8 OEMs. And it was mostly with Anup just presented, which was largely in vehicle software. Right? But there is a lot more to KPIT. And that means, now, first step that we have to take that we've been taking is to look at every OEM and their relevant spend to us, and see what does that mean, and how do we go deep in every client and expand in a wide way. So we've been looking at wallet share for the last couple of years. We know exactly where they spend and where they are not likely to spend, and how much they spend on us versus others. And we have been doing it very diligently And Kishor mentioned this earlier on. If you take the overall wallet share of KPIT among our top 25 clients is about 10% as of last year. That we grew by 10% to 12% year-on-year Now, the goal for this year is whether we can push that up to more than 15 to 20%. So this is number one thing that we've been doing. And essentially, we are doing it through these four, points, that are listed out here. One is cross- practice offerings. Most of the things that you saw on the V cycle, you can imagine that there are different practices on the KPIT side. There was a platform that you saw, and then there are different domains, whether it's digital cockpit or AD/ADAS, or body or chassis, right? So bringing them collectively and solving larger problem of the client. So this is one thing that we started to do for every client now, in a very conscious manner. The second part is all of The clients have constraints to, they don't have the time and they don't have the money that they had a few years ago. Hence, the solutions and products come in handy. Doing Business in a linear manner just doesn't make sense anymore, right? So how do we really increase nonlinearity for our clients so that we can shorten the timeframe, and secondly, also offer them, cost-effective solutions, without compromising our own margins. That's The second part that we've been talking about, and the third thing is, you know, what... when you looked at the V cycle, it's a very complex cycle, because there are, from the OEM perspective. There are many parties that are involved in this. There is the chip layer at the bottom, then there are... there is tier 1, there are cloud players, and so forth. So it's a... it's a complex ecosystem. And what we have realized is, if you have to solve the larger problem, we have to work with alliances to solve the larger problem. So you heard about some of the conversations that we've been having with the chip makers, like Qualcomm, some of the tier ones that we partner with, Kishor talked about one of the case studies earlier on. And last but not the least, the The cloud players And this has become... this is something that we need to do more of. You know, we've been a company that has been doing our own stuff and creating value for the clients, working with other partners doesn't come naturally to us So that's something that we need to get better at, but that's something that we've been very conscious about over the last two years. And, you know, you'll hear more and more about KPIT working with some of the other partners to create greater

r value

for the OEMs. So we believe that these are the three things that will help us to increase our wallet
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share substantially in the next couple of years. So this is step number one Step number two is to take alternate business model, doing the business the same way just doesn't make sense anymore for the most of the OEMs. So ■rst thing we have done is We had quite a few time and material engagements with the clients, and what you'll see in our ■nancial results, if you watch them quarter on quarter over the last couple of years, there is substantial shift from time and material to ■xed price. That's something, and this year also we have made, signi■cant stride towards ■xed price. And the reason to get to ■xed price was unless it's ■xed price or outcome-based, we cannot really apply our solutions, especially that are infused by AI, in order to create value. So, this is the ■rst step towards it. What we have done is More than 80% of our new contracts are ■xed price in nature. That's something that we have driven very diligently over the last couple of years. And We are also in the process of converting our existing contracts that are time and material into — and this is probably the harder part, winning new programs that are outcome-based is easier than something that you've been doing with a client many years. So that's something that we have embarked on. We'll be converting four of our largest clients in that model in this quarter, and we'll take the next four in the next quarter. And that will pretty much take us north of 75% overall, in terms of having outcome-based and ■xed price The second part is there are ■ve products that we have and we see tremendous growth in all of these ■ve products in the immediate future. And for those products, we have to look at di■erent licensing models that make sense for the clients as well as for us. So that's something that we are doing And the last part I already talked about, you know, the services, they need to be in excess of 80% in terms of our contracting, the nature of contracting that we have with the clients. So, step number one, go deep and wide in our existing T25 clients. Step two, we've been talking about expanding. We've been very careful about adding new clients because we wanted to make sure that we do justice to the existing clients, go deep and wide before we can add more clients. We have now built enough muscles and AI solutions and products do help us substantially. So unlike any other year in the past, we added 13 clients. That's a big thing for a company like KPIT who's been very diligent about not adding clients. And they come across the three segments that we talk about. We've been talking about, for the last two years, we started to talk a little bit about trucks ■rst, and then we started to talk about o■-highway. I'm very happy to say that we have added 4 truck OEMs to our list of clients. Initial engagements, and they take time because we want to get into them in a strategic manner rather than getting into a dog-eat-dog kind of a world. So it takes time, but we have made the breakthrough in case of four I think the success has been greater, and we've been actually pleasantly surprised by the response that we got from some of the o■-highway players. Unlike the pass car companies and the truck companies Some of the o■-highway players are doing reasonably well. So, you know, they understand, they have the money, they want to invest proactively, and hence the timing is working out for us. We have added 6 o■-highway OEMs across Four di■erent countries now. Initial engagement, one of them is the big one that Kishor talked about earlier on with one OEM in North America. And for us, I think this OEM is important, and the assignment is important. We did consulting assignment for them, and based on that, they, awarded us with the current generation program, and also the next generation program of, software-d

e■ned machine. And this becomes sort of a playbook For all the others to follow in the o■-highway space. You know, unlike passenger car, we have learned to understand the business quite well, not just the technology part, but we really understand their business quite well. It takes time to understand the business of o■-highway Because there are di■erent applications. There is mining, there is agriculture, and there is construction, right? The three large components of highway. We are learning their business so that instead of going inside out, which is, oh, this is what we do for pass car , and this is what we have to give it to you We are going outside in, we are trying to understand the business applications of their machines, looking at, you know, what are
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the business KPIs and sort of altering the software-de■ned Machines template for them. So the ■rst has created a really good playbook, and it's the same playbook that we are going to replay to the other three that are in the pipeline now. The second part is So this is the growth strategy There were three Pass car OEMs that are really good OEMs. They were not our clients. I think we have made breakthrough in all three of them. They happened to be some of the largest OEMs in the world. One of them in a very meaningful manner The other two early days but very promising engagements. And once we hit all three of them, we would have covered almost all of the major pass car OEMs outside of China All of them, bar none. Right? So, that creates our Pass car story little more comprehensive. The three that we have added, there are a lot more quote-unquote resilient To the dramatic changes that are happening in the in the pass car area, right? They're feeling less of the pressure as compared to some of the other. So, I think that makes the Pass car portfolio a lot more stable, for us. The trucks, they've been going through a slump, just the trucking industry. Mostly in North America and Europe has been going through a slum for the last nine months. Some of it is just seasonality, some of it is just political uncertainty. There will be a pre-

buying that will happen in the second half of 2026. And we believe that the truck business will pick up a little bit. The European market as well as North America market is likely to pick up in the second half of 2026. And truck market in a very simple manner, right? As soon as the construction and everything starts to pick up, their business picks up, and that's when they start to spend money, on companies like us. So we do believe that in the second half of the year, the truck guys will also open up their wallets and embark on the software-defined truck journey, for the most part. So essentially the composition of T25 is changing along with this. A, T25 is not really T25 anymore, it's a lot more than that. And secondly, T25 had most of the OEMs from passenger cars. Now, the T40 will look a lot more balanced across the three industry segments. The three industry segments usually have three different cycles, so hopefully you know, we'll be able to reduce the variability in our business, and we'll have little more, you know, far more balanced growth going forward. So this has become sort of our horizon one. Now and here, let's go deep and wide in each of these accounts and create tremendous value for them. The Horizon 2 is actually micromobility. Micromobility, we started working on it long time ago, actually. But we sort of decided to park it in between for about six years. And now we are reviving micromobility because we do have the mindshare and the bandwidth to make investments in micromobility. And we're going to start micromobility from India. And I'll talk a little bit about what does that entail in the next slide. So, and the Horizon 3 is what we'll also cover. You know, this is, Horizon 1 is now in here, Horizon 2 micromobility basically is for tomorrow. What's in it for us, you know, th

ere were some questions

before. We started this session about whether we'll get into other areas of mobility, like aerospace and locomotives and some of the others. So, you know, we do have an answer for that, for you as well. The third lever is actually growth markets and focus. This is really important from our perspective, and talk first about India for India. We are headquartered out of India, but our business in India has been very, very low over the last 30 years. This is going to change now starting this financial year. And there are three things about it. Number one, the India OEMs are truly becoming competitive, not only in India, but by global standards. You've seen that. Number two, the global OEMs have started to take India a lot more seriously, and they want to build India for India products here. Some of them have started to see substantial loss in their market share in China. India is the next big market, so they're looking at for India for India, so that creates an opportunity for us. Third is There are companies in India, conglomerates in India, that want to get into pass car business. And the best way for them, the fastest way for them to get into that is to buy platforms from China. This is something that has started to happen. We are involved in about 3 different conversations about the same. It also creates an opportunity where we can bring a platform from China, a car vehicle platform from China and sort of help the India OEM get

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into production faster. And Software and system integrator for all of them, and validation what Anup talked about earlier on to put the vehicle on the road. The last but not the least part is, as Indian economy grows, trucks and o-highway, as the network of infrastructure improves, trucks and o-highway will become more and more relevant, and I think we are ready. The name here is, I think, the traditional services that we've been able to sell in markets like Germany, North America, and Japan they are not going to be the same here in India, so we'll drive growth through solutions and products as well. That's about India. The second part is about China. We've been talking about our presence in China. We have had presence for more than 15 years. Two years ago, we decided to revamp and refresh the presence that we have with four objectives. Number one. Go there to learn from China and bring those learnings to our global OEMs. That's something that we've been doing. Omkar, Anup, both of them spend substantial amount of time with our team in China to capture those learnings and apply them for the OEMs outside of China. This is step number one. Step number two is to work with our global OEMs who have presence in China and help them salvage their market share. And I think there are going to be more and more opportunities. You see companies like GM, Volkswagen Group making a comeback to some extent in China. By launching China for China vehicles, you know, that are market ready. So the second thing is to help them remain relevant in Chinese market. The third part, which I talked about in context of India, is to take China OEM platforms or help Chinese OEM become successful outside of China. You all know there is intense competition. China is a 30 million passenger car market. And there are close to 100 OEMs. After 50 that have gone bankrupt. So now we are left with maybe 99. So it's a crowded space, brutally competitive. So the Chinese OEMs have no choice but to look outside of China. And, you know, there is a role that KPIT can play to help them penetrate into some of the other specific markets. That takes me to the third part, which is Southeast Asia. India, China, now and here. Southeast Asia is for tomorrow. Whatever we will build in India in terms of our offerings for micro mobility, we are going to take. As well as our solutions to Southeast Asia. And why do we bring up Southeast Asia? Because there are very few OEMs. The

re are a couple of them in Malaysia, one of them is owned by Chinese, there is one in Vietnam, right? It's not just about that. China also is looking at countries like Vietnam and

Thailand as their gateway towards the rest of the world, right? So you'll see presence of Chinese OEMs increasing in Vietnam and Thailand, and that's why, you know, we believe that our learnings from India will be a lot more applicable to countries in Southeast Asia. Last but not the least, we are not just thinking about today and tomorrow, we are also thinking about day after tomorrow. And the next market, the next horizon of action and activity is going to be in the Middle East and Africa. And we are already thinking, what does it mean. The offerings that we have for the developer are different than the offerings that we have for India and China. Similarly, the offerings for Africa are going to be very different, but they're going to be built on the back of the offerings that we'll create for India. So that's something that we'll look into day after tomorrow. So that's really from geography perspective, that's really our Horizon 3. This is Looking at adjacencies beyond the three segments that we talked about. Number one, Pass car. More than 75% of our business continues to come from Pass car today. Second is e-highway, picking up quite fast for us, and we remain quite bullish. However, we started to look at micro-mobility, and we have Pushpahas. He's running micromobility for us. We have sort of revived our focus on micromobility after taking a break for, six years, and this is about looking at two-wheelers and three-wheelers and the last mile connectivity, where, the real opportunity is not only in terms of creating efficient propulsion and a vehicle engineering design, but the after-sale products and solutions become very relevant to them. So that's something that we started to work on. We signed a partnership with Hero Motors recently, and that's our great way of really getting a firsthand feel for what does this look like and how we can take it to others in India and beyond. The question now is, what is

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deep tech? Deep tech is something that we are sensing and scanning at this point in time, which is really our Horizon 3. And this is where the rest of mobility... we are trying to see what are the areas where we have core competencies. And how they can be made relevant to these new areas. Now, deep tech, you can talk about robotics, you can talk about aerospace, you can talk about space tech. Any of these areas within the realm of mobility, we believe that many things that we do, from technology perspective, are relevant to them, but it takes time to understand what that market is all about and what their KPIs are, and most importantly, what is that compelling reason that those OEMs would want to work with KPIT? So this is something that we need to figure out during the course of this year and next year, but pretty soon we'll be getting into some of these areas. So this is another flavor that we wanted to give you in terms of Thinking about three horizons in terms of the geographies, as well as the market segments. Now, the next question is, okay, this will bring back growth. What does that mean to the bottom line of KPIT? And we have provided directionally that We'll be able to hold on to our EBITDA in the immediate future. In spite of the headwinds, we'll capitalize on the tailwinds that we have, but more importantly, in the midterm, we want to increase our margins. We are very clear about that, so that our ability to invest continues to make investment in the future technologies, you know remains valid. Here are the levers by which we are improving our efficiency overall. So, let me start with the last one first. Over the last three years, consistently per person revenue and per person contribution for KPIT has gone up. And we believe that it will continue to go up in future. That means there can be a

tremendous cost leverage in terms of overall efficiency and improvement. This is going to be one of the most important levers in future. Now, I'll go in the first through four sort of a sequence. Number one, I already talked about why it's important to get into outcome-based model, right? We want to get into outcome-based model so that we can help our clients get to their production program, faster, cheaper, and in a more reliable manner. And we can also free up their bandwidth to do other things that are relevant to them, right? Whereas we take care of delivering entire software very well tested, integrated on the road for them. Second part is, Anup talked about the set of solutions, I forget which color it was on Anup's presentation, but we have a whole bunch of solutions that we have built. And essentially They create tremendous value for the clients, and they also shorten the timeframes towards production for our clients. So more we do. You know, greater benefit the clients get without compromising our margins. The third part is we already talked about products. They are sort of the backbone. Anup actually demonstrated the V cycle. The V cycle also has AI infrastructure. You know, there are set of tools. There are also KPIT tools from Technica and KPIT's own tools. So we are not just limiting ourselves in this case to the software part, correct? It's a complete V Cycle solution that we take to our clients. And then in the new markets, whether it's India, China, Southeast Asia and Africa. Unlike the Western world where we started with services and then sort of we are in the process of graduating to solutions and products, we'll take the products and solutions first approach to the new market, starting with India, Southeast Asia, and then in Africa. Right? And that means, you know, it's going to be a lot more cost-effective for the buyers, and a lot more profitable for KPIT. So these are the five levers by which we believe that That will give us the ability to continue to make tremendous investments in the future of our technologies, at the same time have profitable growth for our company. Switching gears a little bit and I wanted to take a couple of minutes to talk about While we love to talk about the technology that we bring and the difference that we make to mobility, we are also very proud of our vision. When new beginning of KPIT happened in early 2019. It took us

about 9 months to come up with a vision. We involved about 300 people to come up with the vision of the company, and we came up with the vision of reimagining mobility with you. You know, all of our stakeholders for cleaner, safer, and smarter world. And one thing that we are 500% proud of, among other things, is everything that we do. Each one of us, all 13,000 employees

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across the globe, we help our OEMs make their vehicles cleaner, safer, or smarter. So we are very proud of making our vision the reality. We live it every day and we are in a very fortunate position to be doing that. However, it's one thing to have the vision and align your business model towards the vision. I think that's something that has happened really well. From sustainability perspective, we needed to do something more. And for that, we launched EcoVoyage two years ago with a very specific ESG related goals. And we have actually signed up with science based targets now. And we are committed to being a net-zero organization by 2050. But there is an important milestone that we will hit in 2030, which is reducing our own carbon footprint by more than 40%. And we are already made tremendous progress towards it. So this is one part. On the environment side, that's what we have signed up for, and that's what we will do, and we are pretty sure. When you put in science-based target, it's cast in stone. So we just wanted to give ourselves a little more space by signing up for 2050. Our internal goal, obviously, is to achieve it before 2040. We'll see how it

goes. Anup and Gaurav with AI have created new complications for us, so we have to learn to deal with that. On the social front, I think this is something that we've been doing since the beginning of our organization. We've been committed to the social causes, anchored on three E's. It's environment, education, energy, with employee engagement. That has been our CSR sort of tagline. And all the work that we do has tremendous impact on the environment. We also take a lot of initiatives to educate people right from school-going kids to College going to PhD programs. And that's something that we continue to do on a large scale. Just having targets related to environment and social is not good enough, you need to have solid governance to lead with that, and we have created a... A, we have made commitments, and secondly, we have put a stringent governance to make sure that we are staying on top of it. This is what I wanted to share with all of you. I would love to talk to you about midterm outlook, but you may want to hear this from Kishor. So Kishor. Back to you. Thank you.

Kishor Patil: I will also get claps at the end of this. So this is what we had talked about FY27. It's first we have to say that it's a positive environment in FY27. I must say that all across we are seeing a good traction. I think we have some little bit of a few issues to tackle in the early part of the year, but we are seeing a very positive environment FY27. Two of our largest SDV programs coming to an end, but the revenue will be largely compensated by growth in newly acquired accounts. So that's the second part I want to consider. Continuation of this program would have resulted in 4 to 5 sequential growth for the year. So you can just say we would have been a very, very good situation. Little bit now, it will get compromised, but I just wanted to tell you the kind of growth we are creating into new accounts. Solid growth is expected from trucks and on highway, USA, India. India, we will be almost doubling, it's a small base, but doubling the revenue and China, which is also, again, have grown reasonably well. Connected vehicles, after sales, and autonomous driving which we are expecting growth, which these are the areas where we will have substantial growth. We expect 30% year-on-year revenue growth in solution and products, and we hope it will increase over the period. This is very important because this will drive the profitability also, as Sachin mentioned, it will drive profitability EBITDA 20.5 to 21.2 post increasing investment in AI solutions and products competency development and new markets. So, we will increase our profitability. We are just given a range because the currency movements, etc. We really don't know what happens, and it has a reasonable impact. This is about FY27. In midterm, we believe the growth is driven by wallet share improvement in the current account, new account wins, which we are very, very. They are very promising, and expansion across new geography and adjacencies. See, I will tell you one thing. We will pick up adjacency, Sachin talked about it, where we can really pivot our automotive-like story in next four years. And this has to be an area which is

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of a high spend in a really tech-enabled area, very tech-enabled area. And we will only go for leadership. We'll only go for the leadership in the medium term. That's what we are used to and that's what we will go for. We have opportunity for annualized sustainable double-digit growth. And I can tell you that I have been a little. We want to be... make sure that we do not want to overcommit. We have generally done this. We will be in a position to... we believe that the opportunity is big, and if little bit of a help from environment, we can significantly grow in years to come. Again, go back to the old days 50% revenue share to be achieved from solutions and product. This is very important. And See, the revenue part, which is in

FY26, which is 85% of our, this 15% is solution and product, which will move to 60% in 3 years. And this is in terms of 40%. So we expect the EBITDA to be between 22% to 24% from where we are today. So this is what we

are looking at. We do believe that we can bring back a significant profitable growth in the medium term. Medium term is year after this next two years, next few years. And we can again go back to the ways we are more familiar with and build a much larger canvas for us growth, not only for next two years, but much longer time. That's what we are looking for. And This is what we have. Thank you very much for the time and we'll take the questions. Thank you.

Moderator: So let's begin with our question and answer session. Can we please begin with you, sir? You can introduce yourself.

Chandramouli Muthiah: Hi, Chandra Malimutaya from Goldman Sachs. Thank you very much for the detailed presentations to all the members of the management who presented. Very useful insights to understand the journey going forward. I have three questions. The first one is just on this pivot. On your sort of slide on the industry that mostly incremental spend over the next few years might be in the AD/ADAS space. And KPIT in the past has had a reasonably good share of its own revenue come from AD/ADAS. At this stage, it looks like most of the spend on AD/ADAS, the big spend is happening with the new age OEMs. VMO, Tesla. Some of the Chinese OEMs, some of the Korean OEMs. So just want to understand amongst the legacy players, which is your key focus, how AD/ADAS will progress in that context. Majority of the spend be with some of the new age OEMs, and how KPIT can leverage itself for that opportunity. Second one is just to understand the 4 to 5% sequential growth opportunity through FY27 if there was no ramp down in the two large programs you spoke about. So at this stage, KPIT is close to a \$750 million kind of revenue organization. So just want to understand on an annual basis, what is the gap in revenue that has to be covered with these newly acquired accounts to do the growth aspiration that you might have for the year. In FY27. And the third bit is just on the 22 to 24% EBITDA margin range. What are the drivers of that transition from the current sort of mid-20%, 20.5% kind of range to a 22% to 24% range? Is that more to do with products and solutions being a larger share? What's the difference between products and solutions versus what the legacy business is in terms of margin opportunity set and what role does AI play in that sort of transition? So those are my three questions. Thank you.

Kishor Patil: So, first thing is on autonomous part I will take it from there. So it's for every client. For example, any legacy OEMs which they have built the solutions. They have been in a person to go to level 2 or 2 plus level, and now they have to move towards that. And there they have realized most of them, they have realized that they will have to source from... they will have a different partner. Like, for example, if you talk about Chinese, or that part, there's a player called Momenta. If you talk about other players, I mean, we talked about Helm, where we had them this, there are players in Europe, so you know, these are this. I think we, as I mentioned earlier, the main opportunity for us first, this is an opportunity across the OEM. That's where the spent I said it will

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accelerate. Last few years, if you know it had slowed on the autonomous area. So it will accelerate. And our opportunity is in terms of validation and simulation and what we get today. There are few things we have demonstrating how things will work also, how we will do it, but that will be the big area for us. And also, of course, some of the areas we can add to that. The second part is on highway or commercial vehicles. They are looking at also autonomy. And, so that is another area which will be the area of growth. And so I think

these are some of the area. In some new adjacencies we are talking about, there are also autonomy opportunities. So, these are... this is, I hope I have answered the question whether it is this. Just to tell you, we do work with all this company, including Momenta. Now, we also sell our products to some of these companies. We also work in their implementations for other clients. So, we already have that experience and this kind. That's the first question. The second question I will take, and I will come to this is the margin. The margin growth will come through. As we said, we believe that we will be in a position to increase our gross contribution significantly through our approach of solutions and products. Of course, you know the products typically the gross margins will be much higher. The solutions, also the margins will be higher because we will have our own. I would say we call it PTS. We have the assets, reusable assets, along with the AI infused solutions. We will be in a position to really improve our margins substantially. And that is really the way we have built our organization within the practices we have. So with that, we will be in a position to improve the margins. So that's the first part. The second part is, of course, the business model change. Which we will do and which is becoming more fixed price, AI infused solutions. So these are a couple of areas, which I can call out. And there may be, I mean, of course, as, Sachin mentioned, we will be using AI internally so we can have efficiency in terms of SG&A and all that. But the key drivers are the first two I talked about. The third area you asked me about 4-5%, I just mentioned this about this year. Because this was a big program, this is a big drop for us for the first half of the year, and that will be a significant part for us, so you know the calculations, right? If it is a 4%, what, the 3 to 4% if you look at our quarter revenue. So that's something kind of an impact we will have, and we will try to first cover that and then later on go beyond it.

Chandramouli Muthiah: That's helpful. Just, just to clarify that, so 4-5% is 4Q to 1Q? And once you sort of lap that, then that's sort of behind you for the rest of the year.

Kishor Patil:

I mean, it will be, I mean, we are... so there are two things I want to say is these clients We already have more pipeline We are going for some more work. The only thing is there is a gap. It's not that this is stopped and then you will get that. Also, at some point of time, they will look at the new architecture, new production programs, other parts. So we have those kind of engagement. They may not exactly be equal to the kind of a drop we may have, but even these clients, we have more business to cover. So, first is something we will make up by that, and the second we will make up by the newer clients which we

Chandramouli Muthiah: Got it, got it, and then just the other follow-up question I had is just on the current state of spending, so I think Sachin, you mentioned there's been challenge after challenge over the past four or five years, which you've sort of tried to manage through. And in the current environment where there's higher oil prices globally, and then the automotive companies in certain geographies might have some shortfall in cash flow. What impact does that have on Page 19 of 30 maybe the near term in terms of when they choose to reopen their purses broader futuristic R&D and spending.

Sachin Tikekar: We have not seen the impact on the OEMs yet because of the conflict that we are seeing at this point in time. We'll see when it gets resolved. I think if it continues beyond three to six months, it'll have repercussions, you That will be macro. At that time, we may have to think about it, but today we are not in any of our conversation with any of our clients. This is not coming up. I think they're solely focused on rationalizing their costs and creating fu

nds. You know, to

invest into the future programs. I think that's what they're solely focused on. So, those conversations are not coming in. It may impact the truck business faster than the Pass car business if this continues beyond a period of time. So we are watchful about it. All our clients are watchful about it, but nobody's taking any actions as of now.

Chandramouli Muthiah: Got it and just lastly, there was an interesting presentation on the India opportunity, global for India, India for India. I think you've already announced an engagement with JSW Motors, which potentially comes out with their first vehicle for India. Later this year. So I just want to understand today What is India as a percentage of your revenue and in your journey over the next three to five years, where do you envision this as a contributor, just given that a lot of the new EVs, new hybrids that are coming into the Indian market are pretty software intensive?

Kishor Patil: Right now, we are about 4% of our revenues are from India and they will increase substantially. The share will go up and we do believe If it is going to be the third largest market. That's why we are doubling down. I mean, if it is going to be, in my view, 10 years, second largest market, we would like to really double down and play a very dominant role in this market. All right, thank you very much and all the best.

Sachin Tikekar: Thank you.

Question 2

Vimal Gohil: Yeah, thank you for the opportunity, sir. This is Vimal Gohil from Alchemy Capital. Sir, my question is around, you mentioned reusable assets and solutions in the presentation. I just wanted to ask, how are we compete... how are these solutions competing with the Chinese counterparts? Because one, globally we've seen a massive chip flop. So EVs took a backseat last year. Now suddenly you're seeing the near term data on EVs growing 50% in some markets because of what we are seeing on the oil price. So there could be another chip flop on that. And the OEMs will have to be very, very agile There are certain quick-to-use Chinese products or IPs available. Plus, there is the Google and the Apple ecosystem also that's available on the front end. So How are our products sort of working over there? That's, that's point number one. And lastly, on this R&D aggressive experimentation strategy that we've sort of capitalized over the last 3, 4, 5 years That is moving towards more disciplined capital efficiency, you know, by these OEMs. So, how are we looking to maneuver that aspect? That will be helpful.

Kishor Patil: I'll give you a personal answer you can add if you want to. The second answer I will tell you is we talked about is improving our wallet share and coming out, going with a product and solution. So, instead of, see, fundamentally the shift in the services business is having Doing a Page 20 of 30

work with somebody else in terms of a TNM or then later on in terms of getting work done, then whether we can do it ourselves, whether we can do it in GCS versus Having a solution, full-fledged solution, somebody ready to take the ownership and doing it faster and with innovation. So that is the basically fundamental thing, and that's why we mentioned about how we will increase our wallet share, and that is something we measure every time. So, I think that's how we would like to

increase that. The second thing is, we showed the McKinsey numbers also. There is a shift in the spend But actually, the overall spend is increasing. Somewhere else, it will get cut down, but the overall spend is... will increase. So this is the answer for the second question. About the Chinese OEM, I can tell you that there are Chinese has been very successful in China When you go outside China, their ecosystem does not work. One of the best benefit of Chinese OEM is in China, is because of their ecosystem And one of the reason this might favor with KPIT is also because of a very strong partner and a tr

usted partner to the OEM outside China. So that's why they are ready to partner with us for going outside China. Many of these we find more traction than others. To answer your question, we believe with AI-based and solutions, our solutions will be as good, if not better, because many of these solutions are localized also They need a localizer law, localize proven way of working. China is a special market. It works in a different way. So, having that understanding of different market, working in that market will give us a unique advantage.

Vimal Gohil: So just one clarification or one question here, a fresh question is, some of these Chinese specialists, automotive ER&D specialists are working at are working with very high gross margins. That is, their revenue per employee is significantly higher, but Their investments into R&D are far, far above the industry average. And they're working on negative EBITDA margins. In that context, and plus we are, you know, sort of... and they're going global as well. They are working with some of these larger OEMs. We are sort of... we will be encountering them when we sit across the table for most of these OEMs that we work with And To that extent, we are talking of expansion of EBITDA margins from the current 20-odd levels to 22 to 24. If you can just maybe reconcile the math here, that we are competing with them, plus we are talking about expanding EBITDA margins.

Kishor Patil: So, I mean, you are, I don't know whether you have a specific example, but we know all the Chinese players. I mean, there's some places we have come across some of these, but we can compete with them favorably outside China. In China, we are building our capacity to basically We talked about in the certain products and solutions, like, I mean, just to give you the validation of the products which we have, we are selling it to all the all the top OEMs in China. Where also if you look at some solutions like after sales, these are, we are selling, there is a very good interest in China to do that. So, I don't see anything. I'm sure they will be good at some places. I'm not saying, you know, everywhere will be the. Sachin Tikekar:

So, let me add to what Kishore is saying. If you look at China, number one, it's their EV platform or their batteries. That's their biggest export as of now. The second part, their hope is they will also sell the software platform, right, on top of that So, to us, the EV platform and the batteries complement. This is where we can play the integration, validation, production, because they don't have that experience, they don't have the local capability. So for some of our OEMs, we are already working with Chinese tier ones or tier twos for that matter, to help them go into production Right? So that is very complementary to what we are doing. As far as the software stack is concerned, that's where the exposure could be Yes, potential threat, but I think we're going to take Page 21 of 30

them head on. And that's why, you know, Anup presented the V-Cycle and the solutions that we are building. We think that they are a lot more robust, and they are actually localized in different markets where Chinese have not don't have the same kind of experience. So yes, there are going to be complementary in some areas. There will be some competition, but I think, you know, I think we are on.

Vimal Gohil: Thank you. Sir, one percentage of revenue is coming from China that will help. You've given the number on India. That is 4%.

Kishor Patil:

We would not like to talk about that, but it is similar to India

Vimal Gohil: Thank you so much, sir, and all the best. Thank you.

Question 3

Hiren Ved: Hiren here. I just want a sense of, you know, when I just see the automotive landscape, at least also in India, is that somehow over the last few years, the Japanese seem to have lost their way Right? I mean, there used to be a lot of new products The J

apanese OEMs were

looked at very favorably in a country like India for reliability of their cars, fuel efficiency, etc. Last few years, they seem to have lost their mojo. It so happens that also your ramp down seems to be from a Japanese OEM, right? And I think When there was a wave, early wave of electrification and EV, I think they were still batting and rooting for hybrids, maybe hybrids will also, all three will coexist But even... what are you seeing? What are these Japanese OEMs thinking? Because they are very large players globally Right and not just in India, but I somehow feel that there seem to

be losing their way even globally What is the thinking? I mean, do you think that... I mean, usually they take a lot of time to decide, and then they move, and hopefully that will help us get more business from the Japanese OEMs?

Sachin Tikekar: You know, let's talk about three specific ones, the biggest one, if you look at them, they've done reasonably well as compared to anybody else. The big Japanese OEM, right? Toyota. They're still the biggest, the drop in their profitability was comparatively lower. Sales actually went up Compared to everybody else. So, they are fairly resilient because they are... they have global footprint, and they have been able to localize their products everywhere, right? So, they do have a lead of... and they are the ones, if you look at on the SDV journey. They are the most backward Right? So that says something about it. So they do have a little bit of a runway. You know, before they start to lose market share in the bigger markets. I'm talking about globally, it's about India, generally speaking. So, now, I think there is an opportunity For us to help someone like Toyota rapidly get on to the SDV journey, and also get into multiple powertrains, right? They're still number one when it comes to hybrid, right? They were the first ones, and they continue to dominate, and I think in some markets, it makes perfect sense. For instance, U.S, right, which is the most profitable market for them So, yes, they have taken a little bit longer. They decided to double down on hybrid as opposed to web. But if you look at what they have done in China, Toyota launched a battery electric vehicle with level two plus autonomy stack from from momenta actually, and they're actually gaining slight bit of market share in China, right? So, I think they are

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taking some steps to get there, and to us, it's an opportunity. Nissan has gone through a difficult period, but they are coming back slowly, right? I think they're cutting costs dramatically, and they're trying to figure out which are the markets that are really important to them, and where they'll remain relevant. For Honda, US is the market right now. That's where they make money and that's where really well and people believe in Honda cars in the US. However, they've sort of all three of them, except for Toyota in the recent past. They have dramatically lost their market share in China, right? So that's where they lost the game. And because Chinese presence is also expanding in Southeast Asia and Latin America, that's where they're facing competition on the battery electric vehicle. However, these markets, it's only 10-15% battery electric vehicle penetration. As far as the remaining 80-85%, it's still Toyota, largely, and maybe a bit of Honda and Nissan in those. So, to your point, yes, there is a challenge. All three of them are dealing with it a little differently But I think in the recent past, there has been a bigger wake-up call, and you have started to see actions from Nissan in the last one year, and you'll see similar actions from Honda in the next month or two. Right? To really find out which market are going to define them in future and what's going to be their differentiator. They're betting big, they've been betting big on hydrogen, on sodium cells as well So, I think they're trying to now disrupt the China

. They probably given up on the pure battery electric part, right? They are saying now how to disrupt China Beyond battery electric. That's the thinking. So we'll see how this unfolds, but I think you're spot on. Nissan has been in trouble now, Honda is getting in trouble, and if Toyota doesn't change their ways, they can potentially get in trouble in a couple of years.

Moderator: Thank you so much, sir, for the answers. Our next question is by Mr. Arun. I'd like to request Arun to kindly introduce himself. Along with his organization's name.

Arun:

Moderator: Arun: Hi, my name is Arun, and I am a qualified chartered accountant. I'm from Syrian Alpha. Just having one question. You mentioned about the middleware and the Qorixpart, right? When do we expect these things to get normalized, and we can expect some incremental contribution on the Qorixpart?

Kishor Patil: I think I mentioned a bit that when the new architecture programs will start coming in, I think that's when that will come. But in o-highway commercial, there is already an opportunity for us to introduce. So There are Both on Pass car as well as O High Highway Commercial, it will take some time, because we're typically With multiple changes, there is a one to two years delay in these programs. So, that's when it would come up. Anup, you have any quick.

Sachin Tikekar:

And, you know, just one clarification, not all Middleware from KPIT perspective equals to Qorix is a platform, so Qorix platform, wherever it goes, KPIT will go in terms of its implementation partner. However, the middleware demand will, to Kishor's point, will sort of start to pick up for us in trucks and o-highway as we do more and more of their software-defined machine programs.

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Arun: Understood. Just one more thing, these TCV's been this quarter, there is a significant jump, and, coincidentally, it is at the same time when we are seeing these two big SDVs are coming to

an end Just trying to understand, like, how we manage the significant jump in this TCV region this particular quarter, and not in the earlier quarters. And secondly, how do you think, like, what can be the, new base for this TCV wins for us, maybe in the, in the upcoming quarters.

Kishor Patil: The first thing is, we are happy that I hope you are also happy that it has come in time. It has come on the back of our highway commercial and few other strong wins we had and also other our traditional clients also So it's not it's a process, I think it just worked out during this quarter. I can't say specifically what it is, but typically, I think I would say that, I mean, I cannot say what is the minimum we will earn every quarter in terms of wins, but I think I... looking at the market, I think we see that much stronger wins as compared to the last year required.

Sachin Tikekar: I think quarter or quarter, there will be variability because they are very different. But if you take a six monthly yearly view, you'll see change year on year quite a bit in a positive direction.

Kishor Patil: And please understand some of these are multi-year, so that's why what Sachin mentioned, if you win one largest, it may not happen every quarter, but Typically, we see a stronger traction as compared to the last.

Arun: Got it, sir. That's it from my side. Thank you.

Moez Chandani: Hi, good evening. This is Mohe Chandani from Ambit. So my first question was, in your conversations with European and North American OEMs, how are they responding to all the challenges that they're facing? They saw EVs decline significantly at two write-offs, now they're facing competition with China Is the focus right now very firmly on cost consolidation, where they just want to preserve their market share? Or do you see any change in terms of appetite for them to maybe even increase or improve their SDV spends? That's the first question.

Sachin Tikekar: Sure. So, two separate markets, different

strategies, right? If you look at generalizing, first let's take Europe because that's where the pressure is the highest. You know, there are tariffs and then there is more intense Chinese competition, not only in Europe, but also in China for the European OEMs, right? So they are under a lot more pressure than the American ones at this point in time. So their strategy is, essentially, they have to dramatically reduce their costs. So two things. A, cost of the product and cost of production. That's really their focus. If you look at it, there are still, when we look at them, there are still a lot of inefficiencies. They've been working with... their ecosystem is also it's very localized to Germany and Western Europe, sometimes in Eastern Europe. So they're taking a very hard look What was working in their favor is going against them now, right? This is what helped them build Through engineering excellence, right, and the kind of vehicles that they have built, but now that is getting disrupted because of the Chinese OEM. So, A, they have to let go, of that, and then they have to look at New set of partners. You know some will come from China, some will come from India. And that's exactly what they are going through. And The net-net of that is, A, there is a lot of costs that they can save,

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both on the product side as well as in the production side, by just re-looking at how they do this work, right, and with whom they do this work, right? So there is tremendous headroom for them To reduce the cost, there. So that's what we are seeing in Europe at this point in time, with all the three OEMs. Now, one of them specifically is already thinking about the future Right? And the other two will start to think in pockets they are already thinking about it, but they'll think about it, you know, maybe once they get their cost Little bit lot more aligned to the future business, right? So that's some color to what we are seeing at... and I'm generalizing this for all of Europe. When I say this, it's mostly about Germany. Of course, there is... there are other nuances in UK and France In North America, there are two now besides Tesla. And for them, they are in a protected market. If you see 80% of their GM and Ford are actually in North America. And that's where they don't have Chinese competition Right? And their hope is that they will not have Chinese competition in the immediate future. So, their view is very different. They are actually investing in the future, and when it comes to General Motors, they're actually working on the second generation of SDV as we speak, correct? The other one has scrapped their next generation, but they're working on an intermediate kind of a, so, I think the approaches are very different. They are remaining focused on the vehicles that make money for them in the US, which are largely the SUVs And they're doubling down on that, right? If you look at it, there is very little demand for electric vehicles in the US, especially now that the benefits have gone away, right? The government support has gone away. So, you know, they're scrapping electric programs and doubling down on ice as well as hybrid, right? One of them has created a separate company in California that they think can compete with the Chinese Right? So, what does that mean, right? In Europe, it creates a tremendous opportunity for us to be part of their new ecosystem in a more strategic manner. And in the US, we are already part of their future programs that are necessary for them to remain relevant and competitive in the US. Now, in the US, for these two OEMs, even

though they don't have competition from China, but guess who they have competition from? It's the other OEMs from Japan, Korea and Europe, correct? Because for them, China is not their number one market anymore, it's the US, right? So they still have to remain competitive in their own way, and that creates an opportunity for KPIT.

Moez

Chandani: Got it. Thank you for that very detailed response. Secondly, if I'm just looking at the o-**highway** segment, right, and that's something that you've talked about will be a big growth driver. Now, I understand the size of these automotive software market for Pass car, but how big do you think is the market for o-**highway**? And is adoption or requirement for software really as high to compensate for any decline that you're seeing in the pass car segments?

Sachin Tikekar: So, number one, just to get this out of the way, there is no decline that we are seeing, you know, if you remember our second slide, we do believe that the spend will go up. There is a reset of that spend, but the spend will go up in Pass car. So we are not giving up on passenger cars. It's our bread and butter will continue to remain our bread and butter going forward.

However, as the size of our company grows, we need to also expand our horizon in a very strategic manner. That's exactly what we are doing by looking at trucks and o-**highway**. The spend is very different. A, the number OEMs that exist in trucks outside of China are very limited. There are **ve** that dominate probably 80% of the market share globally right outside of China. So the spend is limited to them. O-**highway** is a different thing, right? I think there are specialists in different countries. There are **ve** big ones globally, but then there are a lot of local ones in Europe, in India, Southeast Asia, and so forth, right? And in the US as well. Their spend is not quite as much as passenger car. I mean, number of vehicles sold, right? We are talking about 90 million versus Less than a million, right? So it's not the same. However, their applications are very different And They

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are 15 years behind when it comes to making investments in software So that creates headroom for us to grow for the next several years, along with that If that answers your question.

Moez Chandani: Thanks for that. And just lastly, trying to understand these ramp downs that you're talking about a little bit better. Was it that this was a planned ramp down, where, you know, a project basically naturally ended its life cycle, or was there a change in strategy that caused this decline, and you also see some of your other large projects also ramping down, say, at the end of FY27 or in FY28?

Sachin Tikekar:

No, very good question, and I'm glad you asked that question, because it's one was a plan, and we are very proud to say that it'll be an SDV hitting the ground running in a more efficient manner in the next 3 to 6 months. So that's the program that we'll get over. We are already signing up for serial life programs with them. The Quantum will not be same as the The large one-time SDV program that we did, but it's, you know, it's the future work that we'll continue to do with this OEM. The other one was a surprise, not only to us, but to the rest of the world, when that OEM decided to stop their EV programs The launch of this, and they decided to take a \$ 15 billion hit, one-time hit right on their balance sheet. So that was Surprise and You know, very unpleasant one for us But that's life The other question is A, in the foreseeable future, we don't see any other programs coming to an abrupt end Right? I'm just quickly scanning all our OEM engagement as you asked that question. Not likely at this point in time. We don't see it. Definitely to not definitely To the tune of what we saw with this particular OEM Right? So So that's really the second part. But the reason we talked about building resilience growth is we have to be ready for these kinds of surprises.

Some are pleasant, some are not so pleasant So irrespective of that, we need to learn to grow

Moez Chandani: Okay, great. Thank you so much.

Abhishek Gupta:

So Abhishek Gupta from Access Mutual Fund. So, just to start it on this quarter, there was a decline in the strategic clients, revenue f

rom the strategic clients. So, there's SDV programs which has got stopped in the, like, it really stopped in the next two quarters. Does it have an incremental impact on the, like Was they our strategic client **rst** of all, and that had the impact incremental impact in this quarter in that account First on that and second is Yes. And on the Japan markets, so basically Honda is declining for us, right? And despite of that, we are seeing growth in the Japan market. So is an incrementally, we are seeing is the SDV program for them is stopping and that might impact our incoming quarters But the growth which we saw in this Japan market in this quarter, is it a more of a one-time thing or it's gonna be like incremental opportunities there over there, but it won't be able to back**ll** the Hyundai yet?

Sachin Tikekar: The **rst** question is, the plan rap-down of one OEM that has been happening, as it gets to the production. So, some of the strategic business that has gone down with one planned OEM, it actually started to impact Not only in Q4, but in Q3 as well, right? So, little bit

happened in Q3, a little bit happened in Q4, will feel more impact in Q1 now, of that, which has been planned, right? No surprises to us, in that The second one was a surprise, which It was a
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program, unfortunately very close to the production, right? Unfortunately. So it was there was a little bit of a reduction in Q4 But the dramatic reduction actually happens in Q1. Right? As far as the Japan is concerned, yes, it, you know, we've had tremendous growth. What we are going to do in future is not have one pony story in Japan, right? You saw a partnership with the Tier 1 now In Japan, there are 3 truck and o ■-highway OEMs that we are targeting, and the remaining two pass car OEMs that we talked about earlier on, especially the big one Right? So, hopefully it'll take time, but the thing is, you know in the midterm, we'll have lot more You know broader base growth coming out of Japan

Abhishek Gupta: Got it, sir. And secondly, sir, in your second slide on the passenger vehicle spends like from 26 to FY30, we saw increases happening over there. But so if I look at the European OEMs and their recent commentary as well as presentation, everybody till FY29 seems to be cutting down their budgets And if I compare on the Japanese market, we are still very young over there, and we are just still growing. So the spends increase which we are seeing over there, is it more traction from the Indian market, that is what getting re■ected over there? And why is that spend increasing if the biggest market of our European Europe, all the OEMs are starting to cut down on their R&D spends, and they have been very blunt about that in the market.

Sachin Tikekar: All right. So, the overall people are cutting costs, right, especially in Europe, and you know there are it's not necessarily R&D spend. The cost is going down so that they can continue to spend money where it matters to them from future perspective. And fortunately for us, it is also software. Now, within that, there are ine ■iciencies in which they spend mo ney Right? Working with the local ecosystem, you know, where the costs are very high, and the lock-in is a lot longer, right? KPIT can provide ■exibility, you know, especially given our products and solutions, we can do all of this a lot more e ■iciently for them, right? So that's really our opportunity. So overall, I think In markets like India, the west coast of the US, China, in parts of Korea and Japan, the spend will continue to go up. And that's the re■ection that you see. It's also true in North America, for that matter, right? All the OEMs I talked about West Coast, but I'm also talking about Detroit Right? The spend will go up There is a reset that everybody is trying to do in the last couple of years. I think Some of it is behind them, so now there is a clear roadmap. If you look at th

e reports from McKinsey earlier on The spend percentage went up even more signi■cantly, so it's already come down to some extent, and this is the latest one that we have. And, you know, we have our own ways of validating this, by having real conversations with the clients So we believe that this is roughly what it's going to be. We just have to ■igure out how much of that we can capture going forward. Got it.

Abhishek Gupta:

And so lastly, from my side, like, for beyond FY27, we have been very... seems to be very confident on our solutions and product side of the business Like it will be 50% and more so the new products which you are taking to our clients, it will be, like, more of a replacement products, like, which will be a competitor over there, or it will be a fully net new or more, what do you say? This, clients which we have, they don't have that Tech adoption yet in their system, and this will make them more e ■icient, more operationally e ■ective. Like, what is our, like, target client doing?

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Anup Sable:

Yeah, so it's a mix, no No black and white answer on this. It's a mix of it. But even for the replacement category, there is obviously new things that we are bringing to the table. And that is why the replacement is important. The end-to-end part of it is there There is a AI introduced into that and there are a few things that are really the new problems that we are addressing and we've been working on this for quite some time. So these are not really new. I mean, the early market tests have been done already

Sachin Tikekar: Another way to answer that question is, if you look at products, our products, they're actually replacing something that has been provided by somebody else, right? So it's completely a replacement. When it comes to our solution, it's a little more disruptive. It's not replacing like-to-like, but it's replacing an ecosystem to some extent of the OEM, right? So, there is a subtle, not subtle, obvious di ■erence between the two

Soumitra Chatterjee: Hi, Kishor, this is Soumitra from Aventus. Just continuing the question that Abhishek just asked Roughly, we are around 727, 730 million in revenues. In three years' time, even if we were to reach roughly 950 million to\$ 1 billion in revenues We are targeting around 550 to 600 million from the solutions and products. And we are currently at about 110 odd million. Roughly, we will grow 30% this year, but for the next two years or next three years, in that case, the

number will have to grow up 3 to 4X is the understanding correct? I just wanted to understand the back of the envelope calculation.

Kishor Patil:

Yeah, absolutely. I think there are two things to it. One is Most of the current business, as we said, fixed price was the first step, but then that will get converted into AI-infused solution. So that is the first step. So many of these will get converted into AI-infused solution. Which will give us better productivity and margins and more ownership, and that's why the scale will grow. That's the first part. And the second is the product. So I think from that perspective, that number would be fine. We believe, actually. That's a nonlinear growth. We just want to 100%, we cannot say, but we believe that's a very reasonable number.

Soumitra Chatterjee: And second question is on this market share thing. When you look yourself with your competitors in any deal, especially given the fact that Infosys acquired Intech, SCL acquired ASAP When you do a volume-based market share calculation In the last 12 to 18 months of all the deals that have happened in the market, has there been any market share loss? I mean, you would have ended up winning six deals in a normal scenario Has the competition increased, which resulted in 6, maybe coming down to 5 or so

Kishor Patil: You can look at the revenues of the acquired some entities which you talked about or this all what has happened to their

revenues, actually. So to answer very quickly, we are not seeing any loss to this. Actually. In Europe, specifically, we are looking, our biggest opportunity is consolidation, which is happening and KPIT is certainly a major beneficiary of that.

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Soumitra Chatterjee: Okay, thank you.

Kawaljeet Saluja: Hi, this is Kawaljeet from Kotak Institutional Equities. Can you hear me? Yeah, hi, it's Kawaljeet from Kotak Institutional Equities. My question is that in Europe, there are plenty of assets available for sale. There's Bertrand, EDAG. Maybe there are a lot of players attached to the carrier ecosystem I don't do any of those assets interest you? And second is that in mechanical engineering. Are there any parts of the mechanical engineering ecosystem which should be of interest to KPIT, or would the focus continue to be on embedded and software?

Kishor Patil: So coming to your first question, I think You look at their performance, most of these companies are struggling both in terms of revenue and this, having so many employees in that part of the world with the less than 35 hours a week With that kind of a cost is a liability in some sense, and even the companies who own it, just to... most of these companies you are talking about, some of the OEMs have a stake in these companies, but they are preferring to move away, because from their perspective, the value is actually reducing their cost Bringing yeah bringing innovation, bringing the best practices from the other organizations, so they are moving. So from that, so shortly, we have seen all these assets, and, I think as Anup said, some of the disruptions which are coming and the kind of products and solutions we are bringing, they're far superior to what these companies have. So that is the first question. And of course, they are not cost competitive, which is Biggest concern for the OEMs. So that is the first. On the mechanical side, I think the Caresoft acquisition, when we did, I think there are two things. First is is very important in on highway commercial, because there is overall mechanical content is high, so in some of these areas, you know, it's important. In the pass car cost reduction is a very important part, so we are focusing on the cost reduction part, wherever there we can bring the cost reduction. And third part Which we are focusing is the manufacturing part, manufacturing efficiency, because that's where they are trying to reduce the cost of manufacturing, as Sachin mentioned earlier, like Europe or other parts. So we are, so we have got some of these capabilities ourselves as well as through the acquisition of Caresoft, so that's what we are

Kawaljeet Saluja: Just a follow-up question, if you look at the German car manufacturers, they have, you know, especially the one whose name starts with V, they have found out multiple contracts away from the likes of EDAG and etc to onshore players, but there have been massive delays, and in some cases, not even ramp-ups. What explains the reluctance for Actually, those ramp up in contracts which have been delayed for a really long time

Kishor Patil:

Okay, okay. I think I cannot go into details about every OEM, but in this case, if you can check their biggest success or the largest part of their success, whatever they have got is with KPIT. So they're seeing the success. They have seen the success.

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Rahul: Hello Yeah, hi. This is Rahul from Dolat Capital. So Sachin, you talked about that wallet share expansion thought process From, 10% plus now to eventually going to 20 20%. So, is this going to come, because of our cost effectiveness, solutioning Or some of that AI harness thing that you talked about in that Anup's chart. So what are the key drivers for that?

Sachin Tikekar: All of the above. In all honesty, it's all of the above. Essentially, we just have to help them So, what we are trying to do is, we have to help the

m create efficiency Within their own

system, correct? I think that's the part, and that's why, you know, our solutions are going to be helpful. You know use of AI in the programs that we deliver is going to be very useful. And that's what is really... that's what is creating differentiators. When we are working on any kind of engagements in a competitive scenario, we end up winning not because we offer the lowest cost, but we offer the highest reliability and the greatest return on their investment. Right? So that has been sort of the differentiator for us and we believe that all three things that you mentioned are going to help us to go from Let me correct myself. The 10% wallet share, it will increase by 20%. In the immediate future, right? It will not move from 10% to 20% of their wallet share. It will increase by 20% this year. That's really the goal that we are taking in every cell. And we believe that this is how we are going to do AI is going to be a big part of that. Our products are going to be a good part of that. That's all that I can say.

Rahul:

Yeah, just last one for Kishor, you talked about that 30% kind of a growth is a possibility on the product solution side. And the the other maths of it is like some part of our existing services pool would Kind of be converted into the product solution bucket, so in that process, do we see some kind of shrinkage that might happen to our existing scope of work, or it will not harm that in a short term?

Kishor Patil: No, it won't harm, in that way. In one or two cases, it can happen, smaller projects, but largely the idea is to take a larger responsibility and take the ownership. So, there will be an efficiency, but you are doing more work . So that's how it will compensate.

Rahul:

Sure, thank you. All right

Moderator: Thank you so much for all the answers and for the questions. We still have time for one last question, and after that, we will be ending the session. Do we have any one final question to be asked? You can raise your hands in case.

Moez Chandani: Good evening and thanks for taking the follow-up. Just want to understand the Cymotive acquisition and also some of the work that it does. So, if I look at the historical revenues, there's a sharp gain for the company in the last two years. So, what drove that? And also, can I get a sense of, other than Volkswagen, does the company work with some other clients as well? And what's the strategy for the company?

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Moderator: So before you answer the question, can we just request him to also introduce himself? Could you please also tell your name and organization

Anup Sable: Thank you. Hello, can you hear me? Yeah, if you look at almost all the acquisitions that we have done, or all the partnerships that we have done We are taking a look at an expertise which is probably constrained by something, but we know that it is great expertise. And then we basically try to look at how to take that expertise to the rest of the customers that we have In Cymotive , if you look at it from a cybersecurity perspective, there are, like, loads of offerings. I mean, we didn't talk about Most of them, but if you look at in-vehicle and outside the vehicle, so there is a good portfolio of work that is way ahead of everything else that has been done. And then you look at the competency of the people there, what they are capable of doing, especially in the context of what is going to happen in the future AI is going to create more cybersecurity challenges. Quantum has been advanced, so 2035 has come down to 2029. So if you look at these two potential threats that will happen in the future The competency of the people and the solutions that they have are extremely relevant, and now we basically would like to take them to other customers

Kishor Patil: I think on the Cariad side, I think it is the same cost issue. They've moved their strategies to move to India mo

st of the work. They're already into multi-million vehicles, they find

it a great Win-win because KPIT is their trusted partner. You can see the quote from Cariad . And, then the consolidation and that is how the revenue came down because of that, and also of the

cycle of the Cariad during that time, because Cariad overall business also went was a bit impacted during that time. But I think there is a bigger opportunity there, but more importantly, as Anup said, I think we can take it to other. The biggest advantage to that is it is in many millions of vehicles already Which gives us a confidence or other OEMs will get there.

Moderator: Thank you so much for all the answers, and with this, we would like to conclude today's session. Thank you so much for being with us